Mastek (MASTEK)

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Dear Sir(s)/Ma'am(s),

Sub: Earnings Conference Call Transcript – Q1FY23.

With reference to our Letter No. SEC/33 /2022-23 dated July 8, 2022, please find enclosed herewith the call Transcript of the Earnings Conference Call held on the financial performance fo r the quarter ended June 30 , 2022 , on Thur sday, July 21, 2022.

The Transcript of the conference call can also be accessed from the website of the Company at www.mastek.com

Request you to take the note of the abov e.
Thanking you,
Yours faithfully,

Encl: A/A

"Mastek Limited's Q1FY23 Earnings Conference Call"

July 2 1, 2022

MANAGEMENT : MR. HIRAL CHANDRANA – GLOBAL CHIEF EXECUTIVE OFFICER , MASTEK GROUP
MR. ARUN AGARWAL – GLOBAL CHIEF FINANCIAL OFFICER , MASTEK
MS. DAMINI JHUNJHUNWALA – ASSISTANT VICE PRESIDENT , INVESTOR RELATIONS , MASTEK

Moderator: Ladies and gentlemen good day and welcome to Mastek Limited Q1FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and th ere will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is bei ng recorded. I now hand the conference over to Ms. Damini Jhunjhunwala, AVP, IR, M astek. Thank you and over to you ma'am .

Damini Jhunjhunwala: Thank you , Neerav. Good day to all of you . Welcome to the Q1 FY23 Earnings Call of Mastek. The Results and the Presentation have already been mailed to you and you can also view it on our website , www.mastek.com.

To take us through the results today and answer your questions , we have the top management of Mastek, represented by Mr. Hiral Chandrana - Global CEO and Mr. Arun Agarwal - Global CFO. Hiral will start the call with the business update , followed by Arun providing the financial update for the quarter .

As usual , I would like to remind you that anything that is said on this call that reflects any outlook for the future or which may be cons trued as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included , but not limited to what we mentioned in the p rospectus filed with SEBI and subsequent annual report that you can find on our website .

Having said that , I now hand over the call to Mr. Hiral Chand rana. Over to you, Hiral.

Hiral Chandrana: Good afternoon , everyone . Thanks for joining us . I will take a few minutes and provide a “Business Update” and hand it over to Arun to give more details on the “Financials .”

We delivered 13.4 % year-on-year growth on revenue on a constant currency basis and it was flat on a quarter -on-quarter basis . It was a challengin g quarter in some ways where we had a pause in a very large program healthcare account in the UK. There were a few delays in some decisions on some key deals and slower than expected ramp -ups in a couple of accounts . The currency impact was almost 7% to 8% for us from a GBP to US dollar .

But having said that , we've got some really good leading indicators that demonstrate the confidence that we have in the business . As you would have seen our backlog has continued to improve . We grew that almost over 30 % year-on-year. Our pipeline has been growing steadily even through this last quarter . We have multiple large deals that continue to be added to the pipeline .

We've hired more than 550 people including trainees . We've actually consciously red uced the number of accounts that we cater to . This is again as communicated earlier our focus on account

mining , our focus on higher quality revenue and almost 50 lesser clients that we're catering to and delivering the same revenue .

Our fixed price busine ss as well as our annu ity business which is our managed services business has gone up significantly . This is again part of our strategy to look at more predictable revenue .

We actually delivered 19.2% on the operating EBITDA in spite of some of the strategic investments that we continue to make .

The talent cost , as all of you know is going up , but we've made some investments in specific areas as it relates to industry solutions and geographies , which we'll cover in a minute .

The customer demand envir onment is still looking good for us . While we do see some caution when it comes to deal decision -making , most of the deals that got delayed we have not lost except for one , which is a small deal and those deals are taking a little bit longer to convert . Having said that , the wins that we've had , really

give us confidence that we are able to now compete on a different scale when it comes to large enterprise accounts as well as more complex deals .

Let me take a couple of minutes giving you some examples :

• We won a deal at the University of Nottingham in UK. This is a relatively new vertical for us in the education sector , where we are combining more than 40 -plus disparate systems and integrating processes to deliver a digital transformation program .
• We also engaged with a healthcare provider in the US, the Americas region where we're transforming their entire budgeting and forecasting process using Oracle Cloud.
• A marquee customer called Cleveland Clinic, the Abu Dhabi business of Cleveland Clinic which is a very global brand , we are now engaged with that hospital chain and looking at a big end -to-end transformation across their value chain , across their different business processes .
• For a manufacturing customer in Europe , which is in the battery manufacturing space , we actually converted our implementation business as a follow -through into what we're calling “Cloud Enhancement Services” which is really our managed services business in the digital and the cloud world .

So, these are some examples where it's a co mbination of business process transformation , combination of digital engineering projects , combination of where we're trying to convert some of our existing implementations into managed services .

Our UK public sector continues to show good momentum while we have grown in our current accounts , which is home office , HMRC, there is a new framework called DSP which is the Digital Specialists and Programs which we've gotten shortlisted among some very key suppliers

and that should give us access to a mult i-billion dollar framework set of opportunities in the next few years . This is something we communicated in the Investor Day in April as well that we have a seat at the table on some very large frameworks which continue to give us some predictable and annu ity revenue .

We're very excited to bring MST Solutions into the Maste k family , MST Solutions is the acquisition that we announced earlier this week . We are a salesforce consulting and integrator which has really demonstrated unique capabilities particularl y in healthcare , state and local government , manufacturing and financial services in the Americas region .

We've been looking for assets and acquisitions in the cloud platform space in the CX space and in the data space . And this fits us very, very complimentary to our digital engineering and cloud transformation that we currently have in Mastek.

The cultural fit of the company is also very synergistic . They have 250 employees in India and 75 in the US. A nd we believe that this combination of Salesforce and our capabilities in Mastek will give us a seat at the table on front -office to back -office transformation engagement which we have been seeing demand from our customers .

As, we always had a digital commerce business , which was strong , but thi s capability goes across sales , marketing , customer service , integration and multiple other areas of what salesforce calls the customer 360 deg ree Platform . It's a very big economy where salesforce is going to go from $25 billion to $50 billion as a company and we believe there is significant synergies in our existing accounts within Mastek as well as c ross-sell opportunities within MST Solution s accounts to take Mastek services , both Oracle Cloud Services as well as our Digital Engineering Services .

A little bit about looking ahead before I turn it over to Arun. W e had shared our strategy and the various pillars of our strategy . We believe our fundamentals are very strong still across the strategic pillars . We're focused on making sure that we provide differentiated services as we grow in

the Americas market and we've launched what is something called Glide 4.0. Glide 4 .0 is really a framework and platform that will help accelerate not just modernize and move companies to the cloud , but also helps with their innovation acceleration . This combines our cloud transformation capabilities that we had with Oracle and our Digital Engineering capabilities that we've always been good at .

Also, we have looked very selectively in our top -50 accounts across the globe and putting together focused account mining and teams that can cater across different service areas in that account .

In most of our accounts , we are either present in one or two pillars . So, we believe there is a big opportunity to cross -sell and gro w our wallet share in those accounts.

Our UK public sector , like I said, continues to show good momentum . We are now getting into larger framework deals and even within our own existing accounts getting involved in a lot more strategic downstream deals where we've replaced competition in many of them .

As we look at our backlog , we have an opportunity to ramp up and cater to some of the existing business that we have won , but we've also got an opportunity to improve and further accelerate our recruiting engi ne. While we've made some good movements in that area , there's more to do and we believe that some of the investments that we've put in place , including the fresher hiring , the talent acquisition is going to pay and yield results in the coming quarters .

As you'd have seen , our attrition actually is trending down . For m ost of the other companies , I think the attrition is going in a different direction and we have been able to retain and put some measures to keep the attrition in check . It's still a challenging environment when it comes to talent , but we are getting confident that our attrition going down really showcases that our brand and the career value that we provide to Mastekeers is paying results .

As we look at the next three to four quarters , we have some recovery to do , but with the measures that we've put in place with the investments that we have in Americas, with the continued focus on UK public sector , we believe that we can start looking at beating the industry growth quarter -on-quarter going forward .

The demand environment will have some cautionary element s to it because of the macroeco nomic situation that all of you are aware of. So, we are keeping a close eye on that .

Our Middle East business actually delivered their best order book in Q1 . So, that's an encouraging sign for us . And with the MST Solutions acquisition and the combined ca pabilities of Mastek, we believe that there is a combination here which will help us scale in the Americas. With that I'm going to turn it over to Arun and then we'll open it up for Q&A.

Arun Agarwal : Thank s, Hiral . A very warm welcome to everyone on this call . I am going to share with you the key highlights of our performance for th e quarter ended 30th June 2022 . The investor deck has been circulated ahead of this call and contains much granular details about our fina ncial and operating performance . So, I'm going to keep it quite crisp so that we can spend more time in terms of Q&A.

To highlight , this quarter was a mixed bag as highlighted by Hiral . While we have successfully concluded acquisition of MST Solutions and signed the definitive agreement subject to certain closing requirements which team is working to close as early as possible , our quarter was a little bit muted than what we expected . As Hiral earlier mentioned , it was more driven by one of ou r clients in UK healthcare which has gone through certain reorganization between multiple departments which led to some pause in ramp which we anticipated . Again, we expect in a quarter or two for it to streamline and we ge

t back the same run rate with the same customer .

GBP depreciation which has been led by a macro environment has also impacted our USD -INR revenue . It's basically because 65%-plus kind of a number for Mastek comes from UK as a market and hence optically in terms of US in terms of USD and INR revenue , we see quarter -on-quarter a little bit more impact . However, in terms of constant currency , we have delivered 13.4 % growth year-on-year while flat quarter -on-quarter , delivering Rs.570 crores for Q1 and the reasons for same mentioned before .

EBITDA margin stood at 19.2 % versus 20.7 % in the previous quarter . Margin was also impacted by the currency . GBP to INR, as I mentioned more than 65 % of our rev enue comes from UK as a market .

Increased salary levels driven by supply -side challenges as we continue to r amp for the key wins which we had in last two quarters .

The utilization also got impacted because we continue to hire the right talent as we have quite a strong order backlog and healthy pipeline .

PAT stood at Rs.84.4 crores which is 14.2% of our income versus Rs.88.2 crores last quarter which was 14.7 % of our income .

Gross cash stood at Rs.665 crores versus Rs.794 crores in the previous quarter . Cash, net of debt stood at Rs.490 crores versus Rs. 600 crores in the previous quarter .

We saw an increase in DSO this quarter which was more led by seasonality in a couple of customers and certain contract signature and money flowing to Mastek . We believe this is one - time and in the next 90-days it will settl e down as we start reporting Q2.

On the business side , we added 33 new clients during the quarter . So, client addition continues in the range of 30 to 40 every quarter , which is again a good sign .

In line with our strategy 2025 where we emphasize that we are going to focus a lot on Fortune 1,000 customers as a base , quite glad to mention we have increased that base to 21 versus 19 in the previous quarter , moving in the right direction as we laid out in the strategy 2025 .

Headcount stood a t 5,55 3, net addition of 576 resources during the quarter .

Acquisi tion of MST as all uded by Hiral is a strong capability addition which further strengthens our integrated offerings and USA base at the same time , leading to increas e in deal sizes and buildi ng gro wth momentum in coming quarters .

Thank you all for your continued support as we deliver strategic outcome outlined in Vision 2025 . Handing back to moderator to open the house for Q&A.

Moderator: We will now begin the question -and-answer session . The first question is from the line of Mohit Jain from Anand Rathi. P lease go ahead .

Mohit Jain: This is first of all related to US. Now, while our commentary is positive , but last three quarters or so , we have been more or less flattish in terms of revenue booking . So, what is happening here and what has changed in last one year in terms of either deal pipeline or deals won and how do we see it going forward in terms of organic growth ?

Hiral Chandrana: Thank s, Mohit. T here are three different part s to this . As we've communicated in the past , the approach that we had before in US was really a project -based approach and an implementation - based approach . So, what that means is we should deliver an implementation and move on . The change that we've made in the last six to nine months is really to put some structures when it comes to account mining . There are about 20 to 25 accounts where we believe there is significant wallet share increase that is possible . Now, some element of rationalization on the accounts has happened as well because there's no point going after an account which is never going to grow beyond a million . So, we've taken some tough calls and made sure that we're going after the rig

ht
logos and right accounts so that account mining approach does need some level of investment and time as we start looking at the wallet share , the spend , across one area . So, that would be one big change that we've made . The second change that we've made is in all the places where we've done implementation as well as projects , we're converting those engagements into manage d services which we are calling the "Cloud Enhancement Services" because all the work that we do is in the digital SaaS or Cloud space. T his is important because our stickiness of the account goes beyond just the project of implementation . We're now there longer in that account and are able to not just deliver what we have scoped for but start cross -selling other areas . Classic example is a company called LHC Group which is in the healthcare provider space , they interestingly recently got acquired by UnitedHealth which is obviously a very large company in the US. B ut we started providing them with Oracle Cloud Implementation Services , moved into the Managed Services through our Cloud Enhancement Services and now starting to look at integration , data and other surround ing services where our wallet share in the account has improved significantly . So, that's the second element of it . The last part is in terms of new logos and the hunting approach . So, our alliance -based approach in Oracle continues to be the momentum that we have . However, as we look at enterprise accounts and as we look at larger more complex deals , the influence that Oracle would have i n some of those accounts and deals reduces . So, we are consciously investing in building direct relationships with these accounts and taking much more holistic offerings . The front office to back -office transformation is one example , but there are other ar eas where we look at not just a single filler solution and combine our various service offerings as we start to open even new logos . There are four or five additional platforms beyond Microsoft, S alesforce and Oracle. T hese are the three that we've been focused on that we've started looking at in terms of opening up avenues , namely , UIPath, AWS, as well as Snowflake. W e believe that this gives us the focus as well as a diversification of service offerings to take to the US client. Having said all tha t, you are right, Mohit, we would have wanted to see lot more growth in the Americas market by now , but I would say we are sort of

behind by a quarter gone, where we are starting to see lot more deals which are integrated , starting to build relationships i n those accounts , but that is not completely paid fruition in Q4 and Q1 . Of course , with the addition of MST , we expect that to take it to another level because it opens up another avenue for us, because salesforce is almost present in every existing accou nt of ours in the Americas. So, those are some of the things , Mohit. Hopefully, that answers your question.

Mohit Jain: My question was more related to organic growth than to the acquisition because those revenues will come through as you integrate . It was more like when should we expect organic growth to pick up , is it like are you guys likely to take two , three quarters , one quarter depending on your deal pipeline , how do you see it moving ?

Hiral Chandrana: Based on this , I would say in the H2 timeframe which is really Q3 and Q4 timeframe we expect a decent jump both on order book as well as revenue growth , Mohit.

Mohit Jain: Second was on health care, life sciences. Now, we have this one program which is essentially from the government which you mentioned in the presentation as well. So, how is the split between government , private and how are the growth rates moving between the two so that we can possibly assess how that vertical is likely to move ahead ?

Hiral Chandrana: The acc

ount that had a pause and the program i mpact is one single account where we actually ramped up significantly in Q4. It was a n unfortunate direction where we had to pause and that's reflecting from the Q4 to Q1 numbers . Our healthcare business , Mohit, as you probably know , is split between three geographies . We are working with some key providers and hospitals in Middle East, we also work with medical devices as well as healthcare customers in the US. B oth those have actually shown some good traction in terms of pipeline and order book. T he reduction that we've had is mostly in the UK account as it relates to healthcare.

Mohit Jain: So, like are we done with it or should we expect something in 2 Q and then you expect it to move up?

Hiral Chandrana: For that particular account , we see some level of stability , in fact , in that same account we have now two or three new deals. S o, hopefully , if we are able to convert that , that should reflect the growth path in H2FY'23 as well .

Mohit Jain: Last question for Arun sir. The tax rate was a little high this quarter . So, what should be the recurring number for FY'24 or FY'23?

Arun Agarwal: Mohit, because this is one -time between cross -country some tax credits couldn't be real ized. We expect 24 % to 25% for FY'23 i s a good range as we go on a normalized basis .
Moderator: Next question is from the line of Debashish Mazumdar from B&K Securities . Please go ahead .

D Mazumdar : Just three questions from my side . First one is related to the healthcare clients that we are talking about . From the numbers it seems the healthcare client s is where we have seen the ramp down is from the private Europe side. Is my understanding correct ?
Hiral Chandrana: Debashish, in UK we're not work ing with any private sector , it's mostly the government that runs the UK healthcare , so it's really in the overall public sector in UK, not necessarily private .
D Mazumdar: Why I am coming to this conclusion is if I see my government and education performa nce is fairly well , whereas the UK, E urope as a market has come down . So, I thought that it may be a private client that you –
Hiral Chandrana: Yes, yes, yes. So, you're right in terms of how we classify it . The government and education , the line item that we provide d the spreadsheet does not include the healthcare account . That is a part of the healthcare and life sciences . But the account that we're referring to is the large UK healthcare account which is one single account , which is basically funded by the government , but we classify it under the healthcare & life sciences.
D Mazumdar: So, is this ramp down is more to do with the current economic uncertainty or it's a client -specific issue?
Hiral Chandrana: No, this particular situation is a little bi t unique and unfortunate . We won a very large deal six months , seven months back and we were able to really ramp up . This is an account that we've been working for almost 20 -years . It's a very stable account in the sense we're doing a lot of transformation projects , but the particular deal that we won is really what got impacted , because there was a leadership change and that leadership change essentially combined three or four different departments in that account and really put a pause not j ust on our program , but a couple of other programs as well , because they were rethinking their entire strategy for how they wanted to deliver some of that output . So, it's really led to not necessarily the macro environment but a particular leadership chan ge in that account .
D Mazumdar: The second question I have is the UK, E urope market micro uncertainties that you have already articulated about , and it's not only you , even your peers are also talking about it . So, do we see this decision delays or deferme nts both in

government accounts and private accounts or that is specific to such accounts ?
Hiral Chandrana: See, the government space normally does have a delayed decision -making cycle , but that's something that we are used to , because we've been working t here for the last 20 -years or more . So, t here is a longer cycle just by the nature of how that works . So, the delayed decisions on some of these deals I was referring to is in the private sector both in the UK, Europe but also in the Americas. T he part of the good news is that we're not losing those deals , right. So, most of them are active. But, yes, the environment caution makes us feel that we will see delayed decision -making cycles at least in some programs . Customers are probably go ing to even prior itize which programs that they want to fund . So, eventually we might see some of that as

well. Right now, we're not necessarily seeing any cancelled demands , it's more in terms of deals being pushed right shifted .
D Mazumdar: One last question on MST acqui sition . If I see the revenue per employee of this target company , it's around $90,000 whereas you mentioned that around 250 employees are at offshore level . So, just wanted to understand this. Despite such high offshore presence , how can the revenue per employee so high , so if you can clarify this number ?
Hiral Chandrana: The Salesforce ecosystem as I mentioned earlier is no longer on one particular technology , it really cuts across the customer 360 deg ree platform , right . So, there's some high caliber architects and some very strong functional and process experts that are required to deliver these programs , right , because we're talking about business programs across the sales division or the marketing division or even in the mid o ffice. MST also brings certain unique industry solutions . So, there is a platform that salesforce has called Vlocity and MST has been able to really build certain unique capabilities on top of Vlocity . The certifications that it takes in this environment and ecosystem is also not easy to get . MST has again been able to certify about 600 -plus resources . So, the onsite rates and some of the value addition that they're doing is reasonably high and that's really the combination that you're probably seeing in the revenue per employee.
Arun Agarwal: Just to add there, when we have seen the data as part of reporting that is usually employees data only. However , like any other IT companies , they are also seeing the current environment , they

are also resorting to certain sub -contractors specifically onshore to manage this revenue . So, that is also included . So, maybe once we start getting into our reporting structure , you will get much more clarity in coming quarters.

D Mazumdar: Just on this MST business model , do we see in future that the margin of this business can go up because of this offshore shifting or sub -contracting cost reduction ? If you can help us with what is the current margin l evel that we are working with , I mean the MST ?

Arun Agarwal: We have also assumed certain improvements definitely which has to be done in line as we get into Mastek structure and definitely there has to be certain investment which has to get into as they become part of Mastek, there's a lot of synergy has to be extracted and we think same time strategy to get into more of interf ace customers is very , very important considering the kind of capabilities they have built in . Balancing them out , I believe their existing mar gin profile which is in line with Mastek, will continue to maintain that .

Hiral Chandrana: I think the only thing I would add is that the Salesforce engagement starts with UX Design Blueprinting goes all the way to implementation and then of course managed services with all the different clouds that I was r eferrin

g to earlier . So, there's a really good mix of different skills that are needed to deliver these engagements and that will be a continuous skill transformation process that MST Solutions ha s done well . MST also have about 8 or so Fortune 1,000 clients .

So, that's another interesting addition to our portfolio in the Americas and should help us raise the game when it comes to larger deals and engagements going forward .

Moderator: Next question is from the line of Nilesh Jethani from BOI AXA Mutual Fund. P lease go ahead .

Nilesh Jethani : My first question was on the UK political scenario currently panning out . So, how confident are we with regards to growth from a next 6 to 12 months perspective in UK especially we have a lot of orders coming from government ?

Hiral Chandrana: Nilesh, a good question . We have been following that closely as you can imagine . We over the last year have been able to convert many of our engagements into a bit more longer -term predictable engagement particularly in our top four or five accounts , which constitutes in almost 80% of our UK public sector revenue. So, that gives us confid ence that those programs are likely to continue irrespective of the government and the political environment . These are mission - critical infrastructure programs , where they seem to have visibility over the next 2 to 3 years at least. Having said that , any sort of new government change brings some level of new initiatives or maybe rethinking of some of the existing initiatives . The DSP framework deal that I was referring to earlier is one such opportunity where we feel that there's g oing to be a lot more downstream possibilities for us. There is also a view that the civil servants that are there in UK is likely to go down through this new government change and that potentially presents us an opportunity . So, as of right now , we don't see the political scenario impacting us in the core secure government services business that we currently have .

Nilesh Jethani: So, how do you bifurcate the mission -critical and the other project s?

Hiral Chandrana: So, as we look at the different process areas and initiatives , the work that we do for customs , borders , immigration , bio-metrics , some of the work that we started doing with the police protection , cyber terrorism protection , those we are considering critical of national infrastructure importan ce, which are critical to the government . There is always going to be some element of legacy platform moving into a new technology platform which we may not directly correlate to some of these processes , so that would not be critical , but many of the different areas that we are touching , whether it's in Home Office or HMR C or Ministry of Defense , these are of national importance .

Nilesh Jethani: So, say we would have won Rs. 100 of order in last 12 months . What percentage would be with the mission -critical categories you just mentioned ?

Hiral Chandrana: It's tough to quantify that but I would say , Arun, maybe if you have a different view , but more than 80 % of the work that we do for UK public sector . I'm talking about the secure government services is mission critical .

Arun Agarwal: Just adding there, the kind of scale and size of UK public sector is quite significant , right. We're still a part of it quite smaller . Opportunity which we see is multifold . As you penetrate and make

your relationship much more deeper , there are more than enough projects where you have your skin in the game and you start participating and ensuring your growth . So, really I'll not be worried as a combination of first , whether the investment will go down , that's not my worry because the size and s cale itself gives more than enough opportunity for us to grow .

Hiral Chandrana:

Yes, some of it is like related to even core areas like safety and protection , right, and like I said customs and borders and immigra tion. So, the workflows , the engineering work and some of the platforms that we are supporting really kind of run the government , right, directly , indirectly . So, that's really what falls under th at national infrastructure that is important .

Nilesh Jethani: My second question was on the US piece . So, there has been some de-growth now . Just wanted to understand what's the management bandwidth involved on the acquisition side relate d to this de-growth because clearly the most of the peers in the IT sector has reported strong growth in the US. So, what led to this from like declining ?

Hiral Chandrana: Can you repeat your first part of the question ? Your voice was a little bit feeble .

Nilesh Jethani: I wanted to understand on this US piece . So, was the management bandwidth involved in the acquisition process which led to some decline or declining in the revenues from the US side or the general macro which has impacted the growth over there ?

Hiral Chandrana: Nilesh, we realigned our structure in the Americas and actually in some other parts of the geographies as well where there is a dedicated team which is called the “Growth Office ” which includes strategy , some of the M&A as well as the servic e line development and partnerships . And this growth office and strategy office is really what's focused on the M&A. In any acquisition process , there's always going to be some level of distraction . So, that's definitely there . But the team that is working on the acquisition and the integration as well is a separate team from the Americas go-to-market team . So, that's a conscious call that we took and the conscious investment that we made because we didn't want to distract the go -to-market teams in the Americas region from the acquisition because that does take time as and it has a cycle of its own. Some of the other things that I mentioned earlier with some of the deal decision delays , impacted Q1FY23 , execution could have been better , in some cases there was a dependency on Oracle for us to close the deal , so that led to some decisions or delays as well . But in general, the pipeline and the momentum i s picking up . We're having a lot more CIO conversations now compared to three months or six months back because we've invested in that account management and client partner roles . So, I think give it a couple of months and like I said earlier in H2FY23 we expect to come back very strong on America s even organically because with inorganic we're expecting a lot more cross -selling as well , but both organic and inorganic , we have high expectations from the Americas region.

Nilesh Jethani: One last question from my side on the employee addition . Employee addition number is significantly higher when I see the revenue growth outlook . So, how to read through the employee addition number versus the reven ue growth number ?

Arun Agarwal: So, again definitely there are two combination s. One, we have to keep hi ring the right resources . Again, these are certain skills which are aligned to our pipeline as we are seeing good healthy pipeline as we speak ; in addit ion to the strong order backlog . So, our hiring is quite aligned to that. In addition to this , we have also continued hiring freshers because unless you have the freshers inbuilt into your system , your pyramid doesn't work effectively , right . So, you cannot do just -in-time hiring and the hi ring is completely planned for next nine months of revenue forecast which we are working.

Hiral Chandrana: We want to make sure that we are taking a medium -term view here as well . The skill transformation that is needed in some of the newer technologies and some of the newer demand area

s is not an overnight solution . It does take some time to get the freshers, get them trained and we're seeing a continued demand i n certain specific areas and so that in some ways addresses the additional headcount that we've added . But some of them will take time to get fully productive as well . When we look at the demand environment , we feel that there's an opportunity to provide resources just -in-time. That way we're easily able to ramp -up in shorter notices versus having a gap of one month or two months from the order win to the ramp -up.

Moderator: Next question is from the l ine of Mihir Manohar from Carn elian Asset Management. Please go ahead .

Mihir Manohar : I wanted to understand in your opening remarks you mentioned about the DSP program specifically in the UK public sector side which will give you the opportunity to participate i n the multi -million -dollar deals . If you could throw some more light into this and what are the strategies specifically to gra b this program , what is this program , in which area and how are you strategizing that ? And second question was on cash handling. Now we are having Rs.650 crores of gross cash and we are supposed to make payment for Evosys and also for MetaSoft. So, how should we read this situation ?

Hiral Cha ndrana: Let me answer the first and then I'll hand it over to Arun o n the second . So, the DSP program and the framework is really about again like I said Digital Specialists and Programs , that's what it stands for . There are multiple phases here , what they call multiple lots . And the first lot will be about essentially key transformation initiatives and people and processes that they're trying to change . This is related to the mobile operations and mobile platforms as well as the e -

commerce platforms that t he government is funding . It cuts across multiple departments as well as in multiple phases . The Digital Specialists Program has some more end -to-end nature of demand . So, as they look at research , design , all the way to testing and implementation , the Crown Commercial Service , this is information that is publicly available as well , but they are looking for certain specific capabilities which they're calling digital specialists . This could be

involved in on e of those areas or it could be involved as a full stack in multiple areas . So, these are the two components . The central government and the health teams as well as the defense teams will all kind of benefit from this and so it's a larger kind of vehicle t hat cuts across multiple divisions in the UK government . So, Mihir, hopefully that addresses the first question . Arun, if you want to answer the second question.

Arun Agarwal: On the gross cash , it's $85 million plus we have as of June end, but Mihir, again we need to be mindful as I mentioned there's some timing difference because of which DSO was impacted and we believe to come back to our quarterly run rate to keep generating heal thy cash. So, that will continue . However , this particular MST acquisit ion is funded by internal cash and plus a portion has been through borrowing . So, just to give you a quick split, $80 million is the upfront consideration . We are planning to borrow $30 million as a loan which we will be using to part fund this particular acquisition and $50 million will be the internal cash which will be used .

Mihir Manohar: Just on the first question on the DSP side if you could quantify the opportunity ? I understand it is difficult , but if that could be quantified.

Hiral Chandrana: Tough to quantify the overall value of the framework as shared by the Crown Commercial Service $4 billion across three to four years . It does include roughly about 50 supplie rs and you probably might know the various frameworks that were earlier the DOS framework which had a lot more sup

pliers , this has 50 suppliers . The two lots that I was referring to , the digital programs and digital specialists , there's only 20 suppliers that got selected in both lots and so we are in that 20 list . Now obviously it's tough to quantify which ones that we would win, but this is an overall pie and overall timeframe of the programs.

Moderator: Next question is from the line of Sachin Kasera from Svan Investment. Please go ahead .

Sachin Kasera : My first question is regarding the impact that we had in the UK performance . You mentioned it was because of a large contract in the government which could not be rendered due to leadership change . So, is it that i we need to be going for re -bidding or is it that there's a temporary pause and maybe after a quarter or two this will start getting executed ?

Hiral Chandrana: Sachin, just a small clarification . This particular account , we had already ramped up in Q4FY22 for this particular program . So, it was not l ike we could not ramp -up, we actually did a decent job in ramping up in Q4FY22 . That particular program was paused and that's what led to like I mentioned the leadership changes and the consolidation of various departments . So, as of right now it's a pause which they have said is of six to eight weeks which sort of ends in the July timeframe . Having said that the way that particular program will come back will be in a different avatar if you will , right . So, it's not going to be in the same form as how we had won . It will come back in a slightly different set of components with some of the decisions that they've made . In that same , account we're seeing two or three different areas which we have developed pipeline in. So, this is still a large account fo r us and runs the entire healthcare in the UK. So, that

particular program will come back in a smaller fashion and the efforts are on converting some of the pipeline so that we can get back like Arun mentioned earlier to the previous run rate. But I think it will take at least a quarter or two for us to get back in that particular account the run rate that we had in Q4FY22 .

Sachin Kasera: So, when you say different avatar, does it mean that there is going to be some impact on what we were looking earlier in terms of peak revenue from this contract or overall size of the contract , if you could give us more details when you say becoming a different avatar now when we start?

Hiral Chandrana: Exactly the two things you said . So, one is actually it will come , specifically , there was a particular solution direction that this program was conceived in when we had won it . And when I say different avatar , it's now going to be a little bit more standardized platform versus developing a custom solution , right . So, that's the one piece . The size of the program will be reduced a little bit and it will actually be spread into multiple phases because given the change in direction , we have to actually go through a little bit more design and blueprinting before we can actually develop the full functionality . So, both ways in terms of blueprinting and the timeframe as well as on the size as it relates to this particular program . What I was referring to also was there are a couple of other initiatives that are going on in that same account which we're

also engaged in . So, that is independent of this particular program.
Sachin Kasera: On the currency , you mentioned that we have been impac ted because of the cross -currency and the weaken ing of the pound . So, from what I can see we have roughly around £10 million hed ge. So, how are we approaching this - are we looking at seeing the current scenario increasing the hedging significantly or we'l l play as the time goes by ?
Arun Agarwal: Sachin, we always keep h edging and we continue to maintain our internal policy and guidan

ce
for that . However , as you would be aware , in our UK business , specifically , digital services business , significant portion is onshore . There the hedging is not possible because how we are structured only the services which is ren dered from India can be hedged . So, that portion of hedging continues and we ensure our pricing as wel l reflects going forward the revised currency model . So, that's how it's going to pan out in medium to long term.
Sachin Kasera: The second question was on this acquisition of MST . So, from what I can see in the media , it is mention ed that in our vision of a billion dollar this entity should cont ribute between $180 billion and $200 billion . So, two parts to that . One is that's from a little long term . How long will the integration take and can we start seeing because if you're talking of $180 billion to $200 billion from this entity , we are talking of a significant scaleup from the existing run rate of $30 billion . So, one, when is the integration expected to happen and when can we start seeing this ramp up in the MST number ?
Hiral Chandrana: Sachin, your question is about the Salesforce growth or the MST growth as part of the billion dollar. T here's some short -term things that we're doing . The integration plan we have got some

good learnings fro m the past . We took a lot of efforts to prepare well when it came to account planning , synergy planning or integration planning . So, over the next three to six months , we should start seeing that and we expect most of the integration to be complete before the end of this fiscal year . The key thing though is that we're not going to wait for that . The account planning and cross -sell synergy is starting right away , for example , I'm headed to Chennai later today , our account teams are meeting in August s econd week , we're starting to share … we're actually working already on one deal together . There are about 25 accounts that have been identified , some in UK but most of them in Americas and these accounts are a combination of existing Mastek accounts and a few MST Solutions accounts . So, a lot of planning has already gone in even before the acquisition and of course we have to execute that now with the account teams and the field teams . The reason we are bullish about the medium to longer term as well , just because of the sheer spend Salesforce ecosystem has and the talent gap that we see in the market with our customers in this specific area across the different customers 360 deg ree cloud. So, even if we have a fairly organic growth on the Salesforce ecosystem side , that revenue should increase maybe by 10% to 15 % ahead of industry growth rate . Having said that the areas that we would like to amplify that is with some of these integrated deals and offerings . So, that's really where we see this overall business becoming $150 billion to $200 billion over the next few years .
Sachin Kasera: Just one last question for Arun. When we see the geographical reporting both in North America and the other segment , there is significant correction in the EBITDA margins . So, is it mainly because of investments or are there certain one -offs and when do we see the profitability improving in these two geographies doing ?
Arun Agarwal: Particularly if you are speaking about the North America, there are a combination of both . One there is a one timer which we expected to normalize in Q2 and second , yes, there is an investment which continues , Sachin, as we have focused and we believe there is a signifi cant opportunity in the market to grow those investment also has some impact , but predominantly driven by one-timer.
Moderator: Next question is from the line of Amit Chandra from HDFC S ecurities . Please go ahead .
Amit Chandra : My question is on the UK government digital spend . See

ing the data , the government spen d on
a digital side has come down significantly over the last two quarters . So, is it only because of the political uncertainty or turmoil that is going there or is it because of the uncertainty in the various departments ? And also our growth over the last two years has been largely driven by the traction that you've seen in the UK government side . So, with this spending coming down at an aggregate level , don't you see that the organ ic growth that we earlier thought of is at risk ?
Hiral Chandrana: Maybe just to clarify a couple of things , our UK public sector , I'm talking again about secure government services , the non -healthcare account , the rest of the secure government business , that has actually continued to show some good momentum . Now if you remove the currency

impact from that , the business actually has grown . You can see that reflected both in the government and education industry slicing as well as in the digital engineerin g slice that we provide . So, both ways , the digital engineering business that we do for the UK public sector has shown growth . Again, if you remove the currency i mpact… I'm talking the constant currency, from that perspective we don't think the political e nvironment has impacted us in anyway. The decisions and the delays in some of those could still be in place because these cycles do take longer and in some cases some of these larger framework deals have longer cycles just by the nature of it . But at an or ganic level , particularly , in the UK public sector , we don't see that dramatic change at least from the current lens that we have both in terms of our existing accounts as well as the gro wth that we see in those accounts.

Amit Chandra: In the UK government account , what is the average tenure for a deal? What is the annuity component ? And if you don't see refilling of deals because the spending is coming down , because of uncertainty and delays in decision -making , don't you see that second half can get impacted more ?

Hiral Chandrana: Some of these engagements that like I was referring to earlier , Amit, we've been able to convert them into reasonably long -term predictable engagement . So, while some of the contracting used to happen three months , six m onths before , we've been able to take and convert them into one-to-two-year engagement which gives us a little bit more predictability . Also, like I was mentioning earlier , you would have seen our fixed price go up , our annuity business go up . So, we're consciously making sure that some of the places where we've developed the platform as an example or done some engineering work or implementation work , we are converting that into managed services as well . There is def initely a macro environment which is so unpredictable with inflation , with some of the uncertainty the war that continues as well as the political environment , but for the engagements and the accounts that we are running , we still see stable growth from th at sector . The impact that we saw in Q1 FY23 was really from the healthcare account in UK like I said.

Amit Chandra: My second question is on the MST acquisition . Obviously it's a good acquisition and good add-on to our portfolio . But if I see the three -year figure , it's around 11 %. I know it also includes the COVID year. But in terms of the earn outs that we have set for the company around 35 million and last year growth rate was around 20 %, so what kind of targets are we actually looking out in terms of the earn outs to actually get paid ?

Arun Agarwal: Again it's quite initia l stage as we speak , the targets have been staggered and the payout is also staggered accordingly . So, as it has been m entioned , earn out could be in the range of $0 to $35 million and it has multiple both top line and bottom line w

hich is attached to it . While we want them to achieve the maximum number , to be honest , because if they meet their numbers , it means our acquisition is successful . But again, we are still evaluating in next six months how it's going to develop .

Hiral Chandrana: Also, Amit, like you rightly pointed out , there was a COVID timeframe in between and the company consciously pivoted towards some large enterprise accounts . We kind of like the rhythm of the company because they go deep in some of these accounts and actually are expanding into different divisions , different Salesf orce Clouds . We've done about six customer reference calls prior to the acquisition and all those six customer calls indicated more opportunity just within the Salesforce ecosystem itself , plus potential other areas as well . So, the mining and the deep rel ationships that the company has was the pivot that they made in 2020 during the COVID year versus going into mid-size accounts or smaller size engagement . But from a future outlook perspective , the pipeline looks strong , the deal momentum that they have , look strong . The other thing that we've not talked about very explicitly is that they have a high focus on state and local government in the Americas . This is an interesting market which we were evaluating in the past , but it was not very easy to get into. So, MST has been able to develop relationships at the govern ment and agency level in certain states where they're actually digitizing multiple process areas . Fire and forestry , economic development , even land and water resources which is challenging in some states like California. So, the spend of this state and local government still continues to be very high . And even with a recession type of environment , we like the healthcare and state and local government focus . So, that's another thing we found attractive in addition to the Fortune 1,000 client s.

Moderator: Next question is from the line of Zubeyr from Mondrian I nvestment . Please go ahead .

Zubeyr: There's a couple of questions fo r you. First of them would be a clarification what you have mention ed in the introduction . So, did you mention quarter -on-quarter you're expecting in dustry -beating growth , is that from next quarter or you mentioned its normalization in the next three to

four quarters ?
Hiral Chandrana: The latter , next thre e to four quarters .
Zubeyr: So, post three to four quarters you're expecting industry -beating quarter -and-quarter growth ?
Hiral Chandrana: That's right.
Zubeyr: In the near term I am not pinpointing at the exact number , but just trying to understand what you're expecting in terms because obviously if you look at the past or two -year numbers , this is probably one of the weakest quarter -on-quarter for you and possibly year-on-year results. Just kind of your input in the ne xt or 12-month s timeframe if you were thinking that ?
Arun Agarwal: We will be back to quarter -on-quarter growth. As we mentioned , this quarter had certain one - timers which we had not anticipated but our backlog , our pipeline looks strong enough and we believe our quarter -on-quarter and year -on-year growth will continue to be there from coming quarters onward .

Zubeyr: Second , I think one of the participants earlier asked this question , but just want to ask this differently . If you could help me break down the revenue , if you quantify it this way , but discretionary versus non -discretionary ? I think you explain that for example mission -critical is at about 80% of the UK business , but overall do you quantify the discretionary versus non - discretionary , and also if you could help me understand what would you say is discretionary versus non-discretionary when you think about the services that you provi

de to your customer
base? Do you want to repeat the question? I think one of the part icipants earlier asked t his question about mission -critical whether it is non -critical . If I want to understand in a whole consolidated level if you were to quantify the revenue whereas this discretionary versus non- discretionary business and also according to you how would you c haracterize discretionary versus non -discretionary spend in terms of the services that you provide to your customer base ?
Arun Agarwal: So, again I think Hiral was alluding to , when line got disconnected . See, again , discretionary spend has to be seen from the eyes of the customers . As we engage and again a lot of the work which we are doing is not in the legacy space , either these are digital transformation space or in the cloud . And most of this project drive significant ROI to the customers whether basically in terms of helping them to acquire their end customers or in terms of cost reduction or in terms of process improvement which goes in a long way in terms of customer satisfaction to keep it simple , right . There are multiple ROIs which can be dri ven depending upon the projects which we do . So, most of this project has a significant ROI for the customer . But again when you get into discretionary and non -discretionary , depends on the priority o f the customer , right. If they're on the growth mindset , any projects which can help them to get their customers will not be discretionary , but they're in the tough time zone where they can't spend money , then definitely they have to balance out which one they want to go for. So, it would be difficult really to quantify , but in th e space of public sector as we answered in the previous question , most of the projects which we do for public sector are in the space of immigration , borders , customs which are very critical because as different countries are restricting their borders or making it much more pr uned to avoid different kind of issues and with Brexit coming together those clearance becomes much much more critical and important . So, that's likely –
Zubeyr: So, if very quick sort of back -of-the-envel ope calculation , so 65 % business is UK, 80% is critical , so can I say largely if I do a consolidated calculation that 55 %-45% would be a good split in terms of the essential work you're doing and the 45% where the customer has more discretion that in a tou gh time they would possibly try to cut that expense , so all like 60 %-40%, would that be a fair number ?
Arun Agarwal: No, I don't think , because as I said most of the work which we are doing is more digital transformation and cl oudification for the customers calling 40 % discretionary will not be correct .
Hiral Chandrana: Maybe just to clarify this , the reason it's tough to kind of… so if you think about it , right , a good majority of the work that we do … almost 95 % of the work that we do is in the SaaS, digital or cloud migration and cloud transformation space . When you look at how we engage with our

customers , it's also like Arun was referring to either to improve their top line , help them get more customers , move their business from brick -and-mortar to online , increase their customer loyalty , completely transform their value chain , processes across different industries and we tied to business process KPIs across , even when we do back office or mid office transformation , it is related to business process KPIs in terms of improvement or cost reduction or in some cases top line. Yes, it's a little bit tricky to classify that as discretionary or non-discretion ary, because those are all critical for them to run their business .

Moderator: Next question is from the Amit from Care PMS. Please go ahead .
Amit : Just a couple of points . One, on the MST transaction , did I hear it right th

at the margin profile
of the company is similar to Mastek which is 18 % to 20 %?
Arun Agarwal: Yes.
Amit : This earn out which is zero to $35 million is all going to be in cash only , right ?
Arun Agarwal: Yes, it is in cash .
Amit: This delayed large probability deals which we are mentioning , is it because of the pricing , is it because of the competition or is just a global recessionary fear macro issues ?
Hiral Chandrana: It's not the first o r the second , I mean , really deals that we had high probability as it relates to early Q1FY23 closure , for example , in the April timeframe , many of them either got de-prioritized in terms of decision -making or some of them just moved and shifted , right .. Now we have won a couple of them in July, but there are still deals which are ongoing . So, the decision -making cycle that we saw in some of our cloud implementation has taken slightly longer than we expected and that's really what we are referring to. It could be due to the macro environment , it could be due to particular customer prioritization , but the deals are not cancelled , right . So, that's really what's giving us confidence that we still have . In some cases , we were actually shortlisted to be the final and there were some contractual negotiations that had already started as well , which is why we are calling high probability . So, yes, some of those delays and decisions impacted in -quarter execution which we call as book and ship where you would book the deal and still close revenue in the same quarter , particularly if it's early in the quarter .
Amit: This MST transaction , the leaders of their company will be continuing or now the Mastek leadership will take over in terms of the operations in the business so to say ?
Hiral Chandrana: All of the leaders wi ll continue . In fact, there is a good strong retention program that is built into the value of the deal . There is some good talent that they have that goes beyond salesforce actually and many of them have grown through the architect ranks and program manag ement ranks and delivery ranks, their delivery leaders or their CTO s, the sales leaders and the account managers will all continue , Amit.

Moderator: The next question is from the line of Mayank from Dalal & Broacha. Please go ahead .
Mayank : My first question is regarding the annuity business or managed services . Sir, in the earlier remarks you had mentioned that you want to focus more on expanding this annuity business . So, what is the current contribution to our revenue and what do we aspire to be in the future ?
Hiral Chandrana: A good question , Mayank. Our annuity business relatively speaking to many of our competitors is very low and we've moved the needle on that in the last six to nine months . So, now we're hovering in the 30 % to 35 % range and our ambition is to move that more closer to 50 %. W hat we've done is we've gone to each engagement in each program that we've done implementation . It could be an e-commerce implementation , it could be a cloud implementation , it could be a digital engineerin g program where we've developed the platform and converted them most of them into managed services engagement . So, that's one strategy . We're calling it cloud enhancement services because we believe that in the new world of digital landscape and SaaS lands cape, the on -premise type of managed services does not hold good . So, where we see DevOps programs or continuous improvement or continuous release program , it's a very different type of managed services . So, we think that there is an opportunity to upset a nd beat some of the incumbents who are doing managed services the old way . That's another kind of track where we may not have done the implementation but we can still get the managed services . So, as an example maybe

an Accenture or Deloitte might have done the implementation but we could still get the day -2 services o f the managed services in that . Third is when we go after new engagement , we're actually baking in some of that cloud enhancement services as part of the implementation . In the past we used to just focus on the phase -I which is the implementation . So, now our deals include this element as part of the package . Of course you can't do that with every customer , but that's a conscious effort . So, sort of approaching it from multiple angles , we can move this from a 30 %, 35% type of mix to at least 50 %.
Mayank: My second question is regarding the funding for MST acquisition . You said around $30 million will be through loans . So, what do you expect the annual interest outgo to be on this loan?
Arun Agarwal: Mayank, loan taken in the US. It's approximately 190 bps plus so far . So, we expect 350 , 360 bps on an average maybe the cost of capital .
Mayank: My last question is regarding the attrition . So, we are seeing the attrition trending downwards . I just wanted to understand from you that what are we doing differently from our peers that we are able to retain our employees in a better way ?
Hiral Chandrana: Mayank, we spoke about it . I think about six to nine months back late in 2021 where we

essent ially started a series of measures to engage our employees in a very different way . As you can imagine , there's a lot of gen z's and gen y's there in the workforce and they have a very different expectation of how to be engaged . Second is in terms of careers and opportunities , the work that we're doing clearly has cutting -edge technologies , new sort of emerging areas , we're

starting to see some work in the data AI space as well , web 3.0 , web 4.0. So, as we look at newer programs , making sure that we ar e engaging our employees in some of these newer technologies , also giving them opportunities to scale in different areas or even transform their own skills . That's the second part . The third is just purely engagement with many of the employees . I mean , my direct executive leadership team is spending a lot of time with the employees and Masteke ers directly so that we understand their ambitions , their aspirations , in some cases , challenging them to take on more responsibilities . We have a program called "Aspire" which is to identif y top talent in the company and we are engaging them into strategic initiatives as an example . So, these are some examples of things . Nothing earth shattering but making sure that we are continuously engaging em ployees so that they can deliver better for us as well as grow themselves in their careers as well .

Moderator: The next question is from the line of Sunil Kothari from Unique Investment. Please go ahead .

Sunil Kothari : Sir, my question is to achieve our ob jective or vision of $1 billion in second half of this decade . This particular acquisition which you feel or you are saying in some interview that we can reach with integration maybe $ 150 to $200 million . So, no need of any adding or any new acquisition further or how to understand this ?

Hiral Chandrana: As part of our three to four years strategy , we had created a roadmap for anywhere between three to five acquisitions . And of course, a lot of that depends on the size of the acquisition , the timing , etc., This was very , very consciously done in areas where we felt we needed to bridge certain gaps. So, the two other areas that we have identified is cloud platform s, this is in the Azure and AWS space and then in the data and automation space . The CX space that we've identified , we believe in that space this is the right acquisition and we were very consciously going after salesforce as an area . So, on the three pillars , we've addressed one of them

which is the customer experience , the digital experience , the front office . The two other pillars we're still very interested . So, over the next couple of years , we would be making some more acquisitions . Data moving to the cloud , AI and automation , some of the innovation that is happening with Azure and AWS, those are still interesting areas that we feel could be acquisition candidates.

Sunil Kothari: My second question is in today's interview you said that this proposed project has some 60 to 70 online consultant s or engineers . So, are we utilizing those somewhere else currently or yet we have to wait for some time ?

Arun Agarwal: Can you repeat your question ? Sorry, I didn't get it .

Sunil Kothari: Arun, basically I think Hiral in today's ET Now interview mentioned that , we had 60 to 70 people on this , the health project which has been pos tponed. So, what is the status of those manpower , those skills , are we utilizing somewhere else now or we have to wait for some time ?

Arun Agarwal: There is a combination . Some of those skill set has already gone into different projects . A combination of those were also served through sub-contractors and as you don't have those

requirements to let go the sub -contractors is a combination . I don't see significant talent sitting on bench from that particular issues out there , but yes , as we need , we can always onboard those talent back into the company .

Sunil Kothari: My last question is this event which has given little major creation to investors mind of this healthcare project which has been p aused, do you feel it should have been announced little early whenever that happened , how do you react to this situation ?

Arun Agarwal: So, again , as we mentioned , nothing has been concluded yet , the client has got into little pause mode , they are recalibrating as they got merged between multiple departments , they are recalculating their overall strategy . Again, as days goes, by we are also in a watch mode , we are having multiple interaction with them , how can we establish the project back maybe in different avatar as Hiral mentioned in the earlier point . And also, there are multiple new projects which is coming which can offset some of this impact at the sa me time . So, it's a combination and sometimes informing on the real-time b asis become difficult because some of the d ecision - making is always a part of more discussion to make things happen in a positive way from both sides .

Sunil Kothari: True, but some s uggestions will help us to impress or be more confident ?

Arun Agarwal: Point taken. We will take care of it.

Moderator: The next question is from the line of Ashish Das from Sharekhan . Please go ahead .
Ashish Das : Arun, just a question on EBITDA margin . The Q1 FY23 EBITDA margin is below the company's aspiration level . Earlier you used to say that it would be around 20 %. N ow you will take the wage revision in Q2FY23 . What is the outlook for the EBITDA margin for FY'23?
Arun Agarwal: You are right , but as we mentioned , our endeavor is always to maintain a high teen closing to 20% was always the direction . However , the currency has impacted something which was not envisaged, Ashish. I mentioned in my comm entary because since we have si gnificant exposure to GBP and significant portion of our revenue comes from GBP, negative movement in that section led to some of the depletion in our margin profile . But still, our endeavor is to maintain in high te ens and depending upon c urrency to be closer to 20% EBITDA.
Ashish Das: The impact of the wage revision would be higher than the last year ?
Arun Agarwal: Again, as I mentioned , we are still working on . Q2 is the cycle when we do the wage release . Still, we are under discussion , Ashish. We should be able to give more information may be

in
the coming months .

Ashish Das: My next question is on your $800 million framework deal. That is also related to NHS, that's the healthcare . So, what is the status ? Still do we think that we will get any new deals under this framework in near future or it has also -?
Arun Agarwal: Ashish, that framework still continues . The two deals which Hiral mentioned about that we are quite positive if we are able to convert into Mastek ’s favor again will be able to offset the impact which we have got from the other pause, it's part of this framework . So, not only th ese two deals, we expect couple of more high value de als between $30 million to $50 million coming up in near term in the pipeline . When I say near term i t's between three to six months .
Hiral Chandrana: Out of time . So, maybe I'll just take a minute to wrap up . First of all, thank you to everybody , all the investors , analysts for your support , your very thoughtful questions and feedback . Like I said it was a challenging and a mixed quarter , but we are seeing some good lead indicators which give us confidence for the future . I want to re-emphasize in a couple of things . Fundamentals of our strategy we believe are still in the right direction . Our oracle cloud business is still strong in terms of the market opportunity that we have in front of us . The differentiation that we see in our engagement because of the specialist nature of some of the business outcome focus ed engagement is still very strong and we're truly excited about the unlocking o f values t hrough the MST acquisition . It's in a space which is high growth and combined with our engineering and cloud transformation opportunities , the salesforce ecosystem presents a great opportunity for us to grow in the Americas so, with that like to again hand it over to the line , but thanks , everyone .
Moderator: On behalf of Mastek Limited, that concludes this conference . Thank you for joining us . You may now disconnect your lines.

Call: Nov 2022

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SEC/74 /2022-23 November 1, 2022

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SCRIP CODE: 523704 SYMBOL: MASTEK

Dear Sir(s)/Ma'am(s),

Sub: Earnings Conference Call Transcript – Q2FY23.

With reference to our Letter No. SEC/68 /2022-23 dated October 11, 2022, please find enclosed herewith the call Transcript of the Earnings Conference Call held on the financial performance for the quarter and six months ended September 30 , 2022 , on Friday, October 21, 2022.

The Transcript of the conference call can also be accessed from the website of the Company at www.mastek.com

Request you to take the note of the above.
Thanking you,
Yours faithfully,
For Mastek Limited

Dinesh Kalani
Vice President - Company Secretary

Encl: A/A

"Mastek Limited Q2FY23 Earnings Conference Call"

October 21, 2022

MANAGEMENT : MR. HIRAL CHANDRANA – GLOBAL CHIEF EXECUTIVE
OFFICER , MASTEK LIMITED
MR. ARUN AGARWAL – GLOBAL CHIEF FINANCIAL
OFFICER , MASTEK LIMITED
MS. DAMINI JHUNJHUNWALA – ASSISTANT VICE
PRESIDENT , INVESTOR RELATIONS , MASTEK LIMITED

Mastek Limited
October 2 1, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Mastek Limited Q2 FY'23 Earnings Conference Call. As a reminder, all participants are in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this confe rence is being recorded. I now hand the conference over to Ms . Damini Jhunjhunwala , AVP, Investor Relations, M astek Limited . Thank you. And over to you ma'am.
Damini Jhunjhunwala : Thank you , Vikram . Good day to all of you and thank you for joining our earnings call today. Welcome to the Q2 FY'23 Earnings Call of Mastek .
The results and presentation have already been ma iled to you and you can also view it on our website www. maste k.com.
To take us through the results today and answer your question s, we have the top management of Mastek, represented by Mr. Hiral Chandrana -- Global CEO, and Mr. Arun Agarwal -- Global CFO.
Hiral will start the call with a Business Update , followed by Arun providing the Financial Update for the Quarter .
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future, or which can be construed as a forward -looking statement must be viewe d in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we mentioned in the prospectus filed with SEBI and subsequent annual reports that you can find on our website.
Having said th at, I will now hand over the call to M r. Hiral Chandrana. Over to you, Hiral.
Hiral Chandrana: Thank you, D amini. Thanks , everyone , for joining our investor call and analyst call. First of all, let me start with wishing all of you and your family happy diw ali and best wishes for the festive season.
As you would have seen our results , we reported quarter -on-quarter growth of greater than 10% on constant currency and 20.4% year -on-year growth on the revenue, again on constant currency. We reported operating E BITDA of 17.2% . Arun will get into a lot more details on the key metrics and financials.
Let me spend a few minutes on some of the highlights of the business. I will also talk about how we are progressing on the strategic priorities and some flavor for wha t you can expect in the second half of the year and going forward.

As there is a lot of geopolitical uncertainty in the UK. So , I wanted to spend a few minutes starting with the biggest business out there, which is the UK public sector. We've been in that geography for over two decades as you know and are very deep rooted in some very critical areas of national infrastructure, particularly with borders, immigration, defense and security. While we understand there is a lot of flux in terms of the macro level environment out there, but our business is very resilient. We have actually announced a few wins out there and some very large frameworks, which position us very well, particularly as the digitization continues , and we are working very closely with t he top civil servants, as well as key programs and key transformation programs, which we expect to continue as planned. The private sector in UK has also continue to show momentum, and in our overall UK business, we are confident will continue to grow goin g forward.
As you know , we announced the MS T Solutions acquisition and concluded that in the quarter, and it's off to a really very positive start. We couldn't be more happier . There is a lot of activity going on across multiple dimensions, particularly as it relates to go -to-market motion and synergy with the rest of Mastek accounts. So, both when it comes to Mastek services taking into MST

accounts and sales force going into Mastek accounts, we've seen some really positive momentum just in a few weeks.
As you would recall, our focus was on three or four areas when we made this acquisition. One was in the space of healthcare in North America, where MST has got some really unique solutions.Second is in a new vertical, which is the state and local government i n the America. We're now into four different states out there and see again a lot of areas where we can replicate the use cases.Account mining was one of the biggest areas where we would benefit . Salesforce as an ecosystem is going to be creating 9 million US jobs in the next three years. And they will be requiring about 250,000 more consultants in the ecosystem.
We have some amazing case study and are very bullish, particularly after the Dreamfor ce Conference that happened last month, where we see a lot of clients action together, and are already bidding for join t deals and winning together along with MST .
Overall , our market visibility has increased. We've been recognized by some top advisor anal ysts

in the America, particularly as it relates to ISG. We are part of the Booming 15 List now, along with some key players, as well as other clients recognize d us for a disruptor in the Oracle cloud space.

Our order book backlog year -on-year continues to grow. The demand is cautious, but we see some really strong momentum in larger integrated deals . And even though there will be some repurposing of budgets , the areas that we operate in as you know is all digital and cloud services. So, we continue to see c ustomers investing in those areas going forward as they continue to modernize and move their on -premise workloads to the cloud.

As we had presented during th e invest or day last time on some very key strategies. And a key part of that building block is our people. And we are very happy to inform you that attrition has continued to be trending down in the last three quarters. There are lot of skill transformation and people retention initiatives that continue , and like I've said before a continuous process as we build our organization to scale for the future.

We have also announced an innovation and platforms group. And again, we're happy to inform you that there is a first win on that front with non -linear assets, parti cularly in the workforce scheduling space. It's in the Middle East market. However, we believe that this can be now replicated into other markets, including US and UK.

Our Middle East market actually h elp performed well frankly better than what we had orig inally expected. And we are involved now in some large accounts and deals out in that market as well.

Lastly, if you look at our account focus strategy, we are now in 27 Fortune 1,000 clients. We are being very selective in terms of new logos and new clients, where we want to focus on deeper account mining and cross sell with our service line strategy. And you will continue to see that focus across all geographies.

A bit about wha t you can expect going forward. We believe that while our healthcare business percentage would have dropped, and we had communicated this last time in terms of a single account in the UK, we are seeing really strong momentum when it comes to pipeline, part icularly in healthcare and public sector. O ur manufacturing and retail accounts also are showing promise.And we believe that even though the data and analytics in the healthcare percentage has dropped because of that one account , the pipeline that we see i n those two areas across all geographies, particularly North America is very positive.

The key will be to execute during the quarter both in Q3 and Q4 as we have multiple large deals and integrated deals, along with our joint activity with MST Solutions.

We just came off a successful Oracle Cloud World Conference as well. Again, t

hese conferences

are happening after a gap of three years , as 2019 was the last in -person conference. And there's again a lot of discussion around the investment Oracle has made in Cerner and the potential of repurposing some of that investment into the healthcare US market.

I'd like to thank all our Mastekeers employees, all our stakeholders, including all of you on the call, o ur investors, analysts as well as our customers for the ir commitment and trust .

I will turn it over to Arun now for financials and looking forward to the discussion in our Q&A.

Thank you.

Arun Agarwal: Thanks , Hiral . A very warm welcome to everyone on the call. While d eck containing details have already been circulated ahead of the call, I will focus on key financial and business highlights on top of what Hiral has covered much more detailing about how our business are growing, and what key initiatives are being driven in Mastek .

It was an eventful quarter on multiple fronts. While we have seen quarter -on-quarter and year -on-year growth in revenue led by both organic business and also acquisition of MST for part of the q uarter, we witnessed decline in our operating margin, which is primarily because of increments, which we have done across all the geographies, and currency headwinds.

We concluded our acquisition of MST in the month of August . And as H iral alluded to, we a re experiencing synergistic momentum in Americas as this acquisition has strengthened our integrated offering across cloud , transformation, architecture, customer experience, data and business intelligence.

Key financial highlights for the quarter includes , we have reported revenue of Rs.625 crores for the quarter , up 20.4% year -on-year and 10.7% quarter -on-quarter in constant currency. During the quarter , we have seen good momentum building up in our UK public sector business and also in M iddle East , both in order book and revenue terms .

US continues to be an important market. In Q2, US contributed 24% of our group revenue,

progressing in line with our Vision 2025 , where we want 1/3 of our revenue to come from US as a market.
We added 20 new clients during the quarter and a point to highlight five clients of that 20 have their turnover more than $1 billion, which gives a significant opportunity for Mastek to do further account mining and make them a customer for life.
Our opera ting EBITDA stood at 17.2% versus 19.2% in the previous quarter, a reduction of 200 bps quarter -on-quarter. As I mentioned earlier, it's primarily due to impact of currency and salary increments. However, we continue to invest in sales and capabilities. Th ere are multiple operating levers which is helping us to offset some of this impact as we operated in this quarter, and move into future quarters.
PAT stood at Rs.86.2 crores versus Rs.84.4 crores in the previous quarter, up 2.2% quarter -on-quarter. Our bo rrowing stood at Rs. 388 crores as of 30th September, which includes funds which we borrowed for the purpose of MST acquisition . Our gross cash stood at Rs.352 crores versus Rs.665 crores in the previous quarter. We have discharged all the payments relating to MST acquisition, and also released all the final dividends in Q2.
Our headcount stood at 5 ,810 for the quarter, reflecting a net addition of 257 resources. This includes the addition of MST resources as we cons olidated MST in this current quarter.

We will provide more inputs as we get into Q&A session. I would like to thank all of you for your continued support and trust in Mastek . Wishing you all a very happy and prosperous diwali. Going back to moderator to op en the house for Q&A session.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Baidik Sarkar with Unifi Capital. Please

go ahead.
Baidik Sarkar : I was wondering if you could just take a step back and throw some light on how the various acqu isitions moving pa rt under the top line number are doing . I may start with an update on when we expect some kind of ac quisi tion in the UK public sector and the comments that you drew reference to a large or to a few large deals there. By when should we back expect acquisitions there ? Followed by a comment on your order growth rate like , if you could please quantify a broad range about that? T he commentary from Oracle itself has been so encouraging and aggressive so fa r will help us see how vendor ecosystem w ill be keeping up. And lastly, if you throw some light on the sales perspective area that you've acquired with a new M&A. How much of M ST is largely project implementation oriented and how to scale up look like?
Hiral Chandrana: I know there's two or three parts to it. Just to clarify, your first point was on the UK public sector, right?
Baidik Sarkar: That's right.
Hiral Chandrana: Okay. So, if you look at it, outside of some of the large frameworks that we have ann ounced, and these are very competitive frameworks, right, and one of them, which is the technology services, TS 3 were actually officially in the top two among the top 15 suppliers. As part of the data analytics framework, we are also expecting a significant amount of work in the medium term. Having said that, in terms of the near -term wins, and some of the key elements of the UK public sector, we are actually continuing to win on three or four fronts. One is, in terms of the future borders, and tr ade, as you know our business is managing some of the critical infrastructure , so for example, we process about 5 million visa applicants in any given year . We are actually involved in protecting some of the irregular immigration where we process about 25,000 cases every year . Some of these critical elements continue to get modernized and digitized and these systems are very critical for the future of the government as well. Even in the health sector out there which is run by the government where we saw one particular program dip and that obviously impacted our Q1 and Q2 from a health sector perspective. But we are continuing to see momentum in a few other areas, particularly in the shared services unit , and some of the data processing services and we've ann ounced a couple of wins out there as well. In the UK public sector, we also have a council, state and local government, where we're working with about 28 or 29 city council. And we used to do primarily Oracle Cloud work out there in the past until about si x months, nine months ago . Now, we are starting to cross sell the digital services and winning more larger integrated deals. In about five of those councils , we have

actually started in two or three of them architectural assessments and we believe that som e of those councils could be quite interesting going forward as well.
So, while you have seen the US business improve from a share perspective, and that's in line with our strategy, our UK public sector, particularly our secure government services, the S GS

services, will continue to grow. And we're actually seeing w ins even in the first two, three weeks of October here as we get into Q3. So, that's as far as the UK public sector is concerned .
Baidik Sarkar: So, the deal wins in October shou ld reflect by Q3 itself , is that a fair assessment?
Hiral Chandrana: Yes, the two wins that we have e had are wins where we would start to ramp up in November itself. These are w ins in our existing accounts in different divisions and that will continue to build in Q3 and Q4 as well . As the Oracle business that we have is multifold. So, I just want to split out a little bit because it will give you some flavor . The Oracle Cloud Commer ce …a nd there has been enoug

h public announcements on this. Oracle has been deprioritizing some of the cloud commerce elements, which is the CX parts of the Oracle business Right. And we've had some exposure out there, which has impacted some of our Oracle components. Having said that , the Oracle Cloud ERP supply chain , HCM and some of the elements of the mid to back office transformation is something that they continue to grow and we continue to see positive momentum. So , while the CX spot has definitely b een impacted, the rest of the Oracle business which is our core ERP HCM continues to build right as we look at larger deals. Now, it's an interesting kind of timing for us because it's a good segue to your third question. We now have an additional ammuniti on with the Salesforce commerce as well as our Salesforce CX practices. So, in our existing incumbent accounts, we are now able to guide them through the front office transformation journey, whether it is in the Salesforce , CX, CRM space, or even in some o f the new Mac alliances, which are the headless commerce areas where some customers are investing. So, we're seeing it as a challenge as well as an opportunity there on the commerce space, because now we have an additional stronger practice where customers are investing in.
Lastly, the MS T acquisition, and we've shared some more details in the deck as well. We are really excited about this entire new vertical that has opened up. Normally, it would have been very difficult for us to get into state and local government sector. But the spend out there continues to increase in digitizing multiple elements of economic and land development, water resources, licensing and permitting , and these are some very unique use cases, right , transportation, health services, where we are able to take our capabilities in Salesforce , and penetrate into the state and local government. And hopefully, we can build from there and replicate those use c ases as well, including some of the Blue Cross , Blue Shield, where we see some good use cases in the health sector, both in the provider and the payer market as well. So, hopefully, that covers the UK public sector, the Oracle , as well as Salesforce.

Baidi k Sarkar: I was wondering if you could quantify some of the expected growth rates here , at least with MST. I understand ramp up in UK will happen , but just to give us a ballpark on how the scale up in MST could be like . I think they were 30 million last June. So, what's the run rate we're looking at here?
Hiral Chandrana: We don't share the split of the acquisition numbers . Like you said, when we acquired, they were 28/ 29 million in prior 12 -months in June timeframe . We expect the growth in high single digit with MST Solutions quarter -on-quarter. And the ecosystem is fairly large as you know with the Salesforce . Salesforce, as we had shared last time , is a much broader platform with the customer 360 deg . focus. So, there is sales cloud , service cloud , marketing, cloud , integration cloud, analytics, and some very specific -industry solutions that MST brings to the table as well. There is a platform called Velocity, which is where we build our industry solutions . So, that we continue to see high single digit quarter -on-quarter growth , obviously it's on a smaller base. And we're seeing growth across geographies out there, not just in the Americas. Arun, if you want to add anything on the numbers ?
Arun Agarwal: Absolutely covered, Hiral. Baidik, to your point, while US is a primary focus how we have done the acquisition, but we are seeing a lot of good synergies coming out of UK and other markets as we are building it up. So , we are very positive both from the market opportunity perspective and from the capability which we have as a compa ny no w.
Baidik Sarkar: Arun, on margins, could you break up the constitu ent within our other ex

penditure , that's almost 200 bps at EBIT DA level and despite on depreciation is it just a n effect of MS T acquisition or was there something else because it look rather sharp? And would you reckon we have bottomed levels or should we wait for Q3 for the full impact of integration to play out?
Arun Agarwal: So, you're right , Baidik, depreciation is the reflection of the acquisition as per IndAS and IFRS as we know . They say intangible, which has to be created on every acquisition and you need to amortize it , right, which has led to increase in depreciation, which will continue but that's part of the acquisition . And margin, as you saw , other expenses is the ref lection of sub -contractors and other related cost, right, as we are ramping up a couple of accounts, including public sector, which includes, secur ity cleared resources, you need to hire sub -contractors, because there you

get those talent rather than in th e employment market. So , it's a combination of both which is leading into it. But , from the operating EBITDA perspective, which is a cons umma tion of everything plus and minus which is moving across , as I mentioned earlier, it's a combination of currency an d also the salary increments which we have given across geography. Otherwise, everything else is balancing each other out.
Baidik Sarkar: So, just one last thing f or Hiral and Arun. T his is really a comment for your board and obviously for the CEOs and CFO s office. Look, I understand , M&A will be a key component of your growth and journey of value creation for many years, right. But even keeping that in perspective,

we cannot discount the 50% correction that your own stock has taken because this is now at multiple that is probably lower than the deals that you would enter into the market to fuel your own organic growth ambition. So, in a nutshell, the point I am trying to drive at is from a financial management perspective, buying back your own stock is something that should consider, because if you are indeed headed for a billion sa y by FY25, or FY26, the risk /reward your own stock offers is possibly better than the small er back fledgling on es that you might be seeking to acquire. So , this is a comment I wanted to leave with your board. If you have a comment on this right away. I'd love to hear it as this is a formal suggestion to your board .
Arun Agarwal : Thanks, Baidik. We have noted the su ggestion. D efinitely , this is also one of the factor which is always discussed. But again, it's a capital allocation how we believe will contribute to better shareholders return, but point taken, Baidik.
Moderator: We have next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: First question is, what was the MS T contribution in the quarter in terms of the revenue because you're trying to analyze the organic versus inorganic growth ?
Arun Agarwal : Again, very quickly, as we mentioned, against the acquisi tion which is done in the month of August, where we have consolidated numbers, we don't provide the breakups, but very high level, which you can take as a number , organic business have grown, quarter -on-quarter and year-on-year; quarter -on-quarter growth is in low single digit and year -on-year growth is in double digit as a reference . However, we are not providing a breakup, and hence, will not be able to give you a specific breakup of MST and organic numbers.
Sarvesh Gupta: But for how much time has it been consolidated; can you at least tell that?
Arun Agarwal : It's part of the quarter. A s I mentioned, the consolidation has been done effective August.
Sarvesh Gupta: Two months?
Arun Agarwal : Approxim ately.
Sarvesh Gupta: On the healthcare key w in where that win has gone back , so, is it expected to come back , what is the current status , will it come back or is it j

ust gone and now we have to start again from the scratch as far as that key deal w in is concerned ?
Hiral Chandrana: Of course, there are multiple components to our healthcare business . As we do business in Middle East , in the US, as well as the major client in the UK, which we talked about last time. And that particular healthcare busines s has four or five divisions, right? There is an improvement division, there's a digital division, there's a shared services division , there's an invent division . And those departments and leadership have been consolidated. So, the way we are approaching

that account is slightly different. It continues to be a key part of our strategy . Our pipeline is actually healthy . The decisions that they're going to take have slowed down in the last one or two quarters because of th e change in leadership and repri oritization . The win that we announced in the collections, which is the data processing services, which is to look at taking some of their legacy environment into the cloud, and also building on the data access environment and some of the trusted, secure a ccess that they want for critical data , that was the win in that same account. So, getting different elements of pipeline now, the deal that was envisaged as it was constructed about nine months back, is now being implemented with a different approach. And like we had mentioned, right, it would come in phases with a much spread -out phase for that particular account. However, we continue to be very bullish on the healthcare sector as an overall industry vertical, right? We've actually won some accounts in th e US. Actually, a very interesting case study that we published recently was along with MS T where they have completely revamped a member portal and mobile experience of an integrated patient going through and this was a public case study , so I can name the custom er, Banner Health, which is one of the leading payer providers in the country . And we've actually not just won the deal, but we are executing that with some really good feedback from both Salesforce as well as from the customer. So, healthcare in No rth America is actually a big focus area as well . As it relates to the healthcare

account in UK, we do continue to see opportunities where they are now mature willing to do offshoring, which they did not. And so , we are sort of constructing some different engagement models with them as well. So, hopefully that covers it.
Sarvesh Gupta: We do expect the share of healthcare in our revenues which has seen a large dip. Do we expect that to improve back to the variant sort of a level or it is going to be the new normal now?
Hiral Chandrana : Good q uestion, Sarvesh. In fact, we had shared our vision for healthcare and life sciences business to be 30% as part of our vision in FY'26 game plan. We are still very confident mix that we are aiming for, in fact, MST Solutions business has an element of healthcare as you know and we are seeing good pipeline on that. So, I would say, this is probably like a bottom level on that mix. We will continue to see going forward hopefully we can get to almost 30% of our business from healthcare and life sciences.
Sarvesh Gupta: Arun, just alluding to the previous participant's question also, we have seen like, even if we talk about high teens here, probably at the bottom range of the high teens in terms of the margins, so assumin g currency stabilizes, pound stabilizes at this level, do you this being the bottom of the margins for this year or do we expect any further positive or negative levers on that particular margin levers where we have reached?
Arun Agarwal: Definitely, in al l our efforts, we have multiple operating levers including utilization and other specific ones where the management is working very diligently. Currently, we believe, there is a more than enough rooms an

d opportunity to improve margin profile and we expect those improvement to start reflecting from Q4 onwards.

Moderator: The next question is from the line of Jay Daniel with Entropy Advisors. Please go ahead.
Jay Daniel: On q uarter -on-quarter, has there been a reduction in headcount, net of MST because headc ount moved up by net of 257 from 5,553 to 5,810 and MST brought in 3 25?
Arun Agarwal : Yes. The reduction in the headcount is because we have invested ahead of the curve, and we are doing very tactful hiring to replace the attrition and to hire for the futu re growth wherever we are seeing the pipeline . But we are not backfilling the attrition where it is not matching with the pipeline at the moment, right. So, this is a reduction other than MST.
Jay Daniel: You had alluded to two large $30 million to $50 million deals in the previous quarter call that was on the verge of conversion to orders . Where do they stand now? And over and above this, there was a couple of more deals in the same range expected in the next three to six months . Where do they stand now?
Hiral Chandrana: So, Jay, first of all, clarify the previous point, right, we had continued to ensure that we take freshers and trainees last quarter. And so , our focus there is to ensure they get deployed and get them skilled for the d emand that we're seeing. And so we thought it'd be prudent to first integrate the MST acquisition, which also came with some interesting cloud engineering and architecture talent as well as the trainees that we had taken onboard. But we expect to see the h eadcount continue to grow going forward. As far as the deals are concerned, we had announced the digital specialists and programs framework last time. And that was the last quarter announcement that we had made, I think that's what you're referring to. Thi s is where we are now empanel led on the DevOps space as well as the development services in UK . The two new framework deals that we've recently announced, actually are in newer areas : One is in the strategy and consulting area where we will be getting involved in the transition and transformation of the estate, particularly in the UK public sector, not just in the home office or in the borders and immigration, but other areas as well. And the second area is on the data and analytics framework, w hich is again reported publicly . This is where the entire data lifecycle is getting looked at. And we are among 29, suppliers. So , it's a very large space of providers. But , we have a fairly good niche when it comes to analytics and cognitive data solution areas where we believe there is huge potential as well. So, those are the two new frameworks that we are involved in –
Jay Daniel : So, these are the $30 million to $50 million deals ?
Hiral Chandrana: We are being cautious to be frank and not including the m in our order backlog and order book , right ? We would like to be on the conservative side and make sure that as we start winning specific SOWs in specific areas, only those get counted in our order book. So , you will not see some of these larger deals and frameworks that are being counted in our order backlog . Having said that –
Jay Daniel: These were the two deals you were mentioning in the last q uarter, that's what I want ed to know.

Hiral Chandrana: So, these are two new framework deals.
Jay Daniel: So, the $30 million to $50 million deal which you mentioned last year, what is the status on that

last quarter?
Hiral Chandrana: So, I don't know whic h specific deal you're referring to, but digital specialists and programs deals – you are referring to the UK public sector or the NHS ?
Jay Daniel: No, this was given out by you in the last quarter con call .
Hiral Chandrana: Yes, so this is the collections space where we actually have got

ten selected . The data processing
service that you see out there in our announcement , so we've actually concluded that, and that will continue to ramp up for the next 12 -months –
Jay Daniel: They will be in the range of $30 million to $50 million ?
Hiral Chandrana: It's a 20 million GBP value.
Jay Daniel: And you have some more in the pipeline , that's what you had mentioned last time over and above these two, which were to be converted in the next t hree to six months.
Hiral Chandrana: That is correct. T hose are still in play and those are both in the health sector as well as in the future borders and immigration sector. One of them has been constituted as a $10 million deal , not $30 million deal that we originally envisaged , and the remaining ones in the clinical space as well as in the HMRC space are still in the pipeline . So, that we continue to see . Our pipeline has actually continued to improve from the previous quarter. So , we're being very cauti ous in terms of qualifying certain new accounts and new logos as well. But these deals as you can imagine, take time and we're still in play on those deals , Jay.
Moderator: We have next question from the line of Pratik Kothari with Unique Portfolio Managers. Please go ahead.
Pratik Kothari: A couple of clarification s. On the MS T, the margin we had mentioned earlier was 18%, 20%. This was after all the synergy benefits that will come in maybe a year down the line or was a trailing margin?
Arun Agarwal : As we mentioned, the margin is in line with what Mastek margin is at the moment. So , it's quite similar to what M astek organic business was delivering . With synergies we believe, better progress, both in terms of top line and margin , but that's a that's a further development. But , as we speak, the margin profile is quite similar.

Pratik Kothari: This profit number that you mentioned of Rs.86 crores, I believe this includes exceptional items . Am I missing something here?
Arun Agarwal : That's right, there's an exceptional item both from the income and cost perspective . We have sold one of our non -core assets, which is a property . There is a one -time gain associated with that which is included into the numbers and there is one -time acquis ition related cost as well which we have incurred , so both have been included in line.
Pratik Kothari: Earlier , when we made the Evosys acquisition , I believe for a year or more we used to separate ly call out what our organic growth , organic margins are ve rsus what Evosys did . Why not follow that process this time , because we're trying to get a sense of how our organic business is doing ? At least in dollar terms if we include MS T, the numbers don't look so encouraging. So, why not follow the practice that we used to a couple of years back ?
Arun Agarwal : So, again, there's no specific negative sentiments on that si de. Just to let you know last year when we acquired E vosys, the integ ration was not planned to be done immediately and hence, we were giving that information separately , because we were running as a separate business. This is a different smaller range of the acquisition and integrate d from day one. So , we have a joint go -to-market strategy . We have got five synergistic deals where we have been successful, though smaller in size, but there's a good ramp up opportunity out there. So, now bifurcating numbers is going to be much more difficult. While Oracle when we acquired , it was a complete , which Mastek was not doing at all and hence w e reported separately. There's no other reason then. And I mentioned earlier in one of the remarks saying what is the organic growth. So , we'll continue to give those, guidance on how organic business is moving , but it's more integrated business and offering s now.
Moderator: We have next question from the line of Mohit Jain wit

h Anand Rathi . Please go ahead.
Mohit Jain: Sir, I have j ust one question on the US side. So, while our comment ary remains positive, but numbers do not move there. Like , if we remove the contribution for inorganic , this quarter also seems flattish. So, what is happening in US and this is not a quarterly question, but more from last five quarter s perspective? And wh at challenges are there in growing in the US while our deal wi n, etc., remains healthy as far as commentary is concerned?
Hiral Chandrana: Mohit, let me start and Arun can add. T he account mining strategy out there which we have shared in the last two, three quarters, is starting to now yield results . It has taken longer than we expected , to be frank, because when we structure our teams, we're looking at client partner , program ma nagement, delivery management, and different rhythm when it comes to some of

these enterprise accounts and larger customers. Having said that, one of the metrics that we will start sharing going forward is our Top-25 accounts in the US . To give you some fl avor, that top 25 accounts contribute to roughly about 70% of our business in the Americas. And this is now even consolidated with MS T which brings in a couple of accounts as well. And we are tracking

that metric very, very closely , because otherwise, we w ill always be in this business of opening new logos which is an important part. We want to focus more energies on directly going to the customer . Historically, as you know, for the Oracle Cloud side of the business, we were dependent on Oracle to provide u s the pipeline. So, the change that we are making there, which has again taken a little bit longer, but we are seeing good leading indicators in the pipeline , is now going directly to the customer. And that's not an easy change, particularly , when it comes to the entire service portfolio that we have, right, which is digital engineering , data, cloud implementations as well as digital experience. So, those two elements are critical parts of the change : One is account mining of the top 25 accounts and second is the direct go -to-market of some of the large enterprise accounts. And lastly, you're seeing a joint integrated synergy now already with another ammunition that we have in Salesforce. So , if you look at what we have talked about in the past, we truly abl e to make an integrated lead to cash deal happen, right, which is the front office being Salesforce, the back office being Oracle Cloud, ERP, or ECM, and the digital engineering work and the data work that we do in the middle. So, now we're able to constru ct those larger deals . We feel confident that we can take it to more Fortune 1000 customers, which again is a focus area, and you're seeing that increase, I think our Fortune 1000 list has increased by two and a half times from the year before. So, those two , three elements of our strategy has taken longer to yield results , but we are very confident that the US market which is now 24%, will continue to move in that direction where eventually we will be at about 1/3 of our overall business.

Mohit Jain: By when do you think you can fix this piece and what should we expect in th e next two, three quarters , like how much time would there be before we see meaningful growth?

Hiral Chandrana: You will see this in the second half of the year as well , Mohit, i n terms of the US growth quarter -on-quarter as well as year -on-year.

Moderator : We have next question from the line of Sachin Kasera with SVAN Investments. Please go ahead.

Sachin Kasera: Two, three questions. One was on the leverage on the balance sheet. So , we have one more round of I think Evosys stake increase due in the H2. . So, will that increase the net debt on the balance sheet by end of the financial year?

Arun Agarwal : We will be using our cash and bank balance to acquire

the balance 10% for this year, but there is no debt which is planned for this round.

Sachin Kasera: Because from what I could see in the presentation , net cash has more or less become zero as on September 4 th with the current acquisition, isn't it?

Arun Agarwal : At the moment, yes , Sachin, b ut we have good healthy ca sh generation which we expect continue to happen , because the quality of revenue is good, collection timelines are improving, though

there is a lot more work to be done in H2. We believe with those organic cash coming in will be good enough to take care in terms of this 10% acquisition of Evosy s.

Sachin Kasera: The other on e is on this Vision 2025 -26 that we have put out in the presentation , top three in terms of the growth rate. So, one, does that include organic, inorganic, both when you say you're in the top three in the industry? And secondly, when do you think we will start reporting those type of numbers ?

Hiral Chandrana: Sachin, w e want to make sure that we're comparing ourselves with the top -10 in that mid -market space. And while there's been some consolidation out there, we want t o see that as a medium to longer term journey. That is a n important metric that we have already started tracking internally. We don't report that necessarily externally, but we can look at that going forward in the next fiscal onwards. But just to give you some flavor, we actually have incorporated that metric even as part of the leadership team variable pay percentage. So , it's a very critical metric there , because it's a true part of our vision where we want to be in that top three in terms of growth year -on-year. Our customer focus as well as an employee focus are equally important as far as far as acquisition, because we believe if we got those two things right , then the growth will automatically happen.

Sachin Kasera: And the last qu estion is on this billion-dollar vision . So, if I do the math, unless we are looking at some significant debt on the balance sheet or from significant dilution , organically that looks like a very, very t all ask. So, if you could give us some insights that to rea ch billion dollars, will

we need to do some significant dilution of our equity , because organically for the acquisition too, cash flow looks quite challenging b asis the current status where we are ?
Hiral Chand rana: Sachin, that is a fair comment . As we have communicated, even in our annual report, we're looking at that vision and goal in the second half of the decade. While we understand that there will be some level of macro uncertainty that will continue in t he environment, but we have the ingredients and the recipe in terms of capabilities as well as now increasing market visibility to aim for that. So , we want to still, aspire and be ambitious towards that vision . We've communicated that will happen sometime in the second half of the decade. Having said that, right, it will be a combination of organic and inorganic, and it's not going to be purely an organic play. There are certain areas we are continuing to build, particularly in the data space, we have comm unicated that's one of those areas where both organic and inorganic is going to be a critical component as what we saw in infrastructure and what we saw in applications in the last 20 -years is going to happen with the entire data continuum right from disco very to observability and everything in between where the data is moving to the cloud . We won a very interesting engagement, where we replaced th e tier-one provider on the AWS data cloud stack recently and we're getting into Snowflake in a couple of accounts in the US as well. So, those type of newer areas, which we did not have in the portfolio will be important, both from a buil d and partnerships perspective in addition of course to our inorganic plan.

Sachin Kasera: No, I un derstand . My question is a little different . I was saying for the inorganic part of this billion dollar, will the cash Generation be sufficient , because when we do the numbers , looks like either we'll have to take some debt on the balance sheet or we have to do some again dilution of equity , otherwise, to be able to generate resources for inorganic billion dollar little challenging even by whatever that we're indicating , that was my observation.
Arun Agarwal : Sachin, you are right. So, there'll be a combina tion of both , one is healthy cash generation , which is part of the plan of the organization . We expect raising capital as well at the right time. So, initial any acquisition can be done with the help of a combination of internal cash and the borrowing. As we get into little, larger size, combination of acquisitions, we will lose for capital raise at the opportune time. Maybe the current pricing is not the right t ime, but we'll look for , at the right thing we'll do the needful.
Moderator: We have next question from the line of Ravi Naredi with Naredi Investments. Please go ahead.
Ravi Naredi: Sir, my question is , Q2 employee cost rises by 10% versus Q1. W hile no revenue rises in UK , Middle East, USA only from 107 crores to 151 crores, t hen why the employee cost of Rs.31 crores rise so much in this Q2?
Arun Agarwal : Maybe it's not comparable apple -to-apple, because we have done the MS T acquisition and all the equivalent lines in employee expens es and others have gone up because of MS T inclusion as well. So , both revenue and cost has been changed accordingly .
Ravi Naredi: Sir, what is the target of the US top line in next three year s in your mind ?
Hiral Chandrana: Ravi, we had communicated and we'll continue to drive towards that journey where we would like o ur US business to be roughly 1/3 if not more part of our overall business share. So , right now, in the latest quarter, we are at 24% or a little over that and we believe there is more headroom to get to closer to 35% .
Moderator: We have next question from the line of Chintan Patel with Satco Capital Markets Limited. Please go ahead.
Chintan Patel: Sir, our margin has continuously declined. So, is it deteriorated due to the consolidation ? If it is yes, then what would be the sustainable margin post consolidation for FY23 and going ahead?
Hiral Chandrana: Our margin , as I mentioned earlier, the reduction that you're seeing currently is a combination of two things. One is increasing cost of salaries, includ ing the increments which we have done during the quarter , and also because the currency h eadwinds, how G BP, INR is moving along , it's also impacting our overall margin. However, we believe hi gh teens has been our aspiration and our endeavor is to continue to build on that. And as I mentioned, Q4 onwards, you will start

seeing the positive movements on the back of operating levers, and definitely subject to currency because currency is something which we don't control.
Moderato r: We have a next question from the line of Chirag Kachhadiya with Ashika Institutional Equities. Please go ahead.
Chirag Kachhadiya: Sir, I have a few questions. Whatever the situation is th ere in Europe and particularly UK, h ow we have protected ourselve s from this because every day some news come from Europe geography a nd new countries, and particularly in last two days, the incident of UK geopolitical

situation is very uncertain over there and ministers resigning and all , so, is there any alternat ive strategy we put in place to protect ourselves even in worst case scenario if anything happens?
Hiral Chandrana: Chirag, let me maybe recap a couple of things out there in UK , because it will continue to be a very critical market for us. Clearly, we're observing some

of the geopolitical scenario and some
of that has been around for the last few months as well as you know. W e work very, very closely with multiple levels of civil and senior services. And, while there might be some ministerial changes, the people that we've worked with and are working with , will continue to be doing critical roles in these transformation programs, right, whether it's national security, whether it is borders, some of the tra de related aspects , and immigration as well. Some of the type of work that we're doing, biometric , data matching , exchange, in terms of validating some of the systems, right, is fairly cutting edge, and those will continue. Now, having said that, right, we want to make sure that we continue to have a risk mitigation plan. But the areas that we are in are very deep rooted . We actually believe that it is going to get very tough for new competition to come in some of these areas that we are present in. And whi le there will be some element of potential realignment or reprioritization on some of these initiatives, the areas that we are working in, will continue to grow. So , we could potentially see that as an advantage when we convert some of our long-standing relationships in pr esence to build on some of these systems that we have continued to support . Having said that, Europe, which is the non -UK part, right, we have a small presence in Europe as well , there's definitely a delayed decision. So , we have actually put more focus on the UK and the US market. And like I said, Middle East market has shown good promise as well. One of the interesting things that we've observed in the last three to six months, and you'll hopefully see some announcements on deal related t o this , is the accounts that we had opened in Europe, and some of these large manufacturing accounts ; these are 10 billion , 15 billion accounts, if not more , they have large presence in America s as well. So , we are taking a very global account strategy. In fact, we have three deals in the Americas with customers who are actually headquartered out of Europe, but they're driving large North America rollouts, right, whether it's in the Oracle space or in the dig ital engineering space. So , we are adopting different strategies out there even for some of these accounts that we have out there. But , we are very confident about our public sector business in UK . We understand there is geopolitical stability issue s, but in our areas, we are very confident will continue to grow.

Moderator: We have a next question from the line of Parag Bharande, an investor . Please go ahead .
Parag Bharande : I want to understand why there is a reduction in the client addition.
Hiral Chandrana: So, let me take that and Arun, if you want to add , please jump in. Parag, this is something that we've been very consciously been communicating as well as is part of our strategy. If you look at our size of business, the number of clients that w e have is way too many , to be frank, right. Now, that's an advantage in some ways , but there is also a long tail of plans, right, where some of those customers may never grow beyond a particular point, right, where we have done an implementation or a proje ct, and then it ends on. So, we're taking very consciously calls on deeper account mining, where we are repurposing some of our top talent globally in the region, as well as in our global centers to focus on those top 40 , 45 clients. W e've identified globa lly these top 40 , 45 clients, which will drive a good part of our growth strategy. So , you will see us being much more selective when it comes to new client addition. And this is taking a medium term view as well, because we believe the wallet share increa se in our existing clients is going to pay off much more dividend as well as higher quality revenue. And this holds good for e

ven
regions like Middle East, where we now have identified 10 accounts where we will grow there . In UK where we've identified 10 a ccounts . In Europe , we've identified a few accounts as well as in US about 20 , 25 accounts. So, I think that account mining rhythm is going to be critical. Having said that, we will continue to go after larger more integrated deals, where we see potential downstream potential in the customer . If we see that it's going to be just a project of 300k , 500k , and all that we do in the client, the y are being more careful and judicious about taking on new clients , whereas if we see that we're going to be a strategi c partner, where now with our Salesforce capabilities, Oracle Cloud , data and engineering capabilities on the digital side, we can be a much more strategic long -term partner, then we would go after it. So, it's a design philosophy, where we believe a number of accounts is not going to be a metric , but revenue from our top 25 or top 50 accounts, revenue from accounts, which are greater than 1 billion in revenue, you would have seen that now, we are increasing our number of accounts when it comes to comp anies which are greater than 1 billion. So, that's a good me ssage that we will continue to report going forward.
Moderator: We have the last question from the line of Jay Daniel with Entropy Advisors. Please go ahead.

Jay Daniel: This is regarding the $1 b illion target. Now , you're saying it will be in the second half of this decade while investors are assuming it'll be in '25, '26. And the second part of that thing is , how personally in terested are you in achieving this $1 billion target ? As investors, we' d like to know, whether you're on our side of the table as far as your resource , etc., are concerned which are linked to achieving this $1 billion target ?
Hiral Chandrana: It's a good segue for us to actually maybe make some closing comments as well, because it's a good question. Our executive leadership team and our management is very committed towards

1 billion vision, right? We have communicated that it is going to be in the e arly part of the second half of the decade, which is hopefully in the first two years of the second part of the decade . And we believe that there is going to be a lot of activity that we collectively need to do, right, because there are certain market fact ors we may not be able to control , but there are many factors that we can control as an organization. There are elements of newer areas that are going to come in. We've talked about some of them, whether it is data and automation, whether it is the Cerner acquisition that Oracle made and how we make a bet on healthcare in North America. So , some of those strategies that we have shared in the past. We're tweaking those strategies based on the market , but fundamentally we believe that those strategic big bets that we had outlined are the right back that will take us going forward including our inorganic st rategy. I'm personally very committed to your point and looking forward to this journey , because it is not going to be easy thing. W hat we're trying to do is what Mastek has done in 40 -years from a timeframe perspective is to do that in the next four years. And if you look at it, the market opportunity of customers, one of the big things that customers have learned during COVID is not stopping investing in digital engineering and cloud transformation areas, right, because some of the customers that didn't do that , missed out on the opportunity . Now our entire business mix is in that area. And if we continue to build , partner and buy the right assets and build t he right capabilities, and of course execute that with a lot of rigor, we think that's the journey that is possible. So, with that, I think, the full commitment on my side exist . We obviously don't talk about sp

ecific elements
of ESOPs, etc., but as far as the journey is concerned, the entire leadership team has done a fantastic job. It's not an easy environment in the grand things of things . We are obviously coming off of two years of challenging times for people personally and our Maske teers have shown tremendous resilience in the spirit of what they stand for. We recently celebrated our 40th anniversary. We have welcome d the MST Solutions team as a part of our family. Culture for us is very important part of our fabric where we are alwa ys going to be true to our value , and the market potential definitely exist, with the room that we have in Americas, in healthcare, in some of the newer emerging technologies, as customers continue to go in the digital and cloud journey. So, with that, hop efully that covers, Jay, the question you have.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference back over to Mr. Hiral Chandrana for closing comments. Over to you, sir.
Hiral Chandrana: Thank you, again. As always, we enjoy these questions because we learn a lot as well in terms of how our supporters, investors, analysts are thinking. I do want to once again wish all of you a very happy diwali and festive season with your families. The environment and the demand outlook is still strong in spite of some of the macro level uncertainty. And we will continue to make progress in our strategic priorities and continue to update all of you on specific areas of progress. But I want to re -emphasize the support and t he commitment that all of us in making this vision possible. And again, thank you to all of you on the call as well as our investors and analysts who continue to support us through this journey as well.

Moderator: Ladies and gentlemen, on behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

"Mastek Limited
Q3 FY '23 Earnings Conference Call"
January 17, 202 3

MANAGEMENT : MR. HIRAL CHANDRANA – GLOBAL CHIEF EXECUTIVE
OFFICER – MASTEK LIMITED
MR. ARUN AGARWAL – GLOBAL CHIEF FINANCIAL
OFFICER – MASTEK LIMITED
MODERATOR : MS. ASHA GUPTA - E&Y LLP, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q3 FY '23 Earnings Conference Call. As a rem inder, all participants lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, ma'am.
Asha Gupta: Thank you, Rutuja . Good evening to all of you. Welcome to the Q3 FY '23 earnings call of Mastek. The results and presentation have already been mailed to you and you can also view them on the website at www.mastek.com.
To take us through the results today and answer your questions, we have the top management o f Mastek, represented by Hiral Chandrana, Global CEO, and Arun Agarwal, Global CFO. Hiral will start the call with the business update, which will be then followed by Arun providing the financial update for the quarter.
As usual, I would like to remind yo u that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements, must be viewed in conjunction with risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the call to Hiral Chandrana. Over to you, Hiral.
Hiral Chandrana: Thank you, Asha . Good evening everybody and wishing everyone a very happy new year. Hopefully , you all got time with your families during some of the holiday period in December and we are looking forward to the discussion.
We'll keep our commentary to a minimum but looking forward to the interaction and questions on the second half of the call. The feedback that we have received from some of the investors and analysts and our well -wishers and supporter is to provide a very transparent view of the business as wel l as specifics around some of our organic and inorganic business. So we're going to be providing some of those details in the call today.
Let me start off with a summary of the financials and give you some view of the business health, particularly as it relates to some of our major markets. We'll talk about some of the client deal wins and the momentum that we see and a little bit about the strategic investment th at we made in December as well as some flavor of the outlook that we see going forward.
At an overall group level, at the integrated business globally, we grew 20% year -on-year on a constant currency basis and 3.1% on a quarter -on-quarter basis at constant currency. Our operating EBITDA was 17.3%, just a marginal improvement from Q2 to Q3. We also had a strong order book backlog, almost 30%, 29.7% year -on-year growth backed up with some good deal momentum towards the end of Q3. I am personally, as well as collectively; we are disappointed with our organic growth. We had some good momentum towards the end of the quarter, but we are disappointed with the core business globally and the momentum that we

expected. Having said that, our strong order book and som e of the movements that we are seeing on the deals give us a lot of confidence going into Q4.
Our inorganic acquisition that we made of MST Solutions has performed above our expectations and is delivering some very strong results. And we'll talk about some of those financials when Arun goes through specific numbers.

I'd like to share some flavor of the markets that we operate in, in particular with some of the verticals and key customers. Our U

K market, as most of you know, has three main components:
Secur e government services, which continues to do really well. And we feel that our infrastructure that we support with respect to Home Office, HMRC and some of the key institutions has been very resilient even though macroeconomic environment was uncertain. As we look at private sector, which was a relatively small portion of our business, it has shown good deal momentum in Q3, particularly in the order book side and we feel that some of the strategies that we had put in place earlier in the year is starting to pay off.
The health accounts that we have discussed in the last two calls, have continued to be a challenge, because of the government in the UK with the particular healthcare account. Having said that, we feel that as even commented last time that it has bottomed up and we feel that there's a little bit more stability going forward.
Europe, which is a small portion of our business, which is Europe outside of UK, has shown some softness in terms of deals, although we do have some interesting large glob al enterprise accounts, particularly in the manufacturing space where we are shaping some interesting conversations globally.
The US market, which is critical for us at an overall level, obviously aided by the acquisition and MST and the Salesforce business, has helped us move from 18% of our overall business mix about a year back to close to now 27.5%, of our overall business mi x. This is a direction that we want to continue to take. While we continue to grow in the UK and other markets, we still feel very buoyant about how we can take the US growth at a faster pace compared to the overall average. Having said that, our organic business in US has still not completely kicked in. And even though our account mining strategies are starting to pay -off, we see this as greater than one million accounts in the US as well as our market share within our top 25 accounts , has grown, but we would like to see much faster growth in our organic business as well.
MST Solutions, we’re expecting them to do roughly about $9.5 million in this current quarter, in Q3, but they have actually crossed double digits and greater than $10 million in Q 3. So that's a very positive momentum beyond expectations, and we see a fairly strong outlook going forward into ‘2023 calendar year.
Middle East has been interesting for us. While we have lower margins in that geography, because of the nature of the custo mers, but it has been very steady for us last two or three quarters, and we continue to see some large spend, particularly in Saudi and UAE, which will continue to help us grow in specific verticals, including healthcare, financial services and public sect or.
From a vertical perspective, other than the health account in UK, which is a government institution, we're now starting to see the healthcare strategy pay -off in US and with Oracle's acquisition of Cerner and with our Salesforce business also strong in the healthcare sector, we believe that will continue to be a bet for the coming quarters in the US market, in particular.
Let me highlight a couple of deal -wins just to give the flavor of the business and then also talk about some of the recognition that we have received from our clients as well as from the industry.
The Home Office account, which is a strategic UK account, the future borders and immigration work that we do out there has been extended with certain biometric matching capability, which is very strategic on how borders, immigration and trade is managed by the UK government. One of the Blue Cross Blue Shields in the US, which is an existing customer of MST, this is one of the feedback that we have received from you to share about some of the sy nergies that we have between Mastek and MST, which is now our Salesforce business. We've been able to grow those accounts. This particular example is the Blue Cross Blue

Shield healthcare customer, where

we've been able to take Mastek services into that ac count and penetrate beyond the Salesforce business. Similarly we've taken Salesforce services and penetrated some of the accounts in the

Mastek portfolio that existed. So synergies both ways are starting to pick up.
Our cloud commerce business, which was a key part of our US business in the past, if you rewind about a year back, has been under pressure because Oracle dismantled that entire portfolio of CX and CRM and commerce, which hit our US business, but we've been able to recover from that, managed to convert many of the accounts into Managed Services. And now we are starting to provide cross -platform services when it comes to digital experience and commerce, partly because of the sense we have in Salesforce, but also with other commerce platforms like Adobe, Magento and some of the new generation alliances like MACH Alliance in the e -commerce world.
Another interesting example is account in Middle East called Pure Health, which is a healthcare technology platform company where we're completely lookin g at their cloud ERP financials and cloud HCM with Oracle and transforming the entire digitization of that platform in terms of how they serve their customers.
There are some interesting examples that we have included in our press release as well as in our investor presentation. But one key customer that I'm very excited about is a customer called Banner Health. Again, this is one of those customers which we acquired as part of our acquisition. Combined along with Salesforce and the customer, we are going to b e doing a webinar together. But the key part here is we've created a solution which includes shop and enroll for the broker portal and the patient experience, which we believe can be replicated across multiple other clients.
ISG recognized this as a stando ut case study, which gives us industry recognition on the work that we're doing in addition to the validation that we received from the customer as well as from Salesforce.
We made a very strategic investment in Q3. Volteo Edge, the platform which actually is an IoT platform, but works in the context of data and connected devices, is a pretty interesting way to look at how data can be extracted in the edge to service world, particularly with discrete companies like manufacturing, healthcare, medical devices , retail. And we believe that this solution, combined with some of the services that Mastek has, can be an interesting overall proposition for our ServiceNow ecosystem. As you know, we are very strong in the Oracle Cloud space. With the Salesforce acquisit ion, we are very strong now in the Salesforce, customer 360 degree space. And this Volteo Edge investment gives us an entry into the ServiceNow ecosystem, which is also a very large growing ecosystem, particularly when it comes to customer service and fiel d service.
As we look at the next few quarters, and there is continuous cautiousness with some customers and with certain markets, the cost optimization and the ability to create more efficiencies and effectiveness in the organization is becoming a key par t of some of the conversations. While client budgets have not necessarily reduced at all , they are definitely repurposing and reprioritizing their initiatives so that they balance out between discretionary and cost. One of the other trends that we are seeing is that the customers are breaking down larger deals, while some large deals are still happening, but they're breaking down larger deals into smaller chunks. And that potentially is an interesting proposition for us because we can get some market sh are with our existing accounts.
There's a few examples of those discussions we've started having in the last few months where customers have come to us to look at their portfolio. And we are also revamping ou

r entire
proposition to make it much more holist ic so that while we look at front office to back office

transformation, from a portfolio perspective, we're also looking at managed services, cloud enhancement services so that it can give us some continued stickiness as we mine customers, which is the acc ount mining strategy that we have commented on in the last two quarters, three quarters, where we've looked at our top 40 accounts globally, and we want to penetrate those even further. While we will continue to open new logos, we do want to get a lot more market share in our existing accounts.
With that, I look forward to the Q&A and discussion, but I'm going to hand it over to Arun to give some details on the financials.
Arun Agarwal: Thank you, Hiral. A very warm welcome to everyone here. Wishing you all a very happy new year. The d eck was circulated ahead of the call and which contains much more elaborate information about the financial performance. I will focus on key prefix on our financial and business highlights for the quarter, followed by Q&A sessi on.
Getting into operating revenue. Operating revenue for the quarter stood at INR 659 crores, reflecting quarter -on-quarter growth of 3.1% in constant currency, which reflects 5.3% growth quarter -on-quarter and 19.3% growth year -on-year in INR terms. The quarter -on-quarter growth

includes full quarter consolidation of MST. We have consolidated MST for three months in this quarter versus two months in the previous quarter, which has led to growth which we have seen in the second quarter. However, in terms of organic revenue, it's flat, quarter -on-quarter in INR terms, which is impacted due to the furlough and the holiday season, which Hiral alluded to, in UK, US and some of the other geographies as clients and their employees went into holiday place. Public sector in UK, excluding health customer, continues to do well and private sector is building momentum.

Order book closes during the quarter is encouraging and providing confidence that there's a positive momentum, which is building, and it is getti ng reflected in our 12 -month order backlog, which has grown quarter -on-quarter and year -on-year, both. We added 31 new customers during the quarter. And again, as we mentioned, our focus is on large customers, which we can mine more -and-more, despite may be the acquisition of the customer who went out of services, but we mine them for multiple tower of services. So six customers out of 31 have their revenue more than $1 billion. It means their IT wallet share is quite significant and gives a lot of opportunity of mining to us.

MST continues to do well, as Hiral alluded to o, we are seeing a lot of synergistic benefits. The planning of integration is going well and progressing to give multiple opportunities of selling Mastek services into MST and MST services into Mastek.

Our operating EBITDA stood at 17.3%, it's a 10 bps improvement quarter -on-quarter. Easing of supply side challenges as we are focusing on the operating levers, including utilization, we believe the operating EBITDA will continue to i mprove. PAT stood at INR 67.1 crores during the quarter, which is down 19.6% year -on-year. It is primarily led by a one -time gain, which we had in the previous quarter by sale of non -core assets. However, most critical, with the MST acquisition, now we hav e PPA amortization, which is a part of , when ever we acquire any asset, there's an intangible calculation, which has to be done as per accounting requirements and which is amortized over the period of the life of that asset, which could be bet ween one year to six years. So that cost is included into depreciation and amortization, which has led to reductions in PAT percentage as well.

PAT without minority stood at INR 64.2 crores versus INR 73.6 crores in Q3 last year, down 12.8% year -on

-year. Our gross cash stood at INR 325 crores versus INR 352 crores in the previous quarter. We have paid roughly INR 40 crores for the purpose of CCPS buyout, which is one part of the overall CCPS, which we are going to comp lete the acquisition in this current

quarter. Total expected payout was INR 120 crores in cash and then balance was in equity shares. So INR 40 crores, as I mentioned, has been paid in quarter 3 and balance INR 80 crores will be paid in the current quarter .

Our DSO has increased to 98 days. We are working consistently to improve the profiling of our DSO. However, due to holiday season, we saw some of the impact coming because of the collection, which was supposed to happen in the last 15 days, has not happe ned. But the focus continues to improve it on a consistent basis. Our borrowing stood at INR 397 crores as of December 31, 2022, which includes the money which was borrowed for the purpose of MST acquisition as well.

Our headcount stood at 5,687 for the q uarter. It reflects a net reduction of 123 headcount. Consequently , we have seen utilization improving by 150 bps on a net basis on quarter -on-quarter despite very high leaves during the quarter due to holiday and furlough. We have seen good improvement co ming on the supply side, specifically because of the attrition pulling down. We have seen 400 -plus bps improvement on LTM basis in the attrition profile as well. On a quarter basis, the improvement is much larger, but as we had higher attrition in the init ial H1, we believe the attrition profile will continue to cool down and will have a better reflection in our supply side challenges.

Thank you, everyone, for your continued support and trust. With this, let me open the call for Q&A, and we can get into muc h specific questions that you have.

Moderator: The first question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain: Sir, if you could share the commentary on verticals adjusted for Metasoft, because some of it would be overlapping across. So this minus 2% -odd that we've delivered in this quarter, which verticals you're most positive on and which verticals sort of dragge d during the quarter? And second was, given Meta Soft has done $10 million, US seems to be down like 10% year -on-year. Is that number correct? And how should we expect this number to behave, let's say, from a 2, 3 quarter perspective?

Hiral Chandrana: Thanks, Mohit. This is Hiral. Let me start, and then Arun, please jump in. So the vertical split that we normally give is overall, but let me try to comment on two or three specific verticals that

we are most proud of and confident about where a couple of them are struggling, right? Government and education, while historically there has been a UK specific presence for us, with the recent movement, there has been a couple of deals on the Oracle side, which we have won both in Middle East as well as in US. The city in the State of Florida, which is one of the deals that we announced is an example of that. MST also, incidentally, as we've shared earlier, has a state and local government presence in the US. So collectively now when we look at that industry cluster, it becomes a global vertical, which clearly we are focused on. And this, of course, includes UK, but also Middle East and US markets.
The healthcare sector, which has been hit organically with the NHS account, has impacted our overall growth momentum in that particular industry cluster. But as you can see, we're starting to sort of rebound back in organic terms as well as combined with the acquisition in both cases. So that particular vertical will continue to be a strong focus for us going into next year as well.
Retail and consumer has been a mixed ba g and particularly with the December quarter, that tends to have even further slowdown because of the furloughs as well as some of the cu

stomers are
struggling. So me of them are doing really well. So it's a little bit of a mixed bag out there. But if you ask, Mohit, the top two verticals that we'll continue to stay bullish on, that will be public sector as well as the health care sector. Some specific components of manufacturing and

technology, we're seeing interesting momentum. And there's a couple of deal wins, one is semiconductor manufacturing, one an auto parts distributor, not large deals, but small to midsized deals, where we're starting to see some pickup org anically as well as inorganic. So that's the vertical commentary. Arun, if you want to add the US specific growth numbers as we look at year -on-year as well.
Arun Agarwal: So Mohit, as you rightly observed, there's a reduction in the US overall numbers in the organic side because, as you recollect, in H1, there was a delay in the order booking, which led to some of the reduction. But with now MST coming into the fold, there is a significant cross -sell opportunity because digital business, despite of this Or acle discontinuing their CX business, we are able to transfer that particular profile to more Adobe Magento, Salesforce, Commerce and others, that gives one of the opportunities. But at the same time, as we said earlier, there were some of the order book delay in H1, which we saw in the Oracle si de, specifically in the US which has led to some of the impact in the organic revenue profile of the US. But with Salesforce, now we feel very confident that as a combination, that creates multiple opportunities t o do cross - selling and a lot of integrated selling option s as well.
Hiral Chandrana: And the last part of the question very quickly is, looking forward. So since we've been able to convert some of those accounts into managed services, and we have a slightl y broader portfolio with the Salesforce, a little bit of ServiceNow, which is now more recent and our digital and data services, along with Oracle, is starting to complete our service line portfolio strategy when we go to these customers in the US. And as we look forward, clearly, we are behind. And like I said, I'm personally, but we are collectively very disappointed in the organic performance. But as we look forward, there's confidence going in because of the deal momentum that picked up in Q3, and we're seeing that in the order book backlog as well.
Mohit Jain: Just one thing on the government business, like when we look at the vertical revenues, the sequential growth, that is primarily on account of UK or that is primarily on account of acquisition?
Hiral Chandrana: It has got both. Although it is UK, which is the heavier part, the state and local government business of MST is very small, although we see some interesting momentum in specific states, about six states that we've identified, which have star ted to have conversations with us. But relatively speaking, the secure government services in UK has continued to do very well, Mohit.
Mohit Jain: And the bulk of MST is in manufacturing. Is that correct?
Hiral Chandrana: No. It's actually a combination o f those three verticals. It's a combination of health care, manufacturing tech and a little bit of state and local government. There is one interesting large Fortune 100 financial services customer, which is part of the portfolio. And we want to still spend some more time on that customer. And hopefully , we can announce some interesting wins out there later in the year, in the calendar 2023. But that's one interesting customer that is part of the portfolio as well. But mostly it is those three verticals, go vernment, health care and manufacturing.
Moderator: The next question is from the line of Debashish Mazumdar from B&K Securities.
Debashish Mazumdar: So before starting my question, I have a request that if you can make the constant currency sequent

ial Y -o-Y organic growth as part of your main debt, it will really help us to get some sense that in what direction the company is moving. Because my sense i s that over a period of next two, three years with a $1 billion target that we have, we'll do a at least a couple of more acquisitions. So that will help us to track better the organic health of the company. So that is one request that I have. If we can follow that, that would be really helpful.

So apart from this, I have two questions. One, if you see the health care and life science business, we have touched around $17.6 million, $17.7 million of peak, which is Q3, Q4 last year. And we have touched a bottom of $11.6 million , which was Q2 this year. Now we have kind of recovered to $13 million. So just trying to get some sense that whether this $11.6 million to $13 million is completely by MST ? Or there is some other component into it, whether the NHS bucket is completely behind us. So some color around that, please.
Hiral Chandrana: Sure. That's a good observation, Debashish. And we've noted the request that you made. But to your questi on, and then again, we've been super transparent on this with NHS at a budget level and where we are in terms of performance on that one single account, we are $24 million short based on the plan that we have, right? So when we had planned in February of 2022, during the budgeting process, the number that we expected in dollar terms, while some of it was currency, but a big part of it was a huge shortfall. And this is significant change that happened in NHS England, NHS Improvement, NHS Digital, some o f the leadership changes, some of the programs were paused. So in that one single account, we saw $23 million to $24 million of shortfall based on the expectations that we had. Now we have been able to recover some of that in other cases, but that's a very big number for us, right? So you've seen some of that impact in H1FY23 . Having said that, the healthcare uptick that you're seeing in Q3 is not just because of MST , MST is part of it , we also have a very strong Oracle healthcare value proposition. In fact , the US acquisition that we had made, their entry into US was through the healthcare business. And we have some interesting solutions that we have re -architected as part of our platform strategy. So we're starting to see good uptick in the hospitals in the provider space in US as well as some of that in Middle East as well. King Faisal Hospital, American Hospital in Middle East, Cleveland Clinic Abu Dhabi, Pure Health. These are referenceable customers, which is why I can name them. And these are also h ealth care Oracle customers. So it's a combination of both MST as well as our Oracle footprint. NHS is a tough one. It's a tough nut to crack, because there's so much uncertainty that the organization is going through. Having said that, we believe that most of those reorganization changes and instability is behind us. And as we look into FY '24, we would start to see uptick even in that account. So that's our hope and time will tell, but I think the worst is behind us.
Debashish Mazumdar : Thank you very much for answering that , and the second question that I have is, if I see the Oracle Cloud and enterprise app segment that we report, which my sense is that large part is coming from Evosys only. So just to get some sense that over the last two quarters, w e are seeing a good amount of slowdown there. Obviously some amount of currency conversion has definitely impacted that. But apart from that, also there is a good amount of slowdown. We don't see that number when we see the parent Oracle 's reported number, their cloud business is growing at least 25% in organic terms. So, any particular reason that we are kind of slowing down here? It is largely to do with any specific team, any specific area, any specific se

gment?
So, some color on that, please?
Hiral Chan drana: The deal momentum did right shift on some of the deals on the conversion side. And that's clearly impacting the revenue in Q3. But some of those deals, which we were expecting to close in Q1 and Q2 are -- a couple of them we have closed. I think we have said there are certain, four or five deals, which are greater than 5 million and two or three of them are still in the pipeline for Q4. So, all is not lost in that, but it's definitely been delayed in terms of converting those pipeline into wins. We h ad one or two customers, specifically, that did pause projects as well, right? So that clearly impacted. One of them in the transportation and logistics industry, which we had mentioned last time. As well as in Europe, which is not a big part of our busine ss, I'm talking about Europe outside of UK, we did see our order book and revenue momentum on the Oracle side, that geography is completely Oracle as of right now for us, right? Eventually we want to obviously cross -sell digital services. But Europe outsid e of UK had a slowdown in some of those deals and accounts as well. So those are the three main factors that are feeding into this. The US deal momentum that we have in Oracle and some of the upticks that we've seen in Middle East

in Oracle should hopeful ly bring that back in the right trajectory going forward in Q4 and beyond. But we definitely had seen a slowdown last one or two quarters on the Oracle side.
Debashish Mazumdar: The question is if you see the other income for us, it has increased around INR 40 crores Y -o-Y, if I do the Y -o-Y comparison quarterly numbers and it has become almost 30% of my revenue now. So, any specific onetime recognition that we have in this quarter in other expenses? And some more color on mar gin, please, because we were expecting some improvement in margin as salary hikes are behind us. And some part of large currency headwinds are behind us. So what is the kind of direction that you can think that margin will go from here?
Arun Agarwal : Very quickly, Debashish, when you see the other expenses year -on-year, maybe it's not apple -to-apple comparison because MST acquisition full impact is there in the current quarter, which was not there completely in the previous quarter of the la st year. So, it's not apple -to-apple. But yes, so while there are multiple cost lines, which gets into it, one of the important line subcontract expenses, which is one of the focus areas, but some of the UK government projects, which are more security cleared in nature, you can't avoid those subcontractors spend as such. So that continues there. However, in terms of onetime, we had on PDD expense provision for doubtful debts for one of the collections, which we anticipated did not happen. On a conservative practice which we follow in the company, we provided for it and has been reflected in the other expenses. Other than that, it's business as usual.
Getting into margin profile, 17.3% is the range as we speak, Debashish, and if the currency headwinds and we expect it to continue more than INR 100 rupees and USD 1.22 GBP . If that is the range that's going to be there, then definitely some of the losses which we had in the margin dilution will come back, definitely. On top of it, we are wor king with the margin improvement plan, some of the operating levers like utilization and other levers. We believe all of those levers are playing out as we anticipated. However, at the same time, we have to keep making investment into the growth as we clea rly laid down as part of our strategy. So we believe high teens is a good range we want to operate. So 17% to 19%, you can anticipate at which, we'll be operating subject to currency.
Debashish Mazumdar: So, this you are talking about FY '24 numbers, right , 17% to 19%?
Arun Agarwal : I think 17%, a

lready, we are here, right? So we are talking about the improvements from here in the short to medium term.
Debashish Mazumdar: And this write -off that you have or provision that you are talking abo ut, if you can quantify that? And is that the reason that your receivable days have jumped up so significantly sequentially on Y-o-Y?
Arun Agarwal : So there is a delay in collection which has happened, Debashish, as I mentioned in my initia l commentary, some of the collection which we anticipated to happen, because of the holiday season, we couldn't convert them into the cash. That was one. And second, at the same time, there is an unbilled cycle. So as we are getting into more and more of t he larger contracts, the cycle is also changing. But we are working very closely with our billing team, with our collection team to ensure we are able to convert those unbilled into billable and billable to cash as fast as we can. So you will see improveme nt down the line as well into that particular area.
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar: Yes, sure. Thanks for that. I mean, largely I wanted to understand on the NHS side, you know, given the fact that NHS is facing employee shortage issues and even wage issues. So funds are going to be diverted towards that, then how would the technology spends and technology

budgets would pan out at NHS for this particular calendar year and maybe for next year as well? And my second question was on the organic business of the Oracle side. I mean with now Oracle discontinuing their CRX and CRM part of the business. I mean do we see still pressure continuing from current levels? because, I mean, the business has already come down from $28 million to $23 million. So how do we see that part of the business?
Hiral Chandrana: Yes. So Mihir, the first part, just to expand on that a little bit, like you rightly pointed out, NHS unfortunately is going through some challenges as an organization, right? And in addition to what you said on the shortages of workers, there is long wait times, there is even simple surgeries that are taking very long. So, there is a lot of leadership uncertainty as well as consumer sentiment that is getting impacted. So yes, there's obviously discussions of how they prioritize and how they repurpose their budget . Having said that, right, one of the things which we did focused on is to look at areas across NHS. So, the NHS has NHS England, NHS improvement, NHSBSA, which is their shared services and see how we can de -risk some of the dependency that we had on NHS D igital, because it was going through a leadership and consolidation. And unfortunately, even though we won three specific deals, which we had mentioned in the previous

quarters, those deals, we've not been able to ramp up because the customer has not still released those budgets, right? Even though the order book and, not the order book, but the deal was won. So, we didn't recognize the order book and it's not flowing into the revenue. But those are areas that we are still present in.

As you look forward, I think it's a little bit of a tough one. Although as you might know, there's discussions happening at the very highest level in UK government on how they look at spend and technology focus in NHS because some help is needed to automate, to l ook at certain digitization as well as cancer waiting times, which we are present in, Pathways, which is another program that we have won. So we are hopeful that some of the focus that we have continued to put in, in spite of challenging times out there, w ill pay us off in the medium to longer run. We're also looking at the downstream portion of NHS or health, which is social and private care and some of the downstream elements of the health sector in UK, where the impact can

still happen
with some of the s ervices that we deliver. Historically we've not been present in some of those areas, but that's another way to de-risk. So there's a few different strategies that we are adopting, but it's a little bit of a mix in terms of outlook of spend from NHS as such.

So Oracle, like you rightly said, on the CX and the Oracle cloud commerce, the CR and CX, the Oracle Cloud Commerce business was deprioritized by Oracle. And so obviously that impacted directly, particularly our US business and the US organic busine ss. But we have been able to, with Salesforce, with Magento, with a couple of other investments, establish an overall proposition in the commerce space that eliminates our dependency that we had in Oracle Cloud commerce. Oracle at a broader level, which is where majority of the business exists, which is cloud ERP, cloud HCM, cloud supply chain and EPM, do continue to have potential. We have had some challenges on the deals like I mentioned earlier, which has impacted our Q2 and Q3 revenue growth. But those areas, the cloud value realization of our clients is still a big, high priority. And we do believe that as Oracle continues to grow, we are well positioned as a platinum partner to grow with them.

Moderator: The next question is from the line of Ravi Meno n from Macquarie.

Ravi Menon: First off, I'll ask you about the plan, but you have about taking the industry solutions to market. I already see that you want to be with in healthcare, to set up an offshore delivery center for what seems to be a health plan ? Could you talk a little bit about that and also help understand why despite this offshore ODC that's going to come up in India, we've seen offshore headcount decline?

Hiral Chandrana: So Ravi, your voice was not fully clear, but I think we got the gist of it. One was the customer win that we announced and the second was on the offshore headcount, right? Those were the two questions, correct?

Ravi Menon: Correct, yes. Thanks.

Hiral Chandrana: So this is actually an existing MST cus tomer. In fact , we have a CEO relationship with this particular Blue Cross Blue Shield, which is health insurance payer, provides Medicare and Medicaid services as well. And as we start looking at a strategic rela tionship with them, they wanted us to help them in defining an overall shared services strategy. And that's where this whole offshore development center came into play. And we started looking at specific services. It's not a very large deal. It's a sort of a medium -sized deal to start with. But we start looking at how we can provide them more digital and cloud services beyond the Salesforce business that we did with them. So that is a specific example of that customer.

As far as the headcount is concerned, earlier in the middle of 2022, we had done significant fresher hiring as well as trainees by design to some extent where we wanted to make sure that we infuse fresh talent and make them more deployable. Some of those take time. So over the last three month s, we have been able to get some of them deployed. And we wanted to ensure that our utilization is improved. So we were filling a lot of the open positions that we had and open demand that we had through our internal headcount and internal fulfillment. So that was, again, a by -design strategy where we wanted to get to a certain level of optimization in our internal fulfillment as well as a repurposing of talent internally before doing new hiring. I think we're at a point where we feel comfortable now on the internal fulfillment that we have done and the new demand, can now start looking at lateral hiring as well. So that's where you see some reduction in offshore headcount because there's some natural attrition, even though like Arun mentioned, our attrition has been trending down actually last three, four quarters. But as

we look forward, we would expect the headcount to continue to increase given the demand and the order book that we have.

Ravi Menon: And what would you think about utilization? Should we se e this go back to 73%, 74% levels or even higher than that? You operated even at 77%, but I would assume that this is a much stronger demand environment and you would probably want to operate below that. So how should we think about margins and utilization ?
Hiral Chandrana: Yes. Let me comment on utilization. Arun feel free to add here and cover the margins as well. I think 75% is our minimum benchmark actually, Ravi. We're not happy with the number that we have right now. So I think we feel comfortable getting to that. I think that's a range that we can operate within the 75% to 78% range while looking at, of course, the supply side challenges slightly cooling off like Arun said. But 75% is the minimum expectation, would rather be in between 75% to 80%. If you could add.
Arun Agarwal: Absolutely. And that's one of the operating levers we believe. And see, the reflection of utilization is predominantly because of the supply side challenges which we had earlier. As it's kind of cooling off or you can say softening, there's no reason not to expect between 75% to 80%. But we'll take some time to reach there, because the strategy is to ensure we have the adequate headcount in bench to support the growth at the same time.
Ravi Me non: And just going back to the BCBS deal, should we think about this as sort of the template where we start seeing more annuity -oriented contracts and that's how we start seeing customer accounts grow?
Hiral Chandrana: Absolutely, Ravi. I think that is the key part of our strategy. In fact , we believe that there is a fairly high degree of spend that these Blues are having, the various Blue Cross Blue Shield in

different states in the US. So we're not there yet. I think i f we can establish some level of credibility with one or two of these states, it could very well become a template for other states as well.
Ravi Menon: And one last question on the US, are you doing any sales hiring and all of that to take this whole -- now you have increased size, you have nearly $100 million in revenue number, then do you think that you have critical mass to start ramping up? Should we invest in sales now?
Hiral Chandrana: Yes. In fact , we're planning to even make some leadership changes in the US. There is clearly account mining, which has been a focus for us. And if you look back one year or 18 months back, we didn't have too many client partners or account managers. So that's one area of focus that we provided.
Now as you rightly said, hopefully, in Q4, we get closer to $24 million, $25 million quarter run rate in the US combined business, and that's a good stepping stone for us to do a little bit more hiring. So we're going to be very careful about the type of people that we bring in b ecause we want sales who can actually do large deals, but also some account management and account mining as well. But yes, we will ensure that there's adequate coverage there in the market because it is quite spread out in terms of certain regions and cer tain accounts. And there's a set of people that we need as architects and solution leaders as well, which is another area that we plan to invest in.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investment.
Ravi Naredi: Sir, qua rter 3 profit after tax margin drastically reduced from 15% to 10%. Any chance to improve same in next few quarters?
Arun Agarwal : Yes, Ravi. So as we said, there was a onetime reason of income, which was booked last quarter. And because of the acquisition, there is a notional PPA intangible calculation, which has to happen and which gets into amortization line and impact your PAT. However, with the EBITDA imp

rovement, which we are planning and with the help of both operating levers and curr ency, as we operate in high teens, the same will get reflected into PAT as well.
Ravi Naredi: No, it is okay. But how much the amount which you are telling this is you have charged from profit and loss account?
Arun Agarwal : So again, for example, if I give you a simple data. The PPA amortization, which has impacted is roughly INR 7 crores, which is 100 bps reduction, which has just happened because of this, you can say, non -cash item of accounting. With this EBITDA improvement of 100 to 20 0 bps, as we said, 17% to 19% is where we want to operate. With that improvement, you can assume 100 to 200 bps improvement in PAT, which we came close to.
Ravi Naredi: 100 to 200 points.
Arun Agarwal : 100 to 200 po int in the short to medium term, depending upon how the operating levers played out, including the currency and the same will get reflected into PAT as well.
Ravi Naredi: A small question. You are earning 23.5% margin in quarter three financial year '21. Now it is 17.3%. So any chance to, again, regain that 23% in any one year, two year, three year period or not possible at all?
Arun Agarwal : So again, the whole philosophy is since we are looking for high growth, we need to reinvest

back into the business. As we said, US is one of the area of growth, Europe is another area of growth. And as you get into multiple capability and multiple solutions, right, you need to build

those capabilities in. So it's a fine balance betwe en revenue growth and the margin. And we believe anything more than 19% or that's the range we are looking for. Anything more than that will be reinvested back into the business.
Moderator: The next question is from the line of Pratap Maliwal from Mount I ntra Finance Private Limited.
Pratap Maliwal: I had a question around the employee count as well. I think last quarter, ex -MST, I think we had a decline in the headcount as well. Last quarter we had said that we are not backfilling the attrition, which is not matching with the pipeline. So I just wanted to ask in terms of our four practice lines, where are we not maybe backfilling that attrition? And then a related question here is that how is the pipeline changing for you? You said that cost optimization i s becoming a focus area for the client. So which one of our active clients are seeing a buildup due to this? And which can be the growth trigger going high?
Hiral Chandrana: Yes. So Pratap, I'll start this is Hiral, and have Arun can add as well. The Oracle Cloud area and business is one place where we wanted to deploy the fresher s, make them billable as well as leverage internal fulfillment. So that's one area that we had focused on in looking at internal resources to backfill some of the at trition. The digital experience area, which, of course, includes some bit of Salesforce or a large part of Salesforce, but also other areas is another place where we continue to look at investing into skill transformation because this is where the entire customer front office journey gets mapped in from marketing to sales to service with the various cloud. So, this is a place where we are building capacity, and we are retraining some of the Oracle Cloud Commerce experts that we had into different technologi es, which include Salesforce, Adobe as well as some of the new generation alliances. So other than that, the data area, we had seen a little bit of an impact because of these two accounts, and NHS had a big presence out there that got impacted. But as we l ook at pipeline for the future, we're seeing a lot more data opportunities across the globe, particularly in the US. So that would be another area that we would continue to invest skills in. Arun, if you want to add.
Arun Agarwal: No, you covered that.
Pratap Maliwal: And just one more clarification

I had that you said in Europe, excluding UK, it's mainly the
factor that we provided Oracle, that's it?
Hiral Chandrana: I mean in UK, we have a very strong digital engineering business, right?
Pratap Maliwal: No, in Europe?
Hiral Chandrana: Yes. You're right. Pratap. So I would say 90% to 95% of our business in Europe outside of UK is Oracle .
Moderator: The next question is from the line of Ashis Dash from Mirae Asset Capita l Markets.
Ashis Dash: Thank you for giving me opportunity. So last year, you were mentioning that your strategies in Middle East region was basically cross -selling down your total accounts in the Middle East region. Now in your presentation, yo u are saying that you want to expand in the Middle East. So I just wanted to understand your strategies in the Middle East region.
Hiral Chandrana: So Ashis, it's a great call out and question. So let me expand on that a little bit because it's a key part of how we had to adapt and adjust during the course of the year, right? During this whole war situation with Russia, there is a lot of funds and budgets that used to go to Russia that has started going into Dubai and in Saudi. And we've seen some interesti ng uptick on the size of the deals as well as the interest from our customers because in Middle East we do have a particularly on the Oracle side, a reasonable market share, almost 25% of the licenses that are sold in Middle

East is serviced by us. Having said that, we also had a very long tail of accounts and almost to the tune of 150 to 180 accounts. So that's just way too many accounts that we had in the Middle East. So by design, our strategy was to lower the number of accounts, and we were okay to get impacted by some amount of revenue because these were not high -quality accounts and low - margin accounts. So that we continue to do. We continue to reduce. You'll see that we're not increasing our net account by design because they're focused more on deeper account mining. So there's a little bit of a combined strategy there in the Middle East, right? Europe, which is outside of UK, Europe business slowed down in the last couple of quarters, and we started to see a little bit more uptick in Middle East. So w e made the right adjustments there, but we still want to reduce the number of accounts that we service in Middle East and go deeper into the top

10, 15 accounts while looking at expanding our Oracle accounts into digital service accounts. For example, Serv iceNow, Snowflake as well as Microsoft are three specific areas that we're seeing in the Middle East. So we'll stay focused on that in addition to Oracle .

Ashis Dash: Okay got it . So my next question is, like, I can see some issues in every regions you operate, like UK, you are having issues in your top accounts. So US you want to hire sales people. So can you just guide us which region are you expecting to outperform in FY '24?

Hiral Chandrana: UK and US, we will outperform in FY '24, those two regions. Those are our biggest markets and the biggest spend, the biggest customer s, we're starting to see some traction in Fortune 500 customers and account mining, like I mentioned before. So UK as well as the US is where we are focused on.

Moderator: Thank you the next question is from the line of Hussain Kagzi from Ambit Asset Management.

Hussain Kagzi : So I had one question with regards to our government business, and I know you did talk about what all are include d there. So I'm still confused that we grew 3.2% in INR terms and around 0.5% in USD terms. And I believe that earlier you had indicated that in UK we are not seeing much challenge in other government businesses apart from NHS. And this government portion will also include MST, right? So shouldn't it have grown like much better than the company average? So what else is dragging it down? If you can throw some light

on that?

Arun Agarwal : So Hussain very quickly, there are two things. While th ey say UK public sector, which is a very, very important part of our business and to reconfirm, that's growing. We are not seeing any kind of challenge in the public sector other than the health care customer , which we spoke about. There are two impacts predominantly in this quarter, what we are seeing in UK is because of furlough and holiday season, specifically all the government accounts completely shut down for a week to 10 days, and you can't do anything out there. But in the private sector, still there's a combination which we do. On top of it, the combination of MST is very small into the overall numbers under public sector. It's predominantly driven by the UK for public sector.

Hussain Kagzi Understood got it sir and la stly, my question would be in continuation to what the earlier participant asked? And call it, like maybe unfortunately, that most of our segments have seen some challenge or the other, which of course, NHS was not in our hands. Now if you see going ahead in FY '24, so like you alluded that health care is getting back regardless of how that NHS thing pans out, but healthcare should get back. But what is the outlook? And by when would you expect even the organic part in the US to kind of show results? Be cause in earlier calls also, you had said that you were taking some initiatives on turning it around and that we're seeing some delays. But according to you, your internal assessment, what would be the timeline that you would like to give yourself? And the n what could be the expectation of the organic business going into FY '24? That's my last question.

Hiral Chandrana: Sure, Hussain. So when we were asked this question again last quarter, right? We had said that three to six months is the timeframe where w e see this bouncing back in terms of organic

business. In terms of NHS, leaving that aside for a second, from a US perspective, we believe that the steps that we have taken longer than anticipated. So we underestimated the time it would take to implement some of the account mining strategies and some of the growth strategies. But the capability areas that we're investing in, the customers that we're starting to gain, combined now with, of course, the acquisition, is definitely coming together . And I think as we look into FY '24 Q1 or even in this current quarter, Q4, we do see organic growth momentum going forward.

Hussain Kagzi: All right thank you wish the best that ’s it from my side .

Hiral Chandrana: All right. So it looks like that was th e last question, and I, again, appreciate everyone's interaction, excellent questions and perspectives as well. While we do have some challenges in a couple of pockets, as was rightly articulated, we have a decent deal momentum. And going into Q4, a lot mo re confident with the order book 12 months backlog. Some of the investments that we've made, both organically as well as inorganically, will definitely allow us to differentiate us with our customers as well. We do, as an organization, a lot of other thing s on the ESG side, the environment, social, governance side, and we've started getting recognition in those areas as well. Having said that, like I said, our organic business could have definitely performed better and was below our expectation. But as we l ook at this quarter and going forward, there is a lot more confidence, both organically as well as with our combined business. Again great performance by our MST Solutions' acquisition and good momentum going into the next few quarters as well. And again, thank s everyone for your support, your interactions and also your commitment towards Mastek. We appreciate all the questions, and have a great evening. Thank you.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank yo

u for joining
us and you may now disconnect your lines.

Call: Apr 2023

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SEC/1 4/2023-24 April 26, 2023

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SCRIP CODE: 523704 SYMBOL: MASTEK

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on April 1 9, 2023 for financial performance of FY 2022 -23.

With reference to our Letter No. SEC/0 1/2023-24 dated April 7, 202 3, please find enclosed herewith the call Transcript of the Earnings Conference C all held on the financial performance for the quarter and year ended March 31, 202 3, on Wedne sday, April 19, 2023.

The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Request you to take the note of the above.

Thanking you,

Yours faithfully,
For Mastek Limited

Dinesh Kalani
Vice President – Group Company Secretary
Encl: A/A

"Mastek Limited

Q4 FY '23 Earnings Conference Call"
April 19, 2023

MANAGEMENT : MR. HIRAL CHANDRANA – GLOBAL CHIEF EXECUTIVE
OFFICER– MASTEK LIMITED
M R. ARUN AGARWAL – GLOBAL CHIEF FINANCIAL
OFFICER – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA - E&Y LLP

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y, LLP. Thank you, and over to you, ma'am.
Asha Gupta: Thank you, Faizan. Good evening to all of you. Welcome to the Q4 and Full Year FY '23

earnings call of Mastek Limited. Results and presentation has already been mailed to you and you can also view them on the website at www.mastek.com .

To take us through the results today and answer your question, we have the top management of Mastek Limited represented by Hiral Chandrana, Global CEO; and Arun Agarwal, Global CFO. Hiral will start the call with the business update, which will be then followed by Arun, providing the financial update for the quarter.

As usual, I would like to remind you that anything that is said on this call that affect any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction, with the risks and uncertainties that we take. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed, with the SEBI and subsequent annual report that you can find it on our website.

Having said that, I will now hand over the call to Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana: All right. Good evening, everyone. So I'll cover three things. Quick financial highlights for Q4 and FY '23. Some business updates on the quarter as well as the full year. And then some quick updates on the FY '24 strategic priorities and outlook. Will then hand it over to Arun for more detailed financial updates. So for the quarter 4 that ended, we grew at 7.7% quarter-on-quarter from Q3 to Q4, on an INR basis and 5.3% quarter-on-quarter, on a constant currency basis. Our operating EBITDA for the quarter was 17.7%. For the full year FY '23, we grew at 18.5%, on a revenue basis constant currency. Our order book backlog, which is the 12-month order book backlog that we closely track, grew 17.2% year-on-year. And our full year operating EBITDA was in the same range of about 17.8%.

In terms of quarter 4, we are pleased with some good deal momentum, as well as progress on the multiple strategic priorities that we've been outlining for the last year or so. I'll share with you some of the highlights and then move into the FY '24 outlook. For FY '23 as a whole, for the full year, we had some challenging couple of quarters that we've discussed in the past with respect to NHS, and with respect to a couple of areas within the Oracle space. We are pleased to inform that there has been good progress that has been made on multiple aspects of the business and some of that is reflecting in the Q4 results as well.

In addition to the business growth quarter-on-quarter, we are very happy to have received great places to work certification as well as our attrition is 21%, on a 12 months basis, last 12 months, which is a drop of 700 bps from a year ago. We also received some recognition externally from the market from various industry analysts, including a recent recognition from ISG, as a

Booming 15 player in the global system integration space. We also struck a partnership with an AI company called Netail, which provides AI-based competitive intelligence solutions in the retail and consumer industry.

In terms of our business in UK, we had solid in-quarter execution. A key win is in one of our premier accounts in UK, where we manage borders, trade

, biometrics, immigration, asylum

services. We had developed multiple solutions and engineered multiple systems for them in the past. We've extended that through a biometric program, which helps automate multiple processes for students and immigrants to legally move in.

One of our wins that we’ve reported last quarter is a large manufacturing company in the US, where we have been awarded complete transformation of their business processes from finance, HR, supply chain, powered by Oracle Cloud. We're excited about this particular win, in addition to the overall value of win being more than $5 million, because one of our nonlinear solutions called Warehouse 360 was also deployed as part of the program.

In the Salesforce business, we've had good momentum in Health Care and Public sector. One of the interesting wins though has been in the financial services sector, is a payment cards company, where they're automating multiple parts of their merchant force, powered by Salesforce and also taking responsibility for cloud operations and application development of new solutions.

Another win that we had was in the managed services space in one of the health care clients in the US, where our approach to managed services has been cloud enhancement services, where we take over the run and maintain part of the business.

We've had some interesting wins in the Middle East as well as in Australia. Some of the success that we've had in the Oracle space in our UK council, state and local government councils, have now been deployed and replicated in Australia, where we see good potential to leverage those learning and have new wins. There are multiple other wins and delivery successes and go-lives, that we've had in the quarter.

To put things in perspective in FY23, we had account mining as one of the key priorities and while we underestimated the time it would take to make that successful, it is starting to show results in pockets of certain accounts, reflected in our growth of greater than one million accounts and greater than three million accounts. We have also made a couple of key leadership updates, which we've announced earlier in the quarter in Q4. Prameela joined us as COO of Mastek and Vijay Iyer joined us as America's President. Both of them have spent a few weeks now in the system and have settled down well. We will invite them for future calls, so that they can give their update as well.

As it relates to margins, we continue to put focus on operating efficiencies and utilization. You would have seen progress in those metrics, which is now reflected in our growth in revenue with minimum head count gross addition increases, because we've been able to deploy and make some of the fresher's and associates billable, in the last one or two quarters. This is part of our strategy, where we want to continue to improve gross margins, so that we can re-invest back into the business.

As it relates to FY '24, moving into the next fiscal year, we are already into day 19, of the new fiscal year. We feel that the changes and the fundamental improvements that, we have made to look at multiple aspects of the business, right from recruiting to account mining, to marketing, to capability development are starting to yield results and ensure progress. While the macro environment still remains uncertain, there's still caution among customers, in terms of deals and decision. We've continued to see our order backlog grow and we continue to see our pipeline at a healthy level.

Our Salesforce business, which is the acquisition that we made last year, has delivered almost 118% of the acquisition plan. In Q4, it is typically a seasonally weak quarter for MST, but the outlook for the business and the momentum and pipeline that we have in our Salesforce business remains strong.

UK business has shown tremendous resilience in in-quarter execution. We believe the fo

undational pieces that we have put in US, will also reflect in strong quarter-on-quarter growth and full year growth in FY '24. One of the businesses, which has really, to some extent, positively surprised us is the Middle-East business. Even though we reduced the number of accounts, we actually saw the revenue growth uptick in that geography, with good order book momentum as well as good outlook going forward. In addition to our Oracle business in Middle-East and Australia, we're starting to see good momentum in digital services, particularly in specific areas like ServiceNow, Microsoft and Snowflake.

All in all, we'll see that, while there have been challenges in FY '23, we are closing on a very strong note in Q4, with a good foundation to build on and demonstrate industry-leading growth and above industry averages into FY '24.

With that, I'll pass it on to Arun and we'll be happy to answer questions after that.

Arun Agarwal: Thanks Hiral. A very warm welcome to everyone on the call. While deck containing much more detailed information about our financial performance and key metrics, has already been circulated, I will reflect upon key highlights and we can thereafter get into Q&A, to have specific questions answered.

As a key highlight, our operating revenue stood at INR 709 crores, for the quarter, reflecting 7.7% quarter-on-quarter and 22% year-on-year growth in INR terms. In constant currency terms, we have a quarter-on-quarter growth of 5.3%. Growth is led by strong execution, as Hiral alluded to, by UK, followed by Middle-East across secure government, our Oracle business. We have seen good order booking across geographies. As a result, our 12-month order backlog is now $280 million, which is up by 5.2% quarter-on-quarter and 22% year-on-year and in constant currency terms is 17.2% year-on-year.

We added 28 clients during the quarter. It is across verticals and across geographies. Our acquisition of MST continues to do better than acquisition plan, synergy potential continues to excite us while we are closing cross-sell and co-sell opportunities, multiple integrated deals, and the momentum in building up.

Our operating EBITDA stood at 17.7% for the quarter, an increase of 40 bps quarter-on-quarter. It is led by improved operating levers and currency, while we continue to invest in building capabilities, in line with our three-year strategy. Our PAT stood at INR 72.6 crores, up 8.2% quarter-on-quarter. Our gross cash was INR 270 crores versus INR 325 crores, in December 2022. During the quarter, we completed acquisition of second tranche of CCPS, paid installment of loan as it was due and also disbursed interim dividend.

Our borrowings stood at INR 371 crores as of 31st March, reduced from INR 397 crores as of December 2022. Head count stood at 5,622 at the end of quarter, reflecting a net reduction of 65 head count. Consequently, our utilization improved by 450 bps quarter-on-quarter.
With this, I would like to thank you all and open the house for Q&A and we can get into much more detail. Thank you, everyone.
Moderator: First question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.
Baidik Sarkar: Gentlemen, good evening and congrats on a good consolidated quarter. A couple of questions. The numbers from Oracle indicate continued softness, right? So what's exactly going on here? Because our base isn't large enough to warrant softness, even if there is some kind of a slowdown at an OE level. Do you think this is temporary or should Oracle pull back, some kind of commentary there will help?
And back to the UK, is there a reason to believe that the acceleration, we've seen in Q4 will continue for the rest of the year? Because you're coming out of a very soft period, so a very healthy acceleration there. Or would you caution us saying that, no, this is a positive blip and the execution in the

UK is something that we really need to see on a day-to-day basis?
And I'll just close this with one question on Hiral before I come back on the financial basis. On US Hiral, the lack of growth that you've seen here now consequently, what is this really a function of? Is it a function of a lack of referenceability? Because frankly, the cost takeout ecosystem that, we're hearing anecdotally is still very strong. Our base isn't really large enough to kind of warrant softness, even if the environment as such as soft. What is it? Or does it really warrant a better investment than a go-to-market level? So yes, I'll leave you with these proxy questions, then I'll come back for later.
Hiral Chandrana: All right. Thanks, Baidik. The Oracle business actually grew for us, while you might see some small dip in terms of percentages. From a quarter-on-quarter perspective, that business grew. So while we had seen some level of softness in the previous quarter, the momentum both on deal wins as well as on revenue growth has been positive. The discretionary spend and budget and implementation will be under increased scrutiny in terms of investment. But we've also won new implementations and managed services deals in Q4 that gives us confidence that the digitization and cloudification and movement to the SaaS platforms, will continue to remain and customers are trying to get more ROI, from those investments.
In terms of UK, we did get the benefit of a higher number of working days in Q4 as well as currency help as well. But as I've mentioned in the past, while the environment as a country is volatile, our business is still resilient, particularly in the secured government services, our core

public sector services and the work that we continue to do is of national critical importance. So I wouldn't call it a blip. There is good progress in diversifying some of our presence in the UK and we see potential going forward as well.
US has been disappointing if you look at some of the account discussions and the investments that we've made and some of the delays and decisions that we have seen. We did get impacted by a significant drop in the Oracle Cloud commerce. This is the cloud commerce, e-commerce space, which Oracle deprioritized, two/ three quarters back, but we've reached the bottom of that and negated all the dips that, we saw from that space. So, we feel confident that some of the changes that we have made in converting some of those accounts into managed services, diversifying our business into data and app dev areas in some pockets of customers as well as uptick in the Oracle Cloud space and the Salesforce synergy, that US is set for growth going into FY '24. So hopefully, Baidik, that answers, happy to take more later, but that's a quick one.
Baidik Sarkar: Sure. Yes, I get it, probably US will come back. But on Oracle, Hiral, on Q4 of last fiscal, our run rate was $27.5 million, and we are standing on the $23 - $24 million for the last two quarters. So, there might have been a sequential growth, but we had to clear that base, right? So, my question was more forward-looking. Is there enough ammunition for us to believe that we'll go back to at least half the pace of growth that we've seen in Oracle ecosystem? Or would you caution us saying that no, the growth rate was, what we delivered this quarter is more indicative of what is to come? I'm just trying to understand the quantum of growth that one can expect here.
Hiral Chandrana: No, we expect both Oracle and Salesforce, both which constitutes a reasonable portion, anywhere from 45% to 47% for overall business. We expect both those to continue to grow higher than our company average. And both of them will have deal momentum and order book backlog that gives us confidence of them, growing faster than FY ‘24.
Baidik Sarkar: Sure, even from a disclosure perspective, if I were to request you fr

om the next quarter to
probably, try and disclose Salesforce also, just at least call out the number separately, it'll help us to place your journey in context. I'll just end with one last question on bookkeeping, are we done with the entire payouts and dilution that was due to the promoters of Evosys? Or, was this the last year? Or will September of next year be the last, Arun?
Arun Agarwal: So, we have done with two tranche, one more is pending, but that will happen in the October of 2023. That's the last one.
Baidik Sarkar: Okay, because your minority transition was almost, 100% this quarter, so I was just a bit confused. And on margins, our aspiration was to come back to 20% at EBITDA level, right? That was an aspiration for the next year, right? Given the cost of the revenue environment, is there any change or other aspiration? Are we on track? Broad commentary on that?
Arun Agarwal: Yes, Baidik, as we mentioned earlier, high teens was our aspiration. We continue to aspire into that, but I think we are very close to 17.7% and fully year basis 17.8%. We believe that that's a good range to operate around, and we want to operate in that range. Definitely in the mid to

long-term, we want to come back to the higher EBITDA profile as we start achieving our growth target.
Baidik Sarkar: Okay, all the best. I'll be in touch. Thank you.
Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain: Hi, so most of the questions are on the cost side. So one is there was this steep increase in employee expenses this quarter versus last quarter. So, is there a specific hike, which was given during the quarter, because headcount has declined? So one is that. Second, in terms of sub-con, where are we currently in the overall scheme of things, and how should we see that as we move ahead, in terms of percentage or absolute numbers, wherever you are comfortable with.
Arun Agarwal: Sure, Mohit. Yes, there's an increase in overall comp-cost, but there are multiple factors into it. One is the currency conversion also has led to some impact as we are getting an advantage into revenue. The same, it gets reflected into the cost INR conversion as well. That's one. Second, is while headcount has gone down, but that's more like a month-end or quarter-end number, that you see. But more of the decline has happened on the later part of the month, which the cost anyway has come into the P&L.
And certain other initiatives as we continue to invest into right talent, having those digital niche talent is very critical for our kind of work. Some of the talent, where the count goes down, but when you hire them onshore and you would have seen the onshore-offshore mix also going up because as UK growth comes, more in the secured government space that leads to higher cost in terms of overall P&L. Definitely the rates are also better. So margin is protected, but in terms of absolute number, you see the cost. That's one part.
Similarly, in the sub-contractors as well, since some portion of our work in the secured government space need security clear resources, and some of those resources are not available into the employment market, and you have to get them first in the security clear market under sub-contractors and gradually start converting them into the employment. To the point of view, are we comfortable with our sub-contractors percentage to the overall answer is ‘no’. There is a scope of improvement, and that's one of the lever which we are working on to improve our gross margin and the EBITDA profile of the company.
Mohit Jain: So right now the sub-con cost would be sitting in other expenses. Is that correct?
Arun Agarwal: Yes.
Mohit Jain: As we move ahead, we should see some of the other expenses getting converted into employee benefit as you translate some of the sub-con or convert some

of them into employees?
Arun Agarwal: Absolutely.
Mohit Jain: Okay, and the other two are related to revenues. Now one is this growth in BFSI/Professional services. So you spoke about one deal win as well. So have we ramped up or should we expect the current growth in the BFSI vertical to continue and what is it driven by? So that's one.

And second on UK health. So this particular revenue number was not moving for some time. Now do you see stabilization for FY‘24, therefore should we expect more growth to be driven by UK health?
Hiral Chandrana: So Mohit, the financial services sector is not currently a broad-based sector for us as you know. We do have a few good accounts in UK and a couple of accounts in US and then a few accounts in Middle-East. So it's still sizable but not one of our biggest. This particular account is a very

large US headquartered organization, where we have seen some interesting momentum and deal win. But it is not something that is across the board in the industry as such for us. As of right now, it is more account specific. So that's as far as the deal.
Mohit Jain: So, the ramp-up should we assume that you guys have ramped up reasonably in fourth quarter. Should we assume that this ramp-up in BFSI will happen in Q1 and Q2 as well?
Hiral Chandrana: Yes, it's kind of ramped up but we club a couple of professional services, and industrial accounts into that cluster as well. So it's a combination of core financial services as well as some professional services. But that's ramped up. We see selective opportunities in that sector but it is in a few set of accounts that we have.
As far as health in UK and particularly the one large account that we have, we still see uncertainty in terms of the organization and the changes that they have. But we have seen a bottoming out in terms of our position, in that account. We have actually won a few deals as communicated earlier but the organization has decided not to ramp them up. So those are still potential possibilities for the future. But going into FY '24, we've taken a conservative view on UK health. So we want to make sure that we do a little bit of a reset on the baseline and look at specific areas. There is a very detailed strategy that the team has put together. And if there is an uptick in terms of opening up of spend by NHS, then we would benefit from it. But we have taken by design a conservative view.
On the other hand, we see a tremendous potential going forward in FY '24 from both US and Middle-East healthcare. So that is one area that, we have invested in, particularly with Oracle's acquisition of Cerner and our own capabilities within the Salesforce ecosystem, in delivering payer and payvider solutions. Banner Health was a great example of a customer, where there's a case study in the market, which is vetted by the customer and Salesforce.
Similarly, we are very strong in senior living, acute care, home care, and delivering some really interesting programs. So, we do see healthcare, while we've seen the dip because of the one NHS account that we have in UK. But as a whole, that's an important industry for us. And we expect that to grow significantly as a whole in FY '24.
Mohit Jain: And just a clarification, did I get it right that Oracle is 45% - 47%, of the business? Was that the comment?
Hiral Chandrana: No, Mohit, Oracle and Salesforce put together, combined is about 45%.
Mohit Jain: Oracle is what you disclosed as Oracle Cloud, that is where it is sitting, 29% number. Or will it be across the service line?

Hiral Chandrana: There is some across the service line because there are some elements of CX and elements of data as well.
Mohit Jain: So Oracle is slightly higher than 29%, and total of the two tech is around 45% for you. All right, so thank you very much. And all the best.
Hiral Chandr

ana: All right. Thanks, Mohit.
Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you. Gentlemen, good numbers. Thank you very much for that. I just wanted to ask you about the US government business, that's shown good traction. But can you describe how the Health Ministries, that's ramping up well. The other parts, are there any indications of new programs starting? That's the first question. Second, in the US, it's flat quarter on quarter. And I think last quarter, we had won a deal to start an offshore development center for a client. So while expecting to see some of that ramp up, has that got delayed? Or is that already in the numbers?
Hiral Chandrana: So Ravi, just your first question, your line was not fully clear, but your first question was related to state and local government in the US, did I get that right?
Ravi Menon: No, Hiral, it was about the UK government business, outside of NHS.
Hiral Chandrana: UK government. Yes, what was the specific question on the first one on the UK government?
Ravi Menon: Yes. So you said that, you started a new biometrics program, but how is the pipeline looking there beyond this?
Hiral Chandrana: Yes. Got it. So, UK government, and if you leave NHS aside for a second, the secure government services. We have been participating in some very large framework as you know. And some of those frameworks do take time in terms of ramp up. However, we have a seat on the table, while there are multiple vendors in some of those framework, we believe that there is certain market share that we can continue to gain, through the course of the next one year or two years in those frame works. These are very, very large opportunities.
There is a diversification of our presence that we have continued to make because we had a few large institutions that we work with out there, particularly three or four, which have continued to show growth. But we're trying to also make sure that we win new opportunities, in police

protection, in some of the biometrics program that I mentioned earlier, in the workforce and pension DWP, as an example. So, there are certain areas that we kind of diversified outside of the base that we already have.
Also our state and local government in business in the UK, where we work with about 29 to 30 councils is still a sizable presence for us. And we continue to do specifically Oracle work there today, but there's an opportunity to cross-pollinate with other platforms. We've seen interest in Microsoft, for example, as well as AWS and Salesforce in pockets of UK public sector.

The last thing I'd say in UK public sector is that central government, while we have a very good presence on the digital engineering side of things, Oracle as a company and as a business does a lot of work with the central government. So, we see an opportunity. It's a little bit more medium term of taking our Oracle Cloud story as the government modernizes and moves to the cloud in the central government space. These are some of the areas that, from a pipeline build perspective, some of those have longer cycles as you know, so we have to feed some of the investments and skills with security clear resources. So hopefully, Ravi that answers that part of the question.
Ravi Menon: Thank you.
Hiral Chandrana: And as far as the health deal that you were referring to, that has ramped up to some extent. It is one of the Blues that we have communicated in the last quarter. In fact, in that particular account, we are seeing new areas that the customer is interested in, in the data space. And we believe that, like I said, the Blues in the US in particular, is a good opportunity for us to replicate that success that we have with that particular one. So there's no issue in that particular account. In fact, it's a good opportunity.
Ravi Menon:

Thank you. And just a longer-term question, on the Oracle side. I thought that the work that Evosys did was very project-oriented and would be able to do a lot of them, but then that's a constant treadmill of projects that we are on. Has that changed? Or how would we see that the Oracle business, you were talking about that growing above the company average, is that predicated on getting the new pipeline of larger deals? Or are we moving to a more annuity-oriented model through that?
Hiral Chandrana: Yes, so a really good question, Ravi. Both those are true. We wanted to make sure that our dependency on pure implementation in projects is limited. In the sense that, some of those deal cycles have taken longer. We have one actually an average deal size in the Oracle space has grown in Q4. Having said that, like you rightly said, last three, four quarters, we've made a shift by design in having more managed services and annuity work. Now those come with a three years deal time frame. So, the ACV values of that might be lower. But having said that, it does establish stickiness for us to continue and mine those accounts, which is a key part of our strategy. So, while we continue to see projects and implementations, but our mix is significantly changing towards the combination of projects and managed services in the Oracle space. In fact, the work that we've won in the Middle East has a high degree of annuity and managed services as an example. So it's a combination of the two.
Ravi Menon: Great. Thank you. One last question, if I may. On the US environment, we've been hearing that there have been project put on hold, customers are starting to show some reluctance to commit to capex. Are you starting to see any of that given your customer base is a little bit or smaller companies? Would there be more at risk in this environment?
Hiral Chandrana: Yes. We in fact had even two quarters back, pointed out that, there are certain delays and there are certain uncertainties I mean, in Q4, in particular, the quarter gone by, we've not seen any of this or any ramp downs as such in terms of new projects. But these decisions are definitely taking longer. And in some cases, you know, it’s long, right, that we might have seen in the past. But a

couple of wins that we announced, there's an interesting, City of Hampstead win that we announced. Again, these are the deals which took maybe two months longer than we anticipated. I think, we'll continue to see that uncertainty. Many of the investments are going right up to the CEO or even to the board, in terms of approval cycles. And so that, I think, is a trend that we will see at least for the next two to three quarters.
But what we've done is we've put strong account managers in some of our key accounts, while we need to do more work in that space, but we do see a mining opportunity in some of our existing accounts and also strengthening the value proposition that we take to a client, a combination of our functional, architecture, and industry knowledge and putting that together in

the context of the customer and helping customers save money instead of just spend money. So models where we can actually modernize, but also optimize at the same time, is what we're taking to some of our existing clients. But I think the caution in our customers or at industry level will continue to remain, in the next part of it.
Ravi Menon: Thank you so much. Best of luck.
Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Thanks for the opportunity. So, my question is on the NHS recovery. So you mentioned that we have seen a recovery in the NHS account. So if you can throw some more light on how the NHS merger that was happening, has it been completed? And also the recovery that we are seeing was at the end of the quarter or we have seen

the full quarter impact of NHS recovery? And also in terms of the contract that we had won earlier with NHS, post the merger, has there been any changes in the contract structuring? Or are we just seeing the ramping of the existing contract that we have won?
Hiral Chandrana: Yes. So Amit, thanks for the question. I just wanted to clarify, in case there was some miss communication earlier. So you've definitely seen growth in our secure government services in UK, but that is not necessarily NHS recovery or NHS-specific growth of recovery. We continue to see some uncertainty in the leadership and the structure of NHS and some of the merger and the integration that they're going through. And that's the point, I was trying to make earlier and we've taken a conservative view going into FY '24, related to NHS. We feel that it has bottomed out, in terms of our exposure, but there is still uncertainty. So, our growth, and, the uptick we saw is not necessarily from NHS, it's actually from our rest of the secure government services, work that we are doing.
Amit Chandra: Yes. So, on the investments that you've made on the UK private side. So obviously, you're seeing benefits of it, but what kind of growth, we are expecting from the UK private segment especially because financial services and obviously, on the retail side? And also in terms of investments, are we through with the investments in the UK private? And also on the US side, we have done some restructuring there. So, post Vijay coming in, are we going to continue with the same strategy or are we going to see some change in strategy there, in the US?

Hiral Chandrana: Yes. So, UK private sector, the team has done a good job in defending some of the real estate, in the previous quarter. And once we reach a certain level of stabilization in the middle of the year, we started to see more decent upticks in incrementally growing. And some of that is reflecting in the numbers as well like you said, Amit. We still see that as a growth area for FY '24. But if I relatively compare that to some of the other areas of growth, for example, the UK secure government, the Americas as a whole, or our Salesforce and Oracle business, as a whole, we believe that those are bigger opportunities for us. While we will grow in the UK private sector, but it's not necessarily in the top three priorities, for us.
The US strategy has undergone some tweaks and change, particularly as it relates to the environment that, we're in and some of the customer voice that we're hearing, as we go deeper into some of our existing accounts, there's definitely more cost savings and cost takeout opportunities. And we're making sure that our value proposition of modernizing, cloudifying as well as transforming experiences, in the customer journey, it's combined together with the cost optimization pitch that, we're taking to the customers. So that would be one callout. A much more deeper focus on account mining and healthcare, and third is doubling down on payer in US, in particular, where we see opportunities in providers, payers, and payviders, both in Oracle and in Salesforce and to some extent, in the big data space as well. So those would be the three callouts. I think that the cost savings element combining that, on value proposition would be one element that we've updated, right, in the last few months.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Thank you very much to give me this opportunity. Sir, when we analyze the result, main banking margin from employee costs and other expenses, how do you deal in the current year with all these expenses in the margin?
Arun Agarwal: Again, as we mentioned, the margin, if you see the EBITDA profile of the company is broadly in 17.7% kind of a range. So again, obviously the cost increase pressure will alway

s be there.
But that’s how you manage between multiple operating levers and alluding into the subcontractor mix, which we spoke about, we have been talking about the utilization and the levers. So again, the combination, some costs will go up, but there are certain levers, which we'll pull out and thereafter, enable us to maintain the margin within the range.

Ravi Naredi: Okay. And order book backlog of INR 1,794 crores, can you bifurcate in US, UK and other territories?
Arun Agarwal : We don't give that geography-wise breakup, but that's for the full company and that's a committed order, which we have to be executed over next 12 months.
Ravi Naredi: Okay, thank you.
Moderator: The next question is from the line of Zubeyr Singh from Mondrian Investment Partners. Please go ahead.
Zubeyr Singh: Thank you. A couple of questions from my side, please. Firstly, it would be kind of just a ballpark number on the organic growth for the quarter and for the full year? Because obviously,

you've had some M&A during Q1, Q2. And secondly, what should we be expecting on the debt side of things? Do we repay or do we take on some more for further M&A? Those two questions from my side, please.
Arun Agarwal : The debt in the books carries a repayment plan and we have sufficient cash flows to take care of it. There's no further plan to raise any debt unless we get into any inorganic activity. But as an operating requirement, we don't see any requirement out there. And we'll continue to discharge debt liabilities, there are certain debt, which will get discharged over this year, certain part of the debt, which we took for the purpose of MST acquisition, will get discharged over the period of the next three years.
Zubeyr Singh: Sure. I was asking about the organic growth that the company has achieved for the full year and for the quarter because obviously, numbers are very strong, but for just comparison from like-for-like compared to previous quarter last year. I just wanted to understand what has the company done on more organic basis?
Hiral Chandrana: So like I mentioned earlier, the MST and the Salesforce acquisition has delivered above plan and exceeded our expectations, both on revenue as well as on order book for the FY '23 time frame. As you know, it's about eight months of acquisition which is reflected in the numbers that we reported.
In terms of Q4, in particular, like I mentioned earlier, we've seen historically for the last three-four years that, this particular quarter is a slow quarter with MST with the seasonality. So essentially, our Q4 growth has come from organic and it's an apple-to-apple comparison, as you know, from Q3 to Q4. So going forward into FY '24, we believe that the order book and deal momentum from the Salesforce business continues to be strong. And we will see good year-on-year growth on the Salesforce business as well.
In Q4, the quarter that just went by, it was apple-to-apple and it was a significant part of it was the organic growth.
Zubeyr Singh: Thank you Hiral. What I meant was not year-on-year, so obviously, from a quarter-on-quarter sequential perspective is organic. But I mean relative to March 2022 versus March 2023, that is why I'm trying to understand the 7.5% growth to the 5.5% constant currency, how much of that would be organic, excluding MST and Salesforce?
Arun Agarwal: We don't give this information separately. But what I can confirm is, in this quarter, 5.3% predominantly is driven by organic. As Hiral mentioned, there's a seasonality in the Salesforce business in this quarter. So you can count most of the growth has come from the organic business.
Zubeyr Singh: Okay, perfect. Thank you.
Moderator: The next question is from the line of Sachin Kasera from Svan Investments. Please go ahead with your question.

Sachin Kasera:

Congrats Hiral and the entire Mastek team. After many quarters, we have seen growth come back in a strong manner, so a very good set of numbers. Two-three questions from my side, first, you mentioned that, basis the current momentum, you are quite confident on delivering a strong above-industry and ancillary growth. So if you could just give us some more better insight as to what gives us this type of confidence and momentum that this growth that you're seeing this quarter is more sustainable?
Hiral Chandrana: Thanks, Sachin. As you know, there are various parts, to our business and in some ways, there's some uniqueness in each region. We really needed to make some fundamental changes in the underlying elements of our business, which included like I said, our ability to strengthen our capabilities and ability to mine accounts better. So some of those underlying changes are starting

to pay off.
Now there are two, three metrics that we look at from a leading indicators perspective. One is our pipeline and our overall uptick in the level and the type of conversations that we're having. Pipeline and the 12-month order backlog has definitely gone up. So that is one part of the data point.
The second part is that in the areas that we are good at, which includes our Oracle Cloud business, our Salesforce business, our UK public sector, digital engineering business, we are continuing to diversify and see larger deals and opportunities, in some cases, multi-tower deals in the context of Oracle, in the context of Salesforce, larger opportunities beyond what we have delivered in the past. And also some indications of mining those accounts better that we are present in. So this is the second sort of leading indication that we're looking at.
And the third is we've made some strong hires, not just at the leadership level that I mentioned earlier, but also at the next level and at an account level in some cases, at a domain level in some cases. So we believe that some of the capability investments, which we continue to need to make, but some of the capability investments, we need to continue to strengthen our proposition. But some of those progress that we have made in addition to getting the right people, will position us better going forward as well.
So, looking at pipeline, our order backlog, our mining, our ability to mine, if you look at greater than one million accounts, two years back, we were about 25 or 30 accounts. Now we have 60 accounts, 61 to be specific. Similarly, we want to continue to move up the ladder on three million accounts, five million accounts, and ten million accounts. And Middle-East and the uptick that we've seen continues to look strong even going into FY '24. So in addition to our largest market, which is UK and US, the third geography leg continues to fire. So those are the three-four things that is giving us confidence.
Sachin Kasera: The second question was on the US business. So this quarter, we have seen some pressure in margins. So one, is it because of some investments that we have done? Are there some write-offs? Or is it in general pressure on pricing, if you could quantify?

Arun Agarwal: Sachin, see, it's predominantly because of the, as the investment continues to be made in the geography because that's the growth we want to see in Americas specifically. So as the growth comes back, as Hiral alluded into, we see the margin coming back to the normal level.
Sachin Kasera: Sure. And have we now started to see our ability to bid in larger bids in the US business because that is very critical for us to grow the US business and achieve the balance that we have target in the next four quarters to eight quarter to achieve the mix between US and non-US business?
Hiral Chandrana: Yes. We definitely have that as part of the strategy. We have taken proactive propositions to a few of our clients. We have a seat on

the table of few customers that we want to make sure that
we try that win. Our strength though will be in accounts, which are between 1 billion to 10 billion companies. That's the range that we believe are sweet spots and even in some cases, 2 billion to 7 billion. That's where we feel that we can make the biggest impact.
In some cases, the customers are actually breaking down their overall strategy, sourcing strategy into smaller chunks, which in a way is beneficial to us. So, we don't want necessarily the entire IT real estate, for bidding because we may not be successful in those types of bids. The success that we are seeing in some of the leading indicators in our existing accounts, so we have seen 5 million deals, 7 million deals. We have some of those in the pipeline as well. But in terms of larger than 10 million deals, it's an aspiration that we have in FY '24. We are picking certain specific areas in industries, where we can take that proposition to, like I mentioned, healthcare, in particular. And we're trying it out with a few of our top existing accounts, but we want to show and demonstrate that with the results. So, we will keep you and the teams posted, as we start having those wins in the US. But conversations are definitely moving up the ladder. Our relationships are getting stronger in certain accounts and we have to now take that to the next level in terms of some of the cost take-out deals.
Sachin Kasera: So fair to assume that in FY '24 in the US market, the average deal size should be much larger than FY '23 and overall order intake or order win should be much better than FY '23?
Hiral Chandrana: Yes.
Sachin Kasera: Okay. One book-keeping question for Arun. If you see the cash flow operations this year, it has come down to INR 100 crores versus INR 270 crores last year. So is there some one-off in that? And it looks quite low. So how do we see the cash flow from operations? Because this year, almost INR 700 crores is gone from the balance sheet because of the investments, and the net debt has gone up quite a bit. Cash outflow is much larger than cash flow from operations. So if you could comment on that? And how do we see the FY '24 in terms of cash flow from operations?

Arun Agarwal: So, Sachin, very good observation, this year, we have seen some reduction in the cash from operations and it's kind of reflected in our DSOs going up to 93 days. So, there's an internal team which we have created, who is working very dedicated. We don't see any risk into those numbers, and you would have seen 98 days was in last quarter, we have brought in onto 93 days. There is a continuous effort. So, our endeavor is to operate free cash flow in the range of 75% to 80% is the range, we operate internally and we believe next year, we'll come back to that range.

Sachin Kasera: Okay. And just one last question. When we see the minority interest there is only INR 2 lakh. So that we can consider because still 10% is minority in case of Evosys. So, is there some one-off again in that because that looks like a very low number for a 10% minority, just INR 2 lakh that we accounted for in the quarter numbers?
Arun Agarwal: Yes, there are certain one-offs in that particular set of business. Again, as a company, you can say it's an offsetting. But between the entities, which are subject to minorities, there's a one-off there. It doesn't impact at the group level.
Sachin Kasera: Okay. Thank you and all the best.
Arun Agarwal: Thank you, Sachin.
Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management LLP. Please go ahead.
Mihir Manohar: Thanks for giving the opportunity and congratulations on a great set of numbers. Largely wanted to understand on the government side of the business. You mentioned the reason that has driven the growth in this particular quarter. And also you mentioned a

bout the opportunities, which are there in the government side, specific in the UK. I just wanted to get a sense. We are seeing some 10% plus kind of a growth. So considering the opportunities which are there, which is on the police protection side, workforce pension side, do you see ourselves maintaining a growth rate? So you mentioned about the untapped opportunities. So just largely, wanted to understand, will this growth rate sustain or how should we build the government business kind of a growth or a bit one-off, once again back to 2% of a growth somewhere. So how should we see that part of the business? That was my first question.
And second question was on the NHS side. The two deals which are there. What kind of probability should we assign of these deals getting ramped up for us? You know what should be the probability that one should consider or one should just drop off these deals in FY '24?
Hiral Chandrana: So, let me start with the second question, Mihir. NHS in reality, we believe that there is a higher probability, but we have assumed that the probability is very low. And again, we have taken that conscious call to be very conservative given, what we have seen in the last nine months with NHS. So, until we see one deal spend coming up, we're going to take a conservative approach. But I do believe that things will open up, right, during the year. There is different parts of the health care ecosystem within UK Health and may not be in the same areas, but it might be a slightly tangential and surround areas that, we might also see some potential growth.
The growth levels that you've seen in terms of quarter 4, did have helped from both number of working days and currency, like I mentioned. So that level of growth quarter-on-quarter will be difficult to sustain in the UK public sector. Having said that, like I mentioned earlier, in the three or four different areas, we do see opportunities to further strengthen our presence both in some of the existing accounts and even diversify in a few other institutions. So it continues to be a key part of our growth strategy and business going forward.
Mihir Manohar: Yes, Sure. Got it. That’s it from me. Thank you.

Moderator: Thank you. The next question is from the line of Darshit from Robo Capital. Please go ahead.
Darshit: So, thanks for taking my questions. I actually just needed a ballpark view on revenue going forward in the next two-three years. And also I heard that, you are wanting to bring the EBITDA impact margins back to previous levels. But could you specify some time frame, say, probably how many years it will take to come back to those levels?
Hiral Chandrana: So Darshit, I think we have a three to four year view in terms of how we are looking at the business as part of the strategic priorities that we had laid out. FY '23 has been challenging in the couple of quarters prior to this. But we feel very pleased with the quarter 4 results and momentum. So, we feel FY '24 will be a stronger year. And as we look at the overall opportunity in front of us in terms of the sectors and the regions that we operate in, we continue to believe that, we will be at industry-leading or a few percentage points above industry, in terms of year-

on-year growth. Our margins and operating EBITDA in particular is in that range that, we feel comfortable right now. There's always going to be some room for improving, which we would like to reinvest back in the business. And then demonstrate consistent quarter-on-quarter as well as year-on-year growth for a few quarters before we try and improve our operating EBITDA to 19%-20% ranges. But right now, the 18% range is where we feel comfortable.

Darshit: Okay. All right. Thank you.

Moderator: Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance Pvt. Ltd. Please go ahead.

Pratap Maliwal: Thanks for taki

ng my questions. I think most questions has been answered. But I think last quarter, you had called out that, there's been some greater than $5 million deals and a couple of them are maybe in the pipeline for Q4. So is there any update here? Have you won any of those deals? Any traction on that part?

Hiral Chandrana: Yes. Actually, we've won two of them, one in America. These are both Oracle deals, which had longer cycles than we expected, but the manufacturing company that I was referring to earlier. Interestingly, in both those deals, if you recall in the Investor day roughly about a year back, many of you attended in person, we had showcased our investment in non-linear platforms and non-linear solutions. It was part of a medium to longer-term strategy, where we believe that architecting certain platforms and solutions that can give non-linear growth will be a key part going forward.

So, we're pleased to sort of update that both these deals, one in a utilities company in Australia and second a manufacturing company in the US, had this non-linear component. In fact, we have another solution called Workforce Scheduler, which is popular in the health care space, which is also gaining traction. So, there's another deal, which we had referred to, which is what you're referring to in terms of greater than $5 million, it is with a health care customer. So that is something that we are expecting to close in the next few weeks.

So yes, the good news is that we have not lost any of the ones that we referred to. Deal cycles are definitely taking longer. And out of the three, we actually have won two and are expecting to win the next one in the next few weeks.

Moderator: We'll take the next question from the line of Sameer Dosani from ICICI Prudential AMC. Please go ahead.

Sameer Dosani: Thanks for the opportunity and congratulations on a great set of numbers. Just want to understand utilization specifically, so this number, we have seen a very good improvement now. Now, how should we think about this number? Is there some scope for improvement? And how should we understand this, in the context of margin improvement because 17% to 19% is a range, if I'm not wrong, that you have spoken about. So, are there other levers to achieve for the higher end of the margin amount? Thanks.

Arun Agarwal: Yes, Sameer, there is a room for improvement in utilization and we are working towards it. As we mentioned earlier, there will be a gradual improvement and that's what has been reflected in last two quarters. There will be further improvement down the road as well.

In terms of margin improvement, yes, utilization is not only lever. There are sub-contractor conversions and there are other operating levers as well, which we are working on. However, at the same time, we need to keep investing back into the business for the purpose of growth. Including capabilities, getting into the sales in other channels, at the same time. So, our endeavor is to maintain the margin around this similar range, in the short term. And as Hiral mentioned, like in the mid to long term, our endeavor will be to further keep improving it and come back to the old levels.

Hiral Chandrana: Yes. And Sameer, the only thing I would add is, we did make a tough call in the middle of the year to continue to onboard fresher's into the system, when some of our competition stopped that or reduced that, we actually did not do that. So you saw a hit in the utilization in the previous couple of quarters. Now with disciplined execution and moving many of them into billable roles, which we would continue to do, you are seeing some of the benefits of that, both in terms of utilization as well as in terms of revenue growth.

So it was a tough call that we had made in the middle of the year, but it is paying off right now. So fresher intake and making sure that we run the internships and trai

ning programs is an important part of our strategy. So that we can improve the overall pyramid structure, do more offshoring as well as, as deals become a little bit more managed services, in terms of our business mix, that will also help us going forward.

Sameer Dosani: Also second thing, thanks for this, when you look at industry growth, what is your benchmark

in terms of industry growth? Is it top 10 players, top 15 players, what is the benchmark, when you say industry growth plus a couple of percentage points as our, given endeavor? Thanks.
Hiral Chandrana: Yes. So, there are, the Tier 1 and the larger Indian IT services players, which all of you know, the big 7 players or 8 players. And then there are mid-cap and small-cap combination of 10 to 15 players that, we typically benchmark against. What we've seen with various external reports and some of you are the experts in this, is that typically in the range of 7% to 9% is what we've been hearing for some of the larger industry players, with the mid-cap and the smaller players doing slightly better than that, in terms of the range of industry growth. So that's what we are

benchmarking against as a baseline and we aspire to do more than that, in terms of the industry given our size is on the smaller side of the mid-cap or small-cap.
So, while saying that, there is still continued uncertainty, in the market and the environment. And you've seen some of the results that have been announced. And obviously, we'll wait and see how some of the other competitors do. But we feel comfortable that the investments that we've made in the business, and the leadership that we've brought on board in the last few months, position us well, for that industry-leading.
Sameer Dosani: So, it's a combination of Tier 1 plus mid, small all players, not just bigger players, understood. All right. Thanks. That's it from my side. All the best team and congratulations again on the great set of numbers.
Moderator: The next question is from the line of Vikash Vijayvargiya from Heallthx Services. Please go ahead.
Vikash Vijayvargiya: One thing I want to understand, this is purely a bookkeeping question, our creditors have slightly decreased, there's a decrease by INR 160 crores-odd number, I believe. Any specific reason and what is the involvement of the -- basically the creditors like, trade driven?
Arun Agarwal: Again, it is the timely payments of the creditors, which is the nature of it. Also, sometimes what happens, you get into longer-term engagements and the timing of it could relate to closer to March and the payments are not due and you make the payment as it becomes due in May or June could be the reason. It's again, business as usual. We don't see any significant reason as such unless the timing of certain contracts, which you would have entered with the vendors may be different between last year and the current year.
Vikash Vijayvargiya: But what is the component there? What is the nature of the creditors or trade payables?
Arun Agarwal: It's again, as usual, you are doing a lot of procurement of capex items, which could be a laptop, could be IT software, which we buy for our employee; we have in the range of 6,000 employees. So we have to make multiple procurements, their facilities, rentals, so on and so forth.
Vikash Vijayvargiya: Any time in the commissions or professionals, are included in this part?
Arun Agarwal: There would be subcontractors where you'd be outsourcing certain part of services. There are individual subcontractors, even they will become part of this. Any third party, it's predominantly third party. There would be certain accounting-related disclosure to be included in the trade payable, but predominantly, its third party.
Moderator: As there is no response from the line and no further questions, I would now like to hand the conference over to the management for closin

g comments.
Hiral Chandrana: All right. I think, as always, we highly value the interaction and the questions. Like, I mentioned, FY '23 was challenging, but we are very pleased to end with a strong note and solid in-quarter execution of Q4 that is reflected in our results. The changes and the investments that we've made

in the last year has set a good foundation for us to develop confidence in the outlook going forward.
I would like to take this opportunity to thank the entire Mastek team, who we call Mastekeers for their commitment and continued focus, on the customer. The investors and analysts, who joined the call today as well as the interactions that we have, had through the year has helped a lot. We value your feedback and support and trust in Mastek. We will continue to keep you posted on the progress on our strategic priorities and looking forward to an exciting FY '24.
So with that, thank you once again, and good evening.
Moderator: Thank you. Ladies and gentlemen, on behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

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SEC/ 46/2023 -24 July 26, 2023

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SCRIP CODE: 523704 SYMBOL: MASTE K

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on July 19, 2023, for the financial performance of the quarter ended June 30, 2023.

With reference to our Letter No. SEC/ 35/2023 -24 dated July 8 , 202 3, please find enclosed herewith the call Transc ript of the Earnings Conference Call held on the financial performance for the quarter ended June 30 , 202 3, on Wedne sday, July 19, 2023.
The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Request you to take note of the above.

Thanking you,

Yours faithfully,
For Mastek Limited

Dinesh Kalani
Vice President – Group Co mpany Secretary
Encl: A/A

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Date: 2023.07.26
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"Mastek Limited

Q1 FY '2 4 Earnings Conference Call "
July 19, 202 3

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICER– MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – ERNST & YOUNG LLP

Moderator: Ladies and gentlemen, good day, and welcome to Mastek Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclud es. Should you

need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Asha Gupta . Thank you, and o ver to you, ma'am.
Asha Gupta: Thank you, N eerav. Good day to all of you. Welcome to the Q1 FY '24 Earnings Call of Mastek. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com . To take us th rough the results today and to answer your questions, we have the top management of Mastek represented by Hiral Chandrana, CEO; and Arun Agarwal , CFO. Hiral will start the call with a business update, followed by Arun providing a financial update for the q uarter. Post that, we'll open the floor for Q&A.
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction wit h the risks and uncertainties that we face. These risk and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find it on our website.
Having said that, I wil l now hand over the call to Hiral Chandrana . Over to you, Hiral.
Hiral Chandrana: Thank you, Asha. Good evening, everybody, and welcome to our Q1 results update. I'll start off with giving a brief overview of 4 different areas: our Q1 financials. What we a re seeing in the market as a whole, but also with our specific customers. The exciting acquisition that we've just announced today of BizAnalytica and some commentary on Q2 and outlook for the remaining year.
Our Q1 financials came in at 20.2% year -on-year growth from a revenue perspective at constant currency, and we delivered 17.5% operating EBITDA for the quarter. We had variations in different geographies and different parts of our business. But at an overall level, we saw some good uptick in our Middle East business as a result of the last couple of quarters of order book that we had closed and the revenue conversion of that.
Our U.K. business had a lesser number of working days and because of the time and materials work we do out there had an impact in Q1. And we had some good solid deal momentum and order book in our U.S. business, which should reflect in much more robust qua rter-on-quarter growth as we look forward into Q2.
As we look at what's happening in the market as a whole, particularly our top customers, are definitely prioritizing cost optimization and looking at different ways to generate efficiencies. Having said th at, the journey that many of them have taken on the cloud migration and cloud modernization is starting to move into a different pivot, where they'd like to monetize the investments that they have made in the platforms, as well as optimize the consumption, whether it is hyperscalers or some of the SaaS platforms.

We've seen simple interesting engagement models in terms of not just cost optimization, but also how do we fund some of the new solution creation and get more ROI for our customers that have alread y invested in the cloud journey. As we look at our own customer satisfaction survey and results, we have some interesting insights as part of that.
And one of the areas which we were happy to see that customers want to see Mastek playing a much more strate gic role in their next few years journey. They also want to see Mastek contribute

in multiple newer areas of customer experience of data modernization , of cloud modernization. So , some good sign where our existing customers want to see more of us. Of cours e, it's up to us now how we scale up and deliver to that promise.
As we look at what's happening in the Generative AI space, there is clearly a huge uptick just in the last 3 months, since we last spoke, where customers are starting to pilot and have use cases very specific to their industry. Mastek has taken a very practical approach, I would say, where we are focused on few specific areas, where we are contextualizing our capability to what the customer use cases and the industry -specific use cases are.
For example, for retail and consumer industries, we've taken our CXPro Solution and our Netail. AI partnership. For manufacturing discrete industries, we've taken a look at how we can integrate our VolteoEdge investment platform with Warehouse 360 and of cou rse, our key platforms and partnerships, Oracle, Salesforce, Microsoft, AWS are all investing in Generative AI and we are seeing how we can embed that as part of our proposition as well.
As we look at our Q1 customer wins and some of the updates that we've shared already in the earnings deck, there is a variety of diverse experiences that we've had based on wins in Europe, in U.K., in Middle East , and in U.S. while we continue to have some pressure from the NHS account, we've seen some really good wins in t he health care sector and in U.S.
For example, Brookdale Living a senior living community, where we won a large transformation program where we're looking at their entire supply chain, their entire patient

experience. There are examples of wins we've had in the manufacturing sector in the non -U.K. Europe geography. We've also seen some marquee programs in the government business of U.K. where we're looking at single sign -on and one log-in ID for their entire identity access and management processes.

So, just a wide variety of wins and go -lives. We had reported 6 months ago, our progress on one of the Blue Cross Blue Shield and I'm happy to share that specific account is on tr ack and trajectory to become a USD 10 million account in the U.S and this will be our second account, where we see that this model of what we are bringing to the Blues can potentially be replicated to other Blue Cross Blue Shield as well. So that's just in a brief in terms of Q1 and market and what we're seeing with customers.

Moving on to BizAnalytica. As we have communicated almost for the last 15 to 18 months. As part of our M&A thesis, and target prospects for M&A. We had prioritized 3 specific areas: customer experience and digital experience, data and the continuum of data with AI , and cloud platforms, which is the hyperscalers.

As you know, we have acquired MST last year, which aligns to one part of our thesis. The second part of our thesis was in the whole data modernization and data cloud journey. We've been very selective in loo king at multiple assets doing our due diligence and super excited and pleased to report that we have officially signed a definitive agreement to acquire BizAnalytica.

BizAnalytica was founded a few years back. It's headquartered in Boston area in the U.S. with operations in Chennai and provides a holistic view to the data cloud and modernization journey, where clients are looking at not just moving their data to the cloud, but also setting a strong foundation for how they can generate analytics and now Gene rative AI use cases.

So, the acquisition is very strategic in many ways, because it not just aligns with our strategic priorities and thesis, but also in terms of what customers are asking from us and what the market potential is in this space . We're also happy about the client base and the profile of customers that BizAnalytica has. They have some marquee

enterprise clients in asset and wealth management , retail, health care and in technology. And we feel that the synergies that we will start with the U.S. geography and then expand to our global market.

Culturally, we feel that there is also high resilience in terms of both companies. BizAnalytica also has a very solution -focused DNA. They have a significant investment in Light beam, which is a marquee IP tha t really takes a look at data factory and from a managed services perspective, how do we monitor consumption and cloud economics as more and more companies move to the cloud.

So, some exciting areas, which we are hoping to collaborate and work to build on. But in all this is a huge milestone for us. It's an area that we are very excited about in terms of growth prospects. Our mining strategy, which is progressing well in the U.S. and in U.K. and in Middle East will benefit from this capability. Of course, h appy to share more during the Q&A and in the coming weeks as we make progress.

The feedback that we received last time from all of you, our investors, our well-wishers , our analysts was to share transparently what was the mix of the business and the size o f the business. The last 12 months of BizAnalytica was roughly about USD 16 million. And that's something that we obviously hope to grow significantly higher compared to even the Mastek's growth average.

The last point is about outlook and a little bit com mentary about not just Q2, but even looking beyond. We are very happy with the U.S. and Americas order book. There are some deals that took longer to close over the last 3 to 6 months, but we've had a healthy back -to-back order booking and are bullish about how that will translate to revenue. So there's a good uptick that we can expect in terms of revenue growth in the Americas geography.

In the U.K., we have some really large deals that continue to be part of our pipeline. Unfortunately, we had a couple of losses, w here we were number 2 with some very large players. And these are large deals and accounts where customer has given us a seat at the table. A year back, we may not have even b een able to compete. But being number 2 in some of those lo sses is not fun. So we are taking that up as a challenge, and we feel that there is

potential to win some of those deals in the current quarter and the next. We've actually jus t got notified last week about one particular win and hopefully, we can do some more in the U.K.

geography.
Our margins and Arun will talk about financials in more detail. But specifically, we want to focus more on DSO and ensure that we bring a little bit more discipline there. And there are various initiatives on cost optimization a s well as margin improvement across the board, where we are taking very specific tracks and approaches so that we can optimize and then fund more strategic areas.
As we look at account mining, and one of those strategic priorities that we had outlined in t he last couple of calls, we've taken our top 10 to 15 accounts in each geography and making progress, not just in terms of account plans, but also in terms of how we are approaching senior stakeholders, building relationships, looking at the vendor landsca pe, looking at partnerships, looking at how we can look at spend areas and offer a much more holistic proposition. But we've also put in some new account managers and client partners in key accounts where we see growth potential.
The Salesforce business an d the Oracle business, which contributes a significant part of Mastek revenue has continued potential, and we see that both in terms of accounts or customers moving to the cloud, but also in terms of how they want to monetize, like I mentioned earlier, som e of the investments, not just in sales, marketing, customer service, but even in data analytics. Oracle has also branched out in a

couple of new areas. I have spoken in
the past about Oracle Health and their health care investments with Cerner. And we've made progress with the Cerner team and Oracle to look at more holistic propositions in select markets.
So, all in all, we have had a slow start in terms of our organic business and see some good lead indicators, where we feel still optimistic and confident about our prospects, not just in Q2, but for the rest of the year in line with some of the communication that we have done earlier. The pipeline is looking good. Our deal momentum is strong. Some of the recent wins are giving us confidence as we look at n ot just Q2 but beyond. And again, hugely excited in welcoming the BizAnalytica team to the Mastek family.
So with that, I'll turn it over to Arun.
Arun Agarwal: Thanks, Hiral. A very warm welcome to everyone on the call. Financial details and other documen ts has been shared ahead of the call, so I'll keep focus on key financial metrics aligned to what Hiral alluded to from the business perspective.
Our operating revenue for the quarter was INR 725 crores. It's 2.3% up quarter -on-quarter in INR terms, reflec ting 0.4% in constant currency. Year -on-year growth is 27.2%, reflecting constant currency growth of 20.2% year -on-year. Once you break it up between geography, the growth is led by strong execution in Middle East again, in line with our previous quarter, order booking, as we mentioned, we are seeing good pickup in terms of demand in that particular geography, and the same has been reflected in terms of revenue. U.K. quarter -on-quarter was

impacted because of lower number of working days. However, the deal momentum, as Hiral mentioned, is quite exciting, and we believe that geography will continue to grow in the coming quarters.
During the quarter, we added 22 clients across verticals and across geographies. Order booking experience was mixed across the geography, while delay and right shifting in decision making continues. However, U.S. and Europe, when we say Europe, non -U.K. Europe has shown positive momentum in order booking. Consequently, our 12 months of order backlog stands at USD 215 million, reflecting an increase of 16.9% year -on-year.
However, a decline of 1.7% quarter -on-quarter in INR terms. Our operating EBITDA for the quarter was at 17.5%, a reduction of 20 bps quarter -on-quarter. The primary reason of 20 bps was becaus e one part of our business, Salesforce, which we acquired last year, the increment has been done effective April as we do the integration, we wanted to ensure the team gets the hike in line with what they were getting earlier. That has impacted margins for the quarter. However, partially offset by currency and other operating levers as operated during the quarter.
Our PAT stood at INR 73.5 crores, up 1.3% quarter -on-quarter . Our cash was INR 220 crores at the end of June this is versus INR 270 crores in March '23. Du ring the quarter, we have paid one installment of loan as it was outstanding as per the payment scheduled. Consequently, our borrowings stood at INR 363 crores as of 30th June 2023.
Headcount was clos ed at 5,592 at the end of the quarter, refl ecting net reduction of 30 headcount. And utilization improved during the quarter by 380 bps including trainees as we are operating and focusing upon better utilizing of resources, to drive the revenue growth and balancing the bench and in project utilizat ion of resources.
We have signed definitive agreement to acquire BizAnalytica, a data cloud and modernization

specialist based out of U.S. And again, as Hiral alluded to, it's in line with our strategy to get into data and cloud space together with the pre sence in the U.S. geography, and it further helps us to sell lot of integrated offerings both to existing and to the prospective customers.
I would like to thank all of you for you

r continued support and trust. Going back to the moderator and open the hous e for Q&A. Thank you.
Moderator: Thank you very much . The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain: Sir, two questions. One is on the U.S. pickup , order backlog is more or less flattish. I'm assuming this includes U.S. closures that you spoke about. So what kind of growth rate are you looking at in the U.S. region for Q 2 or maybe FY '24?
Hiral Chandrana: So Mohit, the Q1 order book in U.S. actually was better than our targets and expectations in terms of r atio of revenue, it was almost 1.5 times the revenue that we have in that geography.
And that's giving us confidence that as we execute on those programs and wins, which did take a little bit longer than we expected, but now since we have closed some of th ose deals in Q1, it will have a direct impact in Q2, Q3 and beyond in terms of revenue conversion.

So, we obviously had anticipated slightly higher growth in revenue terms in the U.S. But what we are confident is that we'll mostly catch up in Q2 and get ba ck on track in Q3 in terms of our anticipated year -on-year growth rate. So , feeling confident right now based on end of Q4 order book and Q1 order book, that pure organic momentum as well as our integrated business with Salesforce is on the right track. An d this, of course, does not include any of the BizAnalytica business and talking about our existing Mastek business.
Mohit Jain: Right. Are we expecting slightly slower U.K. because your total backlog number is still similar ? And if U.S. is growing fast, should we expect U.K. to remain slow for some time?
Hiral Chandrana: We will still show growth in U.K. and Europe as we go into not just this quarter, but beyond as well. In terms of quarter -on-quarter and year -on-year, our overall design and model for the year is U.K. and Europe will be slightly slower in percentage terms.
But we're working with some very marquee programs, some new initiatives and areas on digital identity kind of the equivalent of Aadhaar card in India, some large programs in the defense , in the hydrographic space. Looking at new avenues in some of the public sector. So , I think we're still sort of in some very critical programs, but just in percentage terms, comparatively, it will be slightly slower.
Mohit Jain: Right. And last is for Aru n sir, what will be the margin impact for FY '24, like we spoke about partly it is done, I assume the increment part is partly done and partly pending . So how should we see it for FY24 ?
Arun Agarwal: So Mohit, in terms of the operating EBITDA, the incremen ts definitely as we are planning to look into in Q2 for the rest of the organization. How we are seeing there could b e immediate impact. Again, there are operating levers, which we are working on back of it to neutralize the impact of increments.
And we be lieve if any impact happens, that's more transitory in the quarters, where the hike is happening. From Q3, Q4 we will come back to the range where we are operating, which we have already said 17% to 19%, we feel very comfortable about.
Mohit Jain: And this includes acquisition impact as well. You said MST increments are already done , is that correct?
Arun Agarwal: Yes. That's what I said. It is done effective April. So that p ortion of impact is already in the P&L .
Moderator: Thank you. The next ques tion is from the line of Ravi Menon from Macquarie Group. Please go ahead.
Ravi Menon: Hiral, just a question on the Healthcare and Life Sciences. You were talking about how you won the BCBS contract, and that's been ramping up well. So surprised to see Healthcare and Life Sciences has declined . I think you mentioned that NHS had some challenges. So is it from that? And when would you expe ct NHS to bottom out ?

Hiral Chandrana: I think, Ravi, I wish I could have said confidently that NHS has bottomed out, but the reality is that we continue to see some uncertainty and challenges out there. We were expecting certain programs that could potentially ramp up sometime during the fisca l year. The couple of the close deal losses that I mentioned one of them was actually in NHS. B ut having sai d that, there are three new wins that we've had in the Healthcare space in Americas. Some of them are just like recent wins. So obviously, it's not reflecting in the revenue, you should start seeing that in Q2 and beyond.

And even in Middle East, we've won a couple of deals in the provider and Health care space. So all in all, that sector is still a bullish sector for us. The only challenge is some of that has been offset by NHS. But I think sometime during the course of the year, we will see a bottom and start picking up even at NHS. What we're doing out there is working with a signifi cant number of Arm's Length Bodies and multiple other divisions and units, including Social Care and ICSs & CSUs , which are not part of the core NHS, but are still getting sign ificant funding. And the election in U.K., which will come up in the next 12 to 14 months is p rimarily being fought on Health care and some amount of econ omy, but all the market intelligence, the customer intelligence we have is that there is still spend out there. And we are sort of making sure that we are still working very closely with some of our supporters and stakeholders so that we can capitalize on the investments we've made in the past and start growing back out there again. But you're right, the NHS is really what has challenged us in terms of Health care, but our Health care momentum in U.S. and Middle East is strong.

Ravi Menon: I was a bit confuse d by your comment that you have fewer working days in the U.K. I mean I thought that seasonally after a Jan to March quarter with a fewer working days in Feb, this is a seasonally better quarter. So could you just explain that one?

Arun Agarwal: Yes. So typically, this is what happens, since we have U.K. exposure. What is happening, is a lot of T&M engagement, which we have get impacted because of Easter and other holidays, which comes in Q1. So again, it's not global leap holiday pattern is very specific to the U.K. market.

Moderator: Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: So I think we had kind of a flat revenue. So I just wanted to expect what kind of revenue growth do we expect for the full year? And maybe because of our increments. So overall, our margin range will be in 17% to 19%, right? So that were my questions.

Hiral Chandrana: Yes. So Arun, why don't you address the margin, and I'll come back to the revenue.

Arun Agarwal: Yes. To the point, as I mentioned to Mohit in the quarters of increment, we might see some blips, but coming Q3, Q4, we'll come back to 17% to 19% range. And that's the plan for the full year as well.

Hiral Chandrana: And Darshil, I just wanted t o address the first question. The revenue growth and both quarter -on-quarter, year -on-year growth that we see from Q2 and for the rest of the year is strong. Like

I said, we want to be aiming for industry -leading and bettering that. I know that there is a kind of muted forecast at the industry level. There are companies that have shown de -growth, there are companies that are forecasting lower numbers. But we feel that we are well positioned given some amount of uniqueness and some amount of focused activitie s in specific markets. As an example, our Financial Services exposure is minimal, as you know. And we believe that while that could benefit in certain different times, but in the current times that limits som

e of

the downside, whereas as an example, in Manufacturing , and some of the related industries, we've had some really interesting wins. And these are not just wins, where we are implementing Oracle Cloud or Salesforce Service Cloud, we're talking about strategically working with clients on their supply chain transformation , how they're looking at connected enterprises with IoT and connected devices.

So it's a combination of business process transformation as well as technology -enabled strategic market -driven growth that we're seeing with some of the manu facturing industries. So we are operating in some of these industries like Healthcare in the U.S., Manufacturing , U.K. Public Sector . We've seen a pickup in some non -U.K. Europe deal momentum as well. So we're still optimistic, like I mentioned, in terms o f year -on-year growth and quarter -on-quarter growth for Q2 and beyond.

Darshil Jhaveri: Okay. So sir, just if I may, so maybe it's not an exact number, but then we could maybe maintain the growth that we've been doing in the past last couple of years, maybe like not an exact number because this time industry is very volatile, so it's a bit difficult to get the flavor of what it is. So maybe like what we have maintained what you've done in the last 2 years, that could be a benchmark that we have maybe?

Hiral Chandrana: Yes. So Darshil, we shared some of the perspective last time. I mean, while industry might go through some amount of muted view here in the short term, our endeavor and our confidence is that we will be better than industry growth, and we w ill beat that by a few percentage points. So that we still maintain, and we still have the deal momentum and customer demand visibility to do that.

Darshil Jhaveri: Okay. That helps me and all the best for the future quarters.

Moderator: Thank you. Next qu estion is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani: I just wanted some more details on the BizAnalytica acquisition. So some financial details like what is their revenue run rate, annual run rate and what is their margin profile? And what is the consideration that we are paying them? And also about what was the thesis behind acquiring BizAnalytica? Was it for some clients? Was it for a geographical expansion? Or was it for a capability expansion?

Hiral Chan drana: Sure. So Saurabh, there's two -three different questions there. So let me try to break that up. I mean, this is a good opportunity to maybe we welcome BizAnalytica team because our teams have been working with them in the last few months as we were d oing due diligence and detailed discussions. In fact, we've started working with our mutual NDAs in one account or

actually two accounts. But just a tremendous job done by Arun, who is here with me, CFO. Raman, our Chief Growth Officer, Vimal our Legal, and their entire teams all together to really collaborate with the BizAnalytica team to strategically drive this process. And we are where we are. So that's point number one.

Second point is in terms of thesis, in terms of just the rationale, there are multi ple elements. If you look at what's happening in the data cloud space. What happened in the infrastructure space and what happened in the ap plication space in the last 15 -20 years is really what's happening in the data space. And more and more customers in stead of operating in siloed pieces .

If you look 10 -15 years back when analytics became a big theme, one of the challenges customers had is just getting their data into the cloud and data in one place and the quality of data, etc. And so things have evolve d, companies like Snowflake, companies like Data bricks and even some of the large platform players like AWS have invested significantly in the data space, because they believe that's a foundational capability that will be

required, not just for analytics b ut like I said, to generate more use cases in the GenAI space.

So this acquisition is definitely -- one part of it is definitely about capability. And giving us extremely differentiated assets in not just modernizing the data landscape and estate, but also accelerating the enterprise journey to the cloud of their data assets. But also given the presence that BizAnalytica has in the U.S., in the eastern part of U.S. with some very strategic clients in the Health care sector, in the Asset Management and Wealth Management sector and in some retail a ccounts. And these are Fortune 1000 in some cases, Fortune 500 and in a couple of cases, Fortune 100 accounts, which we will get additional access to. So it's in line with our enterprise focus, account mining focus, w here we take a broader Mastek proposition. So now if you tie everything together, we have a heritage in digital engineering , 2e have a strong capability in Oracle Cloud at the enterprise l evel with ERP, HCM supply chain, w e now have the CX portion with Sal esforce in the customer front office. And now with the data and the elements of integration, there is a whole story that we can stitch together, where we can start competing in a much larger investment areas. So it complements our capabilities. It compleme nts our U.S. focus and geography focus with account mining, and it also sets a strong foundation for us to tap into a very high potential area on AI, automation, analytics in the future.

And I shared, I think earlier that the last 12 months run rate is USD 16 million. So we believe it's accretive to our revenue multiple for Mastek. So in terms of overall valuation we are very pleased , it’s an attractive acquisition for us from that perspective as well with strong demand in this space and high potential, whe n we look at the combined synergies of our business.

Saurabh Sadhwani: Sure. And also, I just wanted to understand about BizAnalytica a little more. So can you give us an example of one of the case studies, one of their projects that they have done. Is it more on the data engineering side? Or is it more into the analytics?

Hiral Chandrana: Yes. So , I would say it's a combination, but the heavier focus is on the data engineering, the data modernization and moving data to the cloud, right . So typically, what customers go through is they look at a strategy of how they want to move some of their data across their value chain, multiple business processes, multiple divisions into one centralized – it could be Snowflake or it could be Data bricks and then start looking at how they can leverage that data to automate certain business processes to get more solutions and use cases develop ed. How they can serve their customers better, meaning our customers' customers better. So the value of driving informed decisions and insights for our enterprise is huge. And in the past, that's always been the endeavor. But now with large data sets and with large language models, the processing speed and time is reduced significantly. So for one of their customers, Optum, which is p art of UnitedHealth, they're doing this type of work, where they're using and moving data to the cloud and making sure that they can set up Optum for their modernization journey. But there are other examples in the Retail space, where they're also doing so me data science and analytics work for a couple of customers in the Northeast, Wealth Management and Capital Market space. There is some combination of data engineering and data science. So it's a little bit of a mix of the varied elements. And it also dep ends in some cases, where customers are in the journey and where do we take them from point A to point B. So hopefully, that provides some flavor, Saurabh.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Ple

ase go ahead.

Dipesh Mehta: A couple of questions. First of all, I just want to understand margin profile of the acquired entity, if you can give some sense about what is the margin profile? And whether any nonlinearity in that business with revenue still if you s ee any scope for margin expansion?

Hiral Chandrana: So Arun, why don't you answer the first margin and I can add on the revenue.

Arun Agarwal: So Dipesh, if you see the growth profile they have gone through, they have invested significantly with the size of the organization they are in, which led to them operating at a single digit of operating EBITDA. But as we see them together with Mastek, we see them operating at early teens. How their earnout has been structured is t hey make money if they deliver amou nt of growth, which we have kind of put as their target and they deliver Mastek level profitability. So we hav e then both the combination on as we combine with Mastek, they start delivering in double digit. And as they progress and grow the business, they start operating at the Mastek level.

Hiral Chandrana: And there's a couple of interesting things about nonlinearity, and I'm glad you brought that up Dipesh. Because nonlinearity has been a theme for us over the last 6 to 9 months. We communicated in the last quarter couple of wins that we had in the Warehouse 360 space, as an example, we have another solution in the Enterprise Workforce Scheduler space.

But this is a great example where they have a solution and an IP, particularly in the context of manage d services. And this is a slightly different dimension of managed services compared to your typical traditional on -premise managed services. So this is data-specific managed services, which is also monetizing that data. So there is some nonlinearity potent ially we see there.

There is also opportunity for value creation, like Arun mentioned, where expanding the offshore presence, they do have a Chennai operations, but there's more room to move work and to deliver work from offshore as we scale that business. And as we look at the combined business together, we see more opportunities to do joint bids and solutions, not just in data projects, but in managed services as well for our existing accounts. The same applies to selling Mastek services to BizAnalytica accounts as well. So yes, we see multiple avenues for nonlinearity as well as value creation.

Dipesh Mehta: And two more questions. First is about what could be the client concentration in the business of the acquired entity? And second thing is about what would be the amortization charges you expect on Mastek P&L? So what kind of hit you expect because of the transaction?

Hiral Chandrana: So Arun, why don't you take the second one and then I'll do the first.

Arun Agarwal: Yes. So from the amortization pers pective, again, this is the acquisition which is done, we have to go through all the valuation, which is, again, done by the registered valuer team and all. Again, typically, you would have seen any PPA and all it comes to 2% to 3% of the acquisition price . So again, let's perform. We have to go through all this cycle, and we'll be able to give much more detail, once we report September numbers because a lot of T &Cs has to be done, transition has to be closed, then the valuation will happen and we get to kn ow exactly how the valuation will work for their customer relation ship, customer contracts and etc. So allow me 90 days to come back with better visibility into that amortization number.

Hiral Chandrana: And Dipesh, just to answer your first point. The cli ent concentration, like I said, it's a company that has a rhythm of much more deeper engagement and account mining compared to just

opening new logos and hunting, right? So that's point number one.
Second point is they have an interesting approach of base ca

mp, where once they land into a
particular account, they've had tremendous success in scaling to multiple areas within that account. So the quality of accounts and relationships and the concentration is not a huge number of accounts, but they do have a r easonable spread in terms of Financial Services, Heal thcare, Technology and Retail . Those are the four industries primarily with a couple of accounts in each of them, which are very strong and then a decent pipeline of a few more accoun ts in each of those industries.
They also have some solutions that are built for Asset and Wealth Management and developing another one for the Health care sector as well.
Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: So my first question is on the Government business. So we have seen acceleration in terms of the Government spends by the U.K. in the last two quarters, but that is not being reflected in terms of our order book. As you men tioned that we had some losses , is it we have lost some of the contracts? Or is it like our win rate is coming down there? Or we are seeing increased competition in the U.K. government space. So how do you see it? And also if you can comment on the U.K. pr ivate business, which is more Financial Services , Retail there in the

U.K. So after an initial uptick in the last quarter, we are seeing some softness there. So because we have said that we have invested there in that part of the business , what is the upda te there?
Hiral Chandrana: Yes. So a couple of points, right, Amit. One is the U.K. public sector delivered some reason able growth in the last quarter, which is reflected obviously in our Q4 results, where we had a very handsome growth quarter -on-quarter a nd year -on-year as well. Like we said earlier, the number of working days in the U.K., which is really specific to the U.K. for this quarter in Q1 did impact revenue.
Having said that, the couple of losses that I was talking about where we were at close se cond were not in our existing accounts and not in our existing business that we are running. These were in net new opportunities that we were pursuing. And so that's the second part. The third is that, again, if you look at legal immigration, digital ident ity, police protection, looking at strategic areas of spend, even including down the road on the health side. We believe we're in the right areas. But yes, absolutely, the competition has gotten much more aggressive and this is not necessarily a U.K. publi c sector specific comment, but there's definitely going to be much more aggressive pricing pressure on some of the deals, particularly the cost optimization type of deals.
And so we've taken some lessons out of this. Our pipeline in that geography is still very strong. So we still feel quite confident. Like I said, reasonable win about an 8 million win in GBP terms last week, which is quite significant in the U.K. public sector. So we think that the pipeline and the deal momentum is there. It's a matter of converting a couple of them and continuing to deliver. Our credibility with clients out there is very strong. And we feel that we can tap into the spend that you're referring to in the coming quarters.
So that's as far as the U.K. public sector. The privat e sector, we tweaked our approach a little bit in the last one or two quarters. As we were seeing in our own existing accounts, a couple of Financial Services , a couple of Retail accounts. There were new CIOs, there were new relationships that we had to build.
And so we're sort of taking on a more mining approach even in the private sector, so that we can scale some of our existing accounts and take those case studies to open up new logos . We were focused a little bit on the hunting side with mixed result s to be frank, but we're getting a

lot more traction and success , just in the last two-three months . I was in U.K last month, meeting a couple of new CIOs in the private sector, same with the public sector.
And with the trust that they have in us and some of our delivery in some cases, we've been there 8 years, 10 years, 20 years, is strong. So it's up to us now how we leverage as they go through their transformation journey, including cost savings and how to fund transformation. We're up there with them wo rking together. So in the short term, we believe it's a little bit more of a mining story in the U.K. private sector. And then we plan to take that to open up new logos tapping into the Fintech and Financial Services potential that exists in the geography.

Amit Chandra: Okay. And sir, on the U.S. business, you mentioned that we'll see good growth in the second half. But if you can comment on how has MST been performing as of now because Arun mentioned some of the order wins that we had in the U.S., it was led by MST. And also, if you can quantify what was the impact on margins from the wage hike that we did for MST? And also in terms of Oracle CX business that was under stress . So what is the update on that, is this stress over? Or are we still seeing some drag there?
Hiral Chandrana: Yes. So there's 3 questions on that, Amit. Let me quickly answer the first and the third, and then I'll give to Arun on the second. So Oracle commerce and CX spe cifically, the third point, we commented on this last couple of quarters as well.
Oracle has deprioritized that space 6 -9 months back. And so obviously, we had an impact over the last 9 months because of that, the team has done a fantastic job in neutraliz ing some of that, moving that business to managed services, looking at Salesforce commerce, looking at Magento, looking at Mac h alliances, headless commerce in different areas.
So we're still in that space, but it is not about Oracle commerce anymore, righ t, because Oracle themselves are deprioritizing that. But we don't sort of expect any impact because of that anymore, right, because where the implementations are going on that is either done or moved to managed services, and we're not expecting any signif icant new wins, although we did have one win in the recent times. So it's not like customers have completely shut down, but significantly lowered compared to the past.
As far as the Salesforce and looking at some of the broader business. Actually, if you l ook at some of our win announcements, the good news is that we have seen order book and growth across all the three different areas; Salesforce, Oracle Cloud and Digital Engineering in the Ame ricas. And so that kind of well -rounded. For example, we replace d one of the top 3 Indian - based SI in one of the West Coast accounts in a very strategic data warehousing in BI deals. And we're running a few workshops out there. As this is a retail customer, which has been an existing customer for ours in the last couple of years, where we see a pot ential large deal in the making .
The Salesforce business has delivered good order book. They had muted revenue in Q1, but we expect that to pick u p in Q2 and have a good full year FY '24. Our Oracle business in Americas had some delays in terms of wins and the project. But macro level discretionary spend and even though there's some slowdown there from a customer perspective, we are still seeing new projects and new implementations, where there's a transformation involved and there's a model, where we're able to save the customer money and the total cost of ownership level and still able to transform their business processes are getting funded.
It's taking longer. But the couple of wins that we had in the Oracle Cloud space, which we've included in the deck have been USD 5 million type of win. So from that perspective, it was a well-rounded

kind of order book quarter. Of course, we have to execute and continue to ramp up and maintain that momentum going forward.
Arun, if you want to take the second one?

Arun Agarwal: Very quickly, Amit, again, it's a combination, but broadly it was in the range of 0.5%, 0.6% impact to the overall EBITDA of the company.
Moderator: Thank you. Next question is from the line of Hussain from Ambit Asset Management. Please go ahead.
Hussain: So my question is more on the inorganic side, so I wanted to understand what would be our near-term strategy or plan in this area? Beca use over the last 1 year, we've made two good acquisitions in terms of MST and now BizAnalytica. So would we first focus on consolidating these before venturing into further M&A? And a continuation to that, would you say that we are more or less, we do hav e the capabilities now to reach the target, which we set for ourselves over for the latter half of the decade. So wanted to get s ense on that .
Hiral Chandrana: It’s a two -pronged answer, Hussain. There is definitely in line with our thesis in line with our strategic priorities, which then aligns with our M&A thesis, we had talked about CX, we talked about data. And so yes, you're right, those two acquisitions we have made. Our approach has always been sort of USD 10 million to USD 30 million type of companies, right? So we're looking at some very specific segments in the U.S. market. And we don't plan any other near - term acquisitions.
We believe that we have rounded off the capabilities that is required in the immediate future.
Having said that, our 3 to 4-year type of model definitely had total of 4 or 5 acquisitions,

which we would continue to pursue over that time frame. We're not going to rush into it. We're going to do our due diligence. And as we see opportunities, and it could go beyond the U.S. , it might be in the U.K. as well. We will make some of the strategic bets. But as it stands right now, we feel comfortable this fiscal year in terms of where we are with the M&A strategy.

Hussain: Got it. And one last question was with regards to our cash position, I think, INR 220 crores and approximately INR 130 crores – INR140 crores will go in this acquisition, so that will leave us on a thin gross cash balance. So how are you looking at that as the year progresses?

Arun Agarwal: So from the cash persp ective as being an IT service company, we believe the cash generation quarter -by-quarter is continued to be healthy. The gross cash of INR 220 crores is good sufficient plus, as I mentioned, the cash generation quarter -by-quarter will keep adding on it. We believe it is sufficient to manage the working capital requirement and also to take care of the loan repayment . So we feel quite comfortable with the situation of the cash as we speak.

Moderator: Thank you. Next question is from the line of Ja y Jain from Finnovate Financial Services . Please go ahead.

Jay Jain: So my question is related to the Middle East geography. The Middle East revenue has grown 34% sequentially and 67% year -on-year. So what is the reason for this growth? And what could be the growth t rajectory going forward in this geography?

Hiral Chandrana: So Jay, we made this comment and provide d some guidance last two calls as well. When we had looked at Europe as a market in the first half of FY '23, which is last fiscal year, we saw with the Ukr aine situation and the war, a clear slowdown. And at the same time, because of

Russia and other aspects, we saw a lot of funding going into both UAE and Middle East as a whole with Riyadh and Saudi.

And we had strategically moved some of our f ocus in inves tment from Europe, I'm talking about the non -U.K. Europe into the Middle East and Australia geography because we were seeing demand in that . So

it was a strategic decision. We realize that there are margin challenges and tough customer environment, but we were seeing some really good demand. Now having said that, it is not a geography that we are necessarily banking on in terms of year - on-year growth in terms of volume for the foreseeable 3 – 4 years' timeframe, if you look at the horizon. But we believe th at it provides us a good healthy diversification. And last two quarters, we had actually reduced our number of accounts in the previous two quarters and strategically looked at even account mining even in the Middle East.

So the net -net is that when you look at it full year level, the growth trajectory in the Middle East when I say Middle East, I'm including parts of APAC and Australia as well, which we call the AMEA region. We see that growing at a faster than Mastek average along the lines of kind of U. S. business as a whole for the full year basis.

But it probably will have some blips in terms of quarter -on-quarter because there's a little bit of a unique rhythm out there. And we sort of have anticipated that in terms of balancing that during the variou s quarters in the year. But it's an important and a significant part of our business, and we plan to improve margins in that business so that we can have better quality accounts and growth even in that geography as we look forward.

Moderator: Thank you. Next question is from Sudip Dugar , an individual investor. Please go ahead.

Sudip Dugar : Sir, I have one question regarding the U.S. business. Now with the deals coming on board, and we're seeing revenue coming in the books from the next quarter onwards. So how should we see the margins in the U.S. business?

Arun Agarwal: Yes. So Sudi p, as you said, as the growth comes, the investment, which has gone into the geography, any growth will help us keep improving margin quarter -by-quarter because the scale will g ive us the advantages we are looking for.

Hiral Chandrana: And just maybe to add , the nature of the deals and the nature of the accounts, even in U.S ., we are being a little bit more selective in terms of quality of accounts as well that we had a long tail of accounts even in the U.S. There were accounts with just USD 200K, USD 500K type of revenue with no potential to go beyond USD 1 million.

And where we have projects which are ending, and we don't see those customers as strategic with medium or long -term potential, we're not necessarily dragging or continuing there. We're actually sort of repurposing some of that focus into higher spend areas , larger accounts, larger deals, and our account mining strategy out there has shown good lead indicators in terms of order booking. So that will reflect in our growth out there. But I think as we deliver on a stronger revenue plan, like Arun said, the margins will improve in th e geography as well .

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.
Hiral Chandrana: All right. So the questions and the interaction is always enjoyable and we kind of learn from it as well, the quality of the questions and the insights and some of the discussions are useful to us as well. So I appreciate the trust, the interest and the support for Mastek. We're on a journey where the market is volatile, the times are still uncertain. But like I mentioned, the strategy and the investments that we have made in the last few quarters is in the right direction, and we are very confident that it is paying off in terms of how we want to win in the right spaces, in the right areas with the right quality business.
And while there are some mixed kind of performances based on the geography and based on the quarterly results , as a whole we are very optimistic about the prospects and the customer feedback in terms of where they want us to operate in some very strategic a

reas. So there's an opportunity for us to scale up, particularly in some of our larges t existing accounts.
Having said that, there's definitely a tighter budget cycles that customers are going through , multiple levels of approval. Competition is aggressive, but we have the right team in place. We have the right coverage now compared to what we had about a year or so back. And as we look forward, the completeness of our portfolio , the stronger relationships in the U.K. public sector, the critical programs in the government that we operate in, plus the momentum in both Americas and Middle East is giving us confidence of being able to deliver stronger and industry -leading growth.
So with that, we, again, are super excited about the data cloud space and BizAnalytica as a company and as a combined business now with the Mastek family offers another dimension for potentially growing in areas beyond, where we were present in some cases. A s companies look at this 3 to 5 year horizon, of where the spend is going to go, in particularly in the data space, I think the prospects are very encouraging.
So onc e again, thanks for all the participation and questions. And we appreciate all the trust of all the analysts and investors in Mastek. Thank you.
Moderator: Thank you very much. On behalf of Mastek Limited, that concludes this conference. Thank you for join ing us. You may now disconnect your lines, thank you.

Call: Oct 2023

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SEC/88/2023- 24 October 26, 2023

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Bandra (E), Mumbai – 400 051
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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call for the quarter & six months period ended on September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our Letter No. SEC/78/2023- 24 dated October 10, 2023, please find enclosed herewith the Transcript of the earnings conference call on the financial performance for the quarter and six months period ended September on 30, 2023, conducted after the meeting of Board of Directors held on October 19, 2023, for your information and records. The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -information/
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
Vice President – Group Company Secretary
Encl: A/A

“Mastek Limited
Q2 FY ‘24 Earnings Conference Call ”
October 19, 2023

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICER – MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Mastek Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Michelle. Good day to all o f you. Welcome to the Q2 FY '24 Earnings Call of Mastek. The results and presentation have already been ma iled to you, and you can also view it on our website, www.mastek.com . To take us through the results today and t o answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandrana , CEO; and Mr. Arun Agarwal , CFO. Hiral will start the call with a business update, which will be followed by Arun, providing financial update for the quarter. Post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risk and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I wil l now hand over the call to Mr. Hiral Chandrana . Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good evening, everybody. Hope everyone is doing well. I will start off with the financials and highlights, talk about some of the business updates, brief ly spend a few minutes on our progress in the data cloud business and Generative AI and give some glimpse of how we are seeing the second half of the year.

Our revenue growth was up 13.5% year -on-year. This amounted to about 18.6% in U.S. dollar terms and was greater than 22% in INR terms. 13.5% was year -on-year constant currency. Quarter -on-quarter, revenue growth was 4.4%, again on constant currency. We've transparently provided the acquisition -related revenue, which was from BizAnalytica, that is USD 2.5 million for the quarter. This essentially translates to our U.S. business growing 5% quarter -on-quarter on an organic basis. So that 5% quarter -on-quarter constant currency on an organic basis was without BizAnalytica. We are pleased with this progress as we believe this is a pivot of how our U.S. business will grow going forward.

Our 12 -month order backlog has been strong and continues to grow year -on-year, again, roughly about 13.4% year -on-year on a constant currency basis, with much higher numbers in INR and USD terms.

Given the growth and the opportunities that we are seeing ahead, we have completed wage increases and salary increments in the quarter. This did hit our EBITDA margins for the quarter, and we'll talk about that a little bit more and how w e are planning to offset that in the coming quarters.

A little bit about the market and the business. We had some fairly strong recognition from TechMarketView, which is a leading analyst in U.K. tracking the central government, where Mastek was recognized as one of the suppliers on the rise. In fact, we talked about cabinet office having GBP 600 million of technical debt, which signals the resiliency in that sector in terms of legacy modernization and cloud spend that is going to happen in the future. We a re well positioned in that sector.

We won a marquee deal, which we briefly touched on, which was in final stages last time we s

poke. That announcement has now been made as of yesterday, where this is essentially a front door for all the government accounts and services, about 300 -plus of them, where we've created a One Login program and supporting that for multiple millions of users.

While decision delays still continue in terms of deals, we have seen strong pipeline and growth momentum in terms of our orde r book. And we are pleased to inform you that our efforts in getting market recognition is paying off. Everest Group, one of the leading analysts in the U.S. recognized Mastek as one of the top five Oracle Cloud Applications provider. This is a marquee milestone for us. The only other four providers, they were Accenture, Deloitte, Cognizant and Infosys, and Mastek was in that top 5, a very critical milestone in many ways for us because this was after scrutiny and various months of diligence by Everest Group of 40 -plus system integrators.

We did attend and participate in Oracle CloudWorld and Dreamforce, which were two significant conferences that happened in September. This is helping us generate more mind share with the channel as well as looking at how we can grow those respective businesses.

We had some interesting wins. One of them in Middle East was a healthcare company, a platform company where we are going to implement Oracle Cloud and transform their business decision -making processes and financial pl anning processes. In one of the large investment firms in the U.S., we're consolidating all their data into the cloud so that they can take more informed decisions for not just their equities but other portfolio assets as well.

We've been talking about acc ount mining as a key strategic focus. That continues to progress. So, one of the healthcare companies, one of the Blue Cross Blue Shields in the U.S, we had

informed last time about the progress that we are making to take that to a USD 10 million -plus account, we are happy to inform that we are likely to end the year for that particular account with USD 15 million run rate for FY '24.
As we look at the customer deal momentum, it's important to make sure that we deliver well. So, there is a significant numbe r of customer go -lives and engagements that we have delivered in the quarter, which continue to help with building credibility in not just our core digital engineering areas but also Oracle Cloud, Salesforce and now with data cloud. BizAnalytica, while it is still early stages two months into the quarter, we have started to see some synergies and joint deals , and pipeline is building up where Mastek and data business of Mastek is going together to multiple accounts in the U.S. and even in the U.K. geography .

Our operating metrics have improved. Quarter -on-quarter, our utilization has improved we are now at 82.5%. In fact, if we exclude leaves , that number is at 84.1%. Pipeline is still strong, and cash flows have improved. Great job done by the team, all across functions, operating teams as well as our delivery teams to ensure that we continue our operating rhythm going forward.
We had informed that in the case of Generative AI, we are taking a three -pronged approach. One is looking at very specific custom er use cases across a few different processes and verticals. Second is partnering with our platform partners such as Salesforce, Snowflake, Oracle and Microsoft. And the third is our own internal digitization order to cash as well as various functions in terms of how we develop applications and deliver projects.
Across those tracks, we have a go -to-market positioning that we plan to amplify in the coming weeks and quarters as we look at not just creating solutions but also transforming and delivering soluti ons, which further gets amplified with our data cloud investments as more and more companies move their data to the cloud, which becomes a foundation for settin

g some of the
large language models that are required for Generative AI use cases.
Our nonlinear platform efforts are starting to pay off. We informed last quarter that we have won a couple of deals in the Enterprise Workforce Scheduler platform as well as on Warehouse 360. We also got an award recently in U.K. for that platform, the Enterprise Workf orce Scheduler platform. It was an innovation award for the thought leadership that we are displaying there.
As we look at the second half of the year, we believe that account mining will continue to be a critical focus area as well as converting some of the deals that we have in the pipeline. Our order book in U.K. geography has been strong, and we believe that some really marquee deals where we are well positioned for the second half of the year in that geography, mainly driven by the central government and public sector business.
Margins is a big focus area. We are running a series of cost optimization initiatives, and Arun will talk about a few of those. At an overall portfolio level, we have started getting much more careful about what business that we are taking, particularly in the Middle East, to make sure that we are taking higher -margin business and larger accounts where we can make a difference.
All in all, our U.S. business has demonstrated good organic quarter -on-quarter growth. Our U.K. geograp hy has demonstrated strong order booking. And as we look at our combined value proposition, we're feeling strongly about the portfolio that we now have across the value chain to make a bigger difference, both in terms of mining existing accounts as well as looking at larger deals in the future.
With that, I'll turn it over to Arun, and we'll be happy to answer Q&A later. Thank you.
Arun Agarwal: Thanks, Hiral. Good day, everyone. While the deck has been circulated in advance, I will focus on the key highlig hts for the quarter.
During the quarter, we completed the acquisition of BizAnalytica as Hiral alluded to, and it was consummated effective August 2023. Revenue for the quarter was INR 766 crores, up 5.6% quarter -on-quarter and 22.4% year -on-year. In const ant currency terms, it reflects quarter -on-

quarter growth of 4.4% and year -on-year growth of 13.5%, respectively. Since we consummated BizAnalytica into our numbers, organic quarter -on-quarter growth reflects 2.7% growth in INR terms.
We added 29 clients d uring the quarter across our verticals and geographies. Order booking in U.K. has improved significantly, as Hiral me ntioned. While delay and right shifting in decision -making continues, we have seen consistent improvement in our order booking, and the sam e is reflected in our 12 -month s order backlog, which has grown by 5.6% quarter -on-quarter and

22.3% year -on-year in INR terms.
Our operating EBITDA stood at 16.1%, a reduction of 140 bps quarter -on-quarter. The reason we see a reduction in the current quar ter is primarily because we have done the wage hike across the organization effective August this year. So , there is two months of impact, which is approximately 130 to 140 bps in quarter. And also, as we stated earlier, the low -margin profile of BizAnalyt ica as we consummate them and gradually will improve the margin profile, but in quarter, the 30 to 40 bps dilution, which has happened because of BizAnalytica, which will come into company profile next year, as we highlighted in the last quarter call.
We a re consistently working with our operating levers, whether it's grade mix, pyramid. Looking into subcontractors' conversion into employees, our utilization has been consistently improving. We feel confident those operating levers will continue to bring our EBITDA profile back in the coming quarters.
Our PAT stood at INR 65.3 crores versus INR 73.5 crores in last quarter. We have done significant cash collection in the curr

ent quarter. Our DSOs have come down. Consequently, our
gross cash stood at INR 312 cr ores versus INR 220 crores in the previous quarter. During the quarter, we have transferred dividends and repaid one installment of loan as per the repayment schedule, which led to INR 312 crores of gross cash at the end of September.
Our borrowings stood at INR 477 crores as of 30th September. As we mentioned in the last quarter, we have borrowed USD 16.7 million during the quarter for BizAnalytica acquisition, and the balance was paid from internal cash accruals.
Our headcount stood at 5,598 at the end of the quarter, which reflects marginal increase quarter - on-quarter as our utilization is improving out there, but we welcome BizAnalytica colleagues into Mastek family during the quarter, and net increase is marginal, as I mentioned.
Let me thank all of you for your continued trust in Mastek and I'm transferring back to the moderator, and we can take your questions. Thank you.
Moderator: Thank you very much, sir . We'll take the first question from the line of Jayalaxmi Gupta from Anand Rathi Shares and Stock Brokers Limited.
Mohit Jain : This is Mohit. First question was on U.K. So the growth appears to be a little slower. Now order backlog has already improved. So should we expect U.K. momentum to also come back? Or do you think it will be like between U.S. a nd U.K. depending on which quarter we look at?

Hiral Chandrana: Yes. So Mohit, it's a good point. We've had the regions fire, but it has been in different quarters. I think if we have all the regions fire at the same quarter, we'll really have an amazing p rofile of growth. But having said that, the order booking in U.K. has been strong, like I said. Now as we look at Q3, which is the new current quarter, there is a furlough and December time frame, which does impact seasonally our U.K. business because of t he holidays. But as we look into Q4, because of the strong order booking and the deal momentum that we have, we believe that U.K. will continue to grow in Q4 as well.
Mohit Jain: Okay and second, U.S., as you alluded in your opening remarks, now is it on a steady path based on the deals that you have signed? Or do you think it may take a few quarters before you have that confidence on U.S. growth sustainable?
Hiral Chandrana: Yes. So as I mentioned, our confidence in U.S. is getting stronger by the quarter. It has taken us a couple of quarters longer than we originally anticipated and expected. But given the organic growth of 5% quarter -on-quarter that we've delivered, we believe it sets a strong foundation for us. We've crossed USD 100 million run rate as a combined U.S. business for the first time in Mastek after many years.
And so we believe from here on, there should be more positive momentum. We're trying to up our profile in that geography, as you know, to look at larger clients and the larger deals, so that does come with some risks of longer cycles. But having said that, we feel confident that we have a seat in the table for some of these, and we should be seeing continued growth again in the U.S. as well.
Mohit Jain: Right, sir. And one for Arun, sir, like margin, there was a drop. Now U.S. is also picking up. So to that extent, the impression I got was that we will have stayed big on the margin front. So once now that wage hikes are done, how should we look at steady -state margins for Mastek as a whol e?
Arun Agarwal: So Mohit, as you rightly pointed out, wage hike is done, again there will be quarter -on-quarter, two months versus three months impact, but we have multiple operating levers which we are working upon, including, as you rightly said, the gr owth profile of U.S. will further help us in terms of the EBITDA profile. There should be consistent improvement and we should come back to our 17% to 19% range, which we always said we wa

nt to operate within. So we believe
that can be done in the coming q uarters.
Mohit Jain: Sir, the question was like, will that range change a little bit now that U.S. is doing well or is
looking to do well. So , could it be like you will be closer to upper end th an say, 17% when we
were investing in the U.S. region?
Arun Agarwal: Let us get into 17% to 19% range first, Mohit, and definitely, our endeavor will be to further up
it and keep it more closer to 19%. But let us first come back to that range.
Mohit Jain: All the best. Good quarter.
Moderator: We'll take the next question from the line of Ravi Menon from Macquarie.

Ravi Menon: Congrats on a good quarter. First question is on BizAnalytica. I think if I heard right, you're
talking about USD 2.5 million contribution. I thought that looking at the run rate when we
acquired it, we were expecting it to be more like USD 1.8 million. So has the acquisition done
much better than expected?
Hiral Chandrana: Ravi, thanks for the question. The BizAnalytica business is two months, is what we've counted
because we completed the a cquisition effective August, and that is the USD 2.5 million that we
have recorded. I mean, obviously, it's going to be slightly higher in Q3 given that it will be full
three months of revenue. But it is in line with what we had reported because it was in the range
of about USD 14 million, USD 15 million annualized number is what our expectation was, Ravi.
So at least as far as Q2 is concerned, with the two months, it's in line. We definitely see more
potential to grow that business, but it's in line with w hat we had reported.
Ravi Menon: You've done a couple of acquisitions so far. Everything has been on the services side. Do you
think that there are any white spaces in your service portfolio? Or you think you are now
comfortable that this is good enough to face the market in the U.S?
Hiral Chandrana: We definitely have filled out a lot of the gaps like you rightly pointed out, Ravi. The Salesforce
business gave us a lot of the customer front office journey with sales, service, marketing cloud.
We ha ve a strong Oracle Cloud business with the back office. We need to do more in taking
some of our digital engineering capabilities in the U.S. that is still undertapped. As Mastek, we
do a lot of work in that space in the U.K. and now with the data business. Probab ly one area
which has been part of our overall thesis where we're not completely tapping into is the
hyperscaler kind of market with Azure and AWS.
And while we do some work in that space, but it is really not significant enough. But we feel
comfortable ab out the components of our portfolio. If I were to call out one area, that would be
it.
Ravi Menon: And the U.S., such strong growth. I mean could you give us a little bit of sense of which verticals
are what's been in ? Is it still developing, the healthcar e, life sciences side?
Hiral Chandrana: Healthcare has definitely picked up, both in terms of pipeline and order book as well as in terms
of revenue , I mentioned about one of the Blue Cross Blue Shield account s that has definitely
given us stronger confidence that potentially we have a story that we can take to 10, 15, 20 other
Blues. There is still continued spend in the healthcare market in the U.S. , we're just scratching
the surface. 17.8% to 17.9% of U.S. GD P is impacted with healthcare spend and there are many
healthcare providers that are evolving with the consolidation that we see. So healthcare definitely
contributed.
There are some interesting deals like we won a reasonable size deal with one of the hosp itality
companies in the U.S. to look at their customer experience in their airports. So
manufacturing/retail are the other two verticals that we're operating.
One area which has not kicked off as much in the U.S. is our state and local government.

We
anticipated that, that would play a key role, so behind there. But going forward, we have gotten
into a couple of states where we have a license to sell now. So that could also start growing in

the coming quarters. But yes, in that order, I would say healthcar e and manufacturing have done
well.
Moderator: We'll take the next question from the line of NGN Puranik from Enam Holdings.
Ngn Puranik: Hiral, you've made an interesting observation about the technical debt the U.K. cabinet carries,
USD 600 million kind of opportunity. How do you analyze the content of this technical debt in
terms of various systems and applications sitting there? And are you getting ready with
solutioning to seize those opportunities?
Hiral Chandrana: Yes. Puranik, it's an excellent que stion. In fact, there was a much more detailed report that was

published in this area, where certain departments are actually projecting that they will have two sort of cycles of spend, which is essentially four years plus four years, eight years where the y will have to continue to invest to get out of that technical debt, partly because of maybe historically, they have not invested in some of those legacy landscapes.
So the way we're looking at this is in three buckets. One is that many of these department s, and we have now looking at U.K. public sector from a policy l ens. There are these departments, but we are also looking at which policies that we can play. So that is one dimension because that gives us some way to narrow down and prioritize where we put our focus on.
The second is the technology and the skills needed . So this is based on the framework that we are participating in. In the last couple of quarters, we announced we got into a couple of new frameworks like the DSP, the digital specialist fram ework, the data and analytics framework. So that gives us another indication of where the potential spend will happen. These are large frameworks, multibillion framework s. So there are many other vendors, but we have a seat at the table to get a share out there.
And the third is the cloud journey is still in its infancy in many of these departments. So while they will continue to move their applications and infrastructure and data to the cloud, with some of our partnerships that we have with Salesforce and now Snowflake, there is an opportunity to take a look at that spend as well.
So those would be the three areas that we are looking at. One is at a policy level because there's a lot of legacy and technical debt. It essentially means that's the spend that t hey need to have to get out of it. Second is some of the frameworks which gives us an idea of the skills. And third is the technology, and the partnership.
Ngn Puranik: And is the standard legacy modernization is large opportunity or customized legacy mode rnization, which is unique to Mastek is a bigger opportunity?
Hiral Chandrana: I mean I would not say it's unique to Mastek. I mean these are modernization programs .
Ngn Puranik: If you are deep understanding of the government perspective.
Hiral Chandrana: Yes. As you probably know, there are not that many Indian IT services high-rated firms that play a significant role , so Mastek is one of them. And so we do have that advantage of knowing the

sector for the last 20 -25 years, knowing that the route and the roadmap, these departments have, how they will spend the buying behavior. We also have a lot of security -cleared resources and experience.
So that does put us at an advantage. But the nature of the work is not necessarily unique . We have an u pper hand because of our presence out there and because of our expertise that we've had in the last couple of decades.
It's a combination of our engineering, application engineering and development work, which is ma

naging many systems like, for example, i n the past, we've done a lot of work in borders, immigration, asylum services. So now there are new programs and new departments, like customs, this One Login program that we won recently, the environment and development.
Ngn Puranik: What you are talking about that deal looks very interesting. And is it very hugely referenceable deal in terms of seeking opportunity elsewhere in other markets? Because that looks interesting deal.
Hiral Chandrana: Yes. So you brought up a good point. That particular deal is definitely something that we can potentially replicate in the playbook to take it to not just other departments in U.K. but even other geographies potentially.
Ngn Puranik: And the technical debt can give you a lot more USD 10 million deals to follow?
Hiral Chandrana: Yes. We definitely are seeing more pipeline, which have larger deals. But at the same time, we are being selective in these where we have a really good shot at competing and winning, because there are multiple deals that will come to the tab le. We want to make sure that we're leveraging our sweet spot as well as our relationships and picking the policies and the framework where we believe there's a better shot at winning. So we may not go after all those, but yes, some of them will definitely be USD 10 million, USD 20 million -plus deals.
Moderator: We'll take the next question from the line of Darshil from Crown Capital. Please go ahead.
Darshil : I think we've spoken about margins that we feel that it will go back to the trajectory that we ha d. But where do we see our growth with the new deal wins? And how does the environment look like and can the growth now become in an accelerated manner? Or what are we seeing in terms of environment and growth, maybe not this specific year, but maybe 2025. Any color on that you could give?
Hiral Chandrana: As you know, the broader macro uncertainty continues to persist . There is still a lot of wait and watch that some of our customers are evaluating and scrutinizing. But what we've seen in the last couple o f quarters is that they are eventually making decisions . The delays are there, but

they are making decisions.
And so the cycles have definitely turned out to be longer because of the approval process and the scrutiny. I would say that for us and for a comp any like Mastek, the micros are also much more important . While there are some macro elements that come into play for sure whether it's inflation, interest rates, geopolitical, et cetera. But then as we look at our specialist areas and our

specific geograp hies and specific accounts, even in some cases, that's where we are focused on to make sure that we can get more out of account mining. Even in our hunting, new logos are being selective in terms of which logos to go after.
So I would say it's a combinatio n of the macro and micro that we are looking at, and we are cautiously optimistic at this stage because we do have pipeline and demand. But we do appreciate the broader uncertainty that will continue to persist. So we are seeing a reasonably good growth po tential in our major markets. It may not be at the same levels as from the past. But I think we've set a good foundation with some of the investments that we've made.
Our new CHRO has just joined us. So our leadership team is complete. We had one other leadership position, which was open, which was the healthcare account in U.K. So we've hired a new leader for that. So we feel the foundation in terms of portfolio, in terms of leadership, and our order book backlog is steady going into the next few quarters.
Darshil : So, sir, I'm sorry, but by reasonably good, could we have a range of growth that could be expected or any broad range could also maybe work like maybe around 15% is a good assumption? Or how would you quantify that? Any ran

ge is fine if you could help us with that.
Hiral Chandrana: Sure. We never provided guidance, but we have guided that we will always aim for a few percentage points better than the industry. Now I realize that the industry has provided much more muted guidance, particularly with the larger players. But with our size of business, we definitely want to aim for double -digits of year -on-year growth. And that's what we would want to continue doing for in the coming quarters.
Darshil : So that's great to hear, sir. And with regards to o rder book, what would be the average time duration for completing an order?
Hiral Chandrana: That's a tough one. We just opened a new logo in the U.S. It's a USD 7 billion organization. It's not a very big deal, but that, start to finish, order book was in three weeks. There have been instances where we've had a few deals that has taken seven months . So I would say there is a spectrum of anywhere from a month to seven months depending on the complexity of the decision -making and the size of the deal.
So average would be obviously somewhere in the middle, but it really varies from customer to customer, deal to deal. And I think that, that kind of general delay in de cisions will persist for the next one or two quarters, at least.
Darshil : Okay. Sir, just last questions, if I may . In terms of the risk, as we are cautiously optimistic, we are maybe at near to start of a good growth journey or how do we see it in terms of any risk that you personally see in terms of environment? And with regards to BizAnalytica, what will be the timeline that you will start directly come to the margin that Mastek makes?
Hiral Chandrana: Arun, why don't you take the second question first on BizAnalytica and then I'll take the first one.

Arun Agarwal: Sure. Darshil, as our plan is this year, they will come back to a double -digit margin by the end of the year. And next year, they will come closer to the Mastek margin profile. That's the targ et.
Hiral Chandrana: Yes. And, I guess in terms of just overall risks as it relates to the growth, interestingly the next 12 months in both our major geographies, U.K. as well as U.S. are election years, Darshil, as you know.
And there's always certain nua nces as it relates to policies, as it relates to spend, healthcare , economy that comes with these elections. It has no direct impact, in some cases, indirect impact to us because of the slowness and the cautiousness of some industries. So I would say that in the near term, in the next three to four quarters, that would be one kind of thing weighing in our mind.
The second, of course, there's geopolitical elements, as you know, that are continuing to happen at the macro level, but we don't see any major kind of impact because of that because our presence in Europe, which is the non -U.K. Europe, is not that significant. Of course, we have a presence in the Middle East, but we don't see any near -term impact.

And then as an opportunity, which is always a risk, b ut as an opportunity, customers are continuing to look at cost consolidation as well as now evaluating how Generative AI is going to play a role in their future. So we see that as a potential opportunity for us to look at, maybe even looking at upsetting s ome of the incumbents, some of the larger incumbents. But that's too early to tell. We are definitely investing in some specific vertical areas. But in general, cost consolidation, some customers are starting their own global capability centers, GCCs, in I ndia. So there is that element of it. But keeping that aside, we feel strong about at least our current view and visibility on both demand and pipeline as it relates to U.S. and U.K., which is where we're focused on.

Moderator: We'll take the next questio n from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So my first qu

estion is on the healthcare vertical. So obviously, we have seen healthy growth there, which was led by U.S. and also the acquisition impact. But if you can highlight what's happening in the NHS ? Is there stability there or some recovery there in the NHS part of the business? And when we can expect acceleration in the NHS?

Hiral Chandrana: Yes. So Amit, the couple of quarters back, I think we had updated that we do see sort of a bottoming out, in that account, and we're being conservative as it relates to growth in NHS for FY '24 because by design, and we sort of got hit by it over the last few quarters.

Having said that, there are two or three deals that we have in the pipelin e. Some of the decisions on those deals have actually taken longer to my earlier commentary that, seems to be a general sort of trend in terms of time it's taking for some of these decisions. But we are playing a role still in some of those deals. And thes e are some newer opportunities as they're looking at their API integration. They're looking at their CRM for the patient portals. So there's some interesting newer areas including secondary care and arm's length bodies, which kind of are downstream element s of NHS.

So we believe that as we look at FY '25, NHS is still a significant spend area. We have gotten a new leader for that, as I mentioned earlier . And so we don't see any major kind of incremental growth in Q3 or Q4. But we do see some deals and potential order book that might set the stage for a stronger FY '25 on NHS.

Amit Chandra: Okay. And sir, on the overall U.K. government, obviously, it has b een an overall driver for growth for us. So how things are shaping up there? Obviously, we have gained some good deals. So are we seeing higher industry or higher than the company level growth in the U.K. government? Or it will be in line to what we have b een doing for the company?

And also in the U.S., now we are at USD 100 million kind of run rate and we have shown good organic growth bump up in the quarter. So based on the deals that we have, how sustainable you see this growth to be? And earlier, we had a target of reaching around USD 200 million in the U.S. geography, both organic and inorganic. So how that thing holds up.

Hiral Chandrana: Yes. So Amit, there's two or three questions there. Let me try to kind of break that up. Let's start with the U.K. because it obviously continues to be a strategic part of our business, particularly U.K. public sector, and the secure government services within that, which is a key part of our portfolio.

I mentioned earlier on some of the frameworks and the policies, we are expanding that purview a little bit . We are currently present in borders, immigration, customs, defense, and of course, we're working with the higher education and state and local councils as well.

So as we look at the next two to three years even, we have created a game plan of looking at a few different departments beyond the areas that we are already present in, and running campaigns and some of this has been going on for the last few quarters of how we can look at getting market share or entering i nto newer programs in those departments . I mentioned Environment, Food & Rural Affairs is one area. We got into the cabinet office with this digital services, One Login program. So these are some examples. There's police protection, which is another area o f a policy.

So slowly but surely, we are expanding our purview of how we look at the secure government services. So the short version of that answer is that, yes, we continue to see opportunity in the U.K. secure government services.

As far as U.S. momentu m and growth, like I mentioned, we feel strong about the portfolio that we now have. There's still work to do. I mean we're not going to sit on this in terms of the USD 100 million run rate. There is much

more opportunity. We're still a small player in the grand scheme of things. Healthcare , just as one vertical, is a huge opportunity.

We have interlocked very closely with particularly Oracle and Salesforce in the U.S. as it relates to healthcare to identify joint go -to-market and opportunity. And we believ e that healthcare itself as a single vertical in the U.S. can become USD 100 million vertical, in the next three to four years.

So as we look at the next two to three years, I think the selective bets that we are making both in U.K. as well as in U.S. Now we do have a reasonable and sizable business in AMEA and Middle East as well. So that will continue to steadily grow as well as very selectively, we will be looking a t opportunities in the Europe geography, depending on the countries that we want to play with.
So all in all, the inorganic play that we have made in the last 12 to 14 months will start to pay off in more joint synergy deals, much more account mining. I ga ve a couple of examples earlier. It is starting to show into greater than one million accounts. You would have noticed that our Fortune 1000 clients have gone up.
The number of clients where we're doing greater than one million run rate has gone up. We wil l start eventually showing you how much three million, five million, 10 million accounts that we have, and that will start to truly reflect the strength of our account mining. So that's kind of the direction that we're moving in .
Amit Chandra: Okay. And sir, in the U.S. geography, what kind of margins we are targeting , because the margins are suppressed there because of the investments. So with the growth coming back, can we expect it to come to company average? Or what kind of margin profile you're looki ng at?
And also , on the overall margin for the company that we had this quarter, we had impact of wage hike and the integration impact. Apart from that, were there any other one -off costs related to acquisition in the margin impact?
Arun Agarwal: So, in terms of additional impact, yes, there is onetime acquisition cost, which always comes in the quarter of integration. That is included in the current profile of the margin. And in terms of U.S. margin profile, as it starts growing 5% plus kind of quarter -on-quarter and whatever growth we can deliver down the road, the margin will continue to improve.
Our first target is to make it double digit in the geography. And then gradually, as the growth continues, we will aim to bring it closer to the company average. But I think immediate target is how can we bring it to the double digit.
Hiral Chandrana: And Amit, our kind of expectation is that the faster growth given the current size that we are, we're comfortable with 2% to 3% difference maybe, but we want to be closer to company average in steady state in the next two to three quarters. But we will hav e at least a couple of percentage points delta as far as U.S. margins are concerned. And the same holds good for our Middle East region as well.
Amit Chandra: Okay. So Arun, can you please quantify the additional impact that we had from the acquisition in terms of the cost and also the amortization impact like the incremental?
Arun Agarwal: So roughly and that is there in the disclosures, INR 4 crore is the amount which we have incurred onetime, and it is quantified separately under the exceptional line, wh ich is all one time on these accounting requirements, which you have to follow. So that amount is captured separately, and that will not be there next quarter for sure. So the PAT will not get impacted next quarter for the same item.

And purchase price and other amortization will continue as has happened this quarter because it's amortized over next couple of years . And then that has been given if all the amortizati

on was
not there, which is again no tional amortization for PPA and unwinding of interest, pro fitability in terms of PAT would have been much better. But again, those are accounting rules and regulation. So we need to ensure those amortization happens into the P&L.
Moderator: Thank you. We'll take the next question from the line of Jalaj from Svan Investments .
Jalaj : I wanted to understand what is the next payment due for Evosys and what is the timeline for it?
Arun Agarwal: Evosys, last tranche of CCPS buyout will happen between quarter three and quarter four, mostly between December and January. Again, the numbers are getting finalized. All this valuation and things are happening. But give or take, it would be in the range of INR 120 crores to INR 130 crores. Roughly 67% will be paid in cash, and one third will be in form of Mastek stock what we h ave done similar thing in the last two years as well. That was a part of the agreement. And as I said, that will be done between December and January.
Jalaj : Okay and could you give us a margin walk for the drop in the EBIT margins quarter -on-quarter?

Arun Agarwal: As I mentioned, roughly 130 to 140 bps is the in -quarter impact for wage hike s, and roughly 30 to 40 bps is the impact because of the consummation of BizAnalytica business, which is at the lower margin, offset by a couple of operating levers that we mentioned others that are helping us to compensate partially in the quarter.
Jalaj : Okay and could you talk about attrition because we see that at least from a peer standpoint right now, their attritions have reached to a 14% - 15% level. We still stand at 19% - 20%. So any aspiration there? Or how do we see about it?
Hiral Chandrana: Our overall business mix is heavily weighted towards digital engineering, digital experience, cloud transformation, implementation, complex programs , and projects, and the reason I'm giving that context again is that the skills are definitely much more niche as wel l as specialized in some cases.
So that is clearly talent that is much more in demand. And that's one of the reasons why we want to make sure we do the right thing for our employees who have contributed to the growth and make sure that they are rewarded. So the salary increments, even though some of our peers might have deferred it, we wanted to make sure that, that salary increment was completed.
Now having sa id that, we'll continue to see a gradual reduction in attrition. But given the profile of the skills and the areas that we operate in, it's typically going to be a little bit higher in general compared to the market.
Jalaj : And could you talk a little abou t the subcon cost because there's no discussion about it in the disclosures as of now, quarterly.
Arun Agarwal: Subcontract or cost, again, we have a combination of our U.K. public sector business where there are certain requirements for operating in public sector onshore, and certain skills are available

in the subcontractor market. So we have a little bit unique situation than the competition.
However, still subcontractor as a percentage of revenue continues to be on the higher side, and we see as a potent ial to continuously improve the margin .
So that will continue to be a lever. And as and when we get the opportunity and there is a team which work separately to convert subcontractors to employees, not only with the help of converting them as the same person but also in terms of hiring the other person replacing the talent. So that kind of endeavor continues as our operating levers in gen eral.
Jalaj : Okay. And a quick last one. Could you talk about in the deal wins or the order book, what stands as a proportion from U.S. right now?
Arun Agarwal: We don't give exact breakup, but there is a consistent improvement in the backlog in the U.S., and that is what is reflected into

our revenue growth.
Jalaj : So should I be assuming that it is different from what is the revenue mix as of now? It is more towards U.S. as of now. Should it be a right assumption that way?
Hiral Chandrana: So just maybe o verall, our order book is dependent on some large deals and some deals which are closing in any given quarter . So on an average, we look at this in the last two or three quarters because some of this buildup of the last two, three quarters of order book is really what's going to reflect in the revenue growth for the next two, three quarters.
So in that sense, we've had, on an average, steady growth, both in U.K. and in U.S. In any given quarter in this particular quarter that we just completed in Q2, U.K. order book was much better and really gives us confidence. In Q1, we had a much stronger order book in U.S., but it typically kind of balances out when you look at H1 in terms of proportionate to revenue.
Moderator: Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Hiral Chandrana: Thank you. So just to summarize, we wanted to take this opportunity again to thank all our employees, our Mastekeers, our customers as well as our invest or shareholders and analysts who have continued to provide guidance and trust in Mastek.
As you can see, we've demonstrated steady and decent revenue growth and strong order book momentum, which gives us confidence going into H2. We have work to do. The en vironment is still uncertain, like I mentioned, but given the progress that we have made in the last many quarters in setting a strong foundation across service lines, across capabilities, across new solutions combined with our new capabilities through the acquisition gives us a confidence that we have a much better value proposition in mining our existing accounts as well as going after some of the large deals.
The U.K. public sector is resilient for us. The U.S. has turned around, and we see a good pivot going into the next few quarters. And the key will be to execute on some of the operating levers and efficiencies, which we will continue to do so that we get our operating EBITDA and margins at levels which we were at in Q1.

Having said that, there is a p retty big market opportunity that is evolving in Generative AI. We've continued to invest and refine our strategy. And you will hear in the coming quarters more about it, but we have started winning deals as well as training our people and building very specific capabilities around a few solutions. So we see that as an interesting disruptive area that, combined with our BizAnalytica and data cloud business, gives us a stronger value proposition as customers move from proof -of-concept pilots into much more l arger use cases across the enterprise.

Once again, thank you, everyone, for joining the call. Great questions, and thank you for all the support.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Mastek Limited, that concl udes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call for the quarter and nine- month period ended
December 31, 2023
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine -month
period ended December 31, 2023, conducted after the meeting of Board of Directors held on January 18, 2024, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -inform ation/
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
Vice President – Group Company Secretary
Encl: A/A

“Mastek L imited
Q3 FY '24 Earnings Conference Call ”
January 18, 2024
4:00PM to 5:00PM IST

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE
OFFICER – MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED
MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Moderator : Ladies and gentlemen, good day, and welcome to Mastek Limited Q3 FY '24 Earning Conference Call. As a reminder , all the participant s' lines will be in listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phon e. Please note that this conference is being recorded.
I now hand over the conference to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you.

Asha Gupta: Thank you, M uskan. Good afternoon to all of you. Welcome to the Q3 FY '24 Earning s Call of Mastek Limited. The Results and Presentation have already been mailed to you and you can also view them on the website at www.mastek.com . To take us through the results today and to answer your questions, we have the top Management of Mastek represented by Mr. Hiral Chandran a, CEO and Mr. Arun Agarwal , CFO. Hiral will start the call with the Business Update and which will be followed by Mr. Arun providing the Financial Up date for the quarter.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risk and uncertainties that we face. Th ese risks and uncertainties are included but not limited to what we have mentioned in the prospectus file d with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over th e call to Hiral Chandrana. Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good evening, everybody and Happy New Year to all of you. I will cover three topics – a financial recap, update on our business strategy and strategic priority and view of as we look forward how we are well positioned to sustain the success ahead.

On the financials , we reported 17.4% year -on-year growth on revenue terms in US dollars and our EBITDA expanded to 17%. Our order book backlog year -on-year grew 21.2%. We are very happy with the deal momentum as well as the orders that have been booked in Q3, and w e see continued demand as we look at the future quarters.

Our operating cash flow as well as our business metrics on utilization improved as well as we have decla red a dividend of 140%, INR 7 a share. Biz Analytica has been completely integrated now as part of Mastek family and we are very happy with the momentum that we see in the data automation and AI space.

As far as the overall business is concerned, I am goin g to break it up into a couple of parts and talk about some of the client wins as well : As we have been communicating for the past many quarters, our UK public sector business continues to be very resilient. We are not only working and expanding our footprint in the existing departments where we are very strong, which includes immigration, asylums, biometrics, but also starting to expand into newer areas and

policies. We announced a large deal win last time at the Cabinet office. Pleased to inform you that that has been delivered in the first milestone and we continue to do more with the Cabinet office. As it relates to other departments in the UK public sector, our team is doing a fantastic job in running very tar geted campaigns with new policy areas and frameworks and we feel that in spite of various changes in the UK geography as such, we believe the areas that we are working in will continue to be resilient going forward.

Our US business continues to operate in a steady fashion. A lot of foundational work that has been done in the last few quarters is starting to pay off both in terms of demand as well as in terms of types of deals. We closed a large global deal in a 5

billion manufacturing company. It's

a truly transformational approach to looking at end -to-end processes from order to cash, procure to pay, record to report. And our global teams came together in Europe and UK and in North America to deliver that win. The Home Office where we do some significant w ork on immigration is starting to look beyond and we are strategically working with many departments to see how we can align to the ministerial priorities of 2024 in creating more efficiencies and reducing their backlog.

We have had some very interesting wins in the Middle East, and this goes beyond Oracle Cloud as well. We are getting opportunities in ServiceNow , in Microsoft. Happy to report that AWS is another growing partnership . We were recognized by AWS as a top three upcoming partner. The TechMarketView, which publishes transparently the progress identified Mastek in UK as 'one of the suppliers on the ri se'. And our healthcare momentum in the US continues to be very strong both in terms of pipelines as well as the type of wins. We have won a new logo in a Fortune 500 company . We have also made some progress in some subsectors of financial services and believe that there is more to come there.

As we look at the data automation and AI space, now with the amplified capabilities of BizAnalytica and data cloud data modernization, we are starting to see some very strategic plays in Snowflake, Databricks , but more importantly, looking at the customers ' entire data landscape and many of the wins that we have had in the last few months in cluded looking at unifying their data platform and making sure that they are getting ready for the Gen AI and AI use case.

We are also working with many of our top 30 clients in not just identifying some of those AI use cases, but also showing them a roadm ap in some cases partnering of how we can deliver that roadmap.

As we look at our utilization and operating levers, Arun will cover in more detail our financials, but we are happy to expand our operating margin and continue to focus on making sure that we

are repurposing so that we can invest in future emerging areas.
Our confidence level in the US and UK in our strategic priority areas, particularly the public sector in the UK , as well as healthcare in US continues to be very strong. We have also gotten

much more razor -sharp focus in areas that we do not want to play in. And as a result of that, we have started to exit certain geographies like Malaysia, Singapore, and India business that has resulted in a little bit of attrition spike, but we believe that will stabilize and keep going down in the future quarters.
Let me shift to the market going forward and how we see FY '25. While we don't provide any guidance and financials, we continue to believe that top three priorities in the company, which is our government and secure government business in UK, our healthcare business globally, and the types of wins that we are having in the healthcare business, plus the data and AI space will continue to be the top three areas that we will focus on.
Having said that, we have made a shift in the last 18 months on how we think about account mining, as well as how we look at our strategic clients . And while we have more work to do in that area, we have started to see some excellent progress on pockets of clients, wh ich have moved from USD 1 million to USD 5 million, USD 5 million to USD 10 million. In many cases, we are building a pipeline of more 1 million accounts so that those accounts can become the future USD 5 million, USD 10 million accounts. And many of them are large brand names, in some cases, Fortune 500, Fortune 1000 clients. So, we believe that now with the enhanced portfolio of services, which is Salesforce in our front office, Oracle Cloud in our back office, some of the digital engineering work

that Mastek has always been good at, plus the amplified data
capabilities give us a much broader right to win in our chosen markets and verticals.
Having said that, we recognize d that there are client decision delays, there are certain macro uncertainties, but o ur confidence level on the pipeline and our order book backlog is strong. And we believe that the areas that we are focused on in terms of our strategic priorities will continue to grow. There is a shift that is happening in the buying behavior of our clie nts as well, in terms of value -based delivery, in terms of smaller projects in some cases, very quick wins, much more agile delivery, even in large transformation programs. And we believe that plays to our advantage.
Happy to answer more questions as we get into Q&A. And with that, I will turn it over to Arun.
Arun Agarwal: Thanks , Hiral . A very warm welcome to everyone on the Call. Wishing you a very Happy New Year.
We have circulated the Presentation in advance. So, I will be focusing more on the financial and the operating levers representing our performance for the quarter.
We reported revenue of INR 784 crores for the quarter. It's up 2.4% quarter -on-quarter in INR terms and 19.1% year -on-year. This performance is after taking impact of furloughs, which has happened across the geograph ies and quite traditional quarterly challenge, which all of us face and the performance is despite that challenge. In constant currency terms, it reflects growth of 2.7% quarter -on-quarter and 13.4% year-on-year. As Hiral mentioned, we have completed

integration of BizAnalytica during the quarter and this quarter represents the full quarter revenue of BizAnalytica , which was USD 4.3 million. On the organic basis, our quarter -on-quarter growth represents 0.7% in constant currency terms.
We added 27 new customers during the quarter as our hunting engine continues to add and expand the customer base across our US, UK and some of the Middle East ern market. As Hiral mentioned, it's a consist ent order booking, which we are seeing across our geographies, including US, UK and Middle East and our 12 -month order backlog for the quarter stands at USD 248 million, reflecting a growth of 11% quarter -on-quarter and 21% year-on-year.
Our operating EBI TDA moved up to 17% during the quarter and improvement of 90 bps quarter -on-quarter . This EBITDA expansion has been led by operating levers improvement, including utilization and other levers, including your grade mix, etc.
I am really glad to inform you that our US profit has moved up significantly, which further supported the overall operating EBITDA at 17% for the quarter. Our utilization has moved to 85.4%, 130 bps improvement quarter -on-quarter . This utilization is excluding leave to represent the act ual utilization of the headcount as they join Mastek . Our profit after tax has improved to INR 77.7 crores for the quarter. It is up by 19% for the quarter and 15.8% year-on-year.
Our collection continues to be robust. We are improving our DSO quarter by quarter, reflecting a strong gross cash addition to INR 404 crores for 31st December 2023. Our borrowing stood at

INR 464 crores at the end of December, and we are having debt net of cash at INR 60 crores at the end of 31st December.
Our closing headcount was 5 ,518 at the end of the quarter, representing net reduction of 80 headcount . As we continue to improve our utilization and as we are adding more and more customers, we will be looking to increase this headcount in the coming quarters.
Let me thank all of you again for your patience and continued trust in Mastek . Going back to the moderator to open the house for Q&A. Thank you , everyone .
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Menon from Macqua

rie . Please go ahead.
Ravi Menon: I was just asking about organic growth in the US. It looks like that is more than 2% quarter -on-quarter. Is that correct?
Hiral Chandrana: Yes. That is absolutel y correct.
Ravi Menon: And secondly , it looks like you described the cross -sell and the strong order win this quarter. It looks like there is already a lot of traction building in the US. Could you talk a bit about how many services we are cross selling on average ? Do you have any measure of that across the

accounts currently, any examples of BizAnalytica clients where you managed to already cross -sell some of Mastek's services?
Hiral Chandrana: Yes, that's a great question, Ravi. And as I mentioned towards the end, we have been running a disciplined account mining focused initiative for the last 15 to 18 months. While part of it is obviously cross -sell where we measure the service line penetration, we have four kinds of plus one se rvice line and we start looking at even sub practices within each service line. So, the proactive proposal as well as how we shape some of the conversations, within our top 30 accounts, we have now more than one service line in about 15 to 16 of them. And in some cases we now have three service lines operating in some of the accounts . So, that's one dimension. But then beyond just the service line penetration, we have also revamped some of our account managers and client managers, client partners, also looking at how delivery can contribute to account mining plus getting ready to understand the customer, be more intelligent about the landscape, their spending areas, their new initiative s so that we elevate our position in newer spends and newer strategic areas as well. So, that's for the top 30 accounts we have been very, very rigorous.
Having said that, we are also doing some cross -sell in the next 20 to 25 accounts and as far as BizAnalytica is concerned, it's a little bit early, but we are very happy w ith the deal momentum even in the data space . We were expecting that the first few quarters would be more focused on the US given that the acquisition is mostly based in the US, but we are seeing really a good demand in UK and many clients outside of US as well. That's been really encouraging because data, having the whole data foundation, the modernization journey of moving it to the cloud is a common topic across all clients. So, yes, encouraged with the cross -sell progress , but there is definitely more t o do there.
Ravi Menon: You also spoke about some traction with some Fortune 500 clients now. So, are these new wins over the last 12, 24 months, the new logos that you have managed to add?
Hiral Chandrana: We have been much more careful in terms of the new logos , and you would have seen that trend in the last three quarters, maybe four. It is partly to ensure that we don't get into clients which are USD 500 million or sub billion, right? We are mostly focused on now clients above USD 1 billion, in many c ases USD 2 billion, USD 5 billion, USD 10 billion clients. So, the quality of new logos that we are adding is much richer. Obviously, that means that they have higher budgets. There will be more competition in some cases, but in the areas where we have the right to win, where we have differentiation which we do, we feel that that's the best approach.
Having said that, in the Fortune 500 clients I was talking about which is in the US was a new logo. There are a few other logos where we had entered earlier in the year and now we are expanding them through the earlier point that you made on cross -sell.

Ravi Menon: One last question on the UK , if I may . Any sign of revival , we saw that you announced a new win there wi th one of the UK Government Departments . So, any sign of an improvement in spending?
Hir

al Chandrana: We continue to be bullish on overall UK public sector. Again, I am being very specific here because if you look at the government's spending, roughly it stands at about USD 12 billion and

Central government defense and health makes up almost about 75% or more of that spend. And those are the areas that we are playing in. In fact, we are playing in even local government and education, but the areas that we are focused on is really that Central government and defense. And i n there, there are some very significant and longer -term policy decisions that will continue to be part of their national critical infrastructure activities. So, for example, we have not entered some of the new areas in departments like the Department of Justice and Police Protection where we started to gain lot more traction. So, in general, we believe while the cycles are longer, just by the nature of the adjudication process and the time it takes, but in terms of our ability to win in that market given our longevity, our security cleared resources and our differentiation because we have been managing some of these systems for 15, 20 years is very high. So, yes, we continue to like that sector and will grow there.

Moderator: The next question is in the line from Mohit Jain from Anand Rat hi. Please go ahead.

Mohit Jain: Sir, congrats on a good quarter, especially on the margin front. One question is on the Health Segment . Now there is some increase which we have seen in this quarter. So, is it on account of the acquired entity integration and more in the US or should we a ssume that the issues we face in the UK are now behind and this account has started growing for us? So, that's one and second , now that you have alluded to the fact that government spending is high on the IT side, so what kind of growth rate should we real ly expect from a Mastek's end point say over medi um term?

Hiral Chandrana: Let me first cover the healthcare part . So, see in healthcare, it's one of those verticals where we are present globally. And i n fact, Middle East and Australia, where we do business, we have had some healthcare wins there as well. But our biggest focus when it comes to healthcare in terms of just the sheer volume and the size of the opportunity is in the US and t hat is in the payer and provider space. Very specifically in the payer space, we are going after Blue Cross Blue Shield , and we are going after Regional Health Plans. These are companies anywhere between USD 4 billion to USD 10 billion. In the provider space, which is the hospitals and the senior living facilities, we have some good traction because of our Oracle Cloud and our back -office transformation capability. So, now, as we look at that healthcare space and your specific question, most of the growth that you have seen and that you will see even in the coming quarter is due to the US healthcare and the Middle East and Australia healthcare traction.

On the NHS , which has been a specific account where we have had challenges in the past due to reasons even outside of our control, like I communicated in the last quarter, we now believe it has bottomed out. We have in fact renewed one of our key existing engagements with some

small uptick in business in there, which gives us co nfidence in staying stable over the coming quarters and years in that area. And now, we have hired a new healthcare leader in the UK who has just been onboarded two months back. There is an outside agency that we have hired. We are actually getting some really good insights. I wish we had done that earlier, frankly. And now we have a complete plan for NHS revival and growth paths where the team is plotting not just one area, but multiple areas beyond the central agency of NHS. There are secondary cares, t here is arm -length bodies. And so , we believe that NHS accounts will grow

in FY '25, but I think I mentioned this last time, we are cautious on that. So, all around healthcare, we feel really kind of bullish about some of the deal momentum and it will grow globally going forward.

Mohit Jain: And second was on the government segment, like if you exclude this the way we report government and education, what kind of growth rates do you expect there?

Hiral Chandrana: Higher education is an interesting sector. It's not obviously a very large spend area, but it has some interesting dynamics that it is going through, and we have had some wins even in this quarter as well as in the last few quarters. So, Nottingham, University of Durham, so we see some momentum out there , but from a prioritization perspective, the secure government services, which is really the central government and defense spend combined is 70% of UK public sector. And so that's where we want to focus on. So, that particular area, which is a very big part of our business, will continue to grow at a company average going forward. There might be other areas that will grow as well, like education, but that may not necessarily be at the same level.

Mohit Jain: On the margin front, now that we have done 17%, is there a possibility that with US profitability coming back, and I think there is more confidence in US growth, that company level margins can move up more towards 19 -20% over medium -term?

Arun Agarwal : Mohit, as we have said in the past as we ll, our endeavor is to operate between 17 -19%. So, that will continue to be our effort and that's the direction.

Mohit Jain: But from your standpoint, specifically coming out of the strong quarter, so there is no headwind, so to say, given that wage hikes are behind, US seems to be turning around.

Hiral Chandrana: I think we had pointed out that last quarter was more of an aberration because of wage hike in a couple of other areas. We believe that the 17 %+ and 17 % to 19% range, we are making some fundamental changes in operating models and efficiency . So, that is definitely going to help.

And like Arun said, we feel comfortable in that range. Obviously, we want to continue to invest in the right areas for the future, but yes, that 17 % to 19 % band is very, very steady and can be consistent going forward.
Mohit Jain: And third quarter has no one -off in margin , right?
Arun Agarwal: No, it's broadly there.

Mohit Jain: Because in one of the footnotes you have mentioned like I think margins could have been higher. It's the onetime expenses would not be there.
Arun Agarwal: That's predominantly because the way accounting happens, your PP A amortization , unwinding of interest, al l those gets reported as part of your depreciation and the interest cos t, right? So, what we have highlighted is this acquisition, because of this acquisition, it's not the business profit, right? This accounting cost comes , and your business profit starts seeing in a different way. So, that's what we tried to highlight.
Mohit Jain: Everything is below EBITDA ?
Arun Agarwal: Yes, it's always below EBITDA.
Hiral Chandrana: And Mo hit, the BizAnalytica margin profile, as you know, and might recall, was lower than the overall company. The team has done a really good job in making, not just integrating, but just making them part of the family and it has improved margins, getting very close to the overall company average. So, that has helped as well.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investment s. Please go ahead.
Ravi Naredi: Sir, in the last 9 mo nths, we grew 44% revenue in US which is very much impressive. Secondly, from UK and Europe, we grew 11% only, and our profit rises 3.55 % only. So, from the above table, we conclude US business is growing while UK and Europe are steady and giving less bottom line downward than US? Is

it true?
Hiral Chandrana: I will start and then request Arun to add. See, our UK business is operating at very strong margins already . We have a very differentiated business, particularly in the public sector as you know, and that margin profile is really been consistent and steady.
Having said that, we are starting to participate in some larger deals in larger transactions. So, we are willing to make the right bets and sometimes that might trigger quarter -on-quarter fluctu ation. But broadly, it is still in a very healthy range.
Our US margins historically have been on the lower side because of subscale nature of our business and in some cases, a combination of organic and inorganic companies that have come together. But no w, last quarter, we crossed kind of a USD 100 million run rate with a quarterly run rate. And now we have a fairly solid integrated business. We hired a new US leader about 10-11 months back and he is doing a good job in bringing multiple entities together as just kind of one Mastek. So, part of it is just that.
But second is, of course, there is a very rigorous qualification process that I was mentioning earlier. So, in some cases, we are actually g etting out of accounts which are low margin and making sure that new business that we win is in quality accounts. And a gain, the team has done

a good job in really implementing some of the operating levers. So, we feel good about the margin improvements in the US. In fact, even the Middle East has improved a little bit and they will continue to improve going forward.
So, all in all, we want to make sure that all geographies are firing, not just on the top line, but on the bottom line as well. But the US will have a slightly different margin profile , but we are very encouraged by the margin curve this quarter.
Ravi Naredi: Secondly, is our revenue backlog growing , but not our margin? So, what step is in our mind to reach back 15% profit after tax margin?
Arun Agarwal: Ravi , as we mentioned, again, it's a combination of both improving your operating profit, which is reflected through operating EBITDA. So, if you notice, we have reported 17% now. And as we mentioned in the earlier comment that we want to ope rate between 17 % to 19 %.
Unfortunately, what happens because of whenever you make an acquisition, there are accounting related costs, which come into your P&L like PP A or purchase price intangibles, which get amortized, you start getting unwinding of interest from the earnouts.
So, all those notional costs, which are not business and again, it's accounting, I am not saying cost is not there in the P&L. It is more about your accounting related cost, which optically reduces your P AT percentage. So, when you see 9.9% P AT, that would have been far higher had this accounting was not there , right? So, as we start operating and improving our EBITDA, that will get reflected into our profit after tax as well.

Moderator: The next question is from the line of Amit Chandra from HD FC Securities. Please go ahead.
Amit Chandra: My question is on the strong order book that we have shown, and it has been there for the last two quarters. So, if you can provide more color in terms of what kind of deals we are winning and in terms of mix, whether it is more US heavy or we also seeing good part of UK private in this?
Hiral Chandrana: The order book momentum and the orders that we have closed, like you rightly said, backlog, the 12 -month backlog has consistently grown quarter-on-quarter last couple of quarters is actually across the board. So, that's why I am actually more pleased because it's been consistent, but also across all geographies.
One of the deals which I was mentioning earlier that we have reported even in the investor deck, that particular deal as an example, is a USD 10 million deal for a complete Or

acle Cloud
implementation and a business transformation. It's actually a global account, but to be executed in North America. And the time period for that is 1 8 months . So, that should give an example of that deal.

Couple of other deals that we announced are in the range of USD 4 million to USD 6 million and some of those have anywhere between 6 to 12 months in terms of timeframe . The public sector deal that we announced is an expansion of the existing work. So, that's a key differentiation . Because our credible delivery and our client intimacy in some of these areas is very strong. And as more enhancements need to be done, as the landscape of the systems that we have built need to be modernized and in many cases, we are now converting the development work and the build work that we do into managed services. So that is also giving us a more annuity, sticky revenue as well.
So, yes, short answer is across all geographies. But the U.S. order book is definitely now steadily growing quarter -on-quarter with net new logos, as well as net new deals, which are larger in size.
Amit Chandra: And sir, on the UK government , so we know that in this quarter, there was a furlough impact. So, apart from the furlough impact, are we seeing any issues in terms of addition making or any delays in ramp up? Can we also see extended furloughs in the UK government for the next quarter? And apart from that, how do you see your penetrat ion strategy in terms of penetrating into other departments within the UK government?
Hiral Chandrana: So, Amit, first of all, we don't see any extended furloughs. I know that a couple of other companies have announced some extended furloughs, but we don't see a risk of that. Point number two Q3 is obviously a furlough quarter, but we will grow in the sector that I was referring to, which is a good part of our business in UK, which i s the secure government, including central government and defense. That sector will continue to grow in Q4 and beyond in F Y '25. And so that's the first part of the answer.
As far as new departments are concerned, we have a very clear strategy of policy over technology. And when we say that we are aligning to the top policy areas in the UK public sector, the areas that we are present in right now, for example, in immigration, in borders, in biometrics, in asylums are already key policy areas. The new policy ar eas, the government digital service, the GDS Cabinet office win that we announced last quarter is a new area as an example. Now, within that, we are cross -pollinating because that One Login program, like I mentioned last quarter, it's like your A adhaar card. It cuts across the entire UK government and all departments like HMRC, Home Office , even NHS use that. So, we are starting to see new areas as a result of that. And there are some common themes that are evolving. One common theme is biometrics becaus e the DNA database that we have built applies to multiple departments.
The second is immigration. Now, immigration is a big problem globally, including Europe and U.S. So, we are looking at that in terms of potential replication. And beyond that, there is a campaign that we are running on new departments. Now, these new departments are also aligned to certain policy areas . For example, there is agriculture, food, rural , environment department,

called DEFRA. There is a Department of Justice. And within that Department of Justice, there is many sub -departments. There is police protection where we have actually hired civil servants. One of the very encouraging signs that we have here, and that's why we are so passionate about this business is that a lot of ou r ex-customers are actually willing to join Mas tek. In fact, many of the civil servants that have joined have

made a big difference because they come with that
domain knowledge. They have worked in that industry. So, yes, that sector is a massive spend area. And you will continue to see good growth going forward.

Amit Chandra: Final question on the margin. So, obviously, the margin performance has been impressive and it's mostly led by recovery in the U.S. margins. So, how do you see the U.S. margins goi ng ahead from here in terms of , still it's below the company average? So, is it fair to assume that we have reached the optimal level or still there is scope for improvement in the US ? And at the overall, is it fair to assume that with the margins in the U .S. recovering, we can be in the higher end of the range that we are targeting ?

Hiral Chandrana: There are a few different variables in this question and that's why I will maybe take a minute here because it's an important area. Our U.S. business has definitely branched off now into reasonable size. I mean, it's still small in the grand scheme of things and we believe there is so much more potential even in the verticals and the accounts that we are playing in. But having said that, there is a good thr eshold of USD 100 million that we have crossed and that's now giving us confidence that, hey, we can aim for the next USD 100 million . So, yes, the simple answer is there is definitely more leverage that we will have, and the margin profile will continue to improve.

But I think it's important to understand that we are going to start competing in larger deals. We will start going after some larger accounts. And even within our own accounts, we believe there is a lot more cross -sell room and upsell room in terms of account mining. And some of that might come at margins which are below in the short term. But as long as we are confident that we can drive operational rigor, efficiencies, automation, and making sure that overall profitability is kept at company level, we will go after some of those large deals .

What we sometimes don't talk about enough is our Middle East business. It actually has great deal momentum and order book. Having said that, the margin profile of that geography is typically low. And there also we see visibility on improving the margins of Middle East. In fact, in the Middle East and AMEA as a whole, we sometimes don't go after certain deals . We could grow much faster in that geography if we wanted to. But we are being very careful. So, yes, the combination of Middle East margin improvement and some continued steadiness in margin improvement of U.S. will bring the overall profile to a fairly, maybe in the midpoint of that range that we are talking about, between 17 % to 19%. And then there on wards, we will have to make calculated decisions on which accounts we want to invest in, what newer areas. There is a lot that is happening in generative AI. We have not talked about it as much, but we are seeing some

amazing examples of use cases in various functional areas from customer service, even industry specific AI. We talked about healthcare as a priority . Even within healthcare, the specific areas within the p ayer and provider segment , in the clinical documentation areas where we see tremendo us opportunity. So, we will have to look at where we want to invest going forward and still maintain our margins in that threshold.

Moderator: Thank you. As there are no questions, I would like to hand over the conference to management for closing comments .

Hiral Chandrana: First of all, thank you for all the questions and support , your trust in Mastek . We appreciate the interaction and hopefully you have got a flavor of where we are focused on, where we are prioritizing. It's been a decent quarter, like I said, happy with the orders that we have booked, the order backlog visibility that we have into the futu

re demand. And even more encouraged that
this momentum is across all our geographies, specifically the UK public sect or, the U .S. healthcare business and healthcare as a whole globally and data and AI as a key service line and horizontal globally as well.

Having said that, we have some very strong business in our Salesforce capabilities, as well as in our Oracle Cloud capabilities that continue to give us great differentiation from front office to back office. And combining that with our new capabilities with BizAnalytica in the data space is definitely giving us end -to-end differentiation in many of our clients.

Havin g said that, we feel that there is much more to do. And as an organization, we are moving the needle in the right direction as it relates to account mining, like I mentioned earlier. And even when it comes to larger deals, our average deal sizes have impro ved, our client intimacy has improved. And so I am fairly pleased with the tremendous job that our teams have done.

I want to obviously thank our customers, our partners, but especially our Mastekeers and our teams for their commitment towards the organization and our clients and, of course, all the investors and analysts on the call for your continued support. So, with that, thank you and have a great year.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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SEC/ 17/2024- 25 May 6, 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the
Financial Year ended March 31, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the Financial Year ended March 31, 2024, conducted on April 29, 2024, for your information and
records.
The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -information/
We regret the delay in submission of the transcript due to unavailability of the concerned people . .
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
SVP – Group Company Secretary
Encl: A/A

“Mastek Limited
Q4 FY ’24 Earnings Conference Call ”
April 29, 2024

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICER ,
MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Mastek Limited
April 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Maste k Limited Q4 FY ’24 Earnings Conference Call . As a reminder, all participants ’ line will be in the listen -only mode and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms . Asha Gupta from E &Y, IR. Thank you and over to you, ma’am.

Asha Gupta: Thank you, Manuja . Good evening to all of you. Welcome to the Q4 & Full Year FY'24 Earnings Call of Mast ek Limited. The results and presentation have already been mailed to you, and yo u can also view them on the website at www.mastek.com .

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Mr. Hiral Chandra na – CEO, Mr. Arun Agarwa l – CFO. Hiral will start the call with the business update , which will be followed by Arun , providing the financial update for the quarter and year gone by .

As usual, I would like to remind you that anything that is said on this call, that reflects any outlook for the future , or which can be con strued as forward -looking statements must be viewed in conjunction with the risk s and uncertainties that we face. Th ese risks and uncertainties are included, but not limited to what we have mentioned in the p rospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chandana . Over to you, Hiral.

Hiral Chandrana: Thank you, Asha. Good day and good evening, everyone. Thank s for joining the call. I will start with the summary of Q4 & FY '24 financial performance, give you some flavor of how F Y'25 is looking , also, touch on the progress that we are making on our strategic priorities. We will then turn it over to Arun for the details on the financials and then we will open it up for Q&A like Asha said.

So, let's start with Q 4. This is our last quarter for the Fiscal Year :

We closed at USD 93.7 million in revenues. This was a disappointing quar ter for us from a revenue perspective as well as below our expectation. We had two or three specific client situations that I will talk about in a minute. Our EBITDA was in the 16% range and that also was below our expectation. We held on to the resources that we believe were needed for future growth and hence we took the hit in Q4, but we will talk about that in a minute.

Our order book backlog was a highlight ; we closed at USD 260 million which is our 12 -month s order book backlog, which we track closely , this is a lead indicator that gives us confidence of

going forward and this was a record order book for us in the history of Mastek . The 12 -month order book backlog grew 19% year-on-year.

As far as Q4 is concerned , there were three specific client situations that I want to elaborate on a little bit.

Point #1, there is a Financial Services customer on our data business where we ended up with a delay in execution , and we had revenues from that client in Q3, which is th e previous quarter , and we are not able to recognize revenues from that particular client in Q4. We have completed our milestone post that , and we will continue with that client going forward , but we could not recognize that revenue in Q4.

Point # 2, there was a large program in our Healthcare customer. We have talked about this customer in the past. It 's now a USD 14 million account for us in the US. We decided t o move this particular program from onsite to offshore. This was the right thing to do in the medium to longer term. It established the platform for managed services as well as stickines

s with the
customer. But unfortunately , it did hit our Q4 revenues.

And Point # 3, which was again in the US unfortunately , was, we had alluded to a consolidation of a particular customer , but we were confident of offsetting that. With another ramp up in our Salesforce client and this particular program we had one in December of 2023 , where our resources were ready and ready to s tart in January itself. Again, because of a dependency of a previous phase which is beyond our control and the delay of that phase , we were not able to start that program , and that hit our Q4 revenues as well.

So, again , some of the pluses and minuses were offset. We had some good quarter execution by our UK and Middle East business. But these three specific client situations, two of them which we will bounce back and recover in Q1 and beyond is what hit the Q4 revenues for us in the quarter . Having sai d that , we do have a strong order book backlog like I mentioned and have confidence going into FY'25. Our FY'24 as a whole was still pretty healthy ; we grew 15.8% year-on-year and Arun will give some of the numbers in rupee terms because those numbers are a little bit higher, but I am giving you U.S. dollar term. So, USD 368.4 million is where we ended for the full year FY'24 and that was roughly about 15.8% year -on-year on a dollar basis. Because of the Q4 hit, this was still below our expectation. But , as we look at some of our strategic priorities , we are confident that our growth in Healthcare in the US with strong deal momentum, our continued progress in UK public sector, which we will talk about in a little bit more detail , and some de al momentum that we have continued to see in Middle East and Australia is giving us confidence for Q1 in FY'25.

I would like to talk about two or three customer wins which were milestone wins for Q4. We got selected as a key supplier in the Defense Department in UK. This particular framework, called the Digital and Professional Services framework called DIP is a large USD 1.2 billion framework where you have multiple lots and multiple suppliers. The total numb er of lots that we bid for

were six. We got shortlisted and finally selected for two out of those six slots. In one of the lots , we are a prime supplier which means we directly bid for the different deals that get adjudicated , and in the second lot, we are a subcontract or. The primary lot where we are a direct supplier is in the context of solution architecture , technical assurance. Knowledge management and Data and Innovation. The Lot-2 where we are a subcontractor is in the DevOps and Application Support area. This is important because this is a four -year framework where our addressable market between these two lots is roughly about USD 400 million. Within this , there are five suppliers in Lot-1 and eight suppliers in Lot-2. And we believe that we have an opportunity to win multiple deals and the first of which we have won last quarter. This was again in the architecture as a service area, a critical step for future deals in Lot-1. Over the period of the four years , we expe ct roughly about USD 50 to 60 million worth of revenue coming from this particular framework.

We had a marquee win in the US Healthcare business. And again, this was a five -year USD 17 million win. So, we are getting a seat at the table at larger deals. So me of this is reflected in our order book backlog, which I mentioned earlier. And clients are trusting us on longer -term offshore development center deal. This was one of the first for this Healthcare client who had never done offshoring in the past .

In Mi ddle East and Australia , we also closed some marquee deals across Financial Services , Banks, Healthcare client. One of which we announced publicly which was a cement company which is going through a complete front office to back -office transformation. We

have been
working with this customer for a few months in the areas of the back office. And this particular deal was in the lead to the cash cycle where we have built integrated applications connecting their web and mobile to their back office. With I oT and industry 2.0 initiatives that they 've been on, on the supply chain side. We also leveraged our V olt eo Edge investment for this deal and established a complete connected enterprise solution story with this customer. Apart from this, there were many wins in the US , in the UK, in Europe and in Middle East , Australia. Like I mentioned, our order books and deal momentum continue to be strong. I want to repeat we are disappointed with the Q4 revenue result , and we will bounce back in Q1.

I want to give a quick flavor on the four key priorities that we have been talking about. I mentioned about the public sector in UK. Beyond the deal that I talked about on the Defense Department, we continue to make good progress across borders and trade , across the immigration initiatives that UK government is driving. There are new initiatives around Police Protection and Department of Justice where we are running campaigns. And we believe that our presence in the UK with security cleared resources and in cumbency of having designed, built and maintained some of the critical national infrastructure systems positions us strongly going forward.

Our order book in the US in Q4 and for the whole year was again at a record level. Wh ile we are disappointed with th e Q4 revenue , the momentum on the deal continues to be strong , and our

focus on Healthcare , particularly with payers and providers and within payers and providers within the Blue Cross Blue Shield , the Regional Health Plan, the senior living facilities with in the providers and the mid -size hospitals, which are our sweet spot is really paying off. That combined with our capabilities in Salesforce and Oracle Cloud and our industry -specific solutions is helping us differentiate with the custom ers.

Beyond the UK public sector and Healthcare in the US and Healthcare globally, frankly, where we are seeing really good momentum from a demand and order book perspective , we have data and AI which continues to be a key priority. We will talk about that in a minute when we talk about FY'25. But here again most customers as part of their future AI investment s are revamping their data foundation, which really means they have to create a unified data platform , move data to the cloud as needed and modernize their data landsca pe so they can run some of these large language model and use cases in AI. And that positions us well with our enhanced capabilities in snowflake data bricks and AWS cloud.

We also have been running a key priority on account mining. We have talked about that in the past. It has gone slower than what we expected. Having said that , the identified top 30 accounts globally in Mastek now contribute roughly about 57% of our overall revenue. This is a significant movement. We have made sure that the client part ners, the delivery teams, the prioritization on service line alignment and capability focus on these top 30 accounts is unmatched. We were pleased to see much better customer satisfaction inputs and results in the recent CSAT survey that we conducted. And we believe that these 30 accounts will continue to grow where we have more USD 5 million , more USD 10 million , more, USD 3 million accounts in the past. With the continued focus on these four priorities, which is again public sector in the UK, Healthcare globally , data and AI, as well as account mining , we believe our execution needs to be stronger in Q1 and beyond , and we have taken a few steps in action so that we don 't get into the situation we got in Q4.

With that said, looking forward in FY'25, customer buying behavior and market demand is st

ill

going to be cautiously optimistic where customers are not necessarily stopping their AI or digital initiatives , but they 're working on optimizing their base, repurposing some of the savings to newer prog rams. With that, there is a landscape where most platform companies are embedding AI into their solution. And with that, what you 'll see is that there is a need to orchestrate and integrate many of these solutions, which is a combination of cloud investmen ts, data investments, Edge investments and now AI investment s.

Our positioning as a differentiated business outcomes provides is critical here because customers are looking to break down many of the larger deals into more mid -size, manageable chunks. They 're also expecting more for not just cost and productivity, which is a given, but also in terms of quality of resources and talent. And we believe our combination of industry expertise, our solution -focus plus the technology and functional depth positions a s well.

At an overall financial level, while Ar un will cover more details , we are happy with the progress on utilization, which reached again an all -time high beyond 80% during training. We also have improved our cash position in Q4 . We declared a dividend of INR 12 per share. We also continue to focus on operating efficiently so that we could reinvest in our capabilities and in our AI initiatives.

With that said. I will turn it over to Arun and we will be happy to take questions after that. Over to you, Arun.

Arun Agarwal : Thanks , Hiral. Welcome , everyone on the call.

As Hiral has shared quite detailed perspective on the business, the detailed presentation is already shared and circulated with all of you , I will focus upon critical financial matrices representing quarter and the full year and also which will give you certain idea and the lead indicators for FY '25 how we are shaping up the performance for next year.

For this Q4 , we have reported revenue of INR 779.7 crores, which is up 9.9% year -on-year in INR terms . Full year revenue was INR 3,055 crores , up by 19.2% year -on-year in INR terms, but including BizAnalytica acquisition which was consolidated for part of the year. As Hiral alluded to , we had three negative impacts during the quarter, including the Healthcare customer which we moved offshore and the other one. Hence , our quarter -on-quarter revenue was below expectation as it de -grew by 0.6% quarter -on-quarter in INR terms and 1.4% in con stant currency.

On the order book side, we have seen a consistent upward trajectory in the last three quarters and Q4 has been really phenomenal. We have secured the highest ever order book during the quarter both in the US and for the group , leading to st rong order backlog of USD 260 million which is up by 5% quarter -on-quarter and 21% year -on-year in INR terms. We have added 22 customers during the quarter . Our customer acquisition engine continues to be effective across verticals and across geographies . Our operating EBITDA for the quarter was at 16%. It declined 100 b ps quarter -on-quarter. As we mentioned about three impact s in revenue , one of them had cost included , there the delivery challenges have been now completely taken out and the customer is onboarded. We expect the revenue to continue to come in the coming quarters, but the cost was there in the last quarter. So, that revenue decline has slowed down to the margin , impacting our operating EBIT DA. On a full-year basis, our EBITDA growth was 11.6% year -on-year.

Utilization without taking impact of LEAP was 86.5%, which has improved 110 bps quarter -on-quarter. Our profit after tax for the quarter was at INR 94.4 crore s, up 21% quarter -on-quarte r, 30% year -on-year on a quarter basis. During the quarter, we had one -time tax credit in our overseas geography, which led to lower tax costs and also supported profit

after tax for the

quarter. Our collection has been very strong in the last three quarters. Our DSOs are consistently coming down . Quite detailed focus happening across geographies. Consequently, our gross cash

has increased to INR 473 crores as we closed March '24 versus INR 404 crores which was reported in December 20 23.

Our borrowing s now stood at INR 487 crores as of 31st March 2024 and we have a detailed installment plan agreed with banks as part of loan borrowing and we are meeting all our installments commitment as we have said and will continue to discharge th is borrowing in next two to three years as planned .

Our closing headcount was 5,539 at the end of March . Marginal increase by 21 resources versus December quarter . And we continue to onboard both trainees and also lateral hires as we want to deliver growth for the company as a whole. The Company has recommended a dividend of INR 12 which is subject to sh areholders approval and post approval it will be distributed to the shareholders.

That was the key highlight. We will take more questions, very specific to ask here. Going back to the moderator to open the house for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir, if you could help us und erstand on that US part ? And second is a follow up like by when do you think we can recover back to our original revenue levels or slightly higher than what we did in the past few quarters ?

Hiral Chandrana: So, Mohit, I think your first question was a litt le bit more color on the US . Can you just clarify ?

Mohit Jain: Right.

Hiral Chandrana: So, the three specific client situations that I mentioned, one Financial Services customer on our data business, the offshore movement of a Healthcare client and the third customer , all three unfortunately, were in the US . Two out of those three are transitory. So, we expect that to come back in a positive way in Q1 and beyond. One of the clients where we decided to move was the right decision even in retrospect because Healthcare as some of you might have heard, particularly the health plans have been hit by lower reimbursement from the government and many of them are looking at cost savings which was a good calculated move which impacted us in Q4. Hav ing said that , from a US overall perspective , we have four specific broader level strategies that we have talked about in the past, right. One is within US, we have 20 accounts which we have shortlisted. At a global level we have 30 accounts, but within US we have 20 specific accounts. Healthcare which is powered by Oracle Cloud and Salesforce in the front office , that play continues to be very strong. While we don ’t report TCV order book , just to give you some flavor, while on a small base , the Healthcare order book in US grew 250% in FY’24. So, it was a marquee year for us , transformational in some sense in terms of our payer and provider focus, which we have been talking about in the last few quarters. In addition to the USD

17 million deal that I menti oned, which was a longer -term five -year contract, we also closed a few deals below USD 10 million, one of which was an USD 8 million deal. Again , these are longer -term deals , four-to-five-year deals which we have not seen in the past in the US market , and that’s giving us confidence in the long -term trust from our customers. So, large deals , account mining , Healthcare focus, which includes Oracle in the back office and Salesforce in the front office. And last but not least, in our data and digital engineering services , we are starting to see some good momentum of cross -sell. While it is connected with the account mining point , we believe that more can be done here, particularly with our globa

l capabilities of AW S, our

global capabilities of Microsof t as well as some of the data investments that you know. So, combined together, we believe the US will bounce back in Q1. And from there on, we have fairly ambitious plans for FY’25 and beyond. The team is ge ared up to deliver . Definitely , a disappointment in Q4 , but as we look forward, our UK engine has fired well, our Middle East and APAC continues to improve margins while driving growth and we believe that US will fire in Q1 in FY’25 in a very strong way. So, we are optimistic , Mohit, on FY’25 as a whole.

Mohit Jain: So, in 1Q we should build in that recovery back with some loss because one client as you mentioned you have cancelled, so we will not be back to that level, but little lower than where we were in Q3 ?

Hiral Chandrana: Yes, I think that ’s a fair statement. We will significantly lower what we saw and we should be crossing that in early part of Q2 from a specific US perspective .

Mohit Jain: On UK, it looks like order book is growing very fast and we have also been abl e to execute well from a quarterly standpoint. So , what is your outlook from a UK growth standpoint for next year, essentially FY’25 given where our order book is?

Hiral Chandrana: Our order book actually like I mentioned was overall record levels. We cros sed a milestone quarter for US order book. O ur UK order book as a whole was definitely better in FY ’24 compared to FY ’23. There are few specific frameworks and campaigns that we have been running . Some of these take much longer. I mentioned the Department of Justice, some of the drivers, vehicle agency and police protection frameworks, these are longer -term campaigns which we believe will crack in later part of this year, if not in Q2 and Q3. Having said that, the election year does put some slowdown in terms of dec ision -making . We were expecting a couple of deals to be adjudicated on the data side in our revenue and customs department . That basically went on hold and did not get awarded to anybody . So, that's just giving you an example of some of the safer decisions that the government is making . We continue to make good progress in the Cabinet Office. If you remember, this was a deal that we had closed a few months back , managed services engagement and now we are actually the chosen partner for ServiceNow implementa tion, and AWS work in that same c lient where they 're doing development and enhancement work. So, this is a good progress for us in the cabinet office. And our private sector business, which is a small base, but we are happy to see some really good progre ss. We won two new frameworks in the Financial Services side. This is leveraging some of our presence in the

government work, but Bank of England was a key framework, and we won our first deal within , it's a small deal, but we won our first deal within the Bank of England with USD 2 - 2.5 million deal that we won and we believe that 's setting us up well for Financial Services focus in the UK . And Europe , lastly, while again the focus has been mostly in the Oracle Cloud side and manufacturing clients, we have got some really good global clients out there which are shaping well and compared to FY'23, FY'24 from a pipeline and deal momentum perspective definitely picked up in second half. So, while we are not hugely focused on Europe because they 're very specific in terms of which country, we do expect continued deal activity in certain countries. So, all in all, our UK and Europe will definitely deliver double -digit, in FY'25.

Mohit Jain: When you say signed orders like orders on hold, they 're not signed orders, right, they are put on hold when or during the award process itself ?

Hiral Chandrana: So, the data orders that I mentioned in the Revenue and Customs Department, those never got adjudicated and the ord ers itself were put on hold

, they did not get decided to any supplier .

Mohit Jain: Order backlog that you report is only on signed orders ?

Hiral Chandrana: Order backlog is only on signed SOW and even there we take the specific signed SOW s which are a full year value that we are confident of. So , if there is a call -off value which is a large four year or a five-year deal, it does not get reflected in the 12 -month s order book backlog. So, that is visibility of only one year. So, that's a fairly credible 12 -month s order book backlog as an indicator.

Mohit Jain: And two for Arun , sir. First, in terms of margins , like we had this earlier guidance of 17 % to 19% and now we had some one -off in the fourth quarter , so should we take your guidance number similar to what we had last quarter or is there an update ? And last is what should be the tax rate that we should take for FY'25?

Arun Agarwal: So, in terms of margin, yes, 1 6% is a blip to us . Our endeavor is to go back to 17% as we reported in Q3. But at the same time, the focus is more on growth . So, I will keep that range at 17 % for now. And in terms of tax rate , on a normalized basis, 27% is a good reference. There can be plus and minus depending upon the multiple country at which we operate , but I think 27% could be a good judge .

Moderator: The next question is from the line of Hussain Kagzi from Ambit Asset Management. Please go ahead.

Hussain Kagzi : So, the first part was that you mentioned that the share of top -30 which is your focused client was 57%. So, can you give some more color how this number has trended over the last few years and what would be the growth in this co hort?

Hiral Chandrana: We initiated our focus on account mining in FY '23, a little bit 30-second context , as a company organization , we believe we have way too many clients and much more than we actually need and many of our projects and implementation in the past used to essentially kind of conclude and then we moved on to the next client . So, while we were opening new customers and smaller deals, there was a lot of churn in our existing client. So , we started this initiative on account mining, which again is more standard stuff in the IT services industry. But from a Mastek perspec tive, we outlined these top -30 accounts and just like anything else, every year we evaluate this , but during the year we want to stay consistent on these accounts. So , in the past that number used to be more in the 50% range. Now , just keep in mind that a couple of clients come in, a couple of clients go out , but give or take that has progressed a little bit slower than what we anticipated, but definitely progress ed in the right direction. The number I gave you is the current number of FY'24, which is 57% of our overall business. These are some mar quee clients . We have very global names out here and then some of them we have shared in the past and is on our website . We continue to focus on opening new clients, but those are much mor e qualified and much larger enterprise customers where we can grow downstream . So, our goal is to make sure that at a net -net level, we don 't need to necessarily add too many clients. The clients that we will add is going to be much more qualified , larger deals, larger customers and we want to continue to cross -sell and mine our existing accounts. So, that number of 57% is expected to continue to grow up. But then at the same time , we have our next 20 clients. Each region has identified additional clients w hich we believe can grow to USD 3, USD 5 million in the future, and so those could become part of our future account mining strategy as well as a t a global level . So, hopefully that provides some flavor .

Hussain Kagzi: Say, before our strategy started from around 50% it has now come to around 57%, right?

Hiral Chandrana: That's right.

Hussain Kagzi: And secondly, extendin

g on to the margin question from the earlier participant . So, if I see, I mean we did s tart F Y'24 with much of the headwinds of FY '23 behind us, but we had the new BizAnalytica acquisition which was lower than our margin profile and of course the Q4 part. So, excluding those, what would you allude the margin weakness to #1? And could you al so quantify the impact that BizAnalytica had on margins for this financial year , just some ballpark number I think for our understanding ?

Arun Agarwal: I am taking it very quickly, Hussain . In terms of the levers which has impacted the margin as broad profile , the talent cost because 90% -plus of our business is cloud and digital . While there is an attrition which is coming down for the industry, but the kind of talent we operate with , very less legacy business , the talent is always at the high demand . So, your talent cost keeps going up and you need to pay well to get the right talent onboarded to your company and to deliver to the customers. So, that's one of the areas. The second area is , we are also investing significantly for growth. Our exp ectation is not to operate just in line with industry , we want to perform better than the industry . So, there are the investments which has been gone into particu lar regions and

particular verticals so that we can ride that momentum . So, those are the two important areas of investment which has gone as a company . BizAnalytica impact would be broadly in the range of 30 to 40 b ps for a full year basis. That 's what we indicated at the time of acquisition max 50 basis is what we were anticipating. I t hink it 's broadly 30 to 40 bps which has impacted us for the year.

Hussain Kagzi: What would be our organic growth for this financial year?

Arun Agarwal: Maybe again, I don 't have specific now, but 3% you can assume broadly high level . We can do specifics and come back , but broadly 3% you can assume would be dilution because of the inorganic play.

Moderator: The next question is from the line of Ravi Menon from M acqu arie G roup. Please go ahead.

Ravi Menon : Just wanted to clarify on this ministry of defense deal. They were a customer of yours already from what I understand. So, this is all net new or is there any part of it that we should think of as finishing one set of work packages and then awarding and accept ?

Hiral Chandrana: So, Ravi, it 's a good ques tion. We have been working with the Defense Department as you pointed out over the last few years. We continue to do that work. It 's a decent size account for us right now. It 's within that top 30 and one of the fastest growing accounts . That work continues in terms of some of the data warehousing , identity and access management work that we do . This is a new framework. It 's a new set of initiatives from the customer . And this will be incremental in like I said, different areas in different lots, the lots that are r elevant to us I mentioned earlier and the work that we are currently doing will continue and as we get more win as part of this framework that will continue to add and grow the account.

Ravi Menon: Salesforce as a company has not been really reporting very strong growth. So , how are you seeing this sign for you? Is there still an opportunity to grow maybe even faster than their license growth or how should we think about that?

Hiral Chandrana: Yes, that 's a really good point because Salesforce used to g row at 23 %, 25% year -on-year range at one point a couple of years back. Their latest guidance for this year at a company level is I think 8 % to 9% year -on-year growth. So, they've definitely slowed down and we are seeing in certain pockets where organizati ons might choose the Service Now or some other alternative platform. Having said that, Salesforce is a very large ecosystem and there is significant incumbency in terms of the customer 360 deg

ree platform. So, this is I am talking about sales cloud , service c loud, marketing cloud , integration cloud . These are the ones that we are focused on. And we believe it 's still a good mining opportunity because we have some really good capabilities particularly in Healthcare and the area which has gone slow for us is the state and local government where Salesforce has also been slow to win and that has impacted us. But at an overall level we are taking the Salesforce capabilities global . So, we expect to penetrate that in the UK and beyond. And we still feel it 's a growing ecosystem, although at a much slower

rate. The one other point which applies a little bit more broadly, but since you asked about the

Salesforce in particular is that our capabilities are also functional -oriented , right , in many cases. So, in some places where we saw like for example , if you remember we had a hit a little over a year back on Oracle Cloud Commerce and we were able to retrain and reorient them into newer Commerce tools or newer Adobe tools or even Salesforce in those cases. So , we will always continue to keep a watch out there because the fungibility of our skills can always be cross-trained and that 's something that we have done in a couple of cases in the hyperscaler area and the front offi ce area as well. But ye s, I mean in general, the Salesforce is still a positive story for us going forward. We did see a slowdown in Q4 that impacted us, but otherwise as a whole, it will continue to grow in FY'25 and beyond .

Moderator: The next question is from the line of Naveen B aid from Nuva ma Asset Management. Please go ahead.

Naveen Baid : Can you give some guidance on the organic growth expected for FY'25?

Hiral Chandrana: So, again , we don 't give guidance as a company as you know, but like Arun allude d to, right , in dollar terms again just like -for-like FY'24 over F Y'23 full year basis we were 15.8% on a U.S. dollar terms . If you roughly remove the BizAnalytica 3% or so , that still is at 12 .5% to 13% year-on-year growth, right, that is for FY'24.

Naveen Baid: Do we expect a similar number for FY '25?

Hiral Chandrana: I am coming to that. So, I just wanted to make sure that our baseline would be the organic view, right . So, for F Y'25, we believe that our aspirations of co urse to do better than that and we think that we can exceed that number in FY '25 in terms of full year numbers . There is always a potential to see a little bit quarter -on-quarter differences between the quarters. We do have some seasonality on certain quarters, but in general for a full year FY'25 level, we expect to beat that FY'24 full year number.

Naveen Baid: So, what caused this sharp drop in tax expense this quarter?

Arun Agarwal: Naveen, this time we had certain overseas geographies w here w e got the tax credit and that was one-time relating to earlier year which was accounted for in the quarte r, led to overall reduction in the ETR for the quarter and for the year.

Moderator: The next question is from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: My question was on the margin profile. Just wanted to understand historically we had guided that post US ramping up sharply coming to a good growth rate and BizAnalytica reac hing about double -digit margin profile by end of FY '24, what is still not allowing us to guide on improved margins going forward?

Arun Agarwal: Again, there are multiple factors , Nilesh, which we ha d to keep operating , one is the balance between growth and the margin, right. So , our process is definitely we want EPS to continue to grow and to make it as a combination we want growth to be much faster and definitely quality of earning has to be healthy . So, our outlook at this point of time is to operate clos er to 17% and 17%-plus in the m

edium -term. And as the expansion of revenue comes across geography , US in particular as you rightly said, because lot of investment has gone in there , with certain size and scale, we will start leveraging our SG&A investme nt and then we can see upward improvement in the EBITDA margin profile as well .

Nilesh Jethani: What could be the levers for driving apart from US?

Arun Agarwal: There are multiple like our AMEA margin as well , Middle East margin is much lower than the company average . As we are coming out of the smaller accounts focusing upon account mining and just picking up the customers who can become the customer for life as it 's been very, very selective , so the focus is how can we improve margin out there. There are lot of operating levers , how do you manage your grade mix, more trainees inclusion into it, your subcontractor reduction, your offshore onshore mix. A ll these combinations are part of our operating levers on top of SG&A leverage will help us drive this improvement.

Hiral Chandrana: I just wan t to add th at is our utilization that I referred to earlier is definitely on a n improving trajectory. In fact , we believe it 's at a peak level right now in terms of some of the operating impr ovements that we have m ade. We had a program last year in FY '24, which we will continue in the form of project LEAP which is focused on continued improvement in operating leve rs with the intent of repurposing that into GenAI and newer area investments. So, that balance of repurposing will continue, but the blip we saw in Q4 obviously will recover in Q1.

Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: My question is on the impact that we had in the US geography. So , you mentioned that there were some client -specific issues. So, if you can quantify the exact amount that was the impact in this quarter ? And also the issue started at the start of the quarter or it was like phenomenon that you saw at the middle of the quarter ? And these clients that are facing the issues , are these clients the acquired from the recent acquisitions? And also, if you can give are these in the top five and top ten in the US?

Hiral Chandrana: So, Amit, the re are multiple questions . Let me try to break it up into two or three parts. All are good valid points. Two clients out of the three are part of the acquired clients . I am starting with the last question . One of them the client that we talked about whic h we move d business from onsite to offshore for a particular program , actually that is in the top client . And that 's the very reason why we made that move because it did establish strong continuity and in fact post that we are continuing to see good opportunities in that Healthcare client in newer areas right as they're looking at cost savings and few other transformational initiatives as well. So, that's the second part . And then other question was on the quantum . And while we cannot share the exact

specifics, but just ballpark , each of these three very specific situations that I talked about , right, give or take each of them created a little over a million each of impact and so you can kind of do the rough math there , I mean , total, of course is hig her because each of these three particular customers had an impact of more than USD 1 million each for the Q4 timeframe. Like I said, two of them, we should be able to recover in Q1 , one of them which is the offshore movement , we continue to grow that clie nt. So, hopefully that address es all your points .

Amit Chandra: The second question is on the margin. So, earlier we were in the band of 17 % to 19 %, but now we are sticking towards the lower end. So, is it because of these client movements though something that has changed very like recently or is it more structurally we are seeing like pressu

re in terms of the margin that is coming through and from here on is it the new range in terms of the margins?

Arun Agarwal: Very quickly, Amit and I think I g ave the same reflection to previous question. So, since we are operating at 16 % now, our endeavor is to first reach 17%, which we are very confident about , we will reach to that number , as I said , because revenue loss has reflected into the margin profile because cost was incurred , so we should be able to come back to 17% very quick ly. In the short -term, we want to operate closer to 17 %-17% plus . Medium -to-long term as we start delivering with a scale in the US market, our Middle East market start improving the margin , will come back to our trajectory of 17 % to 19 %, but for short -to-medium term, you should take more 17 % to 18 % for now.

Hiral Chandrana: On Amit 's question , again, it 's a valid question . Arun covered it as well, but we do see the data and AI, particularly with some of the initiatives . While it has become a lot more realistic now in terms of use cases , customers are talking about where is it working, how do we make it work for us, but the investments and solutions , investments in industry -specific use cases is critical. So, some of the operating l ever improvements, we do plan to repurpose for differentiated GenAI and AI solutions. I think that will be critical for us in FY '25 to not just ensure market share of that, but also a differentiated position. So, hopefully , Amit , that covers that part as well.

Moderator: The next question is from the line of Krupa Desai from Electrum Capital. Please go ahead.

Krupa Desai : Sir, my question was , why are our fixed price contracts going down? Usually , it used to be around the 50% level and now it is around 30% level.

Arun Agarwal : The kind of business we are in , most of the work in the digital and cloud are outcome -oriented. The contracting is sometimes at the pre ference of the custom er where they want to do T &M rather than fixed bid engagements, but only the billing type which they choose . Most of the work which we do is outcome -oriented . We decide what kind of staffing we want to do, what kind of rate which we want to do. There could be certain requirements on the customer side as well. Obviously, we have to work together t o ensure the outcome is delivered. So , I will not be too much worried between fixed bid and T &M ratio at this point of time. But yes, as an approach , we want a more fixed b it so that you are able to drive much better control over the execution

rather than discussion with the client. But broadly it 's more the contract methodology rather than the work which we do.

Moderator: The next question is from the line of Jalaj from Swan Investment . Please go ahead.

Jalaj : This is for Arun. First question, could you gi ve me the margin walkthrough , what explains the dip?

Arun Agarwal: So, as I mentioned in my opening commentary, and as Hiral mentioned, we had three challenges in the US market with three customers . While all three have some degree of influence , but one of them where we have done the work in this quarter, but there was delivery challenge, which has been completely resolved now as we speak. But we couldn 't recognize any revenue last quarter because the customer was not ready to agree to the change request. B ut we wanted the customer to be happy because that 's a long -term relationship. There is millions of dollars of opportunity line d with that customer. So , we had to take the cost hit in our P&L in Q4 for which there is no revenue which has impacted our margin primarily . There are plus and minus reasons, but predominately that 's the reason which has impacted EBITDA profile .

Jalaj: So, we can expect the revenue to come next quarter. Is it so?

Arun Agarwal: So, that c ustomer will become B AU next quarter . Out of three,

two will reverse, one will reverse
immediately in the current quarter, one will reverse over the period because what we have done in offshoring, it will come back, but will come back gradually as different pipelines are building up, so in a different transit, it will come back . But the one which impacted our margin will come back in Q1.
Hiral Chandrana: And maybe just one more point to add, Arun . I also alluded to one Salesforce program whe re we were dependent on the previous phase to complete . That particular program was ready to start or we were ready to start in January. Now , we again make the call to hold on to those resources. Unfortunately, the previous phase got delayed from another p rovider. Now , we are starting that program this quarter, but it did create a delay. So, we were able to offset some of these things. We are starting to see some larger deal activity in the UK as well where the pricing will be competitive and like Arun mentioned talent costs definitely w ill have a bearing to it . But most of those we have been able to offset through some of the operating lever improvements that you see in some of the metrics . So, this particular blip that you saw in Q4 with the US client , that will come back in Q1.
Jalaj: And this is with regards to not guidance, but directionally for FY ’25 and beyond, so for the growth per s e, what gives us confidence or how do you s ee it across geos, maybe if you could give us some flavor on to that side , that would be very helpful ?
Arun Agarwal: Yes, you ’re referring to revenue growth, right?

Jalaj: Hiral mentioned that we are looking to do better growth in FY ’25 than this. So, maybe a little bit on the geo wise and maybe also you could talk about the large deals ?
Hiral Chandrana: If you look at the three geographies, let me start with the Middle East and APAC. Kudos to the team there, really solid in quarter ex ecution and overall momentum that geography has now . It does come with certain margin challenges, but our revenue growth has been very solid . We are taking a much more qualified approach in the Middle East because we want to go after very specific larger c lients and deals which are more medium -to-long-term sustainable . But geography will continue to grow double -digits . UK and Europe as a whole which as you know, UK continues to be our biggest geography in public sector within that business , we are seeing again decent deal momentum . Our private sector actually is looking up here in the l ast two or three months, we see some really good lead indicators of the deal momentum in our private sector . We think that there is going to be some slowdown in decision -making because of the election year in UK particularly, but the pipeline continues to be rock solid and again UK is also projected to be at least double -digit in terms of year -on-year growth . US which we had a challenge in Q4 , like we said wil l bounce back in Q1 , and will grow much faster compared to the entire company and we see some of these accounts that we have been talking about starting to become larger accounts , I mentioned about the USD 14 million account, there is a few more accou nts that will become USD 5 million , eventually USD 10 million and so that account mining focus and Healthcare focus in the US will drive much faster growth, right. So, that’s how we would break down , calculated double -digit growth in Middle East and APAC , at least double digit in UK and Europe and then of course much faster industry -leading when it comes to US.
Moderator: The next question is from the line of Sudeep Duggar from Finacle Venture . Please go ahead.
Sudeep Duggar : My question is specifically wi th regards to the earn outs that we pay out . How does it affect the P&L and the balance sheet if you could explain ?
Arun Agarwal: So you are talking about BizAnalytica if I am not wrong. And

how does it work is all the earnouts
are provisioned at the time of acquisition, it lies in liability , and as you make the payment, it goes from the liability . If any payment goes beyond those liability, then it goes through the P &L and same about if it is lower than what has been a ccrued. So, what I can answer , it is provided for in the book with the right approximation with the help of value rs how the accounting happens . So, we don ’t see significant ups and downs coming into the P&L .
Sudeep Duggar: So, the earnouts suppose in the components of the ESOP , so it hit the employee expense and in case of cash payouts , it hits employee expense and other expense ?
Arun Agarwal: No. So, what happens in the case of ESOP , it goes to P&L. In the case of earnout , it is nothing, but the acquisi tion cost for which liability is created as of the date of acquisition and all the payment happens through that liability which you create on day one. So, it doesn ’t go through the P &L. If your estimation on day one is not correct then fluctuation in that estimation goes through P&L .

Sudeep Duggar: And it ’s amortized as intangibles?

Arun Agarwal : Those are amortization, and your fair valuation of contingent consideration goes through P&L, which is a n IND AS requirement. So, there is an interest line, there is the depreciation which gets impacted.
Moderator: The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.
Sarang Sanil : Firstly, can I know what the revenue of B izAnalytica was this quarter? I believe it was USD 4.3 million last quarter.
Arun Agarwal: Our expectation was that the quarter in which we make the acquisition we will report it. Q2, we reported because it was m id of the quarter and Q3 also we reported because it was full of the quarter. Now , the business is completely integrated. It is as much as integrated because data and requirements from every customer you go to. So, for example, we have got a new deal with our existing client in the US. It 's more than a one and a half million dollar data deal. It becomes difficult to classify whethe r it's BizAnalytica acquisition related deal or it 's related to Mastek, right. And hence as we have integrated it completely, we have stopped giving that information separately because it will not be a true reflection on the numbers because it 's one united business now.
Sarang Sanil: On your i nitial comment s pertaining to the margin , you had mildly touched upon the case of US where you had to move from onsite to offshore for a particular client. What was the impact from that and would you want to quantify any other impact that we had this quarter?
Arun Agarwal: As we mentioned, there are three impacts of onshore to offshore, one in sourcing client d id, because of the acquisition done by their end , third was this delivery challenge which has been resolved no w, and the fourth which Hiral said because there was one deal which was awarded to us and we believe that will offset , and the phase -I was delayed by the previous vendor and then we couldn 't start the work. All four put together has some of the impact into the margin because we had the resources already lined up . As we get into Q1, the two will reverse as Hiral said and one is permanent. So , obviously we will take the resources out as those will not be required for that client, but we will use them in some other program because these are similar work talent which we need for any other program we operate in for.
Moderator: As there are no further questions, I w ould now like to hand the conference over to management for closing comments.
Hiral Chandrana: So, first of all, thanks for the engagement and the questions. Hopefully , we were able to cover good ground on some of the specific reasons for the Q4 revenue dr op and disappointing

performance in Q4. Having said that, our lead indicators of order book backlog , our demand and deal momentum continue s to be strong. All three geographies have some really positive progress

that we have made in our key strategic priori ties, and we believe continued rigor and execution on them will be important in FY '25. We are positioned really well when it comes to our top client, but also our next 20 clients that I was mentioning earlier. So, the whole account mining focus is starting to pay off for us in terms of stickiness, but at a more broad industry level, our key positioning in terms of Oracle Cloud, in terms of Salesforce , in terms of data and AI , and our entire digital engineering as well as exper ience capabilities will help us position strongly as the demand continues to improve. As you can see from our backlog the year -on-year growth and the quarter -on-quarter growth of our order book momentum gives us confidence in our FY '25 outlook and the inve stments that we have already made in the last year and a half , two years in not just acquisition, but also in terms of organic capabilities and our accounts as well as our ability to win large deals and larger clients is starting to reflect in again growt h in specific areas that we want to focus on. So, again, while we saw results which were below our expectations in Q4, we are confident about bouncing back in Q1 and having a solid FY'25. Thank you again for the trust and the commitment towards Mastek and joining the call.
Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Jul 2024

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SEC/ 44/2024- 25 July 24, 2024

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Bandra Kurla Complex,
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SYMBOL: MASTEK
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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended June 30, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended June 30, 2024, conducted on July 18, 2024, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
SVP – Group Company Secretary
Encl: A/A

“Mastek Limited

Q1 FY'2 5 Earnings Conference Call ”
July 18, 202 4

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICE R, MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER , MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Moderator: Ladies and gentlemen good day and welcome to the Mastek Limited Earnings Conference Call.

As a reminder, all part icipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star and then zero on your touch tone phone. Please note that thi s conference is being recorded.

I now hand over the call to Ms. Asha Gupta. Thank you and over to you, Ms. Asha Gupta.

Asha Gupta : Good evening to all of you. Welcome to the Q1 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view them on the website at www.mastek.com .

To take us through the results today and to answer your que stions, we have the top management of Mastek, represented by Mr. Hiral Chandrana - Global CEO, and Mr. Arun Agarwal - Global CFO. Hiral will start the call with a business update, which will be then followed by Arun providing the financial update for the q uarter.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chand rana. Over to you, Hiral.

Hiral Chandrana : Thank you Asha. Good evening, everybody. Hope everyone is doing well. I will cover the highlights of the quarter, followed by an update on key strategic priorities and then also give some commentary on the outlook where we see the industry and market going forward. As we've reported our results, our revenue quarter -on-quarter increased by 4.3% on INR terms. Year -on-year is 12.1% on an INR basis. We are pleased with the revenue uptick and the momentum on the top lin e. Our 12 months order book backlog, while it was flat quarter -on-quarter, increased 23% year -on-year. Q1 is typically a slower start to the order book, but we see some really good deal momentum in pipeline building and confident about the deals in the fut ure quarters.

Our operating EBITDA was a disappointment. We had some onetime hits which we'll talk about in the subsequent discussion. But there were a couple of provisions that we had to make, and it was at 15.2%. We had some fairly unique and differenti ated wins across multiple geographies and multiple offerings. I'll just mention a few of them. One particular U.K. department, which handles immigration and law enforcement, we've been working with them on our digital operational dashboards and asylum and refugee management through the case working platform that we have built, and we continue to enhance that and modernize those platforms as more and more volume flows through those case management systems.

For a U.S. Health care client, we are modernizing their claims management platform powered by Salesforce, where this particular regional health plan is looking at how to optimize and automate

some of their claims processing. For a USD 7 billion retail recreational vehicle manufacturing and distributor co mpany in U.S., we've taken over 2 digital engineering pods and won a customer loyalty program, which is an account we opened 6 months back and is showing some amazing traction. For one of the central banks in U.K., we have won data and analytics platform d eal, a great example of synergy from our BizAnalytica acquisition where our teams work together to win that against some stiff competition. We're just scratching the surface there

and we see great
potential in building on this initial pilot going forward.

These are some of the examples, but what I'm really excited here is, as we look at our top strategic priorities, which we have continued to reinforce last few quarters, our Health care business continues to grow, particularly in U.S. Our secure government services business, which is our central government business in U.K., continues to have good pipeline. Elections were moved ahead, as you know, in the U.K., so some of the uncertainty around the , the election period is now behind us and so we see a lot more clarity on the new Labour Party executing on their manifesto, particularly on the NHS and health programs, the defence programs, some of which we are focused on.

Account mining has been a key focus for us. We've communicated in t he past to our investors and analyst community about our top 30 accounts, which roughly forms about 57% of our revenue and we continue to see growing momentum on cross -selling service lines across those accounts. And as you'll notice and as we have communi cated, we want to continue to grow top line, not necessarily by growing number of accounts. In fact, by conscious design, we've continued to reduce the number of accounts, particularly in our AMEA geography from 250 accounts to 175 accounts over the last 2 quarters while of course, growing top line. So, this is an example where you'll see deeper account mining, which is leading to deeper relationships as well as more USD 1 million, more USD 3 million, more USD 5 million accounts.

In the data and AI space, which is our fourth key priority, we continue to see some great examples of wins, but we are particularly excited about some marquee partnerships with NVIDIA, with Microsoft, with AWS that we've announced over the last few quarter s. The recent one with NVIDIA is a very differentiated partnership where we are leveraging the NVIDIA inference and interface micro services API to channel into multiple large language models where we have built our experience, insights and correlation eng ine so that we can drive industry -specific use cases. Some of the industries that we are focused on include sub -verticals in manufacturing, fraud analytics within the financial services and also benefit verification use cases in the Health care sector. We believe that this is truly differentiated. It's initial stages, as we expand on this momentum, we will see a lot more larger deals in the coming quarters through this partnership.

As we look ahead, there are continued macroeconomic uncertainties and deal delays, which we see in the market. So customers are still cautious when it comes to cost preservation as well as high scrutiny on some of the deals and the approvals. However, we are engaged in some fairly marquee programs, which are very strategic in nature. The kinds of conversations that we're having with cloud implementations, with some of the new digital engineering programs as well

as in data engineering and data modernization programs are very differentiated. U.S., in particular, the Health care momentum powered by Oracle Cloud, has really kicked into high gear and we see continued momentum there with providers, with senior living facilities as well as with regional health plan. We also have kicked off an internal transformation, which we're calling Project Nucleus. And this is looking at the entire order -to-cash life cycle, some of which we had been doing some groundwork, but this is important to further streamline processes, automate certain inefficiencies and then hopefully, we can generate enough savings to repurpose in future investment areas, but also help with improved productivity and efficiencies internally. Coupled with our Gen AI internal AI Amigo platform, which we are driving to automate multiple functional areas, including financ e, marketing,

HR as well. As we look at AI and Gen AI in an overall sense, we're starting to see some interesting pilots and proof of concepts moving into slightly larger programs, but we believe it will still take a couple of quarters for customers to truly see some of those ROIs coming from the investments that we have made. We are looking at this very strategically in multiple pillars. There's AI that is getting infused in our key platforms like Oracle, like Salesforce, like Microsoft, AWS and Snowflake. There is a nonlinear set of initiatives that we have embarked on about 18 months back, which is starting to come together for example, in the connected enterprise areas. And then there are some of these newer partnerships like NVIDIA that I talked about. So it's coming together well in a nice way for us where a lot of the data engineering and data foundation will be built on as customers look at much more ROI from the AI investment.

I had given 3 specific areas in our last quarter's commentary around our U.S. geography. So I want to address that, again, very transparently. There was one particular customer where we had a challenge when it comes to delivery. We have now recovered through that program. We made the right investments in people and are out of t he woods out there and engaged in now some new discussions with that program. It was a financial services customer in the East Coast. There was a second program that we had talked about where a large engagement had moved from on -site to offshore. So that o bviously is getting executed. There's no change in that. And there was a third area where there were three deals, in particular, two that we talked about, but three deals, which had been delayed in terms of closures. So , I want to report that two out of those three deals have closed, although it did take us longer than anticipated. This was in a particular pocket within some of our Salesforce business in the US And because those deals got delayed, we continue to keep those resources and we made a tough call to handle and keep those resources, rightly so because now we've been able to deploy them and actually ramp them up in the projects that are now commenced, but it did impact our EBITDA for Q1. Arun will talk about some of the aged receivables in Middle East, which we had an impact also because of the holiday period in Middle East, but we are confident of recovering from that and coming back to our original margin levels in the coming quarters.

So with that, I think overall business momentum continues to be strong. While I said there will continue to be some level of caution, there's more optimism compared to 3 -4 quarters back, particularly as it looks to the second half of the year. And we are co nfident that we'll continue the growth momentum on the top line while coming back on the EBITDA front.

With that, I'll pass it over to Arun, and I look forward to answering questions after that.
Arun Agarwal : Thanks, Hiral. A very warm welcome to everyone on the call. I hope all of you have seen the detailed presentation, which was shared. Hence, I will focus more on the financial metrics. We reported revenue of INR 813 crores for the quarter, which is up 12.1% year -on-year and 4.3% quarter -on-quarter in th e INR terms. This reflects into constant currency growth of 4.1% quarter -on-quarter. While macro challenges and delay in decision -making continues, as Hiral alluded to, however, we are witnessing good deal momentum in line with our strategic investment and the same is reflected in our order backlog, which has improved 23% year -on-year in INR terms. We added 13 new customers during the quarter and increased Fortune 1000 customer base from 34 to 36 in the current quarter. So we're continuously seeing the upti ck in the average revenue per customer and also the quality of customers, which we are on boarding.
Operat

ing EBITDA for the quarter was at 15.2%, a decline of 80 bps quarter -on-quarter. This has been led because of two critical reasons which has happened in the quarter. One is cost of ramp associated with delayed project commencement, specifically in the Salesforce business, which Hiral alluded to, but we are really confident that the growth is coming back, and we are seeing these resources getting deploye d, which will reflect in our margin profile in the coming quarters. And also, we had onetime impact, including PDD in our Middle East region. Because of holidays, the re were delay s in collection and because of the aging, you have to provide for it. We don' t see any risk into those collections; however, from a timing perspective, those provisions was required to be made as per accounting rules.
Profit after tax for the quarter was at INR 17.5 crores revenue, 8.8% of revenue; however, our profit for tax quart er-on-quarter has gone down. If you recollect, I had mentioned in the last quarter, we had onetime tax credit associated with deferred tax and which led to increase in our PAT due to reduction of tax expense. This quarter, the tax is on a normalized basis, in line with what we anticipate to incur on an ongoing basis.
Our gross cas h as of June end was INR 383 crores. It is reduced from INR 473 crores in the March. I would like to highlight that in the current quarter, we have paid annual bonuses and variable payout to all the employees across Mastek, which led to a reduction in operating cash for the quarter. And our DSOs, as I mentioned, for the PDD reason, has gone to 92 days versus 89 days. As I mentioned, we believe this is more timing gap and thi ngs will improve as we move to the coming quarters.
Our overall borrowings stood at INR 455 crores. It has reduced quarter -on-quarter as we have paid one more installment as it was due during the quarter. Our closing headcount has increased to 5,546 headcount, a marginal increase quarter -on-quarter. Utilization is flat at 86.5% without considering the lease impact. So broadly, we feel good momentum is building up. Our revenue continue to grow. Order book further gives us confidence. And margin, we are focusing to improve and bring it back to the levels we were operating at.

With this, thanks to everyone for continued trust in Mastek. Going back to the moderator and opening the house for Q&A.
Moderator: Thank you very much. We will now begin the questio n-and-answer session.
Debashish : Congrats on a good set of numbers as far as the top line is concerned and order book is concerned. My q uestion is more linked to the one -off cost that you have mentioned. If you just can elaborate what is the exact number of the provision that you have taken for the quarter, and how much is linked to US ramp -up delay and how much is linked to the Middle East market?
Arun Agarwal : So Debashish, on a high level, roughly 120 bps is the impact . Again, it's a combination of both US and AMEA . Predominantly, AMEA is related to your DSO and PDD increase, and the balance is because of the resources, which we had used for the ramp -up, delayed project commencements out there. You can assume 50 -50, but broadly in the similar range.
Debashish: Okay. Understood. And the second question is linked to the US market be cause if we see over the last 2 to 3 quarters, especially, if the growth is coming, margin is not coming; if the margin is coming, growth is not coming. It seems that US market is not getting stabilized for us. So if you can give us some amount of directio n that by what time you are expecting US market to stabilize and how much this is linked to the macro uncertainty and how much this is linked to our client -related issues?
Hiral Chandrana : So Debashish, this is Hiral. Thanks for that question. You're right with respect to some of the unevenness, lack of consist

ency, like you rightly pointed out. However, if you take a step back,
I just feel it's important to appreciate that 3 years back, we were a very, small business in the US, part icularly with almost kind of a declining Oracle Cloud Commerce ATG business, which essentially no longer exists for us . So it's almost sort of starting from scratch in the region. With the right investments organically and inorganically, we're now at a little over 100 million type of annual run rate business, which has come together fairly well in a kind of a profile of customers and clients, 35 -plus Fortune 1000 clients, some marquee brands, in some cases, Fortun e 500 as well as the types of conversations and the accounts and the deals that we're having is at a very different level . So that journey definitely has taken much longer.
Having said that, now we have critical mass, and we have the right teams in place. We have also some of the visibility and ability to balance off, in case something doesn't happen in any particular quarter. Now there will be some level of uncertainty, I think, as clients continue to be very cautious on spend. But the differentiate d areas that we are focused on, which is, again, going back to healthcare in U.S., both on payers and providers, are focused on Oracle Cloud and data and AI and Salesforce as well as, as we start winning digital engineering projects, we've just won another deal, which happened actually in Q2, in early July, so we did not announce that in the Q1 results, but it is a capital market customer in the East Coast, which was one of the clients from the BizAnalytica acquisition where we've now closed an A WS digital engineering deal.

So, these are some of the examples of deals that we are winning. I guess, the net -net answer to your question, though, is that we feel that there is a certain critical mass in that geography, which we did not ha ve in the previous 4 to 5 quarters. And from here on, we'll have a lot more leverage when it comes to even improving our EBIT and operating margin. And generally, I would say bullish kind of view of US, particularly as we look forward, although w e need to demonstrate that in 2 or 3 quarters of consistent results and that's when we will feel a little bit better.
Debashish : Sir, just a follow -up on the US market again. It seems that we are mainly targeting project -related businesses in US, which is kind of giving us quarter -on-quarter uncertainties. And obviously, it is getting difficult to put a number on how our growth and margin trajectory would be. Is it fair to assume that this project -related business focus is kindly impacting us? And going for ward when macro economy will turn back, we'll be able to get a better growth and better margin?
Hiral Chandrana : So it's a good point, Debashish. Our business mix was heavily project related . If you rewind back 18 months in terms of commerce project s or cloud and Oracle Cloud projects, the Salesforce projects or even some of the other implementations that we have done, so what you're saying is partially right. However, the mix has changed quite significantly in the last 1.5 years. And wherever we are doing projects and implementations, we're following that up very quickly with managed services engagement. The stickiness of our clients has improved to the point where we are being more qualified in the new clients that we are on boarding particularly in US and in Middle East because we want to make sure that the new clients that we are acquiring are also longer -term clients. There used to be a phenomena 2 years back in the U S where we used to have 10, 20 clients we opened and then three quarte rs later that client is done because the project is done. That's no longer the case. So that stickiness has definitely improved. We want higher balance of managed services and that's definitely an area which the

team is focused on,
but it's a little bit of a gradual journey there. I would say in the next one or two quarters we'll reach by the end of this fiscal year a good mix a comfortable mix.
Hopefully by then some of the discretionary spend will also be a lit tle bit at a different level which will position us very differently because some of the sweet spots that we have even in the current uncertain environment we've been able to win cloud and digital deals. So hopefully that answers your question.
Debashish: Sure. One last question if I may. In this quarter, we have seen that U K private has started growing for us after a very long time. Is it like we're getting some traction there or is it like a one -off we should not draw a conclusion out of it?
Hiral Chandrana : Yes, so it is an area which we had seen historical flatness and even decline in the previous years. The team has done a good job in focusing on some very specific sub -vertical , particularly sub - verticals within financial services. We also are getting some good traction in ou r existing clients. We announced a win in a Central Bank which is a very key win in UK which also sets the stage for us to grow in that particular account going forward.

So, there's some definite green shoots out there in the U K private sector, there's some positive signs. We do need to open some new marquee logos out there that can help us scale because we're still a small business out there, relatively speaking . Our public sector and central government business is much more mature. O ur private sector business in U K is still in the growth phase. But definitely we are seeing some good signs in terms of both customer interactions as well as pipeline and order book.

Debashish: Sure. From the order book it seems that this year our growth number will be in the high mid - teens. Is my calculation correct? And if you can also give some indication that what would be the stabilized margin for us for FY '25?

Hiral Chandrana : Yes, Debashish as you know we don't provide guidance on specific numbers, but the top line momentum that we have in Q1 we feel that that's a healthy momentum that we should be able to continue in the remaining quarters. Margin anyways Arun also mentioned about the onetime hit in Middle East as well as the project ramp -up and the resources that we had to hold on to, but we definitely want to operate closer to that 16.5%, 17% type of margin in the second half of the year.

Debashish : Sure. Thank you so much for answering my question.

Moderator: Thank you. N ext question is from the line of Mr. Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : So, first is on U .K. Government, s hould we expect some acceleration ahead now that some of the uncertainty is behi nd in terms of contract awards t hat is one. And second was cost related. We also sa w this reduction in D&A during the quarter. Is it onetime or this is a new rate for depreciation -amortization going forward?

Hiral Chandrana : Okay. Arun why don't you take the second and I'll cover the first.

Arun Agarwal : So Mohit as I mentioned last time as well, we had onetime useful life alignment for the intangibles which you acquire during which basically comes at the time of acquisition of entities. So which was done as onetime. So what you see in depreciation is more the regular one and you will see the incremental increase as and when we make the capex, but broadly what you see in the current quarter is the range you should look for.

Mohit Jain : And your tax rate should go towards 26%, is that correct?

Arun Agarwal : Yes, it's broadly in the range of 26% to 27%. It keeps moving in that range because depending upon which geography is making more profit sometim es there's a blend with change, b ut I think 26%-27% is a good range for us.

Mohit Jain : Got it sir. Sir on UK government accelerati

on effect if we should expect that?

Hiral Chandrana : Mohit your specific question was on U K government ?

Mohit Jain : Correct.

Hiral Chandrana : Yes. We have some very critical programs and policies that we are involved in and as you know it is a strategic part of our business from biometrics to immigration to some of the law enforcement as well as the work that we do for asylum and refugee management a nd there's always some pros and cons on the election timing. For us, it has worked in a positive way because some of the deals and some of the programs that we were going after both in our existing accounts as well as in our ne w departments that we were targeting like justice and drivers vehicle agency etc are now a lot more clearer in terms of potential timing and spend areas.

But the cycles of the central government are longer as you know. And so some level of uncertainty wil l exist in the whole adjudication process, b ut we continue to feel strong about the growth potential in the assets and the differentiation that we have in the UK government. The manifesto of the Labour Party which includes clarity on immigration as well as health sector should hopefully benefit in the com ing days and weeks , in fact after this I'm headed to UK and spending some time next week out there to engage with some customers and analysts and partners.

But we do see that in a few weeks after the holiday period that typically ends in August , thing s should start opening up. We are already seeing some deals which again we cannot announce it right now because it was in Q2 and there's a quiet period, b ut there are some movements that have happened already after the elections.

I think while some of the m inisters are taking charge and some of the charters are being announced, there's also some increased action that we see in the defense sector which is another focus. If you remember in the last quarter, we talked about the overall defense sector and our bets on that from a medium to longer term. So we're starting to see things pick up in there as well. So yes, overall we continue to see momentum, but the nature of that business will have long cycles and so I think we should be just kind of prepared f or that.

Mohit Jain: All the best sir. Thank you.

Hiral Chandrana : Thanks Mohit.

Moderator: The next question is from the line of Farid Kazani , Individual I nvestor. Please go-ahead sir.
Farid Kazani: Good afternoon, Hiral and Arun. I have two questions. From numbers I observe that the profitability has s ignificantly reduced from the US, and we look at EBIT from the 9% in the last quarter it's down to 3% and even last year it was much higher. While I know Arun did allude to some impact of that 1.2%, but what is causing this reduction a nd is there something else either as a pricing impact or is there some element that is causing the drop in the profi tability significantly in the U S.? That's my first question.
The second question is with regards to the order backlog that has remained flat as compared to the last quarter. Can you give a little more color on it in terms of what's the breakup of this USD 260 million between the geographies?

Hiral Chandrana: So, Arun why don't you take the US margin question and I'll address the order backlog.
Arun Agarwal : And Farid right observation because that's what is I mentioned as well as you rightly highlighte d because we were holding the resources some of the projects we wer e anticipating to start much earlier and there was delay from the client side and some of the start delay out there which led to holding the resources and what is reflecting into the margin profile. However, as we see the growth is coming back into the US geography, we believe we'll come back to a double -digit margin profile in the current year.

That's the plan as we speak.
Farid Kazani : So Arun the gap is s ignificantly higher from what you gave in terms of reason and the quantification of that the gap seems to be much higher. Is it again with related to the mix of business or is it related to some pricing issues which is what is the probable cause?
Arun Agar wal: No, it's predominantly one -time as I mentioned. There's no pricing issues as such. We continue to get good rates. Obviously, the kind of business , different service clients will have different margin profile and different rate profile s, but we are not seeing any margin pressure. It continues to be healthy, and we are not bidding for deals which are more of where you lose the pricing. We are bidding for the deals which are high -quality digital and cloud deals, and we are getting right price and right ma rgin in those areas.
Hiral Chandrana : And Farid, your question on order book backlog. While it is flat like you rightly pointed out quarter -on-quarter, we typically have an operating plan from Q1, Q2, Q3, Q4, where our Q1 order book starts typically a litt le bit slower in the terms of percentage terms . Although we did have a healthy order book in Q1, we're able to left shift some of the deals. So that's basically reflecting in terms of orders closed and the revenue that you saw, which is USD 97.3 million. So we do believe that the order book momentum both in terms of total order book as well as how it will reflect in the 12 -month order book backlog, which we track very closely as you know will continue to increase. It has been increasing, I think last 8 -9 quarters just broadly speaking . So that trajectory at an overall level will continue to increase. And then of course, we want to sustain the revenue momentum in terms of converting those orders into revenues.
Farid Kazani : Okay. And the split between geogr aphies? And how much of this USD 260 million, which is 12 months, how much is the first 9 months, which will get accounted in this year?
Hiral Chandrana : Arun, do you have that handy? Or we may not have that handy, I think.
Arun Agarwal : We don't have this handy but if required, we can discuss offline, yes.
Hiral Chandrana : The question is about 9 months.
Arun Agarwal : Yes.
Hiral Chandrana : I mean, there's typically a pattern where we track ACV of that, Farid but I don't think we have that split of what will be in the first 9 months, but we can get back on that separately.

Farid Kazani : Okay. Any update on fund raise that you guys would be lo oking at? And if there is, what's the kind of status on that?
Arun Agarwal : No, we have stated I think there were some rumours as well going on in the market. I think we replied to the exchange, Farid. There's no development as such. But if anything comes, we will be proactive and be coming and informing to the investors.
Farid Kazani : Thank you very much.
Moderator: Thank you. The next question is from Nilesh Jethani , BOI Mutual Funds. Please go ahead.
Nilesh Jethani : My first question was on the margin profile. So we had guided for 17% -odd margins level in FY'25 because we wanted to do some investments and focus on growth. So I wanted to understand with the margins what we have reported in Q1, how confident are you to achieve these margins on a full year basis or 17% was the exit guidance?

Arun Agarwal : That's a good question, Nilesh. Obviously, we have said our endeav our has to be operate in the range of 17% in short term. And gradually, we'll see in the medium term how can we grow it but that was our stated objective. At the moment because of this onetime impact in Q1 our objective is to bring it back closer to 16.5% to 17%. That's the objective for H2 and that's where we'll exit, and we'll build on it for next year.

Nilesh Jethani : Got it. So when I look at Mastek from a sustainable basis if give or take the

annual revenue run

rate what we are today at aroun d USD 400 million just wanted to understand at what rate whether it is U.S. business scaling up from here or the existing core business growing at a much higher pace core as in the U.K. -Europe business growing at a higher pace. At what levels of revenue one can expect that 17% to 19%, which was the aspiration which we had, so that towards 19% kind of a number at what revenue run rate whether it is from a U.S. perspective or from the company's perspective, you can help me understand that?

Hiral Chandrana : So Nilesh, this is Hiral. Let me take that. Arun, feel free to add. The way we look at the 3 geographies there is significant untapped potential in the U.S. market, which we believe in the right areas of health care Oracle and Salesforce as well as in the account mining focused bets that we have. Like I mentioned, it's taken a little bit longer to get to this point, but we have good critical mass right now. From here on, we believe that the margins in the U.S. will continue to improve over Q2 and the fo llowing quarters. And the year -on-year growth as well as quarter -on-quarter growth in that geography will be faster than the overall company growth.

In AMEA , which is our Middle East and APAC business, we have seen good growth. However, I do want to point out that we have been taking some very conscious call on exiting certain tail accounts, which again has been a by design strategy for us . We will continue that to make sure that the quality of the business that we have out there . There used to be a point where we used to open 30 -40 accounts and then 15 accounts will be closed in the following quarters, and we don't want to be in that business. So the qualification of our accounts and new logos are very strong now. And we believe these are good med ium longer -term accounts where we see

downstream business and our ability to take the entire Mastek suite of service lines and offerings to them. So even in our Middle East and AMEA business the margin profiles will go up. There will be some of these coll ection issues, which we've had in the past, which we're taking steps on. So that's as far as the AMEA business is concerned.

On the U.K. public sector and U.K. business overall does operate at a very healthy margin. We're looking at the geography for clos ing some larger deals in the coming quarters. There is a couple of competitors very large MNC competitors who are not doing so well in that geography. So we have a good medium to longer -term opportunity to target market share grab . So I think the combinati on of these 3 kind of strategies in the various regions will evolve over the next few quarters where our margin profile should get more healthy. The leverage should be much better as well as we are running this program like I said, where we continue to fin d innovative ways to delayer our organization, create some more efficiencies internally not just in the delivery of software development life cycle. But even in our processes so that we can continue to reinvest and repurpose into AI, into account mining, i nto large deals. So that's how we sort of are looking at this journey, Nilesh.

Nilesh Jethani : Okay. Because question actually was, say at USD 100 million U.S. run rate today, we expect say, give and take it grow at the company level or slightly higher in U.S. in this year and we would be able to reach at least double -digit margins in U.S. So going ahead, say from FY '26, FY'27 p erspective if you continue to grow at, say 10%, 15%, 20% in U.S., so the incremental flow-through of those incremental revenue will fall into EBIT or will continue to deploy that? So are we looking at U.S. margins in isolation and want to drive that maybe towards the company level from 10 %-odd aspiration by the year -end is that the thought process? Because U.S. is a big

picture for us. As far as Mastek is concerned driving higher growth in U.S. will drive operating leverage, et cetera but also need to understand whether that will help us to drive margins for the company level itself?

Hiral Chandrana : So, we definitely want to get the U.S. margins closer to the company level. Like you rightly said we should be able to get into double digits in this coming quarter and in the H2 time frame. But in FY '26 and beyond ; we'll always prioritize growth in the U.S. market because I think the opportunity untapped is still pretty high. But our margin profile needs to be a lot more closer to the company level. It might be a couple of percentage points lower, let's say in the 15% of the range. But we'll get to a much stronger business mix as well as profile in FY '26.

Nilesh Jethani : Got it. And one last question from my side. In Q4, we got selected as a key supplier for U.K. defense department. The deal value was 1.2 billion GBP for that department itse lf the

opportunity. Just wanted to understand what could be opportunity for Mastek A; and has the ramp -up begin? And what to expect from FY '25 or '26 perspective the numbers into top line from this deal itself?
Hiral Chandrana : We have actually commu nicated this in a couple of other forums where the different lots that were awarded and the 2 specific lots where Mastek in one case is a prime, in one case is a sub.

The total opportunity size for Mastek, of course we still have to go through the process and go through the win or adjudication process and have those in. But the total opportunity over the next 4 years is in the range of about 50 million from that particular win. Like I said, there's always pros and cons of the elections being happening earlier. There were some good advantages.
But one of the things that happened is that the ramp -up on that was definitely paused in the last 2 months. And now we are seeing that is starting to open up. So we see the defense and the ramp - up from t he wins that we had there, starting in August r amp-up, the actual impact in FY '25 is not going to be that significant, but there will definitely be some incremental impact in H2 in terms of revenue and it will start to pick up even more in the next 2 years .
Nilesh Jethani : Thank you so much, for answering all the question.
Moderator: The next question is from Saket Souradh , from individual investor. Please go ahead.
Saket Souradh : So yes, based on the Q4 con -call, so we had outlined 2 things. One, the margi n part, which I think now we have scaled it down, right, from 17% to be maybe more around 16.5%, that too in H2. But as far as revenue aspiration is concerned, we ha d stated that the growth for FY '25 would be higher than what we achieved in, last financial year, which was, I t hink, 16% -17% kind of a range.
So based on the order deferment and all those things that we have just outlined, so how confident are we of, say, doing better on top line growth perspective? Do you have any adjustment on that front as well?
Arun Agarwal : As we mentioned, that the re were one-timers, so as a pattern, we still hold our statement. We want to be operating closer to 17%, as I mentioned . So there was an impact in Q1. As you will see continuous improvement in quarter 2, we'll be improving further the margin profile. And in H2, we'll come back to 17% kind of the range is what we are looking for. And thereafter, that is what will get reflected into the margin profil e of the company as we enter FY '26.
Hiral Chandrana : And Saket, on the top line and revenue, I already mentioned, we're pleased with the quarter -on-quarter Q1 growth. We feel that the healthy kind of top line revenue momentum will continue. We have some good growth in the pipeline that has happened in the last few quarters, and we believe that, conversion to order book and then, of cours

e, conversion to revenue. While there is going to be continued delays in decisions , but we feel that th e top line momentum of what we delivered in Q1 can be sustained in the following projects.
Saket Souradh : Now coming to the recent change in the U.K. government. I know you alluded to that in the earlier queries. But do you expect any further delay in decision -making and especially on the NHS front, I think, which used to be our bread and butter, but has seen some bit of softness for the last, say, 12 months to 18 months. So any color on these 2 aspects. Overall decision -making from the government aspect and do you se e NHS coming back to the growth?

Hiral Chandrana : So firstly, I think next few weeks, particularly August tends to be a little bit of a holiday period. But as the new government is taking charge and settling down, we feel there'll be a lot more clarity on decisions on budgets. We're seeing early signs already on, for example, in the revenue and customs department, there were a couple of deals that were paused 6 months back. We were hopeful 6 months back on some of the deals that got paused as a result of election period, and now they are coming back up, in terms of the process. So we' re already seeing some early signs in those decisions and clarity of the process of some of those opportunities.
As far as NHS is concerned, like you rightly mentioned, we had an impact in the last 2 years as a result of NHS, but we also communicated in t he last quarter that it has bottomed out for us. And now with the U.K. elections already behind us, we see some really good green shoots there. There are two specific deals that if some of you might recall that we actually had won last year, but we could n ot ramp -up because those programs were put on pause. One was in collection, second was in pathways and both those have gotten rejuvenated, although it's in a slightly different size and scale, but we're back up there having conversations of how we re -engage in

those.
So NHS, we've also sort of raised our profile with multiple stakeholders across different departments. Our dependency was very high in the past with NHS digital after the reorganization happened last yea r and the consolidation under NHS, England. We now have 8 to 10 different stakeholders, new stakeholders that our team has done a fantastic job in building relati onships over the last 6 months. Plus, we're also looking at sort of the arm's length bodies and the integrated care units, which in clude many of the NHS trusts where the spend happens. So to us, that's a gradual but evolving positive story, where I think NHS will be on a growth path going forward.
Saket Souradh : Thanks, for the replies and best of luck for the upcoming quarters.
Hiral Chandrana : Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Hiral Chandrana : So once again, thanks for the engaging questions, your trust in Mastek . Hopefully, our response has provided more clarity on not just the current state and quarter, but also some of the initiatives and priorities that we are focused on and outlook for the future. I want to ma ybe close with 2 or 3 comments.
One is, we're very excited about our umbrella brand called iConniX, which is what we launched and announced a few weeks back. iConniX is our GenAI portfolio of offerings. While we've talked about only a few solutions around NVIDIA, around some of the Health care and retail use cases, but we're also workin g on some horizontal platforms. For example, our partnership with Microsoft in this solution called InfoGENius as well as our partnership with Oracle in our solution for HCM called TalentGenius. So, these are examples of conversational interfaces as well as GenAI solutions that we are building on the se leading

platforms. So overall, the industry

is starting to kind of get a grip around how this entire ROI will evolve around GenAI. And over the next f ew years, this is a USD 200 billion industry. We feel very excited that our positioning and differentiated approach which is lot more around platform thinking and industry -specific use cases is going to change not just our business mix, but also in terms o f how we elev ate our profile with customers.
The second is, the 4 strategic priorities that we've communicated, we'll continue to stay focused on that. Our public sector central government business in U.K. our Health care business in U.S. powered by Orac le Cloud and Salesforce, our data and AI business globally and our overall top 30 accounts. While we talk about our top 30 accounts, there are 20 additional accounts where we're starting to see some good traction. So overall, account mining story and cross -selling and much more deliberate profile of customers that we pick in terms of new logos as well.
And lastly, I understand with the Q1 numbers, there is a drop in operating EBITDA, but we feel this onetime impact plus some of the resources that we had he ld on will be positive for us from a rev enue perspective going forward. And with the momentum that we have across all 3 geographies, including AMEA, U.K. Europe as well as U.S. our growth momentum can be sustained in the coming quarters. So with that, than k you, everyone, for your participation and look forward to future interactions. Thank you.
Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter ended June 30, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended June 30, 2024, conducted on July 18, 2024, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
SVP – Group Company Secretary
Encl: A/A

“Mastek Limited

Q1 FY'2 5 Earnings Conference Call ”
July 18, 202 4

MANAGEMENT : MR. HIRAL CHANDRANA – CHIEF EXECUTIVE OFFICE R, MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER , MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATION

Moderator: Ladies and gentlemen good day and welcome to the Mastek Limited Earnings Conference Call.

As a reminder, all part icipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star and then zero on your touch tone phone. Please note that thi s conference is being recorded.

I now hand over the call to Ms. Asha Gupta. Thank you and over to you, Ms. Asha Gupta.

Asha Gupta : Good evening to all of you. Welcome to the Q1 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view them on the website at www.mastek.com .

To take us through the results today and to answer your que stions, we have the top management of Mastek, represented by Mr. Hiral Chandrana - Global CEO, and Mr. Arun Agarwal - Global CFO. Hiral will start the call with a business update, which will be then followed by Arun providing the financial update for the q uarter.

As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Hiral Chand rana. Over to you, Hiral.

Hiral Chandrana : Thank you Asha. Good evening, everybody. Hope everyone is doing well. I will cover the highlights of the quarter, followed by an update on key strategic priorities and then also give some commentary on the outlook where we see the industry and market going forward. As we've reported our results, our revenue quarter -on-quarter increased by 4.3% on INR terms. Year -on-year is 12.1% on an INR basis. We are pleased with the revenue uptick and the momentum on the top lin e. Our 12 months order book backlog, while it was flat quarter -on-quarter, increased 23% year -on-year. Q1 is typically a slower start to the order book, but we see some really good deal momentum in pipeline building and confident about the deals in the fut ure quarters.

Our operating EBITDA was a disappointment. We had some onetime hits which we'll talk about in the subsequent discussion. But there were a couple of provisions that we had to make, and it was at 15.2%. We had some fairly unique and differenti ated wins across multiple geographies and multiple offerings. I'll just mention a few of them. One particular U.K. department, which handles immigration and law enforcement, we've been working with them on our digital operational dashboards and asylum and refugee management through the case working platform that we have built, and we continue to enhance that and modernize those platforms as more and more volume flows through those case management systems.

For a U.S. Health care client, we are modernizing their claims management platform powered by Salesforce, where this particular regional health plan is looking at how to optimize and automate

some of their claims processing. For a USD 7 billion retail recreational vehicle manufacturing and distributor co mpany in U.S., we've taken over 2 digital engineering pods and won a customer loyalty program, which is an account we opened 6 months back and is showing some amazing traction. For one of the central banks in U.K., we have won data and analytics platform d eal, a great example of synergy from our BizAnalytica acquisition where our teams work together to win that against some stiff competition. We're just scratching the surface there

and we see great
potential in building on this initial pilot going forward.

These are some of the examples, but what I'm really excited here is, as we look at our top strategic priorities, which we have continued to reinforce last few quarters, our Health care business continues to grow, particularly in U.S. Our secure government services business, which is our central government business in U.K., continues to have good pipeline. Elections were moved ahead, as you know, in the U.K., so some of the uncertainty around the , the election period is now behind us and so we see a lot more clarity on the new Labour Party executing on their manifesto, particularly on the NHS and health programs, the defence programs, some of which we are focused on.

Account mining has been a key focus for us. We've communicated in t he past to our investors and analyst community about our top 30 accounts, which roughly forms about 57% of our revenue and we continue to see growing momentum on cross -selling service lines across those accounts. And as you'll notice and as we have communi cated, we want to continue to grow top line, not necessarily by growing number of accounts. In fact, by conscious design, we've continued to reduce the number of accounts, particularly in our AMEA geography from 250 accounts to 175 accounts over the last 2 quarters while of course, growing top line. So, this is an example where you'll see deeper account mining, which is leading to deeper relationships as well as more USD 1 million, more USD 3 million, more USD 5 million accounts.

In the data and AI space, which is our fourth key priority, we continue to see some great examples of wins, but we are particularly excited about some marquee partnerships with NVIDIA, with Microsoft, with AWS that we've announced over the last few quarter s. The recent one with NVIDIA is a very differentiated partnership where we are leveraging the NVIDIA inference and interface micro services API to channel into multiple large language models where we have built our experience, insights and correlation eng ine so that we can drive industry - specific use cases. Some of the industries that we are focused on include sub -verticals in manufacturing, fraud analytics within the financial services and also benefit verification use cases in the Health care sector. We believe that this is truly differentiated. It's initial stages, as we expand on this momentum, we will see a lot more larger deals in the coming quarters through this partnership.
As we look ahead, there are continued macroeconomic uncertainties and deal delays, which we see in the market. So customers are still cautious when it comes to cost preservation as well as high scrutiny on some of the deals and the approvals. However, we are engaged in some fairly marquee programs, which are very strategic in nature. The kinds of conversations that we're having with cloud implementations, with some of the new digital engineering programs as well

as in data engineering and data modernization programs are very differentiated. U.S., in particular, the Health care momentum powered by Oracle Cloud, has really kicked into high gear and we see continued momentum there with providers, with senior living facilities as well as with regional health plan. We also have kicked off an internal transformation, which we're calling Project Nucleus. And this is looking at the entire order -to-cash life cycle, some of which we had been doing some groundwork, but this is important to further streamline processes, automate certain inefficiencies and then hopefully, we can generate enough savings to repurpose in future investment areas, but also help with improved productivity and efficiencies internally. Coupled with our Gen AI internal AI Amigo platform, which we are driving to automate multiple functional areas, including financ e, marketing,

HR as well. As we look at AI and Gen AI in an
overall sense, we're starting to see some interesting pilots and proof of concepts moving into slightly larger programs, but we believe it will still take a couple of quarters for customers to truly see some of those ROIs coming from the investments that we have made. We are looking at this very strategically in multiple pillars. There's AI that is getting infused in our key platforms like Oracle, like Salesforce, like Microsoft, AWS and Snowflake. There is a nonlinear set of initiatives that we have embarked on about 18 months back, which is starting to come together for example, in the connected enterprise areas. And then there are some of these newer partnerships like NVIDIA that I talked about. So it's coming together well in a nice way for us where a lot of the data engineering and data foundation will be built on as customers look at much more ROI from the AI investment.
I had given 3 specific areas in our last quarter's commentary around our U.S. geography. So I want to address that, again, very transparently. There was one particular customer where we had a challenge when it comes to delivery. We have now recovered through that program. We made the right investments in people and are out of t he woods out there and engaged in now some new discussions with that program. It was a financial services customer in the East Coast. There was a second program that we had talked about where a large engagement had moved from on -site to offshore. So that o bviously is getting executed. There's no change in that. And there was a third area where there were three deals, in particular, two that we talked about, but three deals, which had been delayed in terms of closures. So , I want to report that two out of those three deals have closed, although it did take us longer than anticipated. This was in a particular pocket within some of our Salesforce business in the US And because those deals got delayed, we continue to keep those resources and we made a tough call to handle and keep those resources, rightly so because now we've been able to deploy them and actually ramp them up in the projects that are now commenced, but it did impact our EBITDA for Q1. Arun will talk about some of the aged receivables in Middle East, which we had an impact also because of the holiday period in Middle East, but we are confident of recovering from that and coming back to our original margin levels in the coming quarters.
So with that, I think overall business momentum continues to be strong. While I said there will continue to be some level of caution, there's more optimism compared to 3 -4 quarters back, particularly as it looks to the second half of the year. And we are co nfident that we'll continue the growth momentum on the top line while coming back on the EBITDA front.

With that, I'll pass it over to Arun, and I look forward to answering questions after that.
Arun Agarwal : Thanks, Hiral. A very warm welcome to everyone on the call. I hope all of you have seen the detailed presentation, which was shared. Hence, I will focus more on the financial metrics. We reported revenue of INR 813 crores for the quarter, which is up 12.1% year -on-year and 4.3% quarter -on-quarter in th e INR terms. This reflects into constant currency growth of 4.1% quarter -on-quarter. While macro challenges and delay in decision -making continues, as Hiral alluded to, however, we are witnessing good deal momentum in line with our strategic investment and the same is reflected in our order backlog, which has improved 23% year -on-year in INR terms. We added 13 new customers during the quarter and increased Fortune 1000 customer base from 34 to 36 in the current quarter. So we're continuously seeing the upti ck in the average revenue per customer and also the quality of customers, which we are on boarding.
Operat

ing EBITDA for the quarter was at 15.2%, a decline of 80 bps quarter -on-quarter. This has been led because of two critical reasons which has happened in the quarter. One is cost of ramp associated with delayed project commencement, specifically in the Salesforce business, which Hiral alluded to, but we are really confident that the growth is coming back, and we are seeing these resources getting deploye d, which will reflect in our margin profile in the coming quarters. And also, we had onetime impact, including PDD in our Middle East region. Because of holidays, the re were delay s in collection and because of the aging, you have to provide for it. We don' t see any risk into those collections; however, from a timing perspective, those provisions was required to be made as per accounting rules.
Profit after tax for the quarter was at INR 17.5 crores revenue, 8.8% of revenue; however, our profit for tax quart er-on-quarter has gone down. If you recollect, I had mentioned in the last quarter, we had onetime tax credit associated with deferred tax and which led to increase in our PAT due to reduction of tax expense. This quarter, the tax is on a normalized basis, in line with what we anticipate to incur on an ongoing basis.
Our gross cas h as of June end was INR 383 crores. It is reduced from INR 473 crores in the March. I would like to highlight that in the current quarter, we have paid annual bonuses and variable payout to all the employees across Mastek, which led to a reduction in operating cash for the quarter. And our DSOs, as I mentioned, for the PDD reason, has gone to 92 days versus 89 days. As I mentioned, we believe this is more timing gap and thi ngs will improve as we move to the coming quarters.
Our overall borrowings stood at INR 455 crores. It has reduced quarter -on-quarter as we have paid one more installment as it was due during the quarter. Our closing headcount has increased to 5,546 headcount, a marginal increase quarter -on-quarter. Utilization is flat at 86.5% without considering the lease impact. So broadly, we feel good momentum is building up. Our revenue continue to grow. Order book further gives us confidence. And margin, we are focusing to improve and bring it back to the levels we were operating at.

With this, thanks to everyone for continued trust in Mastek. Going back to the moderator and opening the house for Q&A.
Moderator: Thank you very much. We will now begin the questio n-and-answer session.
Debashish : Congrats on a good set of numbers as far as the top line is concerned and order book is concerned. My q uestion is more linked to the one -off cost that you have mentioned. If you just can elaborate what is the exact number of the provision that you have taken for the quarter, and how much is linked to US ramp -up delay and how much is linked to the Middle East market?
Arun Agarwal : So Debashish, on a high level, roughly 120 bps is the impact . Again, it's a combination of both US and AMEA . Predominantly, AMEA is related to your DSO and PDD increase, and the balance is because of the resources, which we had used for the ramp -up, delayed project commencements out there. You can assume 50 -50, but broadly in the similar range.
Debashish: Okay. Understood. And the second question is linked to the US market be cause if we see over the last 2 to 3 quarters, especially, if the growth is coming, margin is not coming; if the margin is coming, growth is not coming. It seems that US market is not getting stabilized for us. So if you can give us some amount of directio n that by what time you are expecting US market to stabilize and how much this is linked to the macro uncertainty and how much this is linked to our client -related issues?
Hiral Chandrana : So Debashish, this is Hiral. Thanks for that question. You're right with respect to some of the unevenness, lack of consist

ency, like you rightly pointed out. However, if you take a step back,
I just feel it's important to appreciate that 3 years back, we were a very, small business in the US, part icularly with almost kind of a declining Oracle Cloud Commerce ATG business, which essentially no longer exists for us . So it's almost sort of starting from scratch in the region. With the right investments organically and inorganically, we're now at a little over 100 million type of annual run rate business, which has come together fairly well in a kind of a profile of customers and clients, 35 -plus Fortune 1000 clients, some marquee brands, in some cases, Fortun e 500 as well as the types of conversations and the accounts and the deals that we're having is at a very different level . So that journey definitely has taken much longer.
Having said that, now we have critical mass, and we have the right teams in place. We have also some of the visibility and ability to balance off, in case something doesn't happen in any particular quarter. Now there will be some level of uncertainty, I think, as clients continue to be very cautious on spend. But the differentiate d areas that we are focused on, which is, again, going back to healthcare in U.S., both on payers and providers, are focused on Oracle Cloud and data and AI and Salesforce as well as, as we start winning digital engineering projects, we've just won another deal, which happened actually in Q2, in early July, so we did not announce that in the Q1 results, but it is a capital market customer in the East Coast, which was one of the clients from the BizAnalytica acquisition where we've now closed an A WS digital engineering deal.

So, these are some of the examples of deals that we are winning. I guess, the net -net answer to your question, though, is that we feel that there is a certain critical mass in that geography, which we did not ha ve in the previous 4 to 5 quarters. And from here on, we'll have a lot more leverage when it comes to even improving our EBIT and operating margin. And generally, I would say bullish kind of view of US, particularly as we look forward, although w e need to demonstrate that in 2 or 3 quarters of consistent results and that's when we will feel a little bit better.
Debashish : Sir, just a follow -up on the US market again. It seems that we are mainly targeting project -related businesses in US, which is kind of giving us quarter -on-quarter uncertainties. And obviously, it is getting difficult to put a number on how our growth and margin trajectory would be. Is it fair to assume that this project -related business focus is kindly impacting us? And going for ward when macro economy will turn back, we'll be able to get a better growth and better margin?
Hiral Chandrana : So it's a good point, Debashish. Our business mix was heavily project related . If you rewind back 18 months in terms of commerce project s or cloud and Oracle Cloud projects, the Salesforce projects or even some of the other implementations that we have done, so what you're saying is partially right. However, the mix has changed quite significantly in the last 1.5 years. And wherever we are doing projects and implementations, we're following that up very quickly with managed services engagement. The stickiness of our clients has improved to the point where we are being more qualified in the new clients that we are on boarding particularly in US and in Middle East because we want to make sure that the new clients that we are acquiring are also longer -term clients. There used to be a phenomena 2 years back in the U S where we used to have 10, 20 clients we opened and then three quarte rs later that client is done because the project is done. That's no longer the case. So that stickiness has definitely improved. We want higher balance of managed services and that's definitely an area which the

team is focused on,
but it's a little bit of a gradual journey there. I would say in the next one or two quarters we'll reach by the end of this fiscal year a good mix a comfortable mix.
Hopefully by then some of the discretionary spend will also be a lit tle bit at a different level which will position us very differently because some of the sweet spots that we have even in the current uncertain environment we've been able to win cloud and digital deals. So hopefully that answers your question.
Debashish: Sure. One last question if I may. In this quarter, we have seen that U K private has started growing for us after a very long time. Is it like we're getting some traction there or is it like a one -off we should not draw a conclusion out of it?
Hiral Chandrana : Yes, so it is an area which we had seen historical flatness and even decline in the previous years. The team has done a good job in focusing on some very specific sub -vertical , particularly sub -verticals within financial services. We also are getting some good traction in ou r existing clients. We announced a win in a Central Bank which is a very key win in UK which also sets the stage for us to grow in that particular account going forward.

So, there's some definite green shoots out there in the U K private sector, there's some positive signs. We do need to open some new marquee logos out there that can help us scale because we're still a small business out there, relatively speaking . Our public sector and central government business is much more mature. O ur private sector business in U K is still in the growth phase. But definitely we are seeing some good signs in terms of both customer interactions as well as pipeline and order book.
Debashish: Sure. From the order book it seems that this year our growth number will be in the high mid - teens. Is my calculation correct? And if you can also give some indication that what would be the stabilized margin for us for FY '25?
Hiral Chandrana : Yes, Debashish as you know we don't provide guidance on specific numbers, but the top line momentum that we have in Q1 we feel that that's a healthy momentum that we should be able to continue in the remaining quarters. Margin anyways Arun also mentioned about the onetime hit in Middle East as well as the project ramp -up and the resources that we had to hold on to, but we definitely want to operate closer to that 16.5%, 17% type of margin in the second half of the year.
Debashish : Sure. Thank you so much for answering my question.
Moderator: Thank you. N ext question is from the line of Mr. Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain : So, first is on U .K. Government, s hould we expect some acceleration ahead now that some of the uncertainty is behi nd in terms of contract awards t hat is one. And second was cost related. We also sa w this reduction in D&A during the quarter. Is it onetime or this is a new rate for depreciation -amortization going forward?
Hiral Chandrana : Okay. Arun why don't you take the second and I'll cover the first.
Arun Agarwal : So Mohit as I mentioned last time as well, we had onetime useful life alignment for the intangibles which you acquire during which basically comes at the time of acquisition of entities. So which was done as onetime. So what you see in depreciation is more the regular one and you will see the incremental increase as and when we make the capex, but broadly what you see in the current quarter is the range you should look for.
Mohit Jain : And your tax rate should go towards 26%, is that correct?
Arun Agarwal : Yes, it's broadly in the range of 26% to 27%. It keeps moving in that range because depending upon which geography is making more profit sometim es there's a blend with change, b ut I think 26%-27% is a good range for us.
Mohit Jain : Got it sir. Sir on UK government accelerati

on effect if we should expect that?
Hiral Chandrana : Mohit your specific question was on U K government ?
Mohit Jain : Correct.

Hiral Chandrana : Yes. We have some very critical programs and policies that we are involved in and as you know it is a strategic part of our business from biometrics to immigration to some of the law enforcement as well as the work that we do for asylum and refugee management a nd there's always some pros and cons on the election timing. For us, it has worked in a positive way because some of the deals and some of the programs that we were going after both in our existing accounts as well as in our ne w departments that we were targeting like justice and drivers vehicle agency etc are now a lot more clearer in terms of potential timing and spend areas.
But the cycles of the central government are longer as you know. And so some level of uncertainty wil l exist in the whole adjudication process, b ut we continue to feel strong about the growth potential in the assets and the differentiation that we have in the UK government. The manifesto of the Labour Party which includes clarity on immigration as well as health sector should hopefully benefit in the com ing days and weeks , in fact after this I'm headed to UK and spending some time next week out there to engage with some customers and analysts and partners.
But we do see that in a few weeks after the holiday period that typically ends in August , thing s should start opening up. We are already seeing some deals which again we cannot announce it right now because it was in Q2 and there's a quiet period, b ut there are some movements that have happened already after the elections.
I think while some of the m inisters are taking charge and some of the charters are being announced, there's also some increased action that we see in the defense sector which is another focus. If you remember in the last quarter, we talked about the overall defense sector and our bets on that from a medium to longer term. So we're starting to see things pick up in there as well. So yes, overall we continue to see momentum, but the nature of that business will have long cycles and so I think we should be just kind of prepared f or that.
Mohit Jain: All the best sir. Thank you.
Hiral Chandrana : Thanks Mohit.

Moderator: The next question is from the line of Farid Kazani , Individual I nvestor. Please go-ahead sir.
Farid Kazani: Good afternoon, Hiral and Arun. I have two questions. From numbers I observe that the profitability has s ignificantly reduced from the US, and we look at EBIT from the 9% in the last quarter it's down to 3% and even last year it was much higher. While I know Arun did allude to some impact of that 1.2%, but what is causing this reduction a nd is there something else either as a pricing impact or is there some element that is causing the drop in the profi tability significantly in the U S.? That's my first question.
The second question is with regards to the order backlog that has remained flat as compared to the last quarter. Can you give a little more color on it in terms of what's the breakup of this USD 260 million between the geographies?

Hiral Chandrana: So, Arun why don't you take the US margin question and I'll address the order backlog.
Arun Agarwal : And Farid right observation because that's what is I mentioned as well as you rightly highlighte d because we were holding the resources some of the projects we wer e anticipating to start much earlier and there was delay from the client side and some of the start delay out there which led to holding the resources and what is reflecting into the margin profile. However, as we see the growth is coming back into the US geography, we believe we'll come back to a double -digit margin profile in the current year.

That's the plan as we speak.
Farid Kazani : So Arun the gap is s ignificantly higher from what you gave in terms of reason and the quantification of that the gap seems to be much higher. Is it again with related to the mix of business or is it related to some pricing issues which is what is the probable cause?
Arun Agar wal: No, it's predominantly one -time as I mentioned. There's no pricing issues as such. We continue to get good rates. Obviously, the kind of business , different service clients will have different margin profile and different rate profile s, but we are not seeing any margin pressure. It continues to be healthy, and we are not bidding for deals which are more of where you lose the pricing. We are bidding for the deals which are high -quality digital and cloud deals, and we are getting right price and right ma rgin in those areas.
Hiral Chandrana : And Farid, your question on order book backlog. While it is flat like you rightly pointed out quarter -on-quarter, we typically have an operating plan from Q1, Q2, Q3, Q4, where our Q1 order book starts typically a litt le bit slower in the terms of percentage terms . Although we did have a healthy order book in Q1, we're able to left shift some of the deals. So that's basically reflecting in terms of orders closed and the revenue that you saw, which is USD 97.3 million. So we do believe that the order book momentum both in terms of total order book as well as how it will reflect in the 12 -month order book backlog, which we track very closely as you know will continue to increase. It has been increasing, I think last 8 -9 quarters just broadly speaking . So that trajectory at an overall level will continue to increase. And then of course, we want to sustain the revenue momentum in terms of converting those orders into revenues.
Farid Kazani : Okay. And the split between geogr aphies? And how much of this USD 260 million, which is 12 months, how much is the first 9 months, which will get accounted in this year?
Hiral Chandrana : Arun, do you have that handy? Or we may not have that handy, I think.
Arun Agarwal : We don't have this handy but if required, we can discuss offline, yes.
Hiral Chandrana : The question is about 9 months.
Arun Agarwal : Yes.
Hiral Chandrana : I mean, there's typically a pattern where we track ACV of that, Farid but I don't think we have that split of what will be in the first 9 months, but we can get back on that separately.

Farid Kazani : Okay. Any update on fund raise that you guys would be lo oking at? And if there is, what's the kind of status on that?
Arun Agarwal : No, we have stated I think there were some rumours as well going on in the market. I think we replied to the exchange, Farid. There's no development as such. But if anything comes, we will be proactive and be coming and informing to the investors.
Farid Kazani : Thank you very much.
Moderator: Thank you. The next question is from Nilesh Jethani , BOI Mutual Funds. Please go ahead.
Nilesh Jethani : My first question was on the margin profile. So we had guided for 17% -odd margins level in FY'25 because we wanted to do some investments and focus on growth. So I wanted to understand with the margins what we have reported in Q1, how confident are you to achieve these margins on a full year basis or 17% was the exit guidance?

Arun Agarwal : That's a good question, Nilesh. Obviously, we have said our endeav our has to be operate in the range of 17% in short term. And gradually, we'll see in the medium term how can we grow it but that was our stated objective. At the moment because of this onetime impact in Q1 our objective is to bring it back closer to 16.5% to 17%. That's the objective for H2 and that's where we'll exit, and we'll build on it for next year.

Nilesh Jethani : Got it. So when I look at Mastek from a sustainable basis if give or take the

annual revenue run rate what we are today at aroun d USD 400 million just wanted to understand at what rate whether it is U.S. business scaling up from here or the existing core business growing at a much higher pace core as in the U.K. -Europe business growing at a higher pace. At what levels of revenue one can expect that 17% to 19%, which was the aspiration which we had, so that towards 19% kind of a number at what revenue run rate whether it is from a U.S. perspective or from the company's perspective, you can help me understand that?

Hiral Chandrana : So Nilesh, this is Hiral. Let me take that. Arun, feel free to add. The way we look at the 3 geographies there is significant untapped potential in the U.S. market, which we believe in the right areas of health care Oracle and Salesforce as well as in the account mining focused bets that we have. Like I mentioned, it's taken a little bit longer to get to this point, but we have good critical mass right now. From here on, we believe that the margins in the U.S. will continue to improve over Q2 and the fo llowing quarters. And the year -on-year growth as well as quarter -on-quarter growth in that geography will be faster than the overall company growth.

In AMEA , which is our Middle East and APAC business, we have seen good growth. However, I do want to point out that we have been taking some very conscious call on exiting certain tail accounts, which again has been a by design strategy for us . We will continue that to make sure that the quality of the business that we have out there . There used to be a point where we used to open 30 -40 accounts and then 15 accounts will be closed in the following quarters, and we don't want to be in that business. So the qualification of our accounts and new logos are very strong now. And we believe these are good med ium longer -term accounts where we see

downstream business and our ability to take the entire Mastek suite of service lines and offerings to them. So even in our Middle East and AMEA business the margin profiles will go up. There will be some of these coll ection issues, which we've had in the past, which we're taking steps on. So that's as far as the AMEA business is concerned.

On the U.K. public sector and U.K. business overall does operate at a very healthy margin. We're looking at the geography for clos ing some larger deals in the coming quarters. There is a couple of competitors very large MNC competitors who are not doing so well in that geography. So we have a good medium to longer -term opportunity to target market share grab . So I think the combinati on of these 3 kind of strategies in the various regions will evolve over the next few quarters where our margin profile should get more healthy. The leverage should be much better as well as we are running this program like I said, where we continue to fin d innovative ways to delayer our organization, create some more efficiencies internally not just in the delivery of software development life cycle. But even in our processes so that we can continue to reinvest and repurpose into AI, into account mining, i nto large deals. So that's how we sort of are looking at this journey, Nilesh.

Nilesh Jethani : Okay. Because question actually was, say at USD 100 million U.S. run rate today, we expect say, give and take it grow at the company level or slightly higher in U.S. in this year and we would be able to reach at least double -digit margins in U.S. So going ahead, say from FY '26, FY'27 p erspective if you continue to grow at, say 10%, 15%, 20% in U.S., so the incremental flow-through of those incremental revenue will fall into EBIT or will continue to deploy that? So are we looking at U.S. margins in isolation and want to drive that maybe towards the company level from 10 %-odd aspiration by the year -end is that the thought process? Because U.S. is a big

picture for us. As far as Mastek is concerned driving higher growth in U.S. will drive operating leverage, et cetera but also need to understand whether that will help us to drive margins for the company level itself?

Hiral Chandrana : So, we definitely want to get the U.S. margins closer to the company level. Like you rightly said we should be able to get into double digits in this coming quarter and in the H2 time frame. But in FY '26 and beyond ; we'll always prioritize growth in the U.S. market because I think the opportunity untapped is still pretty high. But our margin profile needs to be a lot more closer to the company level. It might be a couple of percentage points lower, let's say in the 15% of the range. But we'll get to a much stronger business mix as well as profile in FY '26.

Nilesh Jethani : Got it. And one last question from my side. In Q4, we got selected as a key supplier for U.K. defense department. The deal value was 1.2 billion GBP for that department itse lf the

opportunity. Just wanted to understand what could be opportunity for Mastek A; and has the ramp -up begin? And what to expect from FY '25 or '26 perspective the numbers into top line from this deal itself?
Hiral Chandrana : We have actually commu nicated this in a couple of other forums where the different lots that were awarded and the 2 specific lots where Mastek in one case is a prime, in one case is a sub.

The total opportunity size for Mastek, of course we still have to go through the process and go through the win or adjudication process and have those in. But the total opportunity over the next 4 years is in the range of about 50 million from that particular win. Like I said, there's always pros and cons of the elections being happening earlier. There were some good advantages.
But one of the things that happened is that the ramp -up on that was definitely paused in the last 2 months. And now we are seeing that is starting to open up. So we see the defense and the ramp -up from t he wins that we had there, starting in August r amp-up, the actual impact in FY '25 is not going to be that significant, but there will definitely be some incremental impact in H2 in terms of revenue and it will start to pick up even more in the next 2 years .
Nilesh Jethani : Thank you so much, for answering all the question.
Moderator: The next question is from Saket Souradh , from individual investor. Please go ahead.
Saket Souradh : So yes, based on the Q4 con -call, so we had outlined 2 things. One, the margi n part, which I think now we have scaled it down, right, from 17% to be maybe more around 16.5%, that too in H2. But as far as revenue aspiration is concerned, we ha d stated that the growth for FY '25 would be higher than what we achieved in, last financial year, which was, I t hink, 16% -17% kind of a range.
So based on the order deferment and all those things that we have just outlined, so how confident are we of, say, doing better on top line growth perspective? Do you have any adjustment on that front as well?
Arun Agarwal : As we mentioned, that the re were one-timers, so as a pattern, we still hold our statement. We want to be operating closer to 17%, as I mentioned . So there was an impact in Q1. As you will see continuous improvement in quarter 2, we'll be improving further the margin profile. And in H2, we'll come back to 17% kind of the range is what we are looking for. And thereafter, that is what will get reflected into the margin profil e of the company as we enter FY '26.
Hiral Chandrana : And Saket, on the top line and revenue, I already mentioned, we're pleased with the quarter -on-quarter Q1 growth. We feel that the healthy kind of top line revenue momentum will continue. We have some good growth in the pipeline that has happened in the last few quarters, and we believe that, conversion to order book and then, of cours

e, conversion to revenue. While there is going to be continued delays in decisions , but we feel that th e top line momentum of what we delivered in Q1 can be sustained in the following projects.
Saket Souradh : Now coming to the recent change in the U.K. government. I know you alluded to that in the earlier queries. But do you expect any further delay in decision -making and especially on the NHS front, I think, which used to be our bread and butter, but has seen some bit of softness for the last, say, 12 months to 18 months. So any color on these 2 aspects. Overall decision -making from the government aspect and do you se e NHS coming back to the growth?

Hiral Chandrana : So firstly, I think next few weeks, particularly August tends to be a little bit of a holiday period. But as the new government is taking charge and settling down, we feel there'll be a lot more clarity on decisions on budgets. We're seeing early signs already on, for example, in the revenue and customs department, there were a couple of deals that were paused 6 months back. We were hopeful 6 months back on some of the deals that got paused as a result of election period, and now they are coming back up, in terms of the process. So we' re already seeing some early signs in those decisions and clarity of the process of some of those opportunities.
As far as NHS is concerned, like you rightly mentioned, we had an impact in the last 2 years as a result of NHS, but we also communicated in t he last quarter that it has bottomed out for us. And now with the U.K. elections already behind us, we see some really good green shoots there. There are two specific deals that if some of you might recall that we actually had won last year, but we could n ot ramp -up because those programs were put on pause. One was in collection, second was in pathways and both those have gotten rejuvenated, although it's in a slightly different size and scale, but we're back up there having conversations of how we re -engage in

those.
So NHS, we've also sort of raised our profile with multiple stakeholders across different departments. Our dependency was very high in the past with NHS digital after the reorganization happened last yea r and the consolidation under NHS, England. We now have 8 to 10 different stakeholders, new stakeholders that our team has done a fantastic job in building relati onships over the last 6 months. Plus, we're also looking at sort of the arm's length bodies and the integrated care units, which in clude many of the NHS trusts where the spend happens. So to us, that's a gradual but evolving positive story, where I think NHS will be on a growth path going forward.
Saket Souradh : Thanks, for the replies and best of luck for the upcoming quarters.
Hiral Chandrana : Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Hiral Chandrana : So once again, thanks for the engaging questions, your trust in Mastek . Hopefully, our response has provided more clarity on not just the current state and quarter, but also some of the initiatives and priorities that we are focused on and outlook for the future. I want to ma ybe close with 2 or 3 comments.
One is, we're very excited about our umbrella brand called iConniX, which is what we launched and announced a few weeks back. iConniX is our GenAI portfolio of offerings. While we've talked about only a few solutions around NVIDIA, around some of the Health care and retail use cases, but we're also workin g on some horizontal platforms. For example, our partnership with Microsoft in this solution called InfoGENius as well as our partnership with Oracle in our solution for HCM called TalentGenius. So, these are examples of conversational interfaces as well as GenAI solutions that we are building on the se leading

platforms. So overall, the industry

is starting to kind of get a grip around how this entire ROI will evolve around GenAI. And over the next f ew years, this is a USD 200 billion industry. We feel very excited that our positioning and differentiated approach which is lot more around platform thinking and industry -specific use cases is going to change not just our business mix, but also in terms o f how we elev ate our profile with customers.
The second is, the 4 strategic priorities that we've communicated, we'll continue to stay focused on that. Our public sector central government business in U.K. our Health care business in U.S. powered by Orac le Cloud and Salesforce, our data and AI business globally and our overall top 30 accounts. While we talk about our top 30 accounts, there are 20 additional accounts where we're starting to see some good traction. So overall, account mining story and cross -selling and much more deliberate profile of customers that we pick in terms of new logos as well.
And lastly, I understand with the Q1 numbers, there is a drop in operating EBITDA, but we feel this onetime impact plus some of the resources that we had he ld on will be positive for us from a rev enue perspective going forward. And with the momentum that we have across all 3 geographies, including AMEA, U.K. Europe as well as U.S. our growth momentum can be sustained in the coming quarters. So with that, than k you, everyone, for your participation and look forward to future interactions. Thank you.
Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2024

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SEC/ 087/2024- 25 October 25 , 2024

Listing Department
BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai -400 001
SCRIP CODE: 523704 Listing Department
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021
Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter
ended September 30, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended September 30, 2024, conducted on October 18, 2024, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -information/
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
SVP – Group Company Secretary
Encl: A/A

“Mastek Limited

Q2 FY'25 Earnings Conference Call ”
October 18, 202 4

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER ,
MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER ,
MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please not e that this conference is being recorded.

I now hand the conference over to Ms. Asha Gupta from E&Y. Thank you, and over to you, ma'am.
Asha Gupta: Thank you, Ms. Sejal. Good day to all of you. Welcome to the Q2 FY'25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com .
To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, CEO , and Arun Agarwal, CFO. Umang will start the call with a business update, which will be followed by Arun, providing the financial update for the quarter Post that, we will open the floor for Q&A session.
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future or which can be construed as forward- looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent Annual Report that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Asha. Good afternoon and good evening to everyone. Welcome to the quarterly results call for Mastek Limited for the Q 2 performance. I'll cover a few broad topics today. I'll take you through the overall performance of Mastek for this quarter. We'll then also talk about how are we faring on some of our key strategic priorities and then would give some directional input on where we see the market trending and moving forward. After that, Arun will take you through more details of our financial performance. And then, of course, we'll go through a Q&A round of answering your questions as far as possible.
On an overall basis, I think this was a very good quarter for us. We've had 6.7% quarter -on-quarter growth and also a healthy improvement in our EBITDA performance compared to the previous quarter. We continue to be cautiously optimistic as we step into the rest of the year and step into H2. Taking that down into some of our strategic markets on how the performance has been, I'll start with U.K. and Europe, which is our most important and largest market. U.K. continues to be resilient and growing for us in this quarter. As the new labour government starts taking hold of the business and making some more clarity in terms of their direction and execution, we're starting to see some important flow down to our business. For example, the health care investment of the government, which is now much more stronger and directional is very positively impacting our business. We are helping the government on a few very important deals that we saw in this quarter, both in terms of helping them with prevention of health care as

well as helping in collection of data and analysing that for providing better health care solutions. Our secured government services business continues to be stable and resilient, and we see steady growth in that portion of the business too. We are cautiously optimistic about the market as the government enters into this next phase of planning and budgeting and we feel confident that it should be a cautiously positive market going forward.
Talking about North America. W e are r

eally delighted with the performance in North America.
We saw 18% quarter -over -quarter growth in North America. This has been backed by healthy performance across all our sectors and which is Oracle, Salesforce, Data and including health care and all the other commercial verticals that we focus on. We continue to see good traction in health care in North America. Again, in this quarter, we added a few new really important logos. We added another significant not -for-profit health care pro vider, which is known as one of the most innovative health care providers in the region, and we are doing a turnkey program for them. Our account mining strategy in North America continues to be a key focus for us, and we're seeing good cross service line growth in a few of our accounts wherein we are moving swim lanes from one service line to the other, and our capability expansion that we have been doing over the last year and half is now starting to really help with the account mining business that we had in North America.
As far as our APAC and Middle East business is concerned, as suggested earlier, we are really shaping up our focus and priority. Australia continues to be one of our key big bets in that market, and we are seeing good traction there. Again, we saw some really important new logos closed in this quarter, especially around local government and health care and the ports business in Australia. In the long run, we think, and we look forward to Australia to grow and become a significant portion of our business.
On an overall basis, all service lines continue to deliver and starting to execute well. Gen AI is a very important part of our strategy as we had been explaining earlier. We're currently looking at our AI strategy in three broad buckets. The first bucket is around delivering efficiencies and quality improvement on all the services that we offer, which is starting from D igital to Oracle to

Salesforce and D ata. We are making some serious investments in terms of resources and capabilities to really upgrade our skills there, including training and tooling and partnerships, and we really would love to take that kind of efficiency back to our market very soon.

The second pillar is around development of Gen AI -led applications on our icxPro platform, it continues to evolve, and we have new cases , we have use cases that we have updated on that platform. We are running quite a few POCs with our customers, and we hope as we get into the next two quarters, we'll start seeing some revenue flow from these new applications or use cases that we are doing. The third important pillar that we have now started, and we are really excited about it is based or backed on the NVIDIA partnership that we had anno unced last quarter. We're now working on developing an enterprise AI solution, which will create a platform AI which is specific to clients and could be used for developing multiple use cases and applications, which will allow them to automate their business. Again, it is in the development stage. Currently,

we're working closely with our innovation team as well as working closely with NVIDIA to put that solution together.

We have had initial discussions with some customers, and we are hoping to take it to market by Q4. So , AI continues to be front and focus of all of our next -generation developments and we will look at making significant investments and directionally shifting our business to AI -led solutioning and AI -led delivery.

On an overall basis, the market continues to be cautiously optimistic. We have some important global events happening, the elections in North America, the U.K. going through their strategic directions and priority finalization. And of course, there is some unrest in the Middle East market. So, we are very closely monitoring and observing the geopolitical changes. We currently do

n't see any direct impact to our business in any of these geographies. However, like I said, we are cautiously optimistic and very closely observing the developments tha t are happening in various parts of the world.

With that, I would like to hand over the call to Arun to share more details on the financial performance of the company.

Arun Agarwal: Thanks, Umang. Wishing you all a very good day. Good morning, good afternoon, good evening, depending upon which part of the geography you are in. While detailed presentation has been already shared, I will cover key financial highlights for the quarter. W e reported revenue of INR 867 crores for the quarter, which is up by 6.7% quarter -on-quarter, and 13.3% year-on-year. This reflects into quarter -on-quarter constant currency growth of 4.7%.

As Umang mentioned, we are delighted with our performance across Americas, U.K., and European market as they continue to be not only resilient, but they're also driving the growth, whether you look into from quarter -on-quarter or from a year -on-year perspective. We continue to win and onboard new customers, again, across the geography . During the quarter, we have onboarded 14 new customers, and consequently, our 12-month order backlog grew by 17.9% year-on-year. On a quarter -on-quarter terms, it's a marginal increase of 1.2% in INR terms, broadly flat when you see on a constant currenc y basis.

Our operating EBITDA for the quarter was at 16.5%, showing an improvement of 125 bps quarter -on-quarter. Kindly note this is after taking the partial impact of wage hike, which we have done for certain grades in the mid of this quarter. The full -scale wage hike as we said earlier, will be done effective Q 3, but there was an impact which has been absorbed into the reported numbers. Obviously, there is some support, which we have got from the currency as the GBP was stronger versus dollar in the current quarter.

Our profit after tax for the quarter was at INR 128.7 crores versus INR 71.5 crores in the previous quarter. There are two reasons why the PAT has gone up. One, obviously, the operating EBITDA expansion has been reflected into our profitability. However, at the same time, we have certain exceptional gains in the current quarter which is partially offset by the old goodwill impairment,

which has happened. But both put together still giving some additional income in the current quarter, both getting reflected into a profit after tax of INR 128.7 crores.

Our gross cash for the quarter was at INR 390.5 crores. Kindly note during the quarter, we have distributed dividend for last financial year to all our shareholders. And also, we have discharged all the loan instalments as they were due during the quarter. During the quarter, our DSO got expanded to 95 days versus 92 days. This was predominantly due to certain expected collections getting right shifted. We don't see any challenge. And in Q 3 to Q4, we'll be able to further

improve the DSO profile of the company.
Borrowing as of 30th September stood at INR 643.6 crores. There is an increase of approximate USD 24mn to USD 25mn during the quarter as we had to borrow money for the payout of earnouts relating to MST acquisition. It was the only one amount which has been discharged. And now Mastek owns the Salesforce MST business completely and there is no further payout, which is expected in the future quarters.
Our closing headcount was 5,505. There is a marginal decline from 5,546 in the previous quarter. Our utilization was at 85.6% adjusted for leave which is marginal decline of 90 bps quarter -on-quarter. Our focus continues to be driving growth, and that is of paramount importance . U.S. recovery has been taken very positively, and we believe we'll continue to build on it. U.K. and Europe, as Umang mentioned, continue to be steady and driving the consistent

growth both quarter -on-quarter and year-on-year. Keeping all profile of the company together and focusing upon the strategy execution, we are very, very positive as we grow in the coming quarters and the coming years to build on top of it.
Thanks for your time and support and your continued trust in Mastek. Going back to the moderator and opening the house for Q&A.
Moderator: The first question is from the line of Jalaj from Svan Investments .
Jalaj: Congrats on a very good set of numbers. The first question is relating to the U.S. market and we can definitely see some recovery there, 18% sequential growth. But if I see Y -o-Y growth, it is still at 11%. So just wanted to get some sense that the growth that we are seeing in the U.S. market, how much of that number is sustainable? How much of that i s coming from macro tailwind? How much of it is because of the efforts that we have taken for last several quarters? So just wanted to get some sense th ere.
Umang Nahata: Jalaj, this is Umang here. Thank you for your compliments. So the U.S. growth, like you rightly said, we've had a good Q -o-Q growth and at a Y -o-Y level, we're still at a steady level from where we are. The key indicators for the growth, I would say, is largely based on the hard work that we have put in over the las t 6 to 8 quarters. Like we had mentioned in our previous calls that we had some right shifting of a few deals and a few deals had got delayed in terms of start, as we got that into action on all of those transactions as well as there is new momentum that we see in the market.

So, both of those have helped us come back with a healthy growth. This was a growth rate that we generally expected for the U.S. to grow. The macro is a positive sign. We haven't seen any direct impact of the Fed rate cuts on our business yet. But in general, the sentiment in the market looks to be positive as compared to where it was earlier.
Jalaj: Okay. So, basically why I was asking this macro -related question is our dependence on Oracle or Salesforce kind of business where the p ublic related business or the discretionary dependence is very, very high. So obviously, we'll be getting the early mover advantage there when macro business comes in. So, do you see that happening? Or it is basically more to do with the efforts that we have put in on the top of the macro tailwind that we see?
Umang Nahata: While Oracle and Salesforce continue to be our important service lines for our North America business, our business is actually a lot dependent on our large installed base also. So account mining is a key part of our strategy, trying to upsell and grow into the accounts that you already have, and we have a really good set of accounts , we are a very fractional portion of their spending budget. So, our focus is on growing the accounts from that particular portion.
Having said that, we are continuously focused on generating net new business working with Oracle and with Salesforce. And I mean, we are optimistic that as the market improves, we'll start seeing more positive deal flow from Oracle and from Salesforce.
Jalaj: The second question is related to UK business. I divide U.K. in two parts. Obviously, our bread -and-butter government business there, which we have seen some kind of slowdown in this quarter. So first question related to that, whether it is more seasonal in nature and we are expecting recovery going forward? And second question is U .K. private market, if you see that for last 6 -7 quarters, that's a market which was kind of struggling for us. But last quarter also, we have seen the initial signs of recovery. This quarter, it was a blockbuster quarter seems to be U .K. private market or Europe private market. So, if you can give us some direction on both U .K. Government and Europe private market, w hat is happening on the U .K. side?

Umang Nahata: Sure, Jalaj. So, I think your observations are right. Our U .K. secured government services business continues to be steady and resilient. We saw a decent 5% quarter -over -quarter growth in that particular sector. Having said that, like I said earlier, we have a steady base business, but we're also trying to closely

monitor the government initiatives and what kind of directional flow
will it have. And we are cautiously optimistic that it will drive more in our UK secured
government businesses as the poli cies take more firm shape and the government spend directions
become more clear.
As far as the private sector is concerned, again, your observations are very right. It's a sector that
we have been putting in a lot of effort s over the last few years. And as you see, these efforts are
now starting to materialize. As we expand our capabilities from digital to Oracle, Salesforce
Data, we're seeing much more pickup across service lines. We've got new businesses in our D ata
capabilities, and we continue to see good momentum in Oracle and other capabilities that we

have. So , the accounts that we had and the new accounts that we've added, as we offer them
more broader services is really helping generate better traction within the private sector.
Jalaj: One last question, if I may have. If I see our number of clients and new client additions. Although
it's part of our strategy, there is a significant reduction quarter -after -quarter we have seen. So
last year same time, we had around 440 clients which have come down around 380 today. Do
you think that it has kind of settled at the current level, we are happy with the number of clients
that we have today or we see further kind of reduction there?
Umang Nahata: Again, good observation, Jalaj. Like I've have been mentioning earlier, it has been a part of our strategy to
start reducing the number of accounts, the tail accounts especially , and really focusing
on the accounts that we have that we really want to go deep and expand our portfolio in. And as
we grew our capabilities, we really wanted to go deep in some of the top accounts. And so ,
account mining has been a key part of our strategy. So, the reduction in the number of new client
additions as well as the overall accounts that we service is a very thoughtful and strategic move
that we have made.
We still see some more reduction in accounts, especially in the AMEA region, where we
continue to have still a pretty long tail. So we would be making some more reductions in the AMEA region in terms of the
number of small accounts or non -priority accounts that we have.
Our broad intention and direction is to have a healthy set of accounts and deliver phenomenal end-to-end services to them,
and we continue to move in that direction.
Jalaj: From your comments, it seems to be that you are pretty comfortable from the growth level from
the developed market s and you don't need to get back into the Middle East mar ket where our
debtor days get stretched because of new businesses there. So , is my understanding correct that
U.S. and U.K. market growth would be sufficient enough for us that our debtor days and unbilled
revenue will remain under control for next 2-3 quarters at least?
Umang Nahata: Jalaj, I think the way we are looking at this is Middle East and APAC is an important market.
We have a strong dominant position. However, the kind of business that we do in the market is
where we are really trying to zero -down on. We definitely want to bring down our DSOs and
improve our cash flow and collection in the market so which is where we are looking at the right set of customers and the right
set of verticals. So there is going to be further focus in terms of the k ind of business that we want to do.
Having said that, we continue to want to grow in Middle East and APAC, but our growth has to
be more system

atic and in structured verticals and accounts that we want to do. So it's going to
be more targeted growth that we are going to look at rather than j ust by adding more customers
that we used to do long back.
Moderator: The next question is from the line of Hasmukh from Tata Mutual Fund.
Hasmukh: Congratulations on a great set of numbers. So, I have a few questions. Firstly on order backlog.
So, if you could elaborate on the order backlog in terms of tenure of these deals or what are the

areas where we have won major deals? And with the UK reviving, do you think 11% CC sort of
growth can move to mid- to high teens?
Arun Agarwal: Thanks for the question. The order backlog report is 12 months order backlog. A ll of these are
going to be executed in the next 12 months . So that is what the number is reported. Obviously,
our total order backlog is much larger than the numbers which you see as a reported one. So,
whilst the U .K. growth is considered, as Umang mentioned previous ly as well, that's very steady
market for us. We are seeing the traction , we believe we'll continue to grow. It's about the new
government settling down, then the new projects will start coming in, which we are waiting for ,
while we have seen NHS traction already building up.
So, a lot of good deal momentum we have seen already coming up in the health because that
was one of the stated agenda of the government, and that's what is happening. So we are just

waiting for the policy finalization, their budget releases, and we are confi dent that more and
more deals will be there for us to grab.
Hasmukh: Secondly, on the employee count, despite strong growth or strong order book with utilization nearly at 85 %-86%, why the employee count declined? And if you could give some sense around how the employee addition or strategy around that would be in the near future for you?
Arun Agarwal: So employee count is very, very important for us. St ill, if you notice, we are having 84%-85% kind of a utilization and we have maxed out. That's what we have stated in the past. Considering we are also focusing upon the quality of earnings. So there is a balance, which has been managed internally very effectively in terms of the growth and also , in terms of the headcount, which you have to keep in advance in terms of your bench.
So, I think it's much more actively managed bench as we speak. Obviously, there will be more headcount addition as we go down the quarters as the growth is getting reflected, and we will not have sufficient bench to fulfil them. But currently, we don't see any risk to our revenue realization because depending upon service line, depending upon geographies, we are keeping the right bench as may be required.
Hasmukh: So, in that sense, what are the other levers in terms of margin for you considering higher utilization, et cetera, which can help you to, get back to EBITDA margins of 17%-18% ?
Arun Agarwal: As we have stated earlier, in past as well, our margin expansion utilization was a lever which was utilized already, but there are a lot of subcontractor mix change. The other operating levers like Onshore/Offshore. As you are moving into more commercial section, as our U.S. growth comes and margin expansion will happen because a lot of investment has already gone into SG&A and driving the growth out there, so when you grow, you will not make same
proportionate investments. You would have seen U.S. margin already improving quarter -on-quarter, and our stated objective has been to improve margin further there. There are multiple combination, obviously gr ade mix, using more freshers versus how this combination stays, Umang spoke about the AI. How can we drive more delivery led improvement based on the AI

and hence, you can pass on something to customers, something

will help you to further improve
the margins.
So, there are multiple levers which we are working on. And we feel comfortable where we are in the coming journey that we will maintain the margin profile.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: Any new Managing Director is likely to join the company?
Umang Nahata: Ravi, are you talking about the new CEO or the new Managing Director?
Ravi Naredi: New CEO.
Umang Nahata: So yes, like we had mentioned earlier, our search for a new CEO is on, and we are following the process . It's currently ongoing as we speak.
Ravi Naredi: Okay. And sir, what are the main reasons for rise in net profit, almost 600 basis points? And is it sustainable for next two quarters?
Arun Agarwal: So, there are two things, Ravi. One thing is the expansion of operating EBITDA, which is sustainable, rather, we expect it to further improve as we get into Q4 and onwards. But there is one exceptional item, which is also there in the reported numbers. And this is a separate line which we have given so that it can be identified separately. That is not repeatable. That is one time. And that happens from whenever you make earno ut and other payments, if your liability accrual was much more than what actually payout has happened and the differential actually gets into the P&L, right? So those are definitely not repeatable. But you will see consisten cy as our endeavour is to consistently deliver both top-line and bottom -line growth. So, we expect it to be moving into that direction.
Moderator: The next question is from the line of Yash from Stallion Asset .
Yash: I just want to know if you have got any guidance in your constant currency revenue growth for this year .
Umang Nahata: Hi Yash. As you know, we don't provide any guidance . Like I mentioned earlier, we see the market as cautiously optimistic. While also the next quarter is the quarter of furlough, so we are continuously working towards delivering consistent growth. But having said that, there are the furlough quarter as well as some caution from broad macro parameters that we are cautious of.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Sir, you mentioned about the recovery in the NHS program, the healthcare program in the U .K. geography. If you can elaborate more on that , so what's happening? Are we at a start of the recovery or still the recovery has been there in this quarter? And also in the order book, is there

a component of the deal from the NHS and also in terms of the integration that was happening
in the various department of NHS and obviously, the new government focus has been on enhancing the healthcare there in the U .K. So how do we see it, whether it is revival of the deals
that we have won earlier or is it a total new deal that is being awarded specific to NHS?
Umang Nahata: Yes. Great set of questions. So, the current NHS business that you're seeing, some of them is
from the revival of the old contract that we had, so new SOWs signed in the contracts that we
had signed earlier. Having said that, the broad direction of the government of improving
health care via preventions, improving healthcare by using digital ways and means for better
scheduling of patients improving just the digital health care initiatives overall is very, very
pertinent.
And we see that direction of travel to continue. Like I said, i t's just the start of the journey. We
are definitely very keen and optimistic about the health care vertical in general and especially the
U.K. health care as the initiatives start taking shape. Like I mentioned, we've already got some
of these old long-standing contracts now fructifying and we see a healthy pipeline of new
business that we look forward to execute in the coming quarter

s.
Amit Chandra: On the recent deal win that we had on the defenc e side wherein the expectations was that it will
add around USD 30mn to USD 40mn over a period of 3 years. So, are we already building in
that in terms of run rate in this quarter and also in terms of order book, is it there in the order
book in the 12 -month executed order book that we ha ve?
Umang Nahata: The output of these orders that we have won definitely is reflecting in the 12-month backlog that
we are showcasing to you right now. M ost of the health care orders that we have received are
annualized orders for now. So, these are trying to close out the old contracts that were already
open. The renewals as well as net new contracts are things that we are looking forward in the coming two quarters. But currently, this is more close out of what was already opened and like
I said, is reflected in our 12-month backlog .
Amit Chandra: Okay. And also the strong recovery that we had in the U.S. geography, what gives us the confidence that we will continue in terms of the growth journey there? Was the growth that we
had in this quarter a result of net new deals ramping up? Or it was more of the revival of the
older deals, which were into stagnation and some of the deals with issues with some clients also
reviving. So how you want to dissect the U.S. growth, which gives us the confidence that the
growth will continue. It's not like volatile as it used to be in the past?
Umang Nahata: North America business that we see is a combination of all the three that you mentioned. There
definitely was execution on some of the deals that we had won but were delayed in terms of start. So , a portion of that comes back from there. There also continues to be net new wins, which
had quick ramp -ups, and that also helped delivering growth in this quarter, and we continue to
see those ramp -ups help in the coming quarters.
But the broad theme is we are seeing the capabilities that we have across Oracle, D ata, Salesforce
and Digital. The North America business is starting to shape well in terms of the overall

capabilities that we have and the clients start recognizing us across capabilities. And that is the
primary theme of growth that we are looking forward to, which is what we have been building over the years. And now we are seeing that kind of direction of travel in North America. But for
this particular quarter, it was all the two and we are, like I said, cautiously optimistic of
continuing to grow over the several quarters.
Moderator: The next question is from the line of Dipesh from Emkay Global.
Dipesh: Two questions. First about the North America growth trajectory. It seems North America has a
peculiar seasonality in Q2, where Q2 is very strong. Can you help us understand what led to this
kind of peculiar seasonality in Q2 in North America for us? Second question is about the cash
flow generation. Cash flow generation is fairly weak this first half. So, if you can help us
understand what led to weakened cash conversion in H1.
Umang Nahata: Sure, Dipesh. I'll take the first question, and then Arun will help you on the second part of the
answer. As far as the North America business is concerned, we don't see this as any kind of seasonality impact to our business. It is like I had mentioned earlier, we had deals and there were
some right -shifting of deals which we had won or which we were likely to w in, but couldn't start
in time. So many of those blips that we had earlier have now come back to strengthen in the
execution mode on those transactions , as well as the net new customers that we look forward to
continue to win and fire across service lines. I think it's a much more balanced portfolio across service lines that is allowing us to shape in these quarters. So , I don't see any seasonality pattern

in our North America's performance for this quarte

r.
Arun Agarwal: On the cash flow part, your observation is right, Dipesh. H1 operating cash flow generation is lower than our expectation. And there's a seasonality as well to that because most of your annual payouts get paid out in Q1, like our variable pay, we do pay out in the month of May. So those are significant payouts happening at the company level, which definitely impact the over all operating cash flow .
But as you move into Q 2, Q3 and Q4, you start improving those percentage income closer to the company average. So , we are very confident you will see consistent improvement in Q 3 and Q 4 and the full year basis, this will be brought in line with the expectation.
Moderator: The next question is from the line of Ravi Menon from Macquarie.
Ravi Menon: Congrats on a really good quarter. I wanted to understand here on the things like not too much of change in our costs at all. It just seems to be driven by operating leverage. So , the margin, can we continue to improve those towards 17%? Do you have some sort of time frame in mind about that? And what sort of impact are you expecting from the wage hikes next quarter?
Arun Agarwal: So Ravi, as we have stated, we want to operate closer to 17%, 17% plus, and that has been our endeavour . 16.5% is the reflection in that particular direction. Wage hike, as you rightly said, we have done partially this quarter and the full quarter impact will be in Q3, which will take the full quarter impact. So, we believe quarter -on-quarter 120 to 130 bps impact will come. But

there are multiple levers on which we are working upon. And we believe we'll be able to absorb a significant portion of that and continue to reflect good margin profile in Q 3 and Q 4.
Ravi Menon: And the attrition at 20%, it's materially higher compared to our peer group and do you have any goal of bringing this down? Or are you comfortable with this and this is the sort of attrition that we've had historically as a firm, and we think we can manage with where we utilizing this currently?
Umang Nahata: Yes. Ravi, this is Umang here. I think attrition is a concern for us. It is definitely much higher than what we would really like it to be. We've gone through some deep dive into some root cause understandings. We've also looked at some corrections in terms of our process, in terms of t he wage hike that have recently gone out and the other balancing factors that we could put into play. Our target and ambition is to be industry -leading as far as our attrition and ESAT scores are also concerned. However, this will take us a few more quarters before we really drive the full impact of change that we want to make. And currently, there are a few pointed areas that needs more attention and we are carefully looking at it and making decisions as we go along.
Ravi Menon: Just a suggestion that how you guys report the financials, it would be great if you could show the breakup between direct costs and SG&A because that will allow us to clearly see the gross margin versus where we have operating leverage as we scale up our account mining .
Arun Agarwal: That's a fair feedback, Ravi. Allow us some time, we will definitely reflect upon it and we'll start publishing at the right time. But that's a fair observation.
Moderator: The next question is from the line of Aayush Rastogi from B&K Securities.
Aayush Rastogi: So a couple of questions. F irst is for Umang. D efinitely, if we see your commentary that you are a bit of the cautiously optimistic about growth in the next half, which is 2H. But if we see the order backlog , pipeline that we have, it currently stands at all -time high. So , are we like hinting that there would be a lot more furloughs than the last year? Or is it like are we seeing any kind of delays in the ramp -ups or some sign of slippages in the same?
Umang Nahata: We don't n

ecessarily see any abnormality in the furloughs that we're going to have this year. It's going to be the usual furlough that we have every year. So, furlough, I don't think is any concern to us. As far as being cautiously optimistic is concerned is looking at a variety of macro as well as internal factors. Like I said, we are still going through the UK government finalizing their budgets and their plans. So that's an important indicator and observation for us. The U.S. is going to go through elections in this quarter. So that's another important macro factor that we are wanting to look at and observe. So, it's more macro -driven caution that we currently see in our business. And sometimes, these macro can push out deal signings as well as start of the programs. We've seen that in the past. So that's the reason for being cautious here. But in general, like I said, we feel optimistic but with a degree of macro caution.
Aayush Rastogi: My next question is for Arun. If you can just walk us through how puts and takes for the margin expansion that we have shown in this quarter. And also, if you can guide us like how are we

eyeing for the trajectory for the going forward, because if you see the ask rate becomes high for that 4Q to reach almost the midpoint of the guidance that we have. So what are the pu ts and takes for this?
Arun Agarwal: As we had mentioned, I think we are moving in the right direction. In the last call as well, we have mentioned that Q2 will bounce back because there were certain one-timers which hit us. That's one. And second, obviously, operating leverages we are looking into the business profile and bringing them up as and when it becomes possible .
So, I think that's continuously going to be executed. And you will see the consistent margin expansion from here. Obviously, Q4 is something which is very critical because Q 3 will have some impact of furlough, the wage hike, the full quarter impact, which we are going to do. But there are a lot of operating levers we are working upon, and we feel very confident that we will maintain to improve from here. And that's the endeavo ur we are working with internally.
Aayush Rastogi: If you can just walk me through what has led to the margin expansion in terms of quantification like because currency has been a very big beneficiary for us. So how much of the benefit has come and led to the margin expansion? And what was the margin impact from the wage hike that they had provided in this one?
Arun Agarwal: At a broad level, roughly 50 bps is an impact of the wage hike in the current quarter, and currency would have given the similar range, 50 to 60 bps because we have significant onshore as well and the kind of business model, the company model, which we have set up is we don't sign deals from India, most of the companies which we have in the geographies are the prime face and hence, we run a little differently. So the currency benefit is broadly in the similar range. So what you see is reflected into the numbers are the operating levers, which finally played out and helped us deliver the numbers for the quarter.
Aayush Rastogi: And just a last question again on margins. So definitely, it has been a very good quarter in terms of expansion of North America margins. So how do we see the sustainability of this margin going forward? Like what is the trajectory are we eyeing for, coupl ed with if you can just guide us what will be the margin levels and the headwinds that we are expecting it from expansion of the North American region margins specifically?
Arun Agarwal: That's on a very good observation, Aayush. We have said historically as well , as North America is coming back to the growth, the kind of investments we have made into the geography will help us to get into expansion of margin profile in the geography. And the same is the reflection,
as the

growth is coming you can see there's an ex pansion which is happening. Our endeavou r is to get into double digit in the coming quarters. By the time we end this year, we want to be in mid-teens at least. That 's the target we are running with. There could be some plus and minus, but that's the direction of travel you will witness as we perform Q 3 and Q 4.
Moderator : The next follow -up question i s from the line of Jalaj from Svan Investments .

Jalaj: I wanted to dig a little deeper into the margins again. So, you see there has been a majority shift has been in the margin that comes from the lower other expenses. So could you help us understand if these numbers as a percentage of revenue, should we understand that these are going to stay stable at these levels either as a percentage of revenue or as other expenses in absolute terms? Could you please guide us about it?
Arun Agarwal: That's again, good observation, Jalaj. The other expenses has one component, which is subcontractors, which is, again, depending upon whether you're hiring employee or you're hiring subcontractor, they may swing sometimes . So the exact percentage of revenue may not work. But broadly, yes, you can see there are a lot of other semi -variable expenses are also part of it, which is your facility and other costs, which gets into doesn't increase proportionately. T here are both combinations . The re can be swing on both sides. But broadly, as you can assume, there are no significant one -timers, which are included into it. So , it gives a good representation of cost as a percentage to revenue.
Jalaj: And secondly, on the margin guidance, maybe I'll combine two questions. With guidance of 17% to 18% EBITDA margin, when do we believe or let's assume it is an aspiration also what timeline are we thinking in terms of let's say we achieve it, what will be the assumption which would be required for it to achieve it earlier, if you would say?
Arun Agarwal: So again, as we said, that we endeavour 17% to 18%. And you can see the direction, we have already delivered 16.5%. And as I mentioned in my previous comments, you will see consistent improvement. Obviously Q3, we need to watch for considering the wage hike and furlough. But as you get into Q4 you will see the direction is coming in the line of sight.
Jalaj: As you mentioned that there w ould be an impact of almost 130 bps due to the complete wage

hike which would be taken in next quarter. So what are your expectations and what is possibility
would we be able to negate the impact from this headwind which we would have from 130 bps on the wage hikes ?
Arun Agarwal: Our endeavour is we want to maintain the margin profile, Jalaj. Obviously, we are looking into
lot of operating levers to offset the impact of it. We don't want to reduce our EBITDA profile,
but we have to watch for. Lot of work has to happen between now and December, including the revenue profiling which we are working upon. But our endeavour is not to reduce the operating
EBITDA profile, but rather maintain to improve it.
Jalaj: And then where are we on our terms of the large deals foray which has been the agenda for quite
a longer period of time. Where are we on it right now? And what sort of pipeline or traction are
we seeing there?
Umang Nahata: Yes. Jalaj, I think the large deal continues to be a key part of our initiatives. As we speak we are
still building up our AI proposition or efficiency- driven AI proposition is adding to the services
that we already have. We have a few very active discussions, but it will be hard to comment on
timelines today. Like I said, the focus is there. The all capabilities being AI -enhanced gives us

much better leverage on securing larger deals. We have a few in discussion, but nothing
immediate in the line of sight that

we could comment on.
Moderator: The next follow -up question is from the line of Ravi Menon from Macquarie.
Ravi Menon: If you could talk a little bit about your icxPro AI platform and the use cases that you have in manufacturing where it's already been demonstrated. And there's also preference about you're seeing tremendous potential for it in BFSI and Healthcare. So if you could talk a bit about the
use cases that you have in mind, that would be great.
Umang Nahata: Yes, sure. So our AI positioning, like we had mentioned, Ravi, has t wo different views. One is
a use case-driven approach where icxPro, we have already built some use cases there. And then
there is the concept of building an enterprise AI kind of platform. So on the first one, which is where we're building use cases, we've had some use case development for parts automation,
which is very applicable to most manufacturing firms , in terms of whenever they have to go
through a replacement of parts or finding the right parts as they've gone through their years of
archival data, it helps. And it is already seen improving the process from weeks to a few hours.
So that's the kind of improvement we've been able to demonstrate to our clients already.
Similar kind of other initiatives on use cases. We are running on two important use cases, which
is around recruitment and talent management. Again, very phenomenal AI assisted use case that
allows significant process drop as process time improvement as well as quality of hiring going
up. Again, we're discussing this with a lot of existing strategic customers who are pretty excited
about the idea as we take them forward.
There are various other use cases in the financial s area, in the supply chain space , in the CX
space that we have initiated and delivered from supply chain, demand optimization, demand
forecasting, supply chain optimization to, like I said, financial forecasting and quite a few.
So, the use case driven model is quite active. Like I had mentioned earlier, our enterprise AI is
the other area that we think will become even more strategic as we go forward. It's been worked in close collaborations with NVIDIA, and that will allow customer s to develop far many more
use cases on a custom basis as they really move towards their AI journey.
Ravi Menon: Thank you Umang for a comprehensive answer. And are you using some of those internally to
transform your own process as well?
Umang Nahata: 100%. Mastek internal is our first significant large customer. So , we are trying the Enterprise AI
on Mastek internal. And we believe, like Arun did mention this to change our business, internal
business significantly, right, from the execution that we do on services and development and
implementation to all of our su rround processes like HR, Finance, Operations, all of it. So yes,
we are developing the enterprise AI on top of Mastek data, that's where our POC is currently
running.

Ravi Menon: One last question, if I may. I know that you guys have historically had no SAP, just focus on
Oracle approach. But in the context of the demand for SAP/HANA, are you seeing any change
to that mindset? Or are you seeing any kind of higher incentives among customers to do an
Oracle upgrade instead of replace SAP?
Umang Nahata: We are seeing both kinds of businesses, our focus on Oracle continues to be high and our
commitment to that Oracle business continues to be high. And within the Oracle space, we are

seeing people upgrading from their Oracle o n-premise to Oracle Cloud. In fact, we also see people shifting platforms, so shifting from SAP , ECC to Oracle Cloud or shifting from JD Edwards or some of the other Tier 2 ERPs to Oracle Cloud. So we see both kinds of scenarios.
However, on a broad basis, we still see Oracle is the right partner for us. Our level of relationship and the traction in business that we h

ave is very healthy. And in the near term, we continue to focus only on Oracle as far as the ERP business is concerned.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Umang Nahata: Thank you, everyone, for all the questions that you have and the good feedback that you all provided. We continue to be pretty excited about the performance that we have had this quarter, especially our growth in North America as well as our continued grow th that we saw in U.K. and the momentum that we see, especially in health care and other verticals globally. Like I have said earlier, there's still a lot of room in terms of our operating levers to bounce back to the kind of operating margin expectations that we have as we get into Q3 and Q4.
In general, like I said, the internal scenario in terms of our business, our backlog, our capability seems pretty positive and optimistic, while we are cautious about the macro environment and we're taking a close view of how events will turn out. And hopefully, we'll continue to deliver healthy top-line and bottom -line growth over the fiscal and in the long run.
Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Jan 2025

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SEC/ 114/2024- 25 January 22, 202 5

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the earnings conference call held on the financial performance for the Quarter
ended December 31 , 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on the financial performance for the quarter ended December 31, 2024, conducted on January 16, 2025, for your information and
records.
The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -information/
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
Company Secretary & Compliance Officer
Encl: A/A

“Mastek Limited

Q3 FY'25 Earnings Conference Call ”
January 16, 202 5

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED
MR. ARUN AGARWAL – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q3 FY '25 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator , by pressing star and then zero

on your touchtone phone. Please note that this conference is being recorded. I now hand the
conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Please go ahead, sir.
Pratik Jagtap : Thank you, Ryan. Good day to all of you. Welcome to Q3 FY '25 earnings call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com
.
To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, CEO; and Arun Agarwal, CFO. Umang will start the call with a business update, which will be followed by Arun providing the financial update for the quarter. Post that, we will open the floor for Q&A session.
As usual, I would like to remind you that anything that is said on this call that reflects any outlook for the future, or which can be construed as forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Pratik . Welcome, everyone, to the quarter 3 results of Mastek Limited. Good afternoon. For this quarter, we delivered a revenue performance of $103 million, which reports a 9.4% year -over -year growth in US dollar terms. As you know, this Q3 is a furlough quarter. Given our nature of business, furlough is a pretty strong impacting area for us. And in spite of more than expected furlough, we've been able to hold our revenue at a steady rate.
On the order book front, we had a very healthy quarter, and our order book or our 12-month order backlog now stands at $250 million. I'm also very glad to report to all of you that we very recently, this week itself, won another very large deal in one of our secured government services. It's a $40 million -plus deal that actually moves our 12-month backlog or grows it by another 8% or 9% as we move forward.
Continuing with our UK business, our UK business overall is really firing all cylinders and all guns. Our secured government services, as I mentioned earlier, continues to do well. We not only are securing renewals of a big block of the business that we continue to hold, but also continue to win new departments and new programs. So, we won another significant new work with another significant new department earlier this quarter, which should expand our overall footprint with the secured government services.
Our healthcare business in UK, as we had mentioned in the last quarter, is seeing a strong revival and continues to have strong tailwinds and is really going very well. The new government

continues to invest in healthcare, and we are seeing a lot of direct investment driven towards us, and that continues to drive strong momentum in this quarter, and we have a positive outlook going forward also.
Our private sector business in UK and Europe, which has been an area that we have been trying to really build and grow over the last few quarters, is now really turning a corner. We've had good growth in our private sector business in this quarter. We actually won two of our largest deals in private sector in this quarter, one in UK, one in Europe and on

e across Oracle and the other across digital services. So, the private sector business, which is the third leg of our UK business, is now really starting to build up, and we actually are looking forward to a positive outlook going forward, too. Overall, our outlook for our UK business continues to be very positive, and we are looking forward to a really strong business going forward as we move into Q4 and the next year.
On North America, we had a steady quarter. As you would all remember, we had an extremely high growth quarter in Q2, around 18% plus growth quarter. And now we are backing that up with a steady growth quarter in this year, which is around 1.5% growth. So , the overall growth story continues to be steady as we expect it to be, and we are really trying to put it up, consolidate it well as we build it together.
While t he healthcare business in North America continues to do really well , we had another steady growth quarter, both in terms of new customer acquisitions as well as expansion in our existing customer businesses that we have in healthcare in North America. Our overall outlook for North America as we consolidate the capabilities we have acquired over the last few quarters and really build our synergies together as we will have steady growth in North America for the coming few quarters . And we really will s tart realizing our expected full potential growth starting H1 of next year.
As far as our focus and priority of business is concerned, Mastek is taking a full steering control on its AI priorities, and we are really driving an AI -first approach in the organization across all

of our businesses and services. As I mentioned earlier, we're taking a 3 -pillar approach to our AI strategy. The first pillar really driving innovation and automation internal to Mastek across all of our service lines. The second pillar is creating an AI engineering practice, which we'll be launching in January. And the third pillar is launching a small language development or SLM practice, which we 'll also be launching in January.

The AI developments are also supporting all of our existing capabilities phenomenally. So , in December, we launched A DOPT .AI, which is one of the most advanced Oracle Cloud implementation methodology, which will help our customers across all phases of the implementations from testing to development to configuration and documentation. And we really hope to expand our market with in the Oracle implementation services using ADOPT .AI.

On the Salesforce front, we are now a qualified Agent force partner. It's a product that Salesforce launched earlier in the year. And we are one of their early Agentforce partners that we have been qualified as. And not only have we become a qualified partner, we are also running Agentforce

use cases with quite a few of our existing customers . And we are really looking forward to delivering those and then using those reference cases as built up for growing our Salesforce and Agentforce business as we go forward.

We also saw good development of AI in our data business. We recently launched our AI -led data modernization tool call ed Lightbeam, and I'm very happy to share that we won our first deal on Lightbeam in this quarter. And Lightbeam continues to spearhead our AI growth, not just in North America but taking it globally from providing services and solutions.

All in all, I think we are definitely continuing to focus on the priority area that we had, which is across Oracle, digital Salesforce and data. All of our businesses are taking AI -first turn, and we are looking at AI sharpening our edge across all of our practices. And our vertical focus on healthcare as well as SGS continues to be a priority from a vertical standpoint. With that, I'll hand over the call to Arun who will share more details around our financial performance. Arun, over to you.

A

run Agarwal : Thank you, Umang. Good day to everyone on the call. I will cover a few financial highlights for the quarter, and thereafter we can take your questions very specific to the quarter performance and more you want to understand about the Mastek performance goi ng forward.

We reported revenue of INR 870 crores for the quarter. It's up 10.9% year -on-year in INR terms. On a quarter -on-quarter basis, it reflects 0.2% growth, again in INR terms, while it is broadly flat in constant currency. This is after taking impact of furlough, which was more pronounced than what we initially envisaged at the beginning of the quarter. We are pleased with our performance across region. As Umang mentioned upon, we are continuously focusing upon our strategic priorities. The healthcare performance continues to be much hea lthier. It has grown 19% quarter -on-quarter and 30% year -on-year.

As we have been focusing upon quality of our clients across the regions, very specifically in the AMEA, we have been able to reduce consistently our tail accounts. And as we stand in current quarter, our client count has come down to 351 versus 436 a year ago. This is helping us to increase our revenue per customer and focus upon the quality which we can deliver on a sustainable basis to our clients. We added 10 new logos during the quarter. So again, focusing upon the kind of clients which we are onboarding who we can grow to a much larger size and scale as we take them into digital transformation journey.

Our 12-month order backlog stood at $250 million, broadly flat quarter -on-quarter in constant currency. As Umang mentioned, we have just received another deal of $40 million in UK SGS. It's a renewal with 20% to 25% net new included into it. We'll deliver it over the period of 2 years. It helps expanding our backlog 12 months by 8% to 9%.

Our operating EBITDA for the quarter was at 16.2%. It reflects a reduction of 30 bps quarter -on-quarter. This is after absorbing the salary hike, which we gave to certain part of our employees in August last quarter and to the balance organization effectiv e October, which has

led to impact in EBITDA of approximate 1 60 bps . And also, we have seen some currency headwinds during the quarter, with GBP depreciating versus dollar.

We are pleased that our US business has delivered double -digit margin, which we have been talking consistently, and that was one of our endeavou rs. We believe we are moving in the right direction. You would have seen UK margin has seen some reduction, which is more reflection

of our cost of ramp, furlough and also some partial currency headwinds.
Our profit after tax for the quarter was at INR 94.7 crores, which is up 21.8% year -on-year.
Since there were exceptional income, both in quarter 3 and quarter 2, if we remove it and normalize our performance, our profit after tax for the quarter would stand at INR 88.4 crores versus INR 85.6 crores in quarter 2, again seeing a consistent growth on a quarter -on-quarter basis.
Our gross cash was INR 497 crores. We had a really good quarter in terms of collection, and we have been able to bring our DSO down from 96 days to 89 days, and the same is getting reflected in the free cash which we have generated. And this INR 497 crores cash is after one loan prepayment we have done, which is approximately INR 45 crores. So , cash addition in the quarter was actually much larger. Consequently, our borrowing stood at INR 602 crores as of 31st December versus INR 641 crores in September.
Our closing headcount was 5,260 versus 5,505 in September '24. This is after a consistent focus on improving productivity and driving better outcome for our customers at the same time. Our utilization dropped to 74.4%, including trainees versus 78.4% in the previous quarter. Again, this is the reflection of the higher leaves, which is both

led by festivals, holidays and also client furloughs during the quarter. Thank you, everyone. Looking forward to your continued trust and support in Mastek. Going back to the moderator to open the house for Q&A.
Moderator: Ladies and gentlemen, we will now begin the question-and -answer session. The first question comes from the line of Karan from Monarch AIF.
Karan : Sir, as we go into FY '26, if you can just throw some light on how the demand environment currently looks like from the UK? Have the digital programs from the Home Office, NHS started to see some accelerated spending? And what would be our ideal growth rate going forward in each of our geographies? That's my first question, sir.
Umang Nahata: Karan, thanks for your question. So, as I mentioned, we will definitely be entering UK in FY '26 with a very healthy backlog. And therefore, our expectations for growth will be quite high in UK. Having said that, from an overall macro point of view, NHS definitely, or healthcare continues to be a key spend area for UK government. There's a lot of revival in spend there, especially around prevention as well as data-driven decision-making.
And we are seeing good participation in both of those lines of services or solutions that we're offering to the UK healthcare government. As far as the secured government services and private sector is concerned, there also, the government is now taking good control. They've gone through

renewals of a lot of existing work that we have. And as we renew most of our existing book of business, our aim and endeavou r would be to now go after newer departments and expand our business beyond the current books that we have, which would have already secured by the end of the year. So , in general, UK will continue with a healthy growth rate.
As far as US is concerned, again, the parts of the business is, there's a positive outlook. People will believe that the economy is taking a positive turn. At least, the outlook for the economy is positive, although a little unpredictable as we all see it. But we believe the economy will take a positive outlook and support the overall economic gr owth. From a Mastek standpoint, like I mentioned earlier, we are consolidating all the capabilities that we have had in our US business.
As we consolidate, our growth rates will fluctuate a little high and low over the next 2-3 quarters. And our vision is by the time we get into H2 of next year is where we will start really delivering a steady and full potential growth that we hope in the US .
Karan : Just on the AMEA part , we see that this quarter, our margin declined quite a lot. So , if you can just throw some light on why did this exactly happen? And sir, on the US bit, how do we see margins inching up from here on ? We see that 13% EBIT margins. Do we see there is some more room for improvement? And if yes, what would be the key drivers for that?
Arun Agarwal: Karan, thanks for the question. In the AMEA, as I mentioned, we are consistently focusing upon taking the tail accounts of f. Obviously, that's a process in which, we have to ensure some margin , we have to sacrifice that sometimes to make those projects go live much sooner than it was expected. And also comes at a cost , certain times because you can't discuss change request because we just want to finish it off and move into the larger clients.
Keeping those focus on, there are certain costs, which we had to take into the P&L. Now also, there is some PDT profile in the geography because while the collection is good, but there are certain clients where there's a delay. And as per the accounting norms, we have to take certain provisions in the book. So, all put together, our focus in the geography is to focus on the account mining , focus on the right client base . And, thereafter, improve the quality and the margin from those ac

counts. So, you will see consistent basis, there's a margin improvement which will
happen out there.
On the US side, again, we are really pleased with double-digit margin profile here. Is there
scope? Yes , answer there is definitely scope of 100 bps to 200 bps improve ment further from
here. But at the same time, we are focusing upon growth. US is one of our growth levers. And
we really want to ensure the growth is achieved without too much focusing upon improving the
margins from here. So , I'll be happy from the margin profile perspective. But given the balance,
we'll prefer more growth than looking for more margin expansion from here.
Karan : And if I can just squeeze in one more. How do you see the spend happening across people -- or
enterprises adopting Oracle, Salesforce, both on the cloud front as well as shifting away from
on-premise? Because I understand that would have a major impact for us as implementors. So ,
if you can throw some light on how the spending has improved on the enterprise level in both geographies, sir ?

Umang Nahata: So, Karan, spend on Oracle, Salesforce, data and digital modernization continues to be high.
Especially the packaged applications, Oracle, Salesforce continue to do really well in terms of
spend. Our net new customer acquisition in Oracle continues to be heal thy especially in US as a
geography, and Europe also. So, we continue to see good demand for net new consumption
there.
Our Salesforce business is currently relying more on growing the business within our existing
accounts. Our net new engine is something that we're working on to develop the net new
customer engine in Salesforce, but our Salesforce business is largely focused on growing our
business within the current customers that we have.
Having said that, with the change and the turn that AI is taking on both of these applications and
the customer expectations as well as the potential business outcomes really changing, I strongly believe that the demand for Oracle, Salesforce as well as data applications will go up
phenomenally in the coming quarters.
Moderator: The next question comes from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Umang, you mentioned about the improving dynamics in the UK geography and also in the UK
government and UK private. So , if you can comment upon how the spend pattern has changed
maybe in the last 6 months in terms of deal sizes, in terms of decision -making? And also, we
had plans to enter into newer departments. So, which are the new departments that we are
targeting within the UK government?
And in continuation to the UK government, we're also seeing NHS recovering. We have the deal
on the defence side. So, if you can elaborate on the specifics of what's going to drive the growth,
maybe for the next year from the UK government. And then you also mentioned that we have
won the second largest deal in the UK private sector. So some more clarity or some more colo ur
on that? What was that related to? And how the pipeline is looking there?
Umang Nahata: Sure, Amit. So , as I said, our outlook in UK is definitely very positive. And on the secured
government side, from a spend point of view, the government is clearly looking at driving budget
efficiencies as well as trying to choose their partners who could deliver long-term success for
them. There's also a clear mandate of driving or enhanced drive of digital as well as AI
transformation in government and health.
Applying this to our business, for us, we have been able to secure a large portion of our current
book of business, and we continue to really look forward to secure all of it by the end of this fiscal. That's what we had really aimed for. And then we are really looking to go after securing new departments. We've secured one pretty decent sized new department in this quarter, a $10
million -plus dea

l in this quarter in a new department, opening up one new account. And we will
continue to focus on opening more doors and more accounts, which could be both new
departments as well as new programs in the existing departments that we work for.

The healthcare business, like I mentioned earlier, is largely focused on driving efficiencies in
the UK healthcare, which is with more prevention as well as driving more data -driven decision-
making. And we are seeing a lot of data business coming our way, which is primarily in the
healthcare sector but also in the financial services sector, with Bank of England and a few other
customers really continuing to do quite well. So that's the scene on healthcare.
On the private sector side, we won two good new deals. One of them is the renewal of our
business for the next 2 years with an upside to it. And the second is a larger phase 2 global rollout
followed by the phase 1 work that we had done for our customers. Both these deals in their

respective areas are amongst the largest deals that we have won in private sector.
We continue to see a very healthy momentum, so our pipeline in all the three sectors also looks very healthy. And we're looking forward to a positive order book in Q4 and going forward.
Amit Chandra: On the UK side, do we have any scope in terms of margin expansion, maybe some offshoring that we can do in terms of the UK government contracts for which we have been working the last many years? And also, how do you see the sub -con panning out? So , is there a possibility of margin expansion in the UK government? Then we'll move to US after this.
Umang Nahata: So as far as the margin expansion in UK is concerned, so there are two parts to the story. First of all, like I said, some of these extremely large deals are coming at a cost of margin, especially as the government renews larger contracts. So , for example, the recent contract that I mentioned that we won a couple of days back, it's a 20% expansion in our current book of business.
However, there has been pressure in terms of doing it more efficiently. As an organization, we are looking at various means of maintaining our margin profile, which has various initiatives, right, from, like you said, offshoring, relooking at our resource pyramid, moving from sub-con to employees and things like that.
So, our endeavo ur is to really hold our UK margin. It's a very healthy margin business. And our endeavo ur is to bring ourselves back and hold to that margin levels at which we are. I don't think there's a large possibility of expanding margin from there onwards. We will not be doing justice to our customers if we start charging more than what we are doing in UK.
Amit Chandra: Okay. And on the US geography, obviously, we are seeing things improving. But last time you mentioned about that we are trying to get more managed services deals there, which will improve the visibility in terms of the growth and obviously now stable margins. So, any progress on that?
And also, now we have expanded the margins in the US geography.
So, do we require more investments there or the investments are largely through or we can see the growth coming and the margins also at least be in the mid -teens range for the US geography?
Umang Nahata: So, Amit, you are very right, our focus in the US is to really take our business to steady repeatable business, which is going to be coming through managed services and T&M business. And as I mentioned earlier, we are integrating all of our capabilities across Oracle, Data, Digital and

Salesforce. So , we have a full bouquet of services that we can take to our existing customers and start winning more steady long-term T&M and managed services kinds of business with them.
Having said that, really building managed service

or T&M businesses, which are decent size and magnitude in terms of book will take us some time. And like I said earlier, we are expecting that as we get into closer to H1, next year is when we would have made some significant change in terms of our profile of business from projects to more tending towards managed services or T&M kind of businesses.
On the margin front in US , I think most of these savings were very much available, and they have been made without any impact to growth or any of our growth investments. W e are at a healthy rate of S&M investment in US , and we think our S&M investments is good enough to really drive the kind of growth and vision that we expect in the US .
So, I expect our US margins to stay in the mid -teens, and it gives us enough cushion to really drive the growth that we need.
Moderator: The next question comes from the line of Soumitra Chatterjee from Avendus Spark Institutional Equities.
Soumitra Chatterjee: Just two questions. This $40 million deal is not included in the $250 million order book and will be included from fourth quarter onwards? Is that a right interpretation?
Umang Nahata: That is correct, Soumitra.
Soumitra Chatterjee: Okay. And this $40 million is completely the expanded part of this 20 to 25%, which is the net new or this includes the renewal as well?
Umang Nahata: It includes renewal and with the 20% expansion. So, $40 million has 80% renewal and 20% expansion.
Soumitra Chatterjee: Okay. And from an incremental point of view of US , are you also seeing a shortened deal cycle that some of the larger peers are seeing wherein probably your order book starts converting at a faster rate?
Umang Nahata: I don't know. We haven't seen anything specific like that, that the deal cycles have shortened.
Again, the kind of deals and kind of deal cycles that we are experiencing are different from what the larger players experience. Our deals are still more in the midsize, more project -based deals right now.
And therefore, we haven't seen any change in deal cycle for us in the US right now. But with initiatives around AI, initiatives around AI -led efficiency and growth, the amount of activity and discussions that we're having have definitely gone up with our customers.

Soumitra Chatterjee: Okay. And just one last question on the sequential decline in the headcount, I think Arun said, it is about increasing productivity. From an annual perspective, if you are requiring lesser

number of people to drive revenue growth, generally , does it translate into a pricing pressure typically from clients 6 -9 months down the line?
Because you are not adding employees, but the revenue you are estimating to grow by a particular number. So , the productivity gains, will it be retained by the vendor or it will be passed on?
Umang Nahata: Soumitra, there are two aspects to the revenue decline. One, definitely, there were businesses that we had where we had the revenue per resource was very low, especially in our AMEA kind of business. And those are businesses that we are walking away from n ow. We believe our potential of executing higher revenue per resource very much exists. And we have to look at the right orders and right kind of businesses there.
That's one reason for which it's a systematic and intentional reduction of headcount without impacting revenue because we are looking at businesses that could deliver a higher revenue per resource. The other thing that you would see coming in the future is as we really sharpen our internal AI execution, which is starting from Q4 and onwards in terms of some of the tangible assets that we have developed .
We definitely feel the ability for the organization to do more with lesser headcount is growing with every passing day and every passing week. So, we haven't really transformed those into tangible numbers ye

t , but from the outlook that we see, we think there's going to be a pretty decent change in terms of our ability to do more with less headcount. I think that's what our customers are also expecting us to do.
Moderator: The next question comes from the line of Nikhil from Kizuna Wealth.
Nikhil: Sir, my first question is on like, we have the ample headcount that is reducing like year -on-year and quarter -on-quarter. And last quarter, we said that we are looking for additions in the -- headcount addition is anticipated. So, are we going to add to headcount in H1 of FY '26? So that is my first question, sir.
Umang Nahata: Sorry, Nikhil, we lost the last part of your question. Can you repeat the second half of your question, please?
Nikhil: Sir, so as our headcount is reducing, and we are anticipating a huge growth, and in the US, we are anticipating growth from H1. So , are we anticipating headcount growth in H1 of FY '26?
Umang Nahata: So, like I said, Nikhil, there will be definitely growth in headcount in selected areas where we have planned to grow. So , our current reduction in headcount was more from businesses, which had lower revenue per resource, which is largely in our AME A kind of businesses. So , that we are rebalancing.
And we will see a headcount growth in the right area. So, our US services, our UK businesses will see growth in headcount to deliver those. Having said that, the rate of headcount growth

versus the rate of revenue growth, proportions will change as we start applying more and more AI to our internal execution.
Nikhil: Okay. So, we can expect like exponential growth in revenue with comparison to headcount. So that's great to hear, sir. S econd ly, as we are going for increasing the wallet share from our top 30 clients. And we are reducing our long tail in the AMEA region. So how much reduction in active clients can we expect?
Arun Agarwal: Again, it's a consistent effort. As we have mentioned, if you recollect, we used to be 400 -plus accounts. And what we have said that to double the revenue from here or maybe 2.5x of revenue from where we are at this point of time, which can be done with the similar client base. 300 to 350 is a good client bas e. So again, that's a process which will continue.
We'll keep gaining new accounts, which are much more scalable from the revenue perspective, and we'll keep on removing the tail accounts. So that's a continuous process, which will happen in the process. And you will see that revenue per person is growing , as it has been happening in the last 2 -3 quarters.
Moderator: The next question comes from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Just few questions. So one is on your other expenses, we have seen a lot of hike, and your employee headcount is decreasing, but still your employee cost is sort of trending in the same line as revenue. So , how do you see these costs because the costs have actually grown quite

handsomely in the last 9 months?
Arun Agarwal: Again, two points. One is when you are seeing other cost increasing quarter -on-quarter
specifically, it is also the function because a lot of growth that we are seeing, we are seeing in
health and also in SGS in UK. There a lot of work is happening t hrough security cleared
resources and by nature, they work in the contractual models.
So rather than increasing the employee cost, that change is reflected into the cost of subcontractor, which is reported under other expenses. So that's the main reason you are seeing
the increase, which is happening into the other cost. And you would have noticed quarter -on-
quarter, there is a decrease in the employee cost at the same time.
And your observation is right, that's the combination. But on a consistent basis, you will see the
employment cost is increasing because, one, based on increment which has happe

ned, right? So,
if you compare versus 9 months and 6 months, you will see there's increase in the employment
costs. But the quarter is more the reflection of increase in subcontractors and not the employee
headcount at the same time.
Sarvesh Gupta: AMEA margins are very low at 1% this quarter. So, are they expected to revert to the normal
range going forward at 10% to 11%?
Umang Nahata: Yes, Sarvesh, that's our full intent. And we are looking at taking A MEA to a double -digit margin
performance. But it will take a couple of quarters before which we get there.

Sarvesh Gupta: Okay. And similarly, on the UK, EU business, you said that we are expecting to hold on to the
margins that we are having. Now these margins have come down. So , is this 20% -21% a new
normal going forward? Or you are expecting to go back to at least 24% odd which we had last
year?
Arun Agarwal: So again, two things will happen, Sarvesh, there. In the short term, more 20%- 21% kind of a
margin profile, obviously, there will be some plus and minus quarters depending upon when you
are doing the ramp, right? So , the kind of deal wins we are seeing in the public sector and the
health in the UK, that leads to a lot of onshore hiring.
Obviously, in the quarter in which those hirings are happening, the margin profile will be
subdued. And the quarter in which you fully ramp up will have a better margin profile. So, you
will see kind of mix happening, but 20% to 22% is a good range, I would say, at this point of
time.
And also, be mindful, the GBP to INR and GBP to USD has been depreciating significantly,
which has not been factored yet. So , depending upon how the currency headwind flows, there
could be certain plus and minus out there as well. So that's something which is not in control,
but we have to keep watching how they impact our numbers as such.
Moderator: The next question comes from the line of Hasmukh from Tata Mutual Fund.
Hasmukh: I have three questions. Firstly, on the order backlog. So, if I look at your previous 4 -5 quarters,
your order backlog was growing healthily at 15% to 20% on Y -o-Y basis. But this time around,
it has dipped to almost flattish, though you called out $40 million deal win . But including that
as well, the growth may be at 8% to 9%.
So just wanted to get a sense how confident are you to get back to the 15%-20% Y -o-Y growth
in order book backlog going forward?
Umang Nahata: Yes, Hasmukh, I think the Y -o-Y growth was mostly impacted by our last quarter's performance.
Last quarter, we had a slower than expected order book growth. This quarter has been decent.
And we are very confident, by the time we close FY 24, we'll be back to the same growth levels.
Hasmukh: Secondly, if I look at your client numbers, on a gross basis, it seems that almost 40 clients you
have reduced on a quarterly basis. If you could call out any impact because of this from numbers
perspective on your revenue?
Umang Nahata: So Hasmukh, like we said, the client reduction that we have is very, very planned and
purposefully executed. These are especially our Oracle business had a lot of tail customers where
we were doing very small tail businesses for them. W e have very purposefully reduced those tail
customers.
And we've taken a shift to focus on mid and mid-to -large customers. And that's the reason you
see a reduction in the number of clients. It is no reflection of reduction in the value of business.

In fact, our average deal size continues to go up, especially in the Oracle services where it was
pretty low earlier.

And that has allowed us to focus better on our customers, focus better on large deals and continue to deliver better in terms of client delivery as well as focus on growth.
Hasmukh: And lastly, on currency movement perspective, as we have called

out, this quarter because of a
wide movement in the currencies, how it impacted your margins in basis points, if you could highlight that?
Arun Agarwal: In the current quarter, again, the way everyone reported, and we report as well it's a quarterly average from the P&L perspective. So , there is a partial impact which has happened in the current quarter. Again, we have to be watchful because at the fag end of the quarter end, you would have seen GBP and USD depreciating , much more in a wider way.
But again, USD/ INR and GBP/ INR is improving at the same time, so there is a balance which is happening. So, I'll be watchful for Q4 to see where significant impact happens or not. In the current quarter, it would be in the range of 20 bps to 30 bps impact at the high level, which would have happened into the EBITDA profile.
Moderator: The next question comes from the line of Rucheeta from iWealth Management.
Rucheeta: My question was on the service line. So, what I see is that your Data Automation & AI, it has been flattish or has degrown. Similar with your Digital Commerce and Experience business, not been growing. So, what has been the reason for the same?
Umang Nahata: So Rucheeta, as far as the Data business is concerned, again, w e had a couple of customers with whom we had some projects business, which as the project business closed, we saw a dip in that kind of volume there. Although our endeavou r spend, on the data continues to be high.
And we look forward to a higher growth globally in Data as we move forward into the next quarter, especially the work that we are doing with the financial services and healthcare in UK, a lot of that is data and AI -driven around Data Br icks. We're also seeing good traction in AMEA around our Data business.
And North America continues to be steady, and it's an area of focus. So, data, while it has had current blip in terms of our numbers, but the numbers are so small that even a m illion dollar change can change the percentage sizably. As far as the Commerce business is concerned, that is a very fair observation.
It's been on a slow or , steady decline for some time over the last 4 to 6 quarters. That's because the commerce business was largely based on Oracle Commerce and Oracle ATG. Both the products have seen defocus from the principal and therefore, even our focus on our Commerce
business has been more around staying steady.

And then gradually trying to divert our commerce business to more Digital Engineering or Salesforce commerce kind of business, which is much slower as compared to the business that we had earlier. So , Commerce, while it is there in focus, but it is not a very high -focus service line for us.
Arun Agarwal: Just to complement, overall service line, you will keep seeing improvement because that's the overall CX portfolio. And we are also combining multiple other capabilities in addition to
Salesforce and others. So , while that growth is muted because, as Umang mentioned, there is a decline in Commerce part, while Salesforce continues to be healthy.
So, it’s a balance which is happening as we keep growing other portfolio within that particular service line, that will be reflected in the numbers as well.
Rucheeta: Understood. And sir, we've been talking about that going ahead, our headcount would be lower basically because of AI and all of that. So , would that mean that it would lead to operating leverage for us? Or will we pass it on to our customers to get more wallet share from them?
Umang Nahata: It's going to be actually a bit of both. There is going to be a portion of the efficiencies that we find will be passed on to our customers, especially in the initial phase as we really want to build the market. But there is going to be certain areas of headcount, which will drive efficiencies and margin improvement for us also.

So, it's going to be a bit of both. What is going to be the share, we are yet to see as we really start executing the benefits. We'll see how much can we retain for ourselves and how much do we have to pass on to our customers.
Rucheeta: And sir, just one question. On the AI service line, how big do we see this segment to be, let's say, in the next 2- 3 years?
Umang Nahata: Ruch eeta, if you ask me, indeed, first of all, it's changing so fast, so it's very hard for anybody to predict. Two years is a long time in the AI world. But, my feel, w e will see a complete 180 - degree shift in the way we do businesses in two years. Digital engineering will become more AI engineering. Packaged App development will become more packaged AI use case deployments.

Foundation Data Models that we build for data modernization will become Small Language Development for AI enablement and things like that. So , all the businesses that is prominent business today from Digital to Packaged Apps to data will all see significant impact of AI in them in the coming years.
Moderator: The next question comes from the line of Varun Kulkarni from InCred Asset Management.
Varun Kulkarni : Just one small question. I believe Arun sir has resigned from the company. A re we in the process of finding a new CFO? I mean, where are we on that particular front?
Umang Nahata: Yes. The CFO search is very actively on. And we have already shortlisted a few candidates going through our motions. But having said that, all senior positions have a notice period that

has to happen. So, we might see an interim couple of months where we will run with our current team that is under Arun.
We have appointed an adviser who would help us during that period. But our search and shortlisting of the candidate is very active. And hopefully, we would have finalized the candidate before the end of this month.
Varun Kulkarni : Okay. And one last question, sir, if I may. What is the growth rate that we're anticipating in the UK and US region for, say, FY '26 at least for the top line?
Umang Nahata: We're looking for a healthy growth rate. As you know, Varun, we don't share any forward-looking growth markers, but it's a healthy growth rate that we're looking at, healthier than what we have had in the previous quarters or years.
Moderator: The next question comes from the line of Harsh Chaurasia from Vallum Capital.
Harsh Chaurasia : I have two questions. I think in your opening statement, you mentioned like your private healthcare licenses business, it is very strong in North America, where you are finding new opportunities. When I just compare it with the larger peers, the commentary on the healthcare vertical , they have mentioned there is kind of weakness mainly because of the policy uncertainty. So, I am not able to understand why there is a divergence between these two? So, if you can help me understand this ?
Umang Nahata: Harsh, that's a very, very sharp questioning. So , what's happening is there are different parts of the healthcare market, as you know, right? It's the payer , provider and life sciences. A large portion of our healthcare portfolio right now comes from the provider space. The provider space is where I think the business is still doing well.
And especially what services we offer is back office, which is driving efficiencies in their business. So , any solutions that drive efficiencies is welcome in the back office space, in the provider segment. As far as the payer segment is concerned, it's where even we are facing some challenges with a few of our customers.
That's a segment which is going through certain challenges and budget cuts, especially discretionary spend is being put to challenge in the payer space. So, depending upon how you look at your overall healthcare portfolio, you would see a positive or negative or neutral impact.
But ye

s, in the payer segment, there's a bit of challenge in the payers. But luckily in the providers, we are on the providing solutions and offerings that drive efficiencies which is what they're looking forward to right now.
Harsh Chaurasia : Understood. And second question, sir, basically I wanted to know the nature of the business of your customers in the manufacturing vertical, are we focused on energy and utilities, or more on industrials ? Like where are we majorly focused?

Umang Nahata: It's largely industrial manufacturing. Having said that, we actually also have some utility customers, but those are more like ports and things like those or water supply, those kinds of customers also. But in the manufacturing, it is largely industrial manufacturing.
Harsh Chaurasia : So, when we see the manufacturing vertical, what are the pockets of spending which you are getting, like new opportunities that are coming in this manufacturing vertical?
Umang Nahata: So currently, the manufacturing vertical is largely led by our Oracle services, that's the spearhead. So , most of our relationships start with opening the account using Oracle services, where we would offer them migration to cloud and from there. But once we've opened a customer using Oracle, then we're seeing actually potential across CX and across Data and across Digital, all the three areas.
And now as we move forward, a lot of healthy discussions are also happening around AI and especially in this space of hardware, software, integrated AI is where we are also seeing. So , our

Nvidia partnership is now starting to play in the manufacturing space as we do hardware - integrated AI POCs for them.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments.

Umang Nahata: Thank you, everyone, for all your very insightful questions. And again, like I said, we had a quarter where we’ve really continue d to deliver steady performance, and we look forward to a healthy backlog improvement as well as continue to work on growing our top line and margin performance over the coming quarters. So , thank you once again to all the analysts for their insightful questions and guidance. Thank you.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Apr 2025

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SEC/ 12/202 5-26 April 25, 2025

Listing Department
BSE Limited
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai -400 001
SCRIP CODE: 523704 Listing Department
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021
Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the
Quarter and year ended March 31, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2025, conducted on April 21, 2025, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at
https://www.mastek.com/investor -financial -information/
Thanking you,
Yours faithfully,
For Mastek Limited Dinesh Kalani
Company Secretary & Compliance Officer
Encl: A/A

“Mastek Limited

Q4 FY'2 5 Earnings Conference Call ”
April 21, 2025

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Asha Gupta from EY. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Se jal. Good day to all of you. Welcome to Q4 FY '25 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com .
To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, the CEO of the company. Umang will start the call with a business update for the quarter. Post that, we'll open the floor for Q&A session.
As usual, I would like to remind you that anything mentioned on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Asha. Good morning, everyone. Thanks for joining the call. Warm welcome to the call, which is for the results of Q4 and also the year -end of FY '25 for Mastek Limited. I'll start by giving a quick headline on how do we see the overall macro since this is the call, which represents the end of the year and fresh new year beginning.
So overall, it's been a very eventful year, a lot of important changes that you've seen; two government changes in U.K. and U.S., which are the most important business geographies for us. There's also a lot of change in policy and geopolitical affairs that we are seeing in our markets. This has also been a year which has led to significant changes in technology, especially AI and AI -related technology changes, which I'm sure is going to impact especially the IT services as well as all the industries very significantly as we go forward.
In spite of these eventful year all around us, I'm very happy to report that our overall revenue from operations for the year FY'25 has grown by 13.1%. Our net profit for the year has grown by 20.9% as compared to FY '24. The total cash and cash equivalent that we had in the company has now grown to INR 622 crores as compared to INR 473 crores that we had at the end of last year. From a business standpoint, our order backlog, our 12-month order backlog that we report has grown 1.7% for the year, which is lower and I'll explain that later in the call. For this year, we have also declar ed a final dividend of INR 16, which makes up a cumulative dividend of 460% for the year.

Going forward, I would explain the performance of the quarter and then some of the impact that is happening within the various sectors of our business. As far as Q4 is concerned, our core business that is the U.K. and Europe business had a phenomenal quarter. And our revenue for U.K. on a year -on-year basis grew more than 17.2%, which is an outstanding perf ormance from a U.K. standpoint. In fact, the numbers also grew by 9.4% quarter -on-quarter. The U.K. performance, as we all know, U.K. has been a strong digital services business for us. But the important change that we are s eeing now is not only U.K. continuing to be a strong digital services capabili

ty business, but we're also seeing strong and healthy momentum in our Data & AI business in U.K. as well.
Going across sectors, health care continues to be the most high-growth sector for us in the U.K. The overall health care business, especially the business with NHS continues to grow phenomenally. In fact, we had more than 100% growth year -over -year in the last fiscal in our health care business. The demand for the health care business is again very systematically driven by more preventions and collections. Both of these are a lot more Data & AI-driven programs and therefore, has also helped with our Data & AI business to grow. These are systematic policy - driven programs and will continue to do well in spite of the organization and structural change that the U.K. health care is currently executing, which is trying to integrate all health care under the Department of Health.
Similarly, the private sector business in U.K. also continues to see a very strong positive momentum. As I mentioned earlier, I believe our private sector business in U.K. has now turned a corner and we are starting to see some really good deals and healthy momentum going forward. Again, interestingly, the business here is not just in the Digital services and Oracle, but we are also seeing a lot of Data & AI-led businesses happening in the private sector. And we continue to see very strong positive momentum as we go forward into the next year.
Our secured government services, which is the core and the backbone of Mastek's business in the U.K. continues to do really well. This year, as planned, we have almost renewed all the large backlog of business that we had to renew, which gives us a very st rong healthy runway for the next 2 years and also gives us the momentum to aggressively go out and hunt for much more net new growth bus iness in the coming year. All in all, very positive strong direction on our U.K. and Europe business as we look forward entering into the new fiscal.

As far as our North America business is concerned, again, our business for the quarter, while it had a year -on-year growth of around 16%, our Q -o-Q numbers have dropped by 8%. Oracle
continues to be a really strong driver for our North America business. Our Oracle business, in fact, grew more than 50% in this year as compared to the previous year and we continue to see a very strong momentum in the Oracle business.
We are also working very closely with our 120- plus active customers in North America and are seeing and working with them in terms of developing their Data, AI and Digital road map as we move forward.

The macro changes in the U.S., as we all know, is showing some impact or some near -term impact in our business as it is . I'm assuming as it's showing to all of us. And some of our customers are more directly impacted because of these policies, which has led to in -sourcing of some businesses by them or in- sourcing of some work as well as a right shift in the deal momentum th at we were working with. We're very hopeful that these are near -term and short - term changes. And hopefully, the macro will stabilize and therefore, allow us to bounce back.
As far as A MEA , which is APAC and Middle East is concerned, our focus continues to be to drive profitable growth for our business. Healthcare continues to be the top foc used vertical in the geography. Our EBITDA numbers for the geography have improved significantly quarter - over-quarter and we continue to focus on driving healthy profitable growth in the region. I'm also very happy to share that our healthcare business, which was largely Oracle-driven earlier in the geography, has now expanded to other service lines and we're seeing traction across all capabilities, Salesforce, Data, AI and Oracle within the health care space.
On the overall profitability numbers for the quarter, our

EBITDA performance for this quarter
de-grew by 1.4% and our net profit de -grew by 14.4%. The de -growth in EBITDA in spite of the positive momentum and growth in revenue is largely attributable to 3 or 4 important reasons.
The growth that we are seeing in our U.K. business, as I mentioned earlier, is in more newer skills , is more in Data & AI capabilities and in more front -ending capabilities. Some of these
capabilities, we are also building as we deliver. And therefore, the margins in these businesses are lower as compared to our traditional margins that we used to enjoy. And we are activel y
working on strengthening these capabilities. And over the mid - to long term, I'm sure these will again deliver us healthy margins as we go forward.
There's also a reset in terms of people changes that we are executing, quite a few across the organization. And that reset has also led to some one -time costs that have come in this quarter and we might see some more as we look forward into Q1.
The third important change has been the lower revenue growth in U.S., which has also flown down to our bottom line and hence, impacted our bottom -line performance for this quarter.
The PAT performance or the net profit performance, which has gone down significantly is largely led by a one -time prior period cost adjustment, which was only a one -time event. It has
been executed already. And if you look at PAT, outside of this exceptional event, it was pretty steady.
Going forward and looking at our business for FY '26 and the outlook for FY '26 and how do we
see the business there. Our current view is our growth in our core business and core markets, which is our U.K. and Europe geographies will continue to be extremely healthy. As I mentioned
earlier, we are almost firing all cylinders in ou r U.K. market.
Our secured government services business, we have a very healthy overall total backlog in that business. And we are now really aiming for growing business in terms of acquiring new projects

as well as new departments in the SGS sector. We're already in play in various bids, which would
get announced over the course of the next year. And I'm pretty hopeful that, that will change the growth trajectory of our U.K. secured government services business.
Similarly, health care continues to be a strong momentum in the U.K. We also feel that the more
than 100% growth that we have had in healthcare in U.K. last year will continue to offer a significantly high growth even in the coming fiscal year, which is FY '26. Data & AI will
continue to be the focus for us in terms of our technology services and we are looking forward to have Data & AI-related growth across sectors and across geographies in the coming year.
As far as the U.S. is concerned, we are currently going through a reset in terms of our focus, in terms of our leadership team and structure as well as our go -to-market design for North America.

We're also trying to make sure that we navigate the current macro uncertainty as well. We are building very close ties and relationships with our customers and creating various innovation-led programs with them that will allow long -term sustainability as well as long -term value and return for our customers in the U.S. These changes will chan ge the overall dynamics of North America business for Mastek. However, it will take its course of time as we deliver and navigate through these changes in North America.

On APAC and Middle East, as far as APAC and Middle East is concerned, driving profitable growth, especially in healthcare is going to be our key focus. We are looking at not just currently executing Oracle, as I said, but taking the health care business to all of our service lines, especially Salesforce and Data & AI.

Operational efficiency is going to be one of the key mantras as we go forward into FY '26. We have alr

eady made various fundamental and structural changes in our business and we continue to make many more changes in the organization that will drive robust and profitable growth in the overall organization as we land into FY '26.

These changes will start showing impact as we move forward. However, they might have some short -term pain as we make and execute those well -directed and planned changes that we are executing. It's important as we go forward that we stay close to our customers and build innovation, especially around AI & Data, working closely with our customers. We started seeing the fruit of the AI development that we had done or executed in the past 6 months and these have started showing some initial results already and we're hoping to see many more changes as we go forward.

We've already seen customers where we are seeing more than 30% efficiency benefits as we are executing, especially the fixed bid projects that we execute across Oracle, Digital and Salesforce using AI and AI -enabled technologies.

The ADOPT.AI platform that we had launched earlier in Q3 for Oracle services has now been extended to all the other service lines, including Salesforce and Digital. So we now have an AI -led sales force implementation as well as an AI -led legacy modernization platform that allows us to offer anywhere between 30% to 50% efficiency to our customers to execute much faster

and better. We've also developed more than 100 AI -led use cases, which we are offering to our clients, many of them developed in close conjunction and in discussion with our clients. These are going through initial POCs with our customers. And I'm very optimistic that as we execute some of these use cases for our clients, it will drive significant value for them as well as significant value and uptake for our business.

The near -term uncertainties in the market continue as we look at and get into the next year from an overall sentiment point of view. We are driving with a lot of positivity as well as caution to make sure that we understand the changes well and we navigate the business well. However, the overall health of business continues to be extremely positive.

With that, I would hand over back to Asha for taking over the Q&A.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: I had a few questions for the management. Could you deep dive a little more into what exactly is happening in the margins ? specifically in U.K. geography because on a segment level, the drop in margin is very significant, so just wanted to understand that. And how should I see it going forward? Would it be reset for a few quarters, a 2 quarters or 3? When should we go back to our original segment al margins of 22 %-23% sort of ? So that was the first question.

Umang Nahata: Jalaj, thank you for the question. As far as our U.K. business is concerned, like I said, we see a very strong growth momentum across all the 3 sectors that we operate in. However, the kind of business that we are seeing, the kind of work that we are currently getting is in newer areas of data, especially Data and AI kind of work that is now coming up. These will have an initial impact. So, the fulfilment for many of these positions as a lot of them is on -site work and also we're working with partners to execute these kinds of businesses.

As we build capabilities, as we also expand into more offshoring into these lines of businesses, I think the margins will come back to the healthy rate that we had earlier. In the short term, we might see some impact to margin. So the way I look at it is t he profitability overall will grow whereas the rate of profit, which is the rate of EBITDA percentage might come down, but the overall EBITDA should continue to grow

in a healthy direction.

Jalaj: Got it. Just one more point or trying to delve a little bit deeper on to it. So could you give a little breakdown of some attribution analysis of what led to the fall exactly? Because I see the headcount has reduced, still the people cost has increased and other expenses are also picking up. So could you give us

some allocation sort of ?
Umang Nahata: So, you're right, the headcount has reduced and that's a constant measure to drive more revenue per headcount. However, like I said earlier, a lot of the increase in headcount that has happened in this quarter, is largely on -site resources. And these are pretty high cost on onshore or on-sit e resources that we have hired. And that has led to this increase in cost despite of overall reduction in headcount. So bulk of the headcount that has increased are increased in on-site headcount

resources. Also, the other costs that you're seeing are largely subcontractor costs. So , we classify them as subcontractor costs. And as I mentioned earlier, a large portion of these revenue also came by subcontractor costs. So we might have added another 70-80 new subcontractors in this quarter, which we will balance over the coming 2 -3 quarters as we go forward and expand our internal capabilities on these areas.
Jalaj: Understood. And specifically, when you talked about your order backlog being filled or U.K. being having good traction, but the overall order backlog, if I were to check 12 months order backlog, year -on-year remains flattish on a constant currency basis. So where am I missing the disconnect between the outlook- wise an d what is showing up in the order backlog?
Umang Nahata: That's also a great question. So while the overall backlog has definitely increased phenomenally, like I said, a lot of these contracts, we're trying to secure them for long term and make sure that we get a steady long -term runway in our business. The 12-m onth backlog for year -on-year is 1.7%. Having said that, there's almost a $ 15 million worth of contract, which based on our cycle has closed in the first week of April, which we haven't counted there –which is $15 million ACV. So, if I add that $15 million, then the 12-month backlog also moves more close to 7% to 8% on an annual basis as well as approximately around 12% on a quarter -on-quarter basis.
So I would say, there is some timing mismatch in terms of the deal closing that we were looking forward to. But yes, it's not a 1.7%, it's around 7% to 8% for all practical purposes that we are looking at from a year -on-year basis.
Jalaj: Understood. And Umang, I wanted to understand how things are shaping up in the U.S. geography. So we have been trying to put up feet there. Now this macroeconomic uncertainty has come in. So how do you see going forward both in terms of resetting, as you s aid, and then the growth demand there going forward because it would make a life a little difficult in terms of if it is there's not enough demand to get both margins in place and the business otherwise. So could you –tell us along with some time line as and how you're seeing things there?
Umang Nahata: Yes. So as I mentioned earlier, we re looked at all of our U.S. focus and strategy. As I mentioned in my previous calls also, our current U.S. business is literally made up of the 3 or 4 acquisitions that we have done. So our first and foremost change is trying to simplify the org structure and make the organization one single consolidated North America business, which is what we've been trying to execute in Phase 1. So that's the structural change that we're trying to make.
The second part is to really focus on capabilities that are growing and that continue to see a lot of demand and growth, which is largely around Data & AI. So we're really beefing up our data and AI capabilities in the geography. As I mentioned earlie

r, we're also working very closely with our customers and developing a lot of these capabilities very closely in correlation to their demand that we see. So it's very tightly pegged to what we are seeing with our existing set of customers that we are working with. Our investments in Data & AI will continue to be disproportionate to some of the other capability areas as we really go forward into the next year.

On the Oracle and Salesforce side, I think we continue to see healthy growth in both service lines. On our Salesforce business especially, we had seen a little bit of dip, especially because of the public sector nature of business, which got impacted in the last quarter and as the macroeconomics played out. We are working closely with our customers to look at their next year's budget and how do we align well in terms of building our capabilities as well as our offerings to help them also navigate through t his cost reduction expectations tha t the government has from them. So that's the area that we really want to navigate carefully. But other than that, as far as Oracle, Data, AI and digital is concerned, the momentum is steady and we are building up in the right direction to pick up a long- term growth in that geography.
Jalaj: Got it. And one last question on the margins. So until very recently or last 2 con calls, we had initial discussion about the EBITDA margins that we were trying to stay in the range of 17% to 19%. Is that a guiding principle even going forward or that chan ges a little ?
Umang Nahata: No, that doesn't change at all. Our ambition and drive is to drive to 17% to 19%. Like I said,

there are some fundamental correction that we have made now. A lot of it is a cost of reset also. Some of it is also driving business in the right capability areas in U.K. as well as in U.S. So these
will need so me fundamental time to correct. But I'm sure before we end the next year, we will
be in that range of 17% to 19%. So operational efficiency is key and driving business with the
right fundamental corrections is required to reach to that level.
Jalaj: We are hopeful that FY '26, we should get into that range. Would that be a fine assumption?
Umang Nahata: Yes, that's a good assumption.
Moderator: The next question is from the line of S. Na yak from Anand Rathi Wealth Limited.
S. Nayak: Just one thing. You mentioned about the Oracle business growing 50% year -on-year in the U.S.
What's basically driving that? And is the Stargate JV where Oracle is a part of, is that benefiting
you in any way? That was the first question. I have another que stion.
Umang Nahata: Sorry, can you repeat I got first part of the question, but I didn't get the second part of the
question. Can you repeat that?
S. Nayak: The other part was basically, I think Oracle is now a part of the Stargate JV in the U.S., right, with SoftBank and OpenAI. Is that something that you are seeing some green shoots of positive
demand coming from there? Is that one of the things? And the sec ond is what exactly is the Data
and the AI business? If you could just give a slightly more detailed nuance on that, that will just
be helpful. Those are the questions from my side.
Umang Nahata: Sure. So as far as the Oracle business is concerned, I think we're seeing healthy continued
demand in the sectors that are strong for us. So, health care continues to be an important sector
and we're seeing good healthy demand there.
Manufacturing and utilities are the other sectors that are really coming up well and we are seeing good healthy demand in terms of manufacturing and utility businesses in Oracle. And we're also

trying to expand this to higher education as the third sector, taking that globally. So these are
sectors that are currently doing well. We've also been able to develop a very

healthy relationship
with Oracle and Oracle Consulting. In fact, we've also recently onboarded a new Board member
who has come from Oracle and she was earlier the Head of Oracle Consulting working at Oracle.
So we're in general, seeing good demand and momentum in that business.
As far as the Stargate and the OpenAI alliance is concerned, there's no direct or immediate
visibility in terms of impact that we see in this quarter. In the long run, the Oracle OCI, which
is where the investment is, which will also cover the Oracle AI si de of the business, is where we
see phenomenal growth and we are working closely with Oracle to really drive more AI adoption
within the Oracle install base that we have. And we've already seen a lot of initial programs
where we've turned on some degree o f AI work for them. And looking forward, we see much
more adoption in the install base where AI for business will be adopted in a much higher degree.
There was a second part of the question the data-related work that we are currently getting in the
U.K., it is more around currently data design and setting a framework kind of work.
Going forward, it should mostly result into either Databricks or Snowflake kind of data activities
as we look at there. The data work that we are seeing in the U.S. is a lot more around Snowflake
and Oracle right now. But we are also trying to consolidate these 3 and build a much stronger
capability around Snowflake, Databricks and Oracle as we go forward.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: My first question is, obviously, we are seeing very strong growth in the NHS segment. But as
you mentioned earlier that the NHS England merger can have some near -term impact in terms
of decision making. So are we seeing any impact of that on the order book that we have
mentioned? Or else any impact from the ongoing macroeconomic uncertainty on the order book
that you are seeing any deals that are in the pipeline, which are getting delayed? Or we will continue to see the strong growth in the healthcare and the NHS segment? So that is the first
question.
Second one is in the U.K. margins, it has dipped in this quarter. So do you see th is like one -time
event or it's a kind of a reset because the margins that you have reported in the U.K. is a 5 -year
low and earlier, we used to operate plus 20%. And you said that deals that are coming in that are
actually at low margin, so we can hit 18%, 19%, but we are way below that. So what changed
in terms of your assumptions or the new deals which are coming are at a very low margin?
Umang Nahata: Yes, Amit, thanks for those questions, very insightful questions. So as far as the NHS growth is
concerned, the merger of NHS England into Department of Health that got announced earlier in
the quarter, currently, this process is going to be a steady long-term process. It will take at least
2 years for the government to really integrate and put the 2 departments together. The other part
is a lot of the efficiencies that the government spoke about as a part of this merger is largely on
the oper ational side, which is between their teams of quality, their procurement, their operations,

et cetera. A lot of the cost savings that the government is envisaging and rightly so is more on the operations side of the NHS.
As far as the technology investment is concerned, in the same breadth that we heard the government that they will continue, if not increase their investments in technology and look forward to making NHS much more efficient, driven by preventions as well as driven by data - driven decision-making, which is the collections program that you would see. So currently, the business that we're getting are really within these 2 important programs, which is the NHS preventions program and the NHS collections program. These ar

e 2 most flagship and policy-
driven programs for the government. And the whole mandate of driving efficiency or recovery in the NHS is driven by the technology adoption in these 2 areas.
On the near -term basis, as the government executes these merger and changes and while there are certain uncertainties around it, there may be some changes, but we haven't seen anything that would suggest here and now in any of our current deals. So the tim e lines on any of our current deals hasn't changed. Nor has there been any change in the demand for new deals that we are seeing impacted so far. Having said that, we are closely observing and monitoring the changes that happen within the government, talking to the right people in the government also to make sure that if there's any change, then we are able to navigate it well. But having said that, there's nothing that we have heard so far, which would made us think in any view that we derail from where our current path was as far as NHS is concerned. So we are optimistic for a significant growth even in the next year.
On the margins side, this quarter has been, I would say, a little abnormal in terms of de -growth of the U.K. margins . Like I said, the business that we are gaining a lot of the NHS business as well as some of the business that we are now delivering in secured government services have been secured at a lower gross margin as compared to the gross margins that Mastek traditionally has been used to.
There are two main reasons to it and 2 different areas and reasons. As far as the NHS business is concerned, these are in newer areas of data, data-related solutions and services and would eventually result into Data and AI -related businesses as we go forward. These are newer capabilities for Mastek, especially as it comes to delivering them on -site in a secure government or a security cleared resource framework that the government is currently asking for. And hence, has led to immediate dip in gross margin perc entages for these transactions. We are working
closely with the client. In fact, they also have pressure to improve the margins for these contracts.
And therefore, I think in the midterm, will lead to more balanced on-site offshoring as well as more balanced resourcing for us to improve margins in these programs.
On the secured government services side, the large contracts that we have renewed now, which gave us a more healthy 2 -year runway for these businesses have been renewed at a lower gross margin rate. However, we've been able to avoid any commercial competit ion there and been able to secure a direct renewal of these large contracts.

We are now working on internal efficiency drives to make sure that we are able to deliver these margins with the same healthy gross margin rates that we had earlier. Some of these will take a few months or quarters to get us into that rhythm of executing t hese new businesses, which are
at a lower margin, but we are already on it. And therefore, I feel confident that in the midterm, which is in the next year, we should be able to come back to the healthy margin rates that we have been executing like we said .
Amit Chandra: Okay. And one last question. Where are we in terms of the restructuring that we had in the AMEA geography? Are we done with it or still some part of it is remaining?
Umang Nahata: Yes. So we've executed the restructuring with A MEA . If you look at this quarter's performance, our EBITDA performance has significantly improved from where it was in the last quarter. And we will continue to see the A MEA profitability growth move northwards as we execute.
Like I said, our very clear and sharp focus is to deliver profitable growth in A MEA and health care as a key focus vertical for driving that kind of growth. So we've executed most of the restructuring for A MEA . And in fact, it has already started sh

owing results as far as profitability
for AMEA is concerned.
Moderator: The next question is from the line of Ravi Menon from Macquarie.
Ravi Menon: Good performance in Europe, but U.S. has actually seen a decline. I'm not sure if you answered

that already. In fact, I missed the first 10, 15 minutes of the call. If could talk a bit about that, what sort of demand are you seeing?

Umang Nahata: Sorry, Ravi, the audio is not coming out very clear. Can you repeat that?

Ravi Menon: The U.S. has seen a decline quarter -on-quarter, although Europe has done pretty well. So could you talk a bit about how you're seeing demand in the U.S.? Secondly, top 5 clients, we've seen almost all the revenue addition this quarter come from there. And beyond the top 10, there is a bit of weakness. So is it just normally project spending or is there a broader set of -- is it just from the macro? Are people cancelling projects or putting them on hold?

Umang Nahata: Yes. Thanks, Ravi. Thanks for that question. As far as the U.S. is concerned, there is definitely a degree of uncertainty that we are all observing and even our clients are feeling the same. So there are 2 kinds of clients that we are currently seeing uncertainties with.

One are more public sector or government -funded kind of clients and they are seeing their budgets being significantly cut and a lot of tightness in terms of execution expected from those customers, which is leading for them to relook at their discretionary spend as well as expanding their in-sourcing kind of activities. So that's been one reason, 2 of our clients have seen or started looking at in -sourcing their businesses, especially in some of their core areas, which has led to a degree of slowness with t hose customers in the U.S. So that's one area.

The second part of the uncertainty is where the other larger spectrum , if you go wider into commercial sector and every other sector that we are currently dealing with. The uncertainty is

causing customers to right shift their the orders that they would want to place or even the orders that they have placed, they are asking us to go slow in terms of execution or the spend against those MSAs. So yes, I would say that degree of uncertainty in the U.S. is causing some degree of slowness from both these factors, cost cut as well as people holding back their discretionary spend or right shifting their orders that they wanted to put out. That's also one of the reasons our overall backlog has seen a lit tle bit of a dip in this quarter.

On the top 10 clients, you are right, you pointed out very rightly. March is when a lot of customers go live with their projects and programs. So it's mostly about customers going live and we're now discussing next phase of work as well as expanded managed services in these customers. So it's more to do with that. But we don't see any other pattern beyond the top 10 clients in terms of any change in demand or anything like that from them. So it's not any specific top 10 or beyond kind of pattern. But yes, there have been quite a few programs that have gone live in end of Ma rch. And therefore, we are currently in the phase of building up for the next set of programs with them.

Ravi Menon: As a follow- up, in North America, are you seeing continued success with the Blue Cross Blue Shield sort of customers? I recall that we had been hoping to replicate the setup that we've won with one of them.

Umang Nahata: Yes. So BCBS and the likes, which is the strategy on Blues that we had built last year. So BCBS continues to be a strong customer for us and we are seeing decent momentum, although the amount of business expectation that we had from them has definitely red uced. So that's one of the customers who's doing a little more in-sourcing of their business.

Having said that, the Blue s strategy, which we had set ourselves up for last year, while we didn't see any significant new Blue addition that we got in the last year, as we speak, we are actually negotiating MSAs with a few Blues. So hopefully, in the next 1 or 2 quarters, we would have added a few more MSAs beyond BCBS in the Blues. But last year, we couldn't execute on the Blue strategy as much as we were hoping for.

Ravi Menon: And could you talk a bit about the other verticals that you are hopeful about in the U.S.? And what are you trying to at least put business development efforts?

Umang Nahata: Sure. So , beyond healthcare payers, health care provider continues to be an important vertical for us and we continue to see good demand in the healthcare provider vertical space, especially led by our Oracle business, but now we are expanding that across service lines that is growing into Salesforce and Data consistently. So that continues to be a really important vertical for us.

Manufacturing and utilities is the other vertical that is seeing good uptake and demand for us and we continue to do really well. Again, a lot of innovation is being developed as we speak forward. So many of our manufacturing customers who usually start with Oracle or Salesforce as their first program with us, we're now able to offer them data and IoT and digital solutions in

their second wave of automation and efficiency drive that we're offering. So manufacturing and
utilities is the second important vertical.
The third is financial services. Financial services is largely driven by our AI acquisition that we
have made. So we continue to see good traction in the FS, largely led by our data propositions
that we acquired from BizAnalytica. So those are the top 3 vertical focuses that we have in North America.
Retail is also an important segment for us, but it's not growing phenomenally. So while we have a healthy mix of retail
customers, we're not seeing any significant growth with them yet.
Ravi Menon: One last question, if I may, on the AI side, there is an opportunity on business use cases. But are you seeing at
least your major customers ask you for significant productivity benefits and
commit to that in new deals or even existing book of business?
Umang Nahata: So currently, as we speak, AI on technology is a really important wave here and now. So we are
actively discussing with a lot of our customers for use of AI for us to execute the new projects with them. While this might
have some initial efficiencies that we will have to share with o ur
clients. But I think in the long run, it will drive a lot of healthy demand. We're already working
with net new customers who are now bringing up legacy modernization initiatives or digitization initiatives that they were not
looking at earlier because of the techn ical complexity or the costs
involved. But with AI, the ability to execute the modernization of those really old syst ems that
they had in an efficient manner is becoming a reality. And we are working closely with all of
our existing install base customers to see how we can help them use AI to drive a far more degree
of modernization. That's around just using AI for bette r technology adoption of their business.
And this is where, yes, we are working with them to pass around 30% efficiency back to them
also. But I think we will still be profitable in spite of passing the 30% efficiency back to them.
On the AI for business, I think it's early days. We're starting to see use case discussions. There are some POCs going on in a
variety of customers. As we move forward, more and more of these
POCs will become turn into programs and projects is where we see the line of travel.
Ravi Menon: And the NHS or the U.K. government, too, are you seeing these sort of programs?
Umang Nahata: In the government, it's still early stage discussion, both with NHS and the government. These
are currently more data-drive

n programs there. But we are working closely with the government.
We are discussing some proof of concepts in terms of AI adoption for their business right now,
but I would still say very early stage.
Moderator: Thank you. The next question is from the line of NGN Puranik from ENAM Holdings.
Ngn Puranik: Congratulations on a couple of deal wins you have made in the last couple of quarters. Can you just give a
background of the recent deal won because it looks pretty interesting because most
deal wins are over a period of 5 years, but you have won a 2 -year deal and there is volume and
visibility certainty in this kind of deals ?

So I would like to understand more about this. And what's your process to get into the margin
curve, both in terms of the productivity and solution building capabilities that you have been talking about ?
Umang Nahata: The most important deals that we have won in the last quarter have been two really large deals
with our existing customers. These have allowed us to significantly cover the current book of business that we have with H
ome Office. And these deals have been closely worked with them
and therefore, single -sourced renewed with us giving us a runway for the next 2 years.
The government clearly is renegotiating prices and is looking at cost efficiencies from all
vendors, which I think our ability since we closed most of our open book of business today gives
us the license to go out and compete against the book of businesses tha t other competitors have,
especially th e larger players in the market. And we are now actively building ourselves up based
on the backup of these deals that we have already won to go out and compete for the share of
business that our competition has, espec ially in SGS as a sector, in the secure government
services sector.
As far as the operational efficiency drive is concerned, it's a very pointed 4 -5-step program. The
first step was around driving internal efficiency overhead cost management kind of exercise, which we are executing as we
speak. The second is simplification of the organization. So , we
have simplif ied our organization structure. This has led to some reset in terms of people,
leadership structure, which has initially brought in some one -time costs as we executed those
changes, but over the quarters will drive efficiency and take business forward. Third is adoption
of AI in all of our internal delivery programs, especially the ones which are fixed bid delivery programs. And we are looking
forward to anywhere between a 15% to 20% efficiency drive just
because of AI adoption in our business. And last and not the least is reorganizing our business
to deliver the kind of growth that we have set in U.K. So reorganizing, relooking at our
resourcing our pyramids, our on- site offshore mix between our resources to make sure that the
cost efficiency demand that we have for our customers, we are organizing our internal org

structure to align to those kinds of demand or efficiency demand for our cus tomers . And able to deliver them without impacting or without significantly impacting our bottom line.
So those are some 4 or 5 important areas that we have looked at. And we believe all of these will offer sizable value in terms of bottom line performance and that's an important goal for us in
FY'26.
Ngn Puranik: And what's the potential opportunity in this, both in terms of maintenance and new deals that can follow?
Umang Nahata: Mostly, these will continue to have maintenance and new projects. These are long -term customers for us. So they will continue to offer both maintenance as well as new projects that will happen with them.

Ngn Puranik: And you have been doing a lot of data, technology, AI. What is your total force in terms of data capability, analytics capability and with that dom

ain, with health care domain and public services domain and the potential referenceability of this in other markets like U.S. public services?
Umang Nahata: So our current Data AI team, is around 200, 250-plus people, but it is growing as we speak, growing quarter -on-quarter. So we're adding another 50 -100 people. So it's reskilling as well as new addition that is constantly happening with our team. So it's an area of business that we think will grow the fastest in the coming year. So that's where we are with Data AI. As far as adoption of these capabilities and skills across verticals in U.S., so we are working and trying to develop and deliver these solutions globally in U.S., U.K. as well as in A MEA . So Data AI will be a key focus across all the 3 geographies.
Ngn Puranik: And the templates and reusable components are significant ?
Umang Nahata: Yes, yes. So a lot of asset accelerators are being built, a lot of investment in working with start - ups and acquiring platforms that they have developed, which we can use in our business is also a key part. So working closely in terms of assetization, working closely with start -ups to learn and acquire from them are impor tant part of executing this business.
Ngn Puranik: Interesting. Can you give some sense of your U.S. market, how U.S. is doing in terms of both domain technology and the potential, how will you take the learnings from here to those
markets?
Umang Nahata: So U.S. overall, like I mentioned earlier, our focus is across all the four capabilities; Oracle, Salesforce, Data and D igital. Most of the businesses are across all the four . Having said that, we are in a reset in terms of our structure and GTM for our U.S. business is concerned. These are more disorganized into 4 individual businesses, we're now trying to organize them carefully and correctly, especially in terms of our capability overlap from one to the other. So that's an
important part as far as our U.S. focus is concerned. From a vertical standpoint, healthcare, manufacturing and financial services continue to be important verticals. We also have a decent public sector and higher -ed presence.
Ngn Puranik: And Oracle Commerce is still significant?
Umang Nahata: Oracle Commerce is there. The Oracle Commerce business is not growing, but Oracle overall is growing.
Ngn Puranik: And what do you think about Cerner Corporation and NetSuite? Is there any potential in this enterprise?
Umang Nahata: So we are not investing in NetSuite. NetSuite is more for the SMB market. Cerner, we are evaluating closely whether we want to invest in Cerner or not. But it's a degree that we are working closely with Oracle. As soon as they open up Cerner for partners, we would want to invest.

Ngn Puranik: I'm only asking NetSuite from the Oracle migration that you are doing, the small deals you are doing.
Umang Nahata: Yes. We are not working on that.
Ngn Puranik: It doesn't make any sense. They are too small.
Umang Nahata: Too small.
Ngn Puranik: Very nice to see your U.K. business doing so well.
Moderator: The last question is from the line of Varun Kulkarni from InCred AMC.
Varun Kulkarni: One question on the working capital. Basically, I understand that we have a heavy exposure to the U.K. government. B ut there was a considerable increase in the trade receivable for this fiscal year. So I would just appreciate your comment on that, like why was that the case this year?
Umang Nahata: So Varun, I think the trade receivable is generally in line with the revenue growth. So we haven't

seen any significant change or exposure. Is there anything specific that you observed, which we haven't?

Varun Kulkarni: So there was a reduction in the operating cash flow. That is why this question because the working cap, the debtor days have also increased. If I see last year, the debtor days stood at 67

and as of this fiscal, it's at 81. So just wanted to understand tha t.

Umang Nahata: Yes. Varun, I think our DSOs have improved. In fact, it has come down to 83 days in this quarter, which has been our target that we have set ourselves up for the fiscal. So overall, we see a healthy working capital balance and we feel quite comfortable with the cash g eneration that we have.

And if you look at this year also, we've generated more than 30% growth in cash year -on-year.

So we feel comfortable with the working capital situation that we have and our DSOs are also consistently improving.

Varun Kulkarni: Sure. And one more question was that pardon me if I already missed this. What would be the percentage of the net new deals? And how do we anticipate that going forward for this fiscal?

Umang Nahata: So we've added 11 new customers in this quarter. And so the net new is defined in 2 parts, right? Net new is net new customers. So we've added 11 new customers this quarter. And we continue to see that as a healthy rate of adding like 40 -50 customers, while we're also trying to reduce t he tail customers that we have. So we're trying to balance the number of customers that we want to service. There's also good potential of net new business in the existing customers, especially around Data & AI that I mentioned earlier. So we're seeing new programs in the existing customers also continue to ramp up and grow.

Varun Kulkarni: And in absolute dollar terms, would you be able to ascribe a value ?

Umang Nahata: I don't have that top of my head, but maybe we'll work with the finance and see if there's a side - line answering that for you, but I don't remember the net new number right now.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Umang Nahata for closing comments.

Umang Nahata: Thank you, everyone. Thank you for asking the right questions and thank you for patiently listening to us. As I've said, as we go into FY'26, it's an important year. We've had some important analysis for the year going past and continuing to focus on our core business, which is our U.K. & Europe business and our Oracle business as our key levers for growth, resetting our business in U.S. to make sure that it gets more aligned to Data & AI and has a more integrated Mastek view is the other important part that we are looking forward to. Driving operational efficiency is going to be a really important factor as we take forward the next year.

And last and definitely not the least, is continuously evolving our technology and capability outlook, especially around Data & AI is going to be an important pitch going forward. And I'm sure those are the factors that will drive and continue to drive Mastek in the right direction as we move forward in the next year. Having said that, there is a lot of near -term uncertainty that we're all going through in the macro. So we're trying well to navigate those near -term uncertainties also.

Thank you, everyone. Thanks for joining the call.

Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Jul 2025

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the Quarter ended June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter ended June 30, 2025, conducted on July 21, 2025, for your information and records.
The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Thanking you,
Yours faithfully,
For Mastek Limited

Dinesh Kalani
Company Secretary & Compliance Officer

Encl: A/A

“Mastek Limited

Q1 FY’26 Earnings Conference Call ”
July 21, 2025

MANAGEMENT : MR. ASHANK DESAI – PRINCIPAL FOUNDER AND CHAIRMAN – MASTEK LIMITED
MR. ABHISHEK SINGH – PRESIDENT OF UKI & EUROPE – MASTEK LIMITED

MODERATOR : MS. ASHA GUPTA – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. I now hand the conference over to Ms. Asha Gupta from E&Y LLP, Investor Relations. Thank you, and over to you, ma'am .

Asha Gupta: Thank you, Zico. Good day to all of you. Welcome to Q1 FY'26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view it on our website www.mastek.com
. Before we begin, please note that Mr. Umang Nahata, the CEO of the company is unable to join today's call due to a personal bereavement.

To take us through the results today and to answer your questions, we have the top management of Mastek represented by Mr. Ashank Desai, Principal Founder and Chairman and Mr. Abhishek Singh, President of UKI and Europe. Mr. Ashank will start the proceedings, and Mr. Abhishek will then provide a brief update on the business performance and financials for the quarter gone by. And post that, we'll open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned on this call that reflects any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Mr. Ashank Desai. Over to you, sir.

Ashank Desai: Thanks, Asha. Good afternoon to all my dear investor friends and analyst friends. Good day for people outside India. As Asha said, we have an apology due to absence of Umang Nahata, our CEO because of a very close bereavement, unfortunately, over the weekend. However, we have two of us here who will deeply involve in any case as will answer questions and address you.

So, if I look back this quarter, I would say it is a strong beginning for FY'26 with a lot of expectations, a lot of green shoots and a lot of initiatives which are defined into results at revenue level and profitability level. As you know, we have delivered almost 13.2 % year-on-year growth on income, total income in rupee terms and net profit, of course, grew 28.7% in rupee terms. Our operating EBITDA grew 10.8%. These are year -on-year growth, which certainly makes us feel satisfied in terms of our performance. The strong points of the performance, of course, has UK, which has always been doing quite well over the last many quarters, as you know, for Mastek. We have grown 26.5% year -on-year there again in rupee terms in UK. Certainly, we had big outcome, which is beyond our existing sectors in government, NHS. We were very successful in opening a large account in BFSI. And that's kind of really going to create certain goodwill and certain name reference for us, which we have talked about. And that is going to be a new inf lection point in our growth in UK.

US, of course, we would have liked to do better certainly, but there have been headwinds in some of our accounts and some of that did impact. However, when I look at our pipeline and the

backlog, I feel happy that we have achieved good order booking this quarter and pipeline looks quite healthy for future growth.

AMEA, of course, has been showing lesser growth because certainly, we are now focusing on profitable growth rather than just growth. And Umang is certainly working quite hard in that area, given his earlier exp

erience too in that geography. And that would certainly reflect this in some of our numbers in A MEA at a profitability level. But the real good another thing which has happened is, really speaking, AI. We are really feeling very satisfied and very energetic about what's happening in AI, particularly in US We have more than 10 accounts where we are presently working on various proofs of concepts, various areas of AI, Gen AI, Agentic AI. US , as you always know has been ahead of others in terms of technologies and our customers in all these areas do give us a great satisfaction. And with this more than 10 customers, in fact, dr iving that wave into AI market. W e do feel that we have a great future ahead in AI both, as I said, productivity improvement and possibly new applications.

In terms of EBITDA, of course, our journey continues. We, of course, had issues in terms of headwinds in US and that did impact EBITDA. And we also are investing, which we are not reducing our investment in tomorrow's technologies, as I talked. Both of these impacted EBITDA.

Last point I will quickly talk is about team selection. Umang and his team and Board together are very much involved in team of two senior people for us. One is our President for US and second is CFO at the corporate level. We are quite near to the things. We have been shortlisting, we have been interviewing. I hope to see results very soon on that aspect.

With that, I'll hand over to Abhishek, our President for UK & Europe and all of you know in his earlier avatar as CFO. Abhishek, please take over from me.

Abhishek Singh: Thank you, Ashank. Good day, folks and warm welcome to everyone on our Q1 FY'26 earnings call. As Ashank touched upon a few of the financial parameters as well as the operational update, I'll be elaborating it over the next 25 to 30 minutes. I'm happy to take your questions right after that. So, I'll start with the financial performance and weave in the business updates along with that.

I would start with reiterating the comment Ashank made, which was about it is another steady quarter of robust financial performance despite all the headwinds and macro situations that we have been experiencing in the major geographies that we operate in. All of you know the tariff - related situation, which impacts retailers in the US market, the impact of war and uncertainty in the Eur opean market a nd as a result of it, our clients are also impacted.

But having said that, despite all those factors, our revenue grew very well at 12.5% year -on-year to nearly INR 915 crores, which represents a sequential growth of 1% and a constant currency decline of 1.1%. If we dive further into the revenue performance, the growth was predominantly driven by our UK & Europe business, which registered a 27% year -on-year growth in the reported currency and 8% quarter -on-quarter growth. This was I would call it as a 360- degree growth, coming from all the major sectors that we operate in. Health was obviously the leader,

having grown by 25% to 26% quarter -on-quarter and it more than quadrupled year -on-year. The growth was also driven by a significant one from our enterprise business, as a lot of you tracking Mastek would know that it was not a major focus for us. But over the last few years, we have put in a lot of energy and that is starting to show green shoots, especially in the BFSI and data-led growth. The growth also came from our secure government space where one of the large logos that we landed in December last year, January this year ramped pretty nicely. And our Oracle business across UK & Europe has registered a few good wins, which gives us confidence of growth in the second half of the year.

The revenues across our US market registered some headwinds on account of muted spend from our major clients that resulted in a flat year -on-year numb

er and a 8.5% Q -o-Q decline in dollar terms. However, there is a green shoot there because the order books grew pretty well, 25% quarter-on-quarter as well as year -on-year, and the pipeline continues to be fairly robust and strong, giving us confidence.

Revenue in the A MEA market declined due to project closures. As stated by Umang and in our prior conversations, we have been pretty clear that we want to pursue profitable growth in the geography. And as a result, some of the deals right shifting as much as projects coming to a closure, there was a decline in the revenues for the geography.

If I shift the needle towards the profitability indicators, our operating EBITDA margins stood at 15% for the quarter. It declined 31 bps quarter -on-quarter. However, the most important point to note is that one of our largest clients, not just in the UK market, but the largest engagement pan-Mastek, we secured a 2 -year extension -cum -renewal of that client, and there was a major discount that we had to offer them. That discount kicked in and impacted for the whole quarter. And despite that, we were able t o nearly have a flat operating EBITDA performance. So, it just reflects our ability to absorb that discount, continue to make the investments in the talent and capabilities to grow the business forward. We reported INR 92.1 crores in net profit for the quarter, which has grown by 28.7% year -on-year and 13.5% quarter -on-quarter.

If I look at some of the other financial parameters, the cash and cash equivalents stood at INR 549 crores versus last quarter of INR 622 crores. It decreased on account of the variable payout, which was nearly INR 100 crores plus within the quarter, as much as INR 50 crores plus of debt repayment.

DSOs continue to be steady at 82 days versus 83 days last quarter and 92 days last year this quarter. 1 2-month order backlog stood at 274 million, which is 3.5% quarter -on-quarter growth and 5.5% year -on-year growth. So that's the sum and substance of our financial performance.

As I shift towards the business performance, I'll start with the geography that I lead and represent at the Mastek level. UKI and Europe business continues to deliver a very strong performance, both in terms of top line as well as in terms of order booking and the pipeline build that we are witnessing. The growth that I mentioned is coming from all the sec tors, secure government, health care and private sector. And our Oracle business is definitely seeing recovery led by Europe and UK in that order.

The momentum is also coming from the data-led deals and some of the legacy transformation where AI is playing a very pivotal role. In this quarter gone by, we secured a large deal, nearly $15 million plus of TCV, which was an intersection of a large financial services regulatory organization here in the UK and it was driven by the data and the transformation of their data landscape. It also saw some renewals and extensions of the major engagement, both in secure government services sp ace, in the NHS space, as well as in the enterprise space. These are all long tenured engagements where client continues to report significant faith in Mastek and continues to extend its work with Mastek.

If I look at the business from a directional point of view, I would like to spend a few minutes and give you the highlights of the spending review. As you're aware that last year, we had a new government led by Labor Party. They had tremendous mandate from the citizens here. And we went through our spending review, the highlights of which got published a couple of weeks back.

Some of the highlights which are relevant for Mastek and its business here in the geography are, there is a reiterated commitment on increased spend in digital and tech across the departments.

The government has committed to a £ 3.25 billion transformation fund, which wil

l be focused on public services, digital transformation and AI -led initiatives.

However, there is also a strong mandate of 15% reduction in admin cost through automation and technology over the next 5 years. Now it is important to note that these cuts or these reductions would be achieved by higher digital spend or higher spend towards digitalizing the landscape that's already there and that's where Mastek is very well placed and positioned to make use of that and help the departments achieve that.

The second highlight is the focus on NHS transformation as most of you have observed that our growth in the geography, both in this quarter as well as over the last 5 quarters, have been dri ven by the growth in our healthcare business, and that continues to be the major focus of the government. NHS has received £10 billion over the next 5 years, explicitly aimed at digital, technology and infrastructure improvement, aimed at reducing the wait time and improving operational efficiency for the patients. The key areas of spend would be electronic health record, integrated care systems and patient portals that allows for doctors and patients to engage with each other seamlessly as well as for the capacity to be avail able across the health systems or across the regions within the NHS.

The third highlight would be the commitment towards the cloud and efficiency push, government -wide mandate to deliver £ 14 billion in savings through digital and AI by '28 and '29, as I said in the first point. This further reiterates the fact that suppliers like Mastek strategic partners like Mastek will be engaged very closely with the department in shaping up those spend to achieve the savings and efficiencies. Then there is a transition outcome -based digital funding model being established to unlock better value for money and more responsive delivery.

There is a new procurement policy that has also been launched that essentially wants the suppliers to outline the KPIs delivered, the outcomes achieved. This puts Mastek and suppliers

like Mastek in good place because our programs are delivering the value and there are palpable acknowledgment of the government departments as well as from the higher ups at the Crown Commercial Services.

These things, when published, allows for other buyers to see who are credible suppliers and possibly consider their offerings. So this also augurs well for us. Last but definitely not the least is the continued commitment of the government in terms of removing the technical debt and strengthening its position in the cybersecurity space.

I'm happy to confirm that Q1 order booking also represented Mastek's first commercially completed bid on the cybersecurity and services framework in one of the large public sector departments. S um and substance being that the beneficiary of the spend review are Health and Ministry of Defense. Both places Mastek is very well entrenched. And then there are clear mandates on efficiency and adoption of AI, including other automation tools where, agai n, Mastek is in the pole position to secure the benefits out of it.

Moving forward to the US geography. I would s ay that while the headwinds in two of our major sectors, retail and health, resulted in the quarter -on-quarter revenue decline and the year -on-year flat revenue performance. However, there are some green shoots and interesting developments that are worth noting here. Some of the major deal s or the key deals within the quarter that we won were mostly led by our AI capability. The AI -led testing automation capability strongly resonated with our Oracle clientele and we won four or five new deals just on AI -led testing. These are small P OCs at this point of time, sub $0.5 million to $1 million kind of engagement, which can be delivered over the next few quarters. But the key point is that the clients are willing to tes

t the technology, willing to take the advantage of that technology and use Mastek as their sounding boa rd to test it and further adopt it.

The second part is the renewed commitment towards building the sales team led by the geography head. As Ashank alluded, we are in advanced stages of onboarding my peer in the US geography. And the focus of Umang himself, he spent over last 6 weeks in the geography, meeting the clients, restructuring the team, re-orientating the team for where the growth opportunities are. And one of the key themes that continue to be apart from the AI -led opportunities is the account mining and broadening our services in the accounts that we have.

As most of you know that we have made acquisitions in the Salesforce capability, the data capability. These accounts have historically experienced only one service line-led engagement. And as we are moving towards their business problems, business challenges, we are understanding the fact that we can bring in other capabilities as well. Data clients are looking for CX modernization as well. CX clients are looking for data solutions and how do they monetize their data and basically i mpact the client outcomes. So, this is the comingling that he has been driving, and we are seeing a robust pipeline as much as some of the conversions as well.

AMEA market will continue the focus on profitable growth, and this will be driven by our foray into healthcare space, as most of you know that healthcare has been our strong point. But the foray would be towards what I call as the electronic health record o r the acquisition of Cerner by Oracle, where Oracle is calling it as a health care GBU, and we have on -boarded a very

seasoned Cerner professional who has an insight on combining our traditional Oracle capability with healthcare and Cerner capabilities to lead that growth. And this capability, ladies and gentlemen, would be relevant for all the geographies that we operate in as much for UK, Europe, as much for the US market.

Overall, I would conclude the narrative with the reaffirmation that we are not only restructuring ourselves in the US market as much as finding the avenues to drive the growth. We are executing strongly in our UK & European market, following the policy, following the trail where the investments from the government is being directed towards, both in health a nd in the larger public sector. Expanding our enterprise business space with the successes in the BFS space that we talked abou t. Horizontally, looking at AppD ev and D ata continues to be the strong pillar for us in the geography and A MEA market for the strategic capability that it helps us build as much as profitable growth.

With that, I will offer it back to the operator to take the questions, if any. Thank you, folks.

Moderator: Thank you very much. We will now begin the question and answer session. T he first question comes from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: My first question was around the UK geography. It's heartening to see both growth and margins coming together this time. I just wanted to understand that on a segmental level, we are sitting almost at 19% level margins. When should we understand that it goes back to 23%? Is that happening near term? Or how long would it take to go back there?

Abhishek Singh: Jalaj, thank you for your question. And I want to reassure you that we in the geography as much aspire for going back to the same levels of margin. However, it will be a slow build given the twin facts of the growth that we have experienced over the last five quarters, they come with very differentiated capability ask, which was not our traditional strength. These capabilities require us to have program managers, product managers, enterprise architects, chief architects, which are essentiall y being sourced from the market r

ight now as a lateral hire. And these capabilities take a longer duration to build. What we are focused upon right now is having the graduates and apprentices program here in the geography to generate a pool of security cleared resources who will contribute to the margin improvement. So right now, it's a subscale investment of 25 or less FTEs who are getting trained.

The second one is that the quarter also experienced a massive discount impact of the largest client engagement that we had. And despite that, we were able to improve the margins. So absorbing the impact of the discount and investing in the future workforce via the graduate and apprentices program, this will take us a few quarters before you start to see the benefit of those.

Jalaj: Okay , understood. So sort of a temporary push in discounts. And just on the discounts part, is it a broad -based thing which is happening around, or it's very client -specific or account -specific we've had?

Abhishek Singh: This was an account -specific one, Jalaj. But the fact that it was one of our largest clients, yes, so the impact was a little bit more.

Jalaj: Got it. And sir, specifically on the US , I just wanted to understand that either there is growth or there is margin, both are not coming together, and it's very volatile, if I were to just compare it to a UK geography. So partially your headwind in the US economy explains it. But otherwise, are we set as an internal engine for the growth? Whenever it comes, are we there, or i t is going to take longer?

Abhishek Singh: Thank you, Jalaj. I guess this might be the question of many other participants on the call. L et me try to answer it in a comprehensive fashion.

You're right that it's either growth or margin. But having said that, US in the context of Mastek still continues to be a nascent geography. The phenomenon that impacted us the most was the muted spend by a couple of our largest clients, if you look at it, one of our largest engagements in health care space, payer space. They ramped down significantly given the cost pressures that they were experiencing, especially in the payer segment. And the retail, as all of you know, is reeling under the impact of tari ffs. So they are cutting their discretionary spend. Both these accounts had an impact on our top line. Now you would imagine that some of the cost or the structural cost of operating the US geography is nearly fixed. The efficiencies or the costs that we had to drive has been done, and this is what I call as the skeletal spend on which the US geography will be built up.

So the next $1 million or $ 2 million or $ 5 million or $ 10 million, if you look at it quarterly or annually, the revenue that comes in will contribute disproportionately to the bottom line. And from where we stand, Jalaj, I would say that we see that we have bottomed out for sure. So as the revenue grows over the second half of the year, it will get back to its operating EBITDA levels, which is the near double -digit to the low -double digit that we have experienced.

So that's the way I would explain it that there are green shoots given the pipeline, there are green shoots given the AI -led deals that we have concluded this quarter, and the confidence that we have given that clients are interested in having these conver sations. Also the fact that time spent by Umang for restructuring it has ensured that the team is talking pan-Mastek capabilities in each account and not just a particular service line or a particular capability. Which ensures that you are mining your clients and making it what we call a customer for life. So yes, there are some immediate pain points as you saw in the quarter's performance, but we see it a lot more robust from the current vantage point, Jalaj.

Moderator: Thank you. O ur next question comes from the line of Ravi Menon from Macquarie. Please go

ahead.

Ravi Menon: I just wanted to understand the segmental margins. That shows that UK & Europe profitability has improved significantly quarter -on-quarter. And I think this is despite the productivity benefit that you said, the discount that you've given. So, I wanted to understand what helped this improvement.

And similarly, the AMEA segment profits are down nearly 48% year -on-year, while the revenue is down only 16%. North America, I think you did explain that there was a lot of fixed cost and now the segment margin is 2.9% versus last quarter's 12%. It's a big swing in profitability, but

you're saying, that could bounce back. So, just I would appreciate your thoughts on all these three segmental margins ?

Abhishek Singh: Thank you for your questions. Some of the UK profitability or the UKI & Europe profitability is a function of the maturity of the geography. We have a very clear line of sight of the programs that are ramping up. And in that phase of ramp -up, it may be dilutive and when does it come back .

Q4, if you recollect, had also a pretty stellar revenue performance sequentially over Q3. The ramp -up costs had come in, and there were a lot of one -timers that actually came in, in one go. Some of those benefits we have experienced as it ebbed in Q1. When we ramp up the security cleared environment, you have a holding cost of folks because they go through the security clearance, security clearance is for each department or each engagement.

So some of those things, I would say, naturally tapered out in this quarter, and it helped us recover. Also the fact that we had given this discount, conceptually, it was agreed with the client way back in November, December of last year. So we had good so lid 3 to 4 months to prepare ahead of time to see what we could do with the pyramid, what we could do with the grade mix and stuff to help offset some of these impacts coming our way.

So, the best way I would explain it is the relative maturity of the various geographies and our ability to plan ahead of time and execute, which we are now taking it across the geographies under Umang's leadership. T hat's what helped us recover in the UK & Europe segmental profitability. However, we are continuing to invest in the graduate programs, so that we have the workforce for future as the business growth becomes more and more visible.
If I look at the US market, what I said in the last query is what I will repeat here that the revenue reduction had a disproportionate impact on the bottom line, or practically all of that fell through the bottom line. So , as we grow back and some of it is visible to us in the second half of the year,
we will see the margins climbing back.
Middle East is a function of just timing, I would call it, as, as per our policies, we had to make provisions of bad debt and the payment is impacted by the client cyclicalities and client situations. So as it recovers, I think next quarters would have a better margin performance.
Having said that, we are absolutely committed to doing profitable business in the geography as far as Middle East is concerned.
Ravi Menon: Thanks for the explanation, Abhishek. Appreciate that. Just wanted to check about the number of clients with annual billing more than $1 million. That's come off slightly quarter -on-quarter, but your $3 million plus, I think that's actually gone up. So is it just some of the ramp downs in the US that's caused this decline in the $1 million plus deal?
Abhishek Singh: That's right. It also is a result of some of the programs and projects rather coming to the natural conclusion, especially in the Oracle landscape when we execute on ERP or HCM implementation or large implementations. As it goes live, obviously, the revenue tapers off. So , it's a natural phenomenon and you've observed it appropriately.

Ravi Menon: Thanks so much, sir. Best of luck.
Moderator: Thank you. The next question comes from the line of Sushovan from Anand Rathi. Please go ahead.
Sushova n: I just wanted to understand on the headcount bit. We have seen almost a 13% reduction year -on-year in the headcount and almost 5% quarter -on-quarter. Just wanted to understand what's the rationale for that? Is it better productivity or are you seeing higher subcontracting? If you could just throw some light on that, that would be helpful ?
Abhishek Singh: Thank you for your question. So, it's a combination of both. The first and foremost is that productivity continues to be one of the major levers of margin stability as well as margin improvement. So yes, we are very, very focused on that one. And the second one is the nature of the engagement gives us very clear idea of where the workforce is required.
The growth in the UK, Europe market, as you see, is coming from security cleared landscape. Even in the BFS space, we are dealing with a lot of large regulators who have security cleared environment. So, you have to orientate your workforce towards the demands that are coming in. Your observations are appropriate that, yes, it's a combination of both. Having said that, we are looking at where the requirements are. And if we need to hire within the geography to train the workforce for the current and future requirements, we are doing that as well.
Sushova n: If I construe that correctly, is it primarily in UK, or are you seeing this headcount reduction in the US geography as well?
Abhishek Singh: The reduction is predominantly driven by our offshore population that we had. Some programs that ramped down had a reduction, the trainee workforce that went into production. There was a natural attrition as well. Some of our high skills are experiencing at trition as well. So yes, it's a combination of all. But in the UK geography, we have had net headcount increase.
Sushovan: Thank you.
Moderator: Thank you. O ur next question comes from the line of Hasmukh from Tata Mutual Funds. Please go ahead.
Hasmukh: Just one additional question on the deal win front or the 12-month order book front. Here, definitely from last couple of quarters, there is slight improvement. But how to think about this? So, a few quarters back, we were doing 15% to 20% sort of year -on-year growth here, right? Now with the nature of deals which you are calling out that they may come at, let's say, lower ACV, higher TCV sort of a number. In that context, how to see this number going forward?
Abhishek Singh: Thank you, Hasmukh. I would like to qualify that we are not seeing a lower ACV and a higher TCV deal. The businesses that are coming in are reasonably well spread out in terms of ACV to TCV ratio. One of the reasons why our 12 -month order backlog is not growing as robustly is some of the large chunky engagements that we have in our public sector estate here in the UK is going through its extension or renewal. So, it will experience or it's getting a shorter renewal

given that the spend review and the budget approvals from the government had not gone to the departments. So , the departments were just giving you a 3-month or a next 6 weeks kind of extension. Now I would expect that some of these things should come in, especially with two of our major engagements in health and in secu re government space. But I don't see any major cause of concern here, though the numbers are not translating.
Hasmukh: Got it. Thanks.
Moderator: Thank you. O ur next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: My first question is on the margin expansion that we have seen in the UK geography. What part of the margin expansion there has been attributed to currency, if you can quantify that? Plus

overall, where we are in terms of our journey to achieve the 17% to 19% margin. Obviously, we know that we have seen the pressure in margin in the US geography and in the Middle East geography. But overall, where are we in that journey?
Abhishek Singh: Amit, thank you for your question. First and foremost, the major expansion in margin that we experienced in the UK, it's worth noting that most of the businesses we deliver in the geography, there is no margin expansion at least for the onshore portion. Only the offshore portion would have the benefit of it.
So I would say that it wouldn't be more than 25 to 30 bps overall here as far as the UK business is concerned. You asked something on the US , and I missed catching that one. What was your question ?
Amit Chandra: Just trying to understand where we are in terms of the margin journey that we earlier alluded to, 17% to 19% at the company level EBITDA margin?
Abhishek Singh: Okay. Thank you, Amit. So I would say that as far as this financial year is concerned, we are pretty committed to having a stable margin performance and pull all the levers that helps us maintain that stability as well as create the positive bias. As you c an see with the UK business, and I outlined that we are further investing in the workforce that will meet the demands of the future.
And those workforce will come at a better margin because these are the graduates that you are training from within as against hiring laterally. So all these initiatives that are going in parallel also consume your margins as much as giving you the margin i mprovements. So I would commit on behalf of all of us that we are more towards stable to upward bias for this financial year.
Amit Chandra: Okay. And in the US geography, are we seeing some higher attrition there, mostly at the top management level in the US ?
Abhishek Singh: Not really. The attrition that happened, Amit, all happened either in the early part of Q1 or late part of Q4. And since then, we are now in the net hiring mode, both the hiring of – on boarding of US geography head as well as a couple of account managers, increasing the sales coverage.

So I would say that as far as the leadership role is concerned, we are in the net hiring mode in the US geography.
Amit Chandra: Okay. And the last question is on the Middle East geography. Do you have any plans to exit that geography?
Abhishek Singh: No, Amit. There are no such plans. As a matter of fact, what we are trying to do is to use that geography for really strategic purposes. The first and foremost point is how do we keep that geography profitable, which means even if you have to reduce the engagements, but have profitable engagements only, that's the focus.
The second one is what I touched upon in the early part of conversation is that Oracle has converted health into GBU unit, global business unit, after the acquisition of Cerner and integrating it with the Fusion capabilities. So that geography forms the in cubation of Mastek's Cerner Healthcare and Fusion capability intersection. We have a very senior ex -Cerner professional and CIO of multiple health organizations join Mastek early part of Q1. He's driving that strategic initiative where his test cases will be in the Middle Eastern market, and then it will expand beyond in the APAC as much as Europe, UK and the US markets. So Middle East provides us with some strategic value.
Ashank Desai: I will add, Abhishek, saying that, as you rightly mentioned, that is the way it has been contributing. And this is not only last quarter or last year, but last few years, that certainly there has been large talent development and POCs etc. , which have benefited the other sectors.
Amit Chandra: Okay. And lastly, on the CFO hiring, when will we have a stable CFO?
Abhishek Singh: I'll take that on behalf of Ashank and Umang. But first and forem

ost is that the process is really active. As you would guess, we had the shortlist from the earlier round as much , and then a few
others that Umang is looking at. And again, the idea is to be within the statutory time lines that are there. As you know, without a CFO for 90 days, we tend to be in the penal zone with the company law. So we want to do it

at the earliest . That's the best I can share with you.
Amit Chandra: Okay. Thank you, sir.
Moderator: Thank you. O ur next question comes from the line of Naveen Baid with Nuvama Asset Management. Please go ahead.
Naveen Baid: Just wanted to know what was the subcontracting cost for this quarter?
Abhishek Singh: Subcontracting cost for the quarter. I don't have that number top of my head. We can have it to you via Asha. I don't have the exact quantum. I'm looking at the segmental, but I don't have the exact quantum.
Naveen Baid: Okay. No worries. I will take it offline.
Moderator: Thank you. O ur next question comes from the line of Sankaranarayanan S with iThought PMS. Please go ahead.

Sankaranarayanan S: Sir, my question is regarding the revenue by contract in terms of Time & Material . There's a slight increase in the time and material contract. Now I could understand it's partly due to the nature of the business. But in these uncertain times, don't you think that we should be more focused on Fixed Price contracts, so that would help the margins. I just want your thoughts ?
Abhishek Singh: Thank you, Sankar, for your question. I would like to tell you, I'm smil ing at this one because of the two reasons. Engagements with clients on T&M or Fixed Bid , neither of them give you more assurance than the other model. It's essentially about what is ailing the client and what is it that you are trying to solve. You can solve it as effectively in the T&M engagement versus Fixed Bid or Outcome-based engagements. Traditionally, yes, as an industry, we have made more money on Fixed Bid because of the rotation, the grade mix and what not. Having said that, in the Mastek context, the kind of work that we do, the high-end transformation programs that we do, these things are relatively immaterial.
It's about the skills and the capability that you bring in and the differentiated price that you can get for that. So I don't see this as a cause of concern. However, I acknowledge your question that higher fixed bid means better margins, but it also means significant risk coming your way. If you don't manage the scope, there can be scope creep, there could be change management that needs to be delivered effectively for you to protect your margin.
So both types of businesses come with their own risk. At this point of time, I would say that we have a healthy balance. And last but definitely not the least is all the government engagements essentially happens in the T&M fashion. It has a fixed price, but it gets done in the T&M fashion. So we call it as deemed T&M or deemed Fixed Bid , because that's the fixed price and you have to do it in a T&M fashion. W e feel reasonably comfortable with the mix that we have.
Sankaranarayanan S: Sir, what kind of revenue target do you set yourself for the next 3 to 5 years? Because during April 2022, you had set $ 1 billion revenue by 2026 or early 2027. I could acknowledge a lot of uncertainties happened from that period on. So from here on, what revenue target do you fix for the next 3 to 5 years?
Abhishek Singh: I would say that I wouldn't delve into those aspects, Sankar. Our focus as a management team supporting the Chief Executive and reporting to the Board is profitable growth with consistent northward trajectory. If you look at our own journey across different regions, you will find that we have had years of less than 10% growth. And here, we are talking about 8% to 10% quarter -on-quarter growth as

much.
So the key focus for the management team is about the northward journey, and the continuous calibrated effort gives you predictability of your growth and gives you higher confidence of growth, helps you navigate the uncertainties that comes your way. The numbers are the result of that calibration. The realities of our business are very different in different geographies.
So right now, our commitment is maintaining an upward trajectory, both in terms of top line as well as bottom line. Ashank, I will welcome your ambition and your vision here as a supplement to what I outlined.

Ashank Desai: No, you have answered it well. Obviously, we would like to have faster than industry growth. Over the last 4 -5 years, we have done that through organic and inorganic together. And that pace, we would like to continue in terms of growth. And that's where our ambitions were expressed in that particular time, and we continue to move towards that.
But we are seeing that it is about aspiration as much as the vision rather than just setting a target. This is what we aspire. We aspire for faster than industry growth. We aspire for a much larger share of markets. And now with AI and other things, we rea lly see green shoots all over.
Sankaranarayanan S: Got it, sir. Thank you.
Moderator: Thank you. Th e next question comes from the line of Ravi Naredi with Naredi Investments. Please go ahead.

Ravi Naredi: Sir, I can ask this question to Ashank sir also. Mar '22, our net profit is INR 333 crores, then INR 310 crores, then INR 311 crores, then INR 376 crores. So in last 4 years, we barely grew. Can you tell more on commentary for next 4 years? And when our higher staff will join? This is my main question for you.

Ashank Desai: Your observation is correct about the profitability. And certainly, large part obviously comes from the cost increases that have happened and in terms of investment that we have made. Both of these have generated into this kind of situation in spite of our best effort to go back to higher EBITDA.

So, I think I would not like to announce any targets for next 4 years, etc . As I said, we have been calibrating ourselves against the industry, particularly companies of our size, plus and minus. And we feel that we will be well within the overall industry numbers and like to do better, as I said. So, I would not like to put some 3 or 4 year target. Abhishek, you can add.

Abhishek Singh: Thank you, Ashank. Ravi, you touched upon a very important aspect here in terms of profitability or the bottom line growth essentially, which is what gives the confidence. This is very generational question that I would like to answer from my take.

Four years back, when you referred to it, the kind of profitability we experienced was driven by twin phenomena, which were both because of the COVID. The first and foremost was that the SaaS platform adoption had gone through the roof. As a result, our Or acle service line business at that point of time, only 1 year into the acquisition, had grown phenomenally well. And as the last gentleman asked that question on Fixed Bid , the predominant engagement was Fixed Bid.

And something that really helped us was the fact that there was no expenditure whatsoever, whether it is your office expenses, travel, hospitality, meals, entertainment, client engagement. There was an obvious cost saving that the organization experienced. As a result, there was a disproportionate profitability, both in absolute as well as in percentage terms. And that was the juncture when Mastek looked at its profitability and it had to make 1 of the 2 choices. Do you continue to enjoy this profitability, albeit for a short time o r do you inves t in the organization to make it a robust organization for future?

Some of the things that Ashank touched upo

n is what we have done over the last 3 to 4 years, things like service line capability, things like your marketing coverage, the various forums in which Mastek participated to demonstrate its capabilities. As a result, clients and prospective clients had the confidence to engage with Mastek.

The deal that we did with one of the large regulators here in the UK in the BFS space this quarter in Q1 was a testament of their ability to understand and appreciate what Mastek has been doing in the UK for the last three decades. But we were an insular organization, not engaging with the market, not doing enough on the marketing side, not spending in the technologies that were emerging.

All of these things required, Ravi, to make an investment, and that has made your organization more robust, made your organization more resilient, but it has come at the cost of margins. And as some of our geographies mature and reflect the maturity journey of UK & Europe , you will see some of those things coming back, whether it was Amit's question of when do you get to 17% to 19%, or some of the other investors asking the same question.

My take on it is that we have made the investments. We have right sized ourselves. There is an ownership of turning around the US geography. There is continued execution on the growth opportunities here in the UK. We are using the A MEA market for incubation of new technologies. And as we come in more synchronized under the current leadership, you will see the benefits of it coming in.

Ashank Desai: Well said. I will only add to say that please remember that the revenue multiples that we had over the same 5 years in terms of X number of times our revenue didn't happen unless we invested, as Abhishek said, in marketing certainly and technologies and service lines.

One example of marketing is the kind of ratings that we are presently getting. As you know, we were top five player in Oracle Cloud implementation globally according to Everest, top five globally. And that is the kind of ratings we were never having any time earlier. There have been similar reports on various agencies in ISG, Gartner, etc. So some of this effort has been towards revenue growth and that requires some investment.

Ravi Naredi: Thank you, sir.

Moderator: Thank you. O ur next question comes from the line of Harsh Chaurasia with Vallum Capital. Please go ahead.

Harsh Chaurasia: Sir, I had one question. If I see the growth of Mastek from incremental revenue, absolute number, the majority of the growth has been polarized towards the top 5 clients. But if I see 6 to 10 and even the non-top 10 clients, the growth has been very muted. I wanted to understand at the same time, like when we see the $1 million client addition is going up significantly, how are we going

to do the account mining? And what are the investments on the sales side and even on the capability side we are doing, because now we have created a very good base of clients, which
can be scaled up further in next 3 to 4 years. I wanted to get an idea on that .

Ashank Desai: Abhishek, I will answer that question. If you look at our top 5 clients and top 10 clients in terms
of ratios, from Q 1'24 to Q1'26, yes, there has been increase in a few percentage points for top 5
clients. However, top 10 clients also have grown up. So I agree that we are constantly working today on expanding the deal sizes in Oracle, in Salesforce and other areas. And some of that is reflected in some of our top 15 -20 customers moving up in terms of revenue per year. So idea is
that we would rather have smaller number of customers than what we even have in terms of revenue and increase the revenue per customer. That has been the strategy, because as we start
with Oracle and Salesforce, particularly clients, the revenue per customer is quite low. But now
we are doing managed services. We are off

ering other services in those clients. All of that, what
we call as account mining, is resulting into that movement towards a larger revenue per client.
So I think it is a positive direction in which we are moving.
Harsh Chaurasia: Got it. And just 1 more question, sir, if possible, if you can give us this number – Mastek wallet
share in the top 6 to 10 clients bucket as well as the non-top 10 clients, just a broad approximate
number for Mastek wallet share?
Abhishek Singh: I think there is tremendous headroom for growth would be an understatement in each of those
top 10 engagements. Because if you look at it, some of the engagements would definitely be with the central government departments. They are spending £ 300 million to £ 400 million
annually in the addressable technology space where our revenue share would be less than 50 or
30 in certain cases.
So, I would say there is an x -factor of growth opportunity in those spaces. And that's what we
are enhancing our capabilities to kind of secure.
Harsh Chaurasia : Got it. Thank you very much.
Moderator: Thank you. O ur next question comes from the line of Jayshree Bajaj with Trinetra Asset
Managers. Please go ahead.
Jayshree Bajaj: My question is, as you have mentioned that you are still planning on increasing the headcount
and many more investments. So what kind of capex figure can I expect for FY '26?
Abhishek Singh: Capex would not be anything out of the ordinary. In our business, we are usually asset -light, if
you look at it. It still pretty much is a hybrid working model. It's work from home, work from
office a few days a week. So the physical capacity doesn't need any expansion at this point of
time.
Every headcount increase comes with the standard of the laptops or desktops and stuff, which is
nothing major. It's in the ordinary course of business. So sum and substance would be, I wouldn't
say that there is capital spend other than replacement capital spend or refresh, capex refresh. We
don't see anything out of the ordinary.
Moderator: Thank you. O ur next question comes from the line of Varun Gandhi from Fident Asset
Management. Please go ahead.

Varun Gandhi: My question to the management would be, I see that you're developing capabilities within AI,
fine-tuning LLMs and doing customer specific tailorizations. However, this part of developing
models, etc. would be commoditized, I see, somewh ere in the low -tech AI segment. What does
the management have in view o r how does it think about this market evolving? Because I believe
this is the fastest -growing segment also within your revenue?
Ashank Desai: See, you must look at it as a growth vector for the whole industry . Yes, but for companies like
Mastek, it has some special significance. For example, there has been large legacy code which
is lying all around in the world. And some of the great experience we had with one of our
customers in UK, which Abhishek can, of course, talk more about, is one of such examples where we have opened up markets which were not available earlier.
So commoditization is not something that does not happen in any technology. It does happen. However, the opening of doors that are happening, opening of new areas of work that are happening, opening of new applications that we are doing due to AI. Like in healthcare, we are
doing something which kind of would not have done without AI.
So some of that is totally new. It is not just new technology added doing faster, better, but it is
something much more than that. To Mastek, particularly, as I said, it is opening up some market
segments which were not available. So we are much more enthusiastic and we are putting, of
course, time, effort, money into it. Abhishek, maybe you can add.

Abhishek Singh: Thank you, Ashank. I think, Varun, you've touched upon a very important question here and something that, in our finan

cial conversation, we didn't touch upon as much in these chats. So you are right that LLM is a commodity. Productivity is a given. Deployment will be the differentiator, Varun. Who deploys it best to deliver the outcomes that the clients require.

This wave is about human and machine teaming. AI on its own is not going to deliver it. It still needs the human touch, human interface to deliver better outcomes. It is basically a better tool with competent people, with right leadership and right attitud e to deliver the outcomes. What Ashank touched upon is a successful legacy transformation use case that we have delivered as we speak that gives us the confidence to now approach those organizations whose applications are legacy and dated. And they run sig nificant risk if they were to not modernize, because, A – it's not scaling, but B – It is also an operational risk for them. Languages like Pascal or Delphi, I mean these are written 30s and 40s of years back. They are still operating, but businesses have significant risk of how do you touch them. We have demonstrated it now and now approaching our clients to say, how do you want to go about it? Here is the playbook. Here is what you do, here is how you derisk it.

So as Ashank touched upon, this is a major opportunity for us here in the UK as much as the successes that we have experienced in the US market with AI -led testing. That's giving clients the confidence that they can explore more with people or partners who are not bringing it as a proof of concept, but who have been there, done that and delivered the outcomes.

So we are approaching this with a very high degree of confidence, having secured the deals and delivered the outcome at a very large scale for an existing client.

Varun Gandhi: Understood. So as far as I see, it's a growth opportunity, revenue growth opportunity as well as your differentiation here is that you've already demonstrated product efficacy. Am I understanding it right? That is how you're differentiating things?

Abhishek Singh: Yes, you summed it very well. And it also will be your margin improvement levers for future.

Varun Gandhi: All right. Thank you, Abhishek.

Moderator: Thank you. O ur next question is a follow -up from Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Thank you very much for a follow -up question. Sir, from which geography we expect better growth in next few years like A MEA, UK and US And why not we appoint separate President for each region, so company can grow in a better way?

Ashank Desai: Thanks, Ravi. We indeed have a separate President for each of these, as you know. We have President for Americas. We have Abhishek here, who is President for Europe and UK, and we have a person heading our AMEA market. So I didn't quite get the question. W e are focused along those lines. But Abhishek, you can add.

Abhishek Singh: Thank you, Ashank. Ravi, to the two parts to your question, yes, we have got heads for each of the geographies who are responsible for the P&L outcomes of the geography that includes order booking, revenue and profitability as much as the tech direction, working with our central colleagues. So yes, we are very well situated structurally.

And to the other question of yours, where would the growth come from – I think each geography is in a different trajectory of its maturity and growth. While US is looking at Mastek being a champion challenger to disrupt the established incumbents who have got large wallet share with large enterprises with its AI -led capabilities and ability to do the legacy transformation. So it will experience a different growth trajectory compared to UK & Europe, which has got an established and a large b ase and is right now firing on three of its four cylinders of public sector, enterprise business and healthcare, and looking to grow its Or

acle business as much.

Middle East will continue to grow responsibly using the geography to incubate new capabilities as much as having profitable growth. It is also looking to grow in the Australia and New Zealand market, which behaves like matured Western markets, which has the same billing rate and offers same degree of profitability compared to the Middle Eastern market. So strategically, Ravi, we are very clear and executing on it. But thank you for bringing that focus.

Ravi Naredi: Thank you.

Moderator: Thank you. O ur next question is a follow -up from Jalaj from Svan Investments. Please go ahead.

Jalaj: I had two questions. First is around order book. I've seen that the order book after a long time has passed the $260 million quarterly run rate . First of all, what sort of visib ility or clarity can we expect ? Or are you seeing that F Y '26 should be better than F Y '25? That's first question , directionally, I'm not aware of absolute numbers. And secondly, I see that the headcount is

reducing over the last four quarters, but people cost is increasing. So how should I get a sense around it?
Abhishek Singh: Thank you, Jalaj. So, order booking confidence, yes, directionally, we endeavor to deliver a higher order booking, which is what will pave way for FY '27 and FY '28 growth. It's the biggest lead indicator that all of you and for us in the business, we look at, and that's what we are endeavoring towards.
The second one that you asked about was the net headcount is reducing yet the manpower cost is going up. You're right because it is also about the mix changing. A lot of the new programs have ramped up in onshore geographies where the cost per FTE is significantly higher compared to the offshore. So that's what is driving the dichotomy that you're observing.
Jalaj: Understood. So the sort of order book we are right now sitting in, are we very comfortable? Because I'm just trying to understand specifically from a US geography. UK is running on full throttle engine. US , do you feel the GTM is in place? Still there is a lot to be done there? Or how are we going around it? Because US and UK, I guess, are very different in the terms of the end client we are serving and therefore, the GTM what we have to approach it .
Abhishek Singh: True. US, no, we are not satisfied with the order booking that we have secured, though it is still a 25% growth from the last quarter, but it's a small base. So I would agree with you even before you ask me that percentages really don't matter. Yes, we are looking for a higher order booking quarter -on-quarter rhythm from the geography. And as we get the geo head, I think that will follow its cadence.
Couple of other key roles have been on- boarded and we feel that it's getting into the rhythm. The UK will continue to pursue the midsize as much as large deals in addition to its operating rhythm right now.
Jalaj: Got it. Looking forward to see the growth coming to US geography also. And best of luck.
Moderator: Thank you. O ur next question comes from the line of Sameer Dosani with ICICI Prudential AMC. Please go ahead.
Sameer Dosani : Just to clarify, US has bottomed out, but when should we think about the growth? Is it like H2 you mentioned in some other comments? And also in UK geography, I think there is 9% quarter -on-quarter USD growth, but I' m sure there is a lot of cross currency tailwind. So , what is the constant currency, growth here in UK, if you can just clarify for me? And when should we think about growth in UK geography from here?
Abhishek Singh: You can shave off 100 bps possibly from the currency point of view. But the key point here, Sameer, is that it's a fairly robust engagement here in the geography in the UK, whether it is health or defense or central government departments or our pursuit in the BFSI space, the deep account mining or hel

ping the clients go on the modernization journey.
The clients who have been with us for a couple of decades now in continuity, and we are helping them modernize. There are different flavors that gives us different degree of confidence. One of

the investors did ask a question on the Fixed Bid versus T&M. One of the biggest transformations that we have done using AI has been in the Outcome -based fixed price, which gives us the confidence that you can take this to the market and secure the client on their cost, on their time and get them the outcome.
So long and short of it is that we would like to maintain this trajectory and secure a healthy growth to ensure that pan-Mastek, we are delivering a double-digit growth.
Sameer Dosani : Okay. So, this year also double -digit growth is possible you think?
Abhishek Singh: Headwinds, Q1 we started a little soft as far as other 2 geographies are concerned, but who's to say. There is still a solid 8 months ahead of us. We can execute on that. That's the ambition. That's the endeavor. And just 1 or 2 deals can allow us. Still, w e are a relatively smaller base. So one or two deals executed well within the year can get us the momentum to get back to the double digit. But yes, there is a headwind. You rightly observed it, but we remain committed to get to that point.
Sameer Dosani : And US, should we grow from here, like Q2 onwards, will we be able to show growth in US geography?
Abhishek Singh: So there is a positive bias from where we stand here. There is a positive bias and there is a relative confidence for H2 to demonstrate growth.
Sameer Dosani: Okay. Got it. Thanks very much.
Moderator: Thank you. L adies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.
Abhishek Singh: Thank you. I'd like to thank everyone for their interest and very rounded questions. Yes, we've started the year well as far as bottom line is concerned, as far as growth in the major geography is concerned. The job is very well cut out for our US business that will be led by AI, that will be

led by the new leader, that will be very well supported by all of us across the geographies, be it Middle East or be it UK. We will all bring our capabilities and capacities to align well with delivering that growth. And the sum and substance of this quarter and our directional journey for the year and times to come is to maintain a positive bias, maintain an upward trajectory and deliver a predictable and consistent financial performance for all of us. Thank y ou.
Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Oct 2025

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SEC/ 083/2025- 26 October 24, 2025

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SCRIP CODE: 523704 Listing Department
The National Stock Exchange of India Limited
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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021
Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the
Quarter and Half -year ended September 30, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial
performance for the quarter and half -year ended September 30, 2025, conducted on October 17, 2025, for
your information and records. The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/
Thanking you,
Yours faithfully,
For Mastek Limited Reena Raje
Company Secretary & Compliance Officer
Membership No.: A21440 Encl: A/A

“Mastek Limited

Q2 FY’26 Earnings Conference Call ”
October 17 , 202 5

M
ANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good morning, and welcome to the Mastek Limited Q2 FY’26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Pratik Jagtap from E &Y Investor Relations. Thank you, and over to you, Pratik.

Pratik Jagtap: Thank you, Ryan. Good morning to all of you, and welcome to Q2 FY'26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you and you can also view it on our website, www.mastek.com .
To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, the CEO of the company. Umang will start the call with business update for the quarter. Post that, we will open the floor for Q&A session.
As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future, or which can be construed as forward-looking statements, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are
included but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Pratik. Thank you, Ryan. Very good morning, everyone. Welcome to the Q2 FY’26 earnings call for Mastek Limited. I'll start the call by wishing an early Diwali festive greetings to all of you as we get into the week of Diwali next week.
Moving on to the performance of the company for the quarter. I'm very pleased to share that we continue to see a consistent performance with our business with a stable result for this quarter
despite the continued geopolitical and macro uncertainties. As far as our operating revenue is concerned, the operating revenue for the quarter landed at INR 940 crores, which was up 8.4%
year-on-year and 2.8% sequential, representing a constant currency growth of 0.2%.
Our operational excellence and discipline on cost control continued to help deliver stable profitability for this quarter. Our operational EBITDA landed at INR 145.5 crores, 6% quarter -
on-quarter improvement and 1.7% year -on-year growth, translating to an operating EBITDA of 15.5%, which is up 50 basis points from the last quarter. The net profit for the year stood at INR 97.4 crores, up 6% quarter -on-quarter. While it has declined 24% year -on-year due to an exceptional gain of INR 44 crores in the base quarter. So, on a normalized basis, if we take out the exceptional item, the profit grew 14% year -on-year. Net profit margin stood at around 10.2% as compared to the 9.9% in quarter 1. Our 12-month order backlog stood at around $280 million, representing a 2.2% sequential growth and a 6.8% year -on-year growth, supported by heal thy deal conversions and renewals across all geographies, especially U.K.
We continue to maintain a very strong and healthy balance sheet. Our cash position, which is cash and cash equivalents currently stand at INR 656 crores as compared to the INR 549 crores

in Q1. DSO improvements continue to be a key area of focus and we have now brought down the DSO to 80 days versus the 82 days in quarter 1 and versus the 95 days in quarter 2 last year, reflecting a strong cadence on working capital discipline.
Moving forward, as far as our business is concerned, we continue to focus on the same strategy that we have. The rea

l focus is on execution of the business. The top 3 strategy items for us that we look at , one is c ontinued focus on geo diversity. We operate in 3 geos, and we are focusing on growing the business across all 3 geos rather than 1 or 2. AI continues to be a key driver.
Leading all of our business with AI is the second most important factor for our long-term strategy and growth. And third, our vision and focus is to become a partner or leader as far as delivering growth in the mid-market segment is concerned. So continued focus on mid-market and creating
a demonstratable leadership position in that segment as our third key strategic view. So continued focus on all the 3 strategic items, and I'll elaborate more on all of them as we go forward.
As far as our geographical diversity is concerned, U.K. continues to be our strongest geography and the largest geography for our business. Our U.K. business continues to be very strong across all the 3 quadrants that it has, which is around healthcare. U.K. healthcare continues to see very
strong demand. We see that the government is executing on its policy and investment decisions, which is leading to a strong view of the demand as we go forward as well as strong spending.
Our secured government services sector continues to see a very strong trust and long- term
connect with our clients, leading to a lot of long-term contracts and renewals in the business. This quarter marked a GBP 50 million -plus deal, which is an AI -led engineering services deal
to deliver modernization as well as efficiency for the secured government services sector and we will continue to see such larger deals and renewals as we go forward.
The private sector, which is the third important sector, and which has had a lot of focus over the last few quarters to really bring it to forward. I am very pleased to report that the private sector continues to also see good demand. And again, many new l ogos adding to that sector. This quarter also marked a new $ 15 million -plus AI -led modernization, transformation deal with one of the large financial services customers in the vertical.
Overall, we continue to see a very healthy AI -led demand across all sectors. A lot of this demand
is for AI for technology, which is basically demanding efficiency, modernization and faster execution for IT technology services. W e are very much taking a front -foot approach in terms

of delivering a tangible ROI to our customers and demonstrating tangible benefits to them, while focusing on delivering steady and improved bottom line for the geography and for the company.
As far as North America is concerned, we now have a new leader who has joined North America, Sourabh Mukherjee. Sourabh has joined us from 1 of the top 4 IT services companies, very hands -on healthcare-focused leader, and we are very pleased and excited to see the turnaround and growth of North America under his leadership. Along with Sourabh, we've also made some important changes in our capability leadership in the geography. So we now have a new leader, heading our Salesforce business. And that largely marks the turnaround or the overall of the North America leadership that we were trying to do over the last 1.5 quarters, which gives us

now the full energy and backing to focus on execution and start delivering the growth ambition of the geography.
Our strategy and focus on North America continues to be on health care and life sciences as a key vertical, and we continue to enjoy strong client relationship as well as partner relationships with Oracle, Salesforce and the Data service lines. The overall North America market still has a lot of macro uncertainties , which is leading to right shift in demand. But we are preparing ourselves for a lot of AI -led demonstratable growth in the geography, which will deliver significant uphaul as we move forward.
As far

as the APAC and Middle East business is concerned, the APAC and Middle East business, we continue to focus on healthcare as a key vertical. Our strategy in that business is to consolidate and really zero down our focus on a few key segmented areas while delivering profitable growth. This quarter again marked a significant growth in our healthcare business, with $7 million -plus deal on healthcare, which is one of our larger deals in this segment in the geography, as well as continued focus on DSO as well as profitability improvement in the geography. Across all 3 sectors, like I said, the focus on the key verticals continues to be the same, and we are seeing goo d remarkable larger deals as well as a lot of AI -led demand to deliver
technology efficiencies to our client and modernization.
Coming to the AI side of our strategy and equation. The AI wave is very much set on and is now, in fact, starting to generate more and more demand. Like I had mentioned in a few of our previous calls, we see the AI wave in two parts. The first part of the wave, which is AI for tech, which is delivering efficiency, speed and better quality on the technology delivery that we have across engineering, testing, managed services, implementations, et cetera. A lot of very active discu ssions across all of our customer base, across all geographies on the AI for tech. Our approach to AI for tech is to take a very positive and firm ROI -based approach to our clients and delivering not just an ROI on Excel sheets, but delivering a tangible R OI to them, which would mean some real business benefits as well as efficiency gains to our client. And while we do that, we are also actively working at making sure that we are preserving our bottom line, in fact, improving it as we go forward which is demonstratable by our improvement in terms of revenue per resource that we've been continuously demons trating over the last few quarters.
The AI for tech wave is now starting to lead into the AI for business wave, which is where customers are now very actively starting to ask for how could we help use AI as a technology to deliver business transformation. This, I believe, is going to be the biggest wave for the IT
services industry over the last few decades and is going to significantly transform our industry.
We are seeing some very strong initial trends there and working with almost a dozen of our customers in terms of building their AI for business transformation road map. As we deliver this
road map, we look forward to getting into execution in some part of early FY '27. And that kind of change or demonstratable change there will really mark a significant shift in the AI adoption across our customers. While we deliver all of these changes, it is also a continuous focus on our internal efficiency gains and mak ing sure that we are delivering more and more efficient services, both across our delivery as well as over G&A management. Our focus on operational efficiency has now started to reflect on our bottom line. And while we continue to deliver AI -

led efficiency to our clients, our profitability will remain steady and continue to grow northwards as we move forward quarter -on-quarter.
Another last update as far as the Chief Financial Officer, who should have been my partner in crime on this call. We have a candidate who we are expecting to join early next month, and I'm pretty confident to have a partner with me on this call starting ne xt quarter.
With that, I would like to hand it over back to you for Q&A and discussions from there. Thank you.

Moderator : We take the first question from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Sir, my first question is on the U.K. geography. Obviously, it remains as a key growth driver. But within the U.K., we have seen some softness coming in. If you can break down in terms of what's

happening in SGS, NHS and the U.K. private. Obviously, you have given a color. But in terms of the SGS growth rate, obviously, we have a deal there. So what kind of uptick we can see from that deal? Also in terms of the renewal pipeline that is up there in some of the larger accounts that we have in SGS that we expect to come in the coming quarters? And on the NHS side, obviously, we have seen one large deal being awarded to one of the large IT majors. So how to read that? And whether we are seeing some risk of vendor consolidation there within NHS. And like your views on that.
So is it impacting some of our spends that were planned by NHS? In terms of what part of the portfolio is getting tracked in the U.K.? So I see some softness in the Oracle part within the U.K. and the EU region. So is it over or we can see some more drag there?
Umang Nahata: Thank you for your questions , Amit. So as far as U.K. is concerned, like I said, we generally feel very positive and upbeat across all the sectors that we have. But you're right, as you look at the current performance for the quarter, it's been slower than some of our previous quarters in terms of growth. But let me explain it sector by sector. Like SGS, which is the secured government services, which is our biggest sector, continues to see a strong momentum. As I mentioned earlier, we're not only signing sizable renewals but we're also signing these renewals with a lot of headroom expansion from where they were in the previous versions and avatars . These renewals continue to give us from a 3 -year to a 5 -year long -term visibility of steady business and growth in these sectors. While we continue to sign these renewals, the sector also and this is not just for secured government is across the board, is looking at more and more AI -led efficiency asks, and we are taking a very robust and assertive approach working with our clients in support of the long-term commitment that they are showing to us to deliver some of these short -term savings needs that they have. And demonstrating the potential and capability that Mastek has on its AI for technology to deliver them some tangible savings in the short term as we work with them to gear for much larger long -term business growth within those verticals.
As far as NHS is concerned, the NHS deal that got announced by one of our larger competitors, Mastek was not participating in that deal. It's a deal which was not a deal in our direct focus. And it does not impact any of our other businesses that we have with NHS across the various departments within the NHS that we work for. This deal is more around the workforce systems

modernization. Currently, we are not participating in that area with NHS. So this particular deal , while it's a large deal, but does not have any impact or we do not see any consolidation or any of those kinds of risks within our NHS and healthcare segment in U.K.
As far as our on the private sector business is concerned, we continue to see healthy momentum. This is where the same AI -led efficiencies allowing us to go after net new customers and win work share from our competition. An example of that was the $15 million-plus deal that we have bagged this quarter in another large financial services client, where we are going to demonstrate AI-led modernization and efficiency to the account over 3 years.
As far as our Oracle business is concerned, it is a little project-driven business, and therefore sometimes has a quarter -on-quarter up or down. But we feel comfortable with the pipeline that we're seeing. In fact, we are seeing demand, and we've also closed some good orders in our traditional areas of strength, which is around the local government, and we see strong healthy demand in the local government and higher education sector again. And our relationship with Oracle continues to be strong. In fact

, we were awarded one of the prestigious AI for supply chain partners in the AI world at Oracle that is going on as we speak. Our Oracle Europe business has also seen a new leader now come in. The leader is ex -Oracle and has really picked up the Europe business well. And I'm confident that we will continue to see and deliver the kind of vision that we have for our Europe business under his leadership.
Amit Chandra: Okay. Secondly, on the margin side, obviously, the U.K. margins, we have seen it has more or less stabilized. But the margins in the U.S. and the Middle East is still lower than what we expect it to be. So any additional color in terms of how you see the margin trajectory going on from here on?
Umang Nahata: Thanks for asking that question, Amit. As far as our margins position is concerned, as we continue to focus on AI for tech, it has dual impact. While we are driving efficiency and productivity improvement for our customers, it is also driving a lot of inte rnal operational efficiency on our own business, which is a steady trajectory. But I'm sure as we continue to focus there, it will start drawing continuous improvement in our bottom line performance from here

on.
As far as North America specific margins are concerned, like we have been mentioning earlier, there is clearly a heightened S&M spend as compared to our current business, which is in anticipation of the growth that we look at. As the business comes closer to its optimal number, which will be $3 million to $4 million growth from where we are today, you will start seeing the EBITDA numbers move significantly up. But having said that, like I said, operational efficiency is on. We have made good investments, a nd we continue to hold our investments. We definitely are optimistic about the growth there, but some of the geographical EBIT numbers will start showing better color as the growth starts to develop.
As far as our AMEA business is concerned, again, we are continuing to drive a lot of operational efficiencies. We have brought down our DSOs significantly, as I mentioned earlier in the call. And we are also looking at only profitable growth in the geography. There was a one-off WAR

revenue, which led to a onetime dip in the trajectory, but you will continue to see it back on its trajectory from the coming quarters.
Moderator: The next question comes from the line of Mahak from Ma k Seven Investment
Mahak: I wanted to ask about the new deals in Asia, Middle East and Africa region.
Umang Nahata: So Mahak, the new deal that we have secured in the APAC and Middle East geography is in the healthcare segment. It's an AI -led transformation for one of the largest healthcare provider organizations in the geography. It's a multiyear deal to deliver AI -led business transformation for the account. It's a $5 million -plus already. And not only are we executing this deal, but we also continue to see good healthy momentum as far as our healthcare vertical is concerned across AMEA. We have a very strong pipeline to execute in the H2. And we strongly believe that healthcare will lead to a significant transformation to our AMEA business.
The AMEA business also continues to be a strong bedrock for a lot of new AI -led initiatives as well as development of our Oracle Health Services portfolio, and we are starting to see demand beyond Oracle ERP into Oracle Health as well as Salesforce and som e of the other service lines that we have.
Mahak: Okay. Another thing that with more and more AI and ML, will we see a drop in employee count and employee cost?
Umang Nahata: So as far as the employee head count is concerned, our strategy is, we are not necessarily going and reducing any head count, but we are also using attrition to our advantage and not backfilling with the exact same numbers, which is leading to constant eff iciency and growth. I belie

ve in
the long run, we will see the revenue per resource go up consistently. Overall head count will depend upon the size of growth, but general revenue per resource will keep moving northwards as we go forward.
Mahak: Okay. And another thing that using AI, what reduction we can see in the operating costs in the future ?
Umang Nahata: So as far as our operating costs are concerned, our current and immediate focus from an internal standpoint was on our delivery, which is the biggest portion of our cost as well as business. So we were hyper -focused on our technical execution across engine ering and Oracle and Salesforce and all of our capability lines, which is continuously being demonstrated in the head count reduction as well as delivering growth with the reduced head count that we have had.
As we go forward, we'll now focus and take the AI -led efficiency to our G&A side of the business also. We believe it will drive some efficiencies there in the G&A, but we haven't quantified that , but it will directionally improve as we go forward.
Mahak: I just want to tell you that the numbers are really promising and all the best for your future.
Moderator: The next question comes from the line of Pulkit Chawla from B&K Securities.

Pulkit Chawla: Umang, if I look at your 12-month order book for the last few quarters, the overall growth rate seems to be down quite substantially. I mean this quarter, again, we are looking at close to 7% Y-o-Y growth. Is there some delay in the decision-making that's sort of leading to some sort of muted growt h this year? And second, you alluded to, I think, some one -offs in A MEA. If you could help us quantify what was the impact on that because of that?
Umang Nahata: Thank you for that question, Pulkit. As far as the general macro uncertainty is concerned, they continue to play a role in the minds of our clients as they look at decision-making. These are currently 2 or 3 important factors. One, the decision -making, especially with our U.S. customers is shifting right, and we've been seeing that as a phenomena at least for the last 2 -3 quarters.
Having said that, it's not that the deals are going away, it's just that the decisions are slower as

compared to where they were. Two, what is also happening is whenever they had a long-term decision to make, they're making more short -term decisions.
So for example, instead of a 3 -year, 5 -year deal, they're signing up for a 1 year or 6 months or 1 quarter deal, which is reflecting in our order book and our backlog not moving strongly as compared to our expectations in the geography. So this general mac ro uncertainty is definitely playing a part in terms of the decision-making mindset of our clients.
The other important aspect, Pulkit, is the clients are also actually currently and consistently evaluating the impact that AI will have on their IT road map and budgets. And more or less dipping their toes in and trying smaller projects to deliver efficien cy gains, and we'll use that to then sign much more larger strategic deals, especially with the mid -market customers where our focus is.
So we believe we are getting some right indicators in terms of signing a lot of good, strong initial deals with them, which could be backed by much longer, larger deals as we go forward. W hile I've said, spoken about U.S., some of the phenomena also applies to our U.K., especially the U.K. private sector customers.
As far as the one-off in AMEA is concerned, yes, there was a particular contract, which we have already delivered a sizable portion of it, but we couldn't get the formal paperwork in, and therefore, there was some WAR revenue that we couldn't recognize in the quarter , which will improve the profitability of the region as we go forward into the following quarters.
Moderator: The next question comes from the line of Pratham

Kankariya from Quantum AMC Private
Limited.
Pratham Kankariya: Okay. So first of all, my question on AMEA region has been answered. A nother one is recent on Oracle, they have announced some very mind -boggling projections on the cloud deployment sales. So if you can just help me understand if there will be any positive impact of this on Mastek?
Umang Nahata: Yes, Pratham. Thank you for your question. I think Oracle's business, generally the Oracle Cloud Infrastructure and Oracle Technology business is seeing some phenomenal changes in their business and approach. A lot of this, as all of you must have read, is driven by their capital and AI-led investments supporting some of the larger AI and technology companies in the U.S. So

that's boosting a significant growth for them. Generally, overall speaking, it feels like Oracle, clearly, as far as the infrastructure race is concerned, has a very strong hold on the supply chain of being able to deliver the GPU faster, and which is clearly adding to its advantage.
We believe from a Mastek standpoint, Oracle is our strongest partnership and relationship. The other thing that Oracle is also doing is reorganizing its healthcare business, especially the Cerner acquisition and trying to move a lot of their Cerner, which is now called as Oracle Health to cloud and cloud infrastructure, especially. And that's one area that we have a very strong presence in. We are one of the very few partners globally who do that kind of work for Oracle.
And that's an area of business which we see as a really good chance to improve our healthcare business beyond back office to more Oracle Health and especially cloud and managed services within the Oracle Health segment. So that's one area.
Two, in general, as clients look at their AI spend, they look at partners who have the ability to deliver the infrastructure for demonstrating those AI solutions, and that's where our relationship with Oracle should allow us some long-term benefit. However , on the later half, we don't see anything immediate here and now, but we are quite optimistic that as we get into the AI for business, our partnership with Oracle will play a strong positive for us.
Pratham Kankariya: Okay. So just one thing to be clear. So we are majorly into Oracle's healthcare part of the business. Is that right?
Umang Nahata: We are into Oracle Cloud and within that, we are also very focused on the Oracle Health.
Moderator: The next question comes from the line of Sushovon Nayak from Anand Rathi.
Sushovon Nayak: Quickly just on the D ata & AI horizontal, generally, this has been showing almost 25% to 30% quarter -on-quarter growth. Any particular reason why that has slowed down? That was one. And I had another question, which was basically on the margins. How much of the margin improvement h as actually come on account of currency and how much would be on account of operational improvements? If that could be quantified, that would be helpful.
Umang Nahata: Sure. As far as the Data & AI business is concerned, Sushovon, I think it's a business that has tremendous attention and focus for us. We are seeing continued demand not just from the North America side of the business where we had acquired the asset, but really our ability to deliv er it globally across all of our customers globally. We have seen some significant intake earlier in the previous quarter, both with NHS as well as with some of our large financial services engagement that we are executing. So the demand in that segment an d our ability to demonstrate capability and growth is definitely helping us shape the outputs well.

Having said that, our growth of our Data service lines within North America specifically is still slower to where we expect it to be. As we speak with a new leader and team in place, we are now driving much more targeted campaigns arou

nd Data, especially Data and Data modernization -led areas. And we are confident that this is one area that will continue to grow the fastest as we move forward. As far as the bottom line performance is concerned, around 10 basis points was the impact of FX and the rest of it is operational efficiency.

Sushovon Nayak: Okay. And just one last bit, Umang, is that if you look at whatever is happening in the U.K. with the fiscal situation there, so do you envisage that potentially there may be a reduction of spend and possibly that right shifting that you are mentioning may also translate in U.K.? Is that something that you envisage as a possibility?

Umang Nahata: So Sushovon, as far as our U.K. business is concerned, our foundational strength of our U.K. business is the long-term trusted relationship that we enjoy with the government, including, as you might have seen recently, Ashank had met the Prime Minister. We have committed to creating newer jobs, spending in the geography. So our foundation is the long-term relationship with the customer? You are right to ask that there is a fiscal pressure and therefore, there is continued ask for more and more efficiency from strategic partners, which we believe is an opportunity for us to demonstrate our AI for tech capabilities. We are very actively and aggressively demonstrating them in our current estate and using that to create the right capability expectations of asking for much bigger, much larger businesses from that same estate on the back of the trust and the quality of the work that we have done.

So while we have the quality and trust on our side, we are currently using the efficiency asks to demonstrate how AI can deliver that kind of efficiency in our own estate first. That's the ask for most of our customers, demonstrate it in your own estate before you ask for larger businesses.

We have the eye of where the larger business are going to come from, but we will have to demonstrate some efficiencies in our own estate first. And this is not just for U.K SGS, this is true for every mid - and large customer that we have.

Sushovon Nayak: So Umang, in the last con call, what we got to understand was the type of work that we are doing for Bank of England. Now that is basically shown in the government services? Or is it in the BFSI bit? And what exactly would be the work?

The reason I'm asking this question again is because what I also understand from Accenture's con call is that they are also doing a lot of legacy modernization work specifically with the Bank of England. Is that anything very similar that you are doing? If you could possibly just give us some flavor on that, that would be great.

Umang Nahata: Sushovon, so the work that you're doing with Bank of England is first, we are classifying it under the BFS vertical in our segmentation. Two, the work that we are doing for Bank of England is something that we're extremely proud of. It is very much core to the business. So what we're doing is we are helping them modernize their data, which is on a Databricks platform. And that data modernization platform that we are delivering to them will become the heart of all fiscal decisions that the Bank of England is going to make over the coming years.

So this is a system where we are consolidating data from lots of banking as well as external and internal centers. It's extremely high volume with near to zero kind of error rate precision data strategy and data execution that we are doing now. So , in the first part, we did strategy. Now we are doing the next 3 years of execution work for them. So, it's a business that will impact the U.K.'s economic policy decisions as we go forward. The work that some of our peers are doing are more around application modernization. This is more around data and data modernization to help them with their fiscal decision -making.

Moderator: The next question comes from the line of Dipesh Kumar Mehta from Emkay Global.

Dipesh Mehta: A couple of questions. You indicated about some kind of delay in decision-making and client preferring to sign shorter-term contracts. Do you expect that will lead to better conversion from order book to revenue? In the past, your order book to revenue multiple if I look was roughly around 1.6. If you want to do next 4 quarters kind of calculation, do you expect it to improve?

Second thing is, if I look at your Q -o-Q order book growth, do you think revenue conversion will be faster than that, considering short tenure deals signed in that order backlog? So that is question one.

Second question is about Americas segment margin. If I look at it, we have seen some double

digits, last year in H2. How one should look segment margin of America? We are in the
investment phase. But do you think now we reach to a point where you see that investment will start fructifying into result?
Last question is about A MEA. You indicated some kind of one -off where revenue recognition
not happened which impacted margin. But we might have followed matching principle, right? If
that matching principal followed, then I am not clear why the impact was there. If you can clarify.
Umang Nahata: So Dipesh, thanks for all your questions. As far as our the OB to revenue ratios or some of the
shorter duration contracts, that's largely a phenomenon with our North America business today.
And there, we are confident despite of lower order book in this quarter, we should be able to stay consistent with our revenue performance. Like I said, earlier, we believe that the North America business will have some challenges in the short term, but will continue to deliver
stronger performance as we go forward. But some of the OB to revenue ratios in North America
would be better than where they were because for a lot of these contracts ACVs are much higher
as compared to where they were earlier. As far as our U.K. Europe business is concerned, those
are still a lot of long -term 3 -year, 5 -year deals. And that's the nature of work that we do with
secured government or with some of the othe r verticals that I spoke to you about. So there, the
ratios will not change so much, at least not in the immediate vicinity that we have.
On the segmented profitability of North America is concerned, like I mentioned in one of the
previous questions, as we move forward and as we grow from here, come closer to like a $28 mn
- $30mn run rate in North America, that's when it will start going up to double digit or mid -
double -digit kind of EBIT numbers. So, we have invested for that kind of range today. We have
to still get there. And we really want to continue to hold the investments. We think it's a very
healthy investment, which will deliver disproportionate results as we go forward.
On the one -off in AMEA is concerned, we take the conservative approach as far as rev rec is
concerned. So unless we have all documentation is in place while we might have delivered the
work, we did not recognize the revenue based on the general conservativeness that we should
use in our accounting approach as we deliver our financial numbers.
Dipesh Mehta: Just to clarify, you recognize d cost, you have not recognized revenue?
Umang Nahata: That is correct.

Dipesh Mehta: Okay. And a follow -up question on the OB to revenue. What portion of our revenue or order
book would be from U.S., whether it reflects the revenue mix or it is different?
Umang Nahata: I think the order book mix, at least for this quarter is disproportionately high from our U.K.
Europe business. Our U.K. Europe business, it's a significant higher percentage of our order booking for this quarter.
Moderator: The next question comes from the

line of Varun Gandhi from Fident Asset Management.
Varun Gandhi: Umang, I wanted to a question related to AI and type of contracts. So currently, we're reporting
around 40% fixed price contracts and 60% of our contracts is time and material. The new
narrative is and since the larger peers have called out that the new tr end is that contracts are
moving more towards your outcome -based pricing, so fixed pricing. Are you seeing that? And
if yes, do you see your tilt contract mix going towards fixed? And if so, how would you see the
impact on margins?
Umang Nahata: So Varun, that's a great question from an overall trend of the industry is concerned. AI as fa r as
AI for technology is concerned, which is the AI that is impacting the productivity and efficiency
of technology services, it is definitely delivering more and more efficiency every day than what
we had seen in our previous months or quarters. And that efficiency is what is leading to
customers as well as partners trying to move towards a fixed price or an outcome -based contract
so that the gains could be shared. The commercial model, I still think are fluid and everybody is
trying out various commercial models in the geography.
So I'll not comment whether it will move one way or the other, right now. What is definite is
that there will be more efficiency and productivity gains that will happen. What's going to be the
right commercial model, whether it is fixed price or outcome-based or whether a T&M with
efficiency share or something else will continue. That's a little early to comment on. We are discussing a variety of models with our customers as we speak. While they still start with T&M
especially in the engineering services start with T&M as a base, but a T&M with an outcome-focused contracting is the direction of travel that it is taking. So I don't have a definite view of how fast this trend change will , but efficiency ask and a commercial model to demonstrate that
efficiency ask is clearly a direction of travel that we're seeing.
Varun Gandhi: Second was, what is the impact of this shift on margins?
Umang Nahata: So as far as margins are concerned, clearly, we are also seeing a lot of efficiency on our side. Some of those efficiencies are flowing down to our bottom line. Like I said, our revenue per
resource clearly will be moving north as we go forward. Having said that, some of this is also
has to be replowed in the business because the bigger wave that we are all now building up for
is AI for business, which is where we could deliver Agentic or other AI -led business

transformation solutions for our clients. And that requires us to demonstra te and build a lot of
solutions, assets, proof of concepts, working closely with our customers.
We are seeing , for example, a dozen such engagements where we are demonstrating or building
AI for business road map for some of our important mid-market customers , that clearly will pave

the path forward for a much more significant overall services growth in the industry. So a lot of
the savings are being plowed back into AI for business kind of investments today.
Varun Gandhi: I see. But do you think a lot of these efficiency gains would also be passed on to the consumer,
I mean, the customer in this case?
Umang Nahata: Hundred percent , so if you have to do business right, you will have to pass on some of the savings
back to the customers. At least our vision is making some tangible growth for us on our size of
business to demonstrate and get a seat on the table for larger transformations. We will have to
demonstrate not just lip service, but some real tangible benefit to our customers. And therefore, passing on a portion of our efficiencies back to them openly and transparently is going to be
very important.
Moderator: We take the next question from the line of Mahak from Ma k Seven In

vestment.
Mahak: Sir, can you quantify that one -off revenue that we have already delivered, and it is to be
recognized in the future quarter?
Umang Nahata: We don't have an exact number with me, Mahak, but closer to the tune of like $0.5 million.
Mahak: Okay. $0.5 million. And another thing that can we have the order book bifurcation region wise
next quarter onwards?
Umang Nahata: Mahak, we usually do not disclose order book. That's not how we are working at. But we continue to disclose and share our regional performance as well as our anticipation for the region,
but we don't disclose order book by region.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the
conference over to Mr. Umang Nahata for his closing comments.
Umang Nahata: Thank you, Ryan. Thanks for helping us organize the call. Thank you, everyone, for your
participation and your active and very engaging questions. We continue to see very strong
optimism in terms of the macro, especially the AI -led technology disruption that we are going
through.
I think as a company and as a business, disruption situation like this is the best opportunity that we could have had or asked for to create a disproportionate kind of vision and growth for
companies like us. We continue to focus on that as an area of investment and deliver the true
potential of Mastek.
As far as our short -term business is concerned, the market still has a lot of macro and global
uncertainties, which is leading to some deferment of decision making. However, we continue to
navigate those uncertainties with a strong and robust bottom line performance and looking
forward to a good positive H2 as we move forward. Thank you for the call. And once again,
Happy Diwali to everyone who's joined the call. Thank you.
Moderator: Thank you, sir. On behalf of Mastek Limited, that concludes this conference. Thank you for
joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2026

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SEC/ 118/2025-26 January 28, 202 6

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SCRIP CODE: 523704 Listing Department
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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the Quarter and Nine months period ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and nine months period ended December 31, 202 5, conducted on January 21, 202 6, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Thanking you,

Yours faithfully,
For Mastek Limited

Reena Raje
Company Secretary & Compliance Officer
Membership No.: A21440

Encl: A/A

“Mastek Limited

Q3 FY '26 Earnings Conference Call ”
January 21, 202 6

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER –
MASTEK LIMITED
MR. DEEPAK KEDIA – CHIEF FINANCIAL OFFICER –
MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y LLP, INVESTOR

Moderator: Ladies and gentlemen, good day, and welcome to the Mastek Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y LLP, Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Darwin. Good evening to all of you, and welcome to Q3 FY '26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com .

To take us through the results today and to answer your questions, we have the top management of Mastek, represented by Umang Nahata, the CEO of the company; and Deepak Kedia , Chief Financial Officer. Umang will start the call with business update for the quarter, which will be then followed by Deepak, who will take us through the financials. And post that, we will open the floor for Q&A session.

As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future , or which can be construed as a forward -looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and the subsequent annual report that you can find on our website.

Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.

Umang Nahata: Thank you, Pratik. Good evening, everyone. Welcome to the Q3 earnings call for Mastek Limited. In our call today, I will share some of the developments that have happened in this quarter and the momentum and outlook that we look forward to.

Q3 continued to be a quarter of strengthening some of our core fundamentals, especially around our capability stack, our domain expertise as well as our leadership teams. It has also been a quarter where we had to navigate the headwinds of a seasonally weak quarter, while continued focus on operational efficiency and AI -led productivity gains, ensure that we delivered a robust bottom -line performance.

Talking about capability growth. Digital engineering is the fundamental capability of Mastek. It has been a core of our sustained growth and delivery. With AI, our digital engineering capability has now seen a revised energy and expansion.

In this quarter, we've been recognized by some of the leading analyst firms as one of the leading performers as far as mid -market digital engineering is concerned. A lot of this has been backed by the sustained quality and productivity improvement that we have been able to offer to our clients, ranging from between 15% to 80% improvements in terms of the AI -led engineering capability.

Our continued investment in the AI capability has now eliminated the gap as far as technology differentiator that we had between us and some of the other larger players in the market, giving us the opportunity to compete for much larger core digital enginee ring or AI -led engineering deals.

Similarly, on the Oracle front, Oracle has been a key strength area for us, and we continue to be recognized by Oracle as one of their top partners globally. Having said that, Oracle's business direction is also significantly moving towards AI -led transformation deals. And in that journey, Oracle sees us as amongst their top 20 partners globally leading their AI initiatives. In fact, we were awarded 3 key recognitions during the AI World that happened earlier i

n the quarter as a
leading performer in Oracle's AI transformation journey.

From a domain front, our focus on Health care and Life Sciences continues to be a key area. We've been investing both in terms of people as well as assets and accelerators to deliver a significant differentiated capability in these areas. Our learnings and experience out of working at NHS as well as various payer and provider organizations globally has now been consolidated into a singular strength, which is allowing us to compete in much larger businesses and deals globally.

Another key development as far as capability for this quarter has been our renewed strength in financial services sector. As you all are aware, we had won one large deal earlier in the year with

Bank of England. And now this quarter, we are very happy to a nnounce that we've won one new large account in a circa $20 million deal.
This backed by, for the first time, us, being recognized as a contender in the financial services sector by various analyst firms, gives us the confidence of developing financial services as the third sector after Health care and Public Sector for Mastek. We continue to focus on enhancing our data capabilities as well as our Salesforce capabilities aligned to these vertical sectors that you have looked at.
All of this capability and domain strengths have now also resulted in improvement in our 12 - month as well as our total order backlog. Our 12 -month order backlog has grown by 18.4%, whereas our total order backlog has grown by more than 30% year -over-year.
Coming down to the Q3 performance , from a revenue standpoint, Q3 experienced some expected and a few unexpected turbulences or headwinds that we saw, resulting in a 4.8% constant currency reduction in our revenue. We saw a higher furlough in U.K. as well as in some of our Public Sector customers globally.
Additionally, this is also a quarter where many of our transformation programs, especially Oracle programs went live during the quarter. However, the start of the new programs has been right shifted and will start in Q4. Many of those are scheduled to start in Q4. This has led to reduction in our top line performance.
Having said that, despite the reduction in the top line performance, our continuous and sustained focus on operational rigor as well as driving AI -led productivity improvement in our internal

operations is really helping us hold our bottom line performance. In fact, we have improved our EBITDA margin by 60 basis points despite the onetime labour law changes, which Deepak will explain in the later part of the call.
We are hoping and looking forward to maintaining a steady bottom line performance. And as promised, we feel that we will continue to improve in our bottom line performance over the next coming period.
Looking ahead, we feel that the global demand that we see, especially across Healthcare and Life Sciences is really strong, in U.K. as well as across all geographies in U.S. and AMEA . And our capabilities, both from a domain as well as from a horizontal standpoint are now really well aligned to address the growing demand. And our growth in this vertical is going to be fundamental to our long -term sustained growth as we move forward.
From a people leadership standpoint also, we now have Deepak Kedia , joining us in this quarter. We also had 2 important leadership hirings in our Data as well as in our Salesforce capability. This marks almost the completion of all the leadership changes that we wanted to drive. And we now have a very cohesive and empowered leadership team r aring to go for long -term growth of the organization.
One last area while we continue to focus on business and drive sustained growth, our commitment to our Social Responsibility also continues to be an important area of focus, and we are very pleased to share that we have bee

n recognized amongst the top 10% companies
globally on our environment scores. And that makes us also proud in terms of not only are we delivering well to our business, but also continuing to deliver well for the society in general.
With that, I'll hand over the call to Deepak to share more details on our financial performance. Deepak, over to you.
Deepak Kedia: Thank you, Umang. A very warm welcome to everyone on the call, wishing you all a very happy new year. As Umang already covered the business aspect, I'll focus more on the financial and operational levers.
We reported an operating revenue of INR 905.7 crores which was up 4.2% Y -o-Y. On a sequential basis, it reflects a 3.7% decline in INR terms. This is, as highlighted by Umang, is majorly due to seasonal headwinds and some onetime events in Q3.
Coming on profitability, Q3 had two headwinds. One was seasonal around furloughs and holidays and second one was labour code changes. I'll cover labour code changes in a few minutes. In spite of all the above , we have delivered yet another strong quarter of growth in EBITDA, improving by 60 bps points to 16.1%. Out of 60 bps points, 43 bps point reflects our resiliency towards AI -led operational efficiency and 17 bps point is due to forex tailwinds . EBITDA includes an impact of INR 6.4 crores on account of labour code changes.

As we are aware, there are some clarifications which are awaited from the labour department and hence, we expect an adjustment in Q4. There were some onetime benefits, which we got in

Q3, which helped us negate this impact. Those onetime benefits were around leave at on site.
Our net profit improved to 11.7% with improvement of 149 basis points quarter -on-quarter.
Across all geos, we have expanded our margin in Q3, further underlining the execution of our operational efficiency. Based on business fundamentals mentioned by Umang , we continue to add new customers to our portfolio. We have added 17 new customers in Q3.
This is also reflecting in our backlog position wherein 12 -month order backlog for the quarter now stands at $296 million, reflecting a growth of 5.7% quarter -on-quarter and 18.4% Y -o-Y.
We continue to maintain a very strong balance sheet and healthy cash position. Our net cash is INR 346 crores versus INR 135 crores last quarter. We added operating cash of almost INR 210 crores in Q3.
Our DSO for the quarter stood at 84 days, which is slight increase from 80 days last quarter.
This was primarily due to administrative delay in collections in U.K. on account of holiday season. We see this as a temporary thing, and DSO will start improving from next quarter as we continue to have robust collection, which is reflecting in our cash position. Based on all the cash collection and everything, we are declaring an interim dividend of INR 8 per share, which is at 160%.
Our closing headcount was 4,676 versus 4,745 last quarter. This is again after the consistent focus on improving our productivity and driving better outcomes for our customer s at the same time. Our utilization rate dropped to 76.7%, including trainees versus 81.8% in the previous quarter.
Again, this is a reflection of higher leaves which is both led by festivals, holidays and client furloughs during the quarter. With that, I thank everyone. I look forward to your continued trust and support in Mastek. I'll go back to Pratik to open the house for Q&A.
Moderator: We will now begin the question -and-answer session. Our first question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.
Sucrit D Patil : I have two questions. My first question to Mr. Umang is, as Mastek continues to expand its AI first and digital engineering portfolio, what specific initiatives are being taken to deepen the client relationships in the U.S. and AMEA market? Over the next 12 to 18 month

s, how do you
see the company balancing near -term revenue volatility with long -term growth opportunities in AI and cloud transformation? That's my first question. I'll ask my second question after this.
Umang Nahata: Thank you, Sucrit. As we had mentioned earlier in my narrative, AI is definitely bringing the technology differentiation between the various IT services providers making them all very equal.
All the assets, accelerators as well as capabilities are now starting to align a lot between players.
What is going to be important is how we offer this back to our customers and creat e a win-win scenario with them.

Our current approach is to move from time and material contracts to more outcome -based contracts. In fact, in this quarter also we have closed a few deals where we have moved our customers from time and material to an outcome -based contract and also offeri ng anywhere between a 15% to 30% savings on productivity over a 3 -year tenure.
These contracts, while might have a short -term impact on our top line performance, but are really important to deliver and build confidence in the customer from a trust as well as capability standpoint to recognize the kind of benefits that AI is providing to them.
I'm very sure that as we aggressively offer these benefits to our existing customers, it is creating the space required within the customers and the mind share for them to consider us in much larger businesses and awards. And as we get into those larger deals, it will create a much more bigger impact for us.
As you know, our digital presence in North America has been quite small, but this AI -led engineering is now starting to create a much bigger digital engineering pipe in the geography, especially as we go out as champion challengers to many new customers. S o it's a case of trying to balance your capability and quality strengths by addressing the commercial model to your clients and gaining larger volumes.
Sucrit D Patil: My second question is to Mr. Kedia. With operating margin improving to 16% despite the revenue showing some softness, how are you planning to balance cost discipline with investment in talent and delivery capacity? Could you share how Mastek is approaching capital allocation to support both shareholder returns and long -term growth in AI -driven services?
Umang Nahata: Sucrit, if you're okay, I'll work with Deepak on the answer. It's a very fair question, in terms of long term and how do we look at balancing and continuing our cost efficiency as well as trying to address the investment in AI as well as investing in deals where we have to offer productivity benefits to our customers.
Our current expectation is the AI investments will continue. However, as we move towards more and more fixed bid projects like an outcome -based contract, that allows us to share the gain and

maintain a healthy operational efficiency on our side because, wh ile we are offering a part of the benefit to the clients, it also allows us to maintain a part of the savings to Mastek also.
And that's been reflecting in our continued quarter -on-quarter bottom line performance. So there's a stringent bottom line improvement target , productivity improvement target across all programs as well as our G&A spend that we look forward to.
Having said that, we are also looking at a scenario where as we grow our top line because the volume performance is important, and I'm pretty sure this AI -led differentiations are going to drive much higher volume improvements. The overall impact on bottom line will be much healthier as we move forward.
So the vis -a-vis impact of investment versus return, I think the ROI is much highly tilted towards a positive return. So while you have to make these earlier initial investments, both in terms of

capability as w

ell as commercial discounts, the long -term return on these seems very, very positive.
Moderator: Our next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: If you can explain in terms of the decline that we have seen in this quarter, what has been the contribution from the furloughs that we have seen now in terms of extended furloughs? And also you mentioned about the AI -led productivity benefit that you have to provide to clients. So if you can quantify what led to the decline in terms of the extended furloughs and the AI -led productivity benefits? And also, you said some of the contracts that were supposed to start. That will be the first question. And also, in terms of the benefits that you have been mentioning. So what percentage of the clients we are seeing this marking of the AI -led benefits. And is it also happening primarily in the large government accounts?
Deepak Kedia: Thank you, Amit, for the question. I'll take the first part of the question, and I'll hand over for the second part to Umang. In terms of decline in revenue, our furlough impact was almost $2.7 million for the current quarter. And the rest was basically related to ramp downs or the closure of the project and some of the delays, which has happened or right shifting of the project which has happened because of a delay in ramp up. So that's the answer to your first question.
Umang Nahata: Amit, on the focus on business in terms of offering these commercial benefits to our clients, it is happening across a large number of our customer and existing engagements. And these also include some of our Public Sector engagements that we have in U.K. So the general efficiency asked from the clients is true across most of the engagements.
Usually, these asks come up at the time of renewal. So whenever we are renewing our contracts, these have come up for an ask. However, we are taking a very different approach to the business. We are actually proactively going out and sharing some of these benefits to our clients and therefore, creating a mind space of expanding within the account.
If you look at our large installed base, especially the large account installed base, the top 30 -odd customers that we have, our current wallet share in almost all of these accounts is a very small portion as compared to the overall digital spend that they have. We see this as an opportunity. While they have always seen us as performing good work and good CSAT performance. But now with differentiated capability and our ability to demonstrate cost benefit to them and the proactiveness in our commercial acumen is creating an opportunity for us be ing evaluated for larger businesses in these accounts.
So we are taking that as an investment in these accounts to create credibility as well as trust for generating larger opportunities in the same. But this is not a few accounts here and there. It is happening across the board.
Amit Chandra: Okay. And in continuation to this, are we seeing any extended furloughs continuing in Q4? And also, if you can give some more colour in terms of what's happening in the Middle East geography because there we have seen some very sharp decline. And in the last call you

mentioned that the restructuring there is almost over. So is it something new that has happened there? Or if you can give some more colour ?
Umang Nahata: Yes. Thank you, Amit, for pointing that out. We don't see any significant furlough impact going further . There might be a few cases, but nothing meaningful there. As far as our Middle East business is concerned, you are right, we had pointed out th ere was a WAR revenue that we couldn't recognize in Q2, which we're hoping to recognize in Q3.
While we have got the letter of award and all the other documentation, but in Public Sector Middle East, sometimes signing the contracts has

taken a little longer than anticipated. The
business is well secured and already executed. We are confident that we will get the order in, and we are hoping that it will come in January itself. And therefor e, we'll be able to bring it back in our next quarterly performance.
Having said that, the second part of the business that I mentioned that a lot of projects went live. Some of those go -lives were in the Middle East geography, Middle East largely follows Jan uary to December calendar. And as you can understand, Oracle programs are many times linked to financial year closure. So we had seen some go -lives there.
However, the ramp -ups are still shifted towards right, and we are looking for a much stronger order book in Q4, which will then take us forward into continued growth. I would say we're a one quarter delay from where we were hoping the sustained growth would come, but it's just a one quarter shift of right. We are confident that this will start sustainably growing from this quarter onwards.
Amit Chandra: Okay. And the last question from my side. Obviously, we have seen some of the larger peers entering into the U.K. Government geography, and they have been announcing some new larger contracts. So just in general, are we seeing some increased competition out there in the U.K. Government because earlier we were having the advantage that we were present there . And the competiti on from the Indian peers was comparatively lower, but now we are seeing high aggression from the other peers also. So are you seeing that also impacting us and forcing us to give in more discounts?
Umang Nahata: As far as the U.K. Public Sector and Health care business is concerned, we believe it's a market that was largely with the Global SIs or some of the local players, there was hardly any large Indian SI contingent in that particular segment. And I think the openness for them to accepting larger Indian SIs to do large pieces of work, the couple of billion dollar deals that got announced, actually is a positive sign for them considering us as equal competitive partners in delivering larger and more significant pieces of execution.
As we have been saying, our current headroom to the revenue that we have around GBP 150-odd million that we deliver as compared to the GBP 4 billion plus overall addressable market that we have is very, very small. And while we have been trying to grow in terms of larger deals, I think this mindset change, I see as a positive from a perception of the ability of mid and large Indian IT services companies being contended for delivering larger deals. So I think it's a positive.

While I also agree with you in some of our accounts, we would see them as competitive on those fronts. But I think that's the usual competitiveness. I don't think anything unusual there. I have very strong faith in the kind of client relationships as well as the capability that we have developed in U.K. Public Sector and Health care are very differentiated. And I see healthy momentum in terms of that market.
Moderator: Our next question is from the line of Debashish Mazumdar from Svan Investments.
Debashish Mazumdar: I have a 3 -part question. First one is partly asked by Amit, I just want to get more sense on that. You have said that around 2.5% kind of degrowth has come because of the furloughs, right?
Deepak Kedia : No. I mentioned an amount of $2.7 million. So again, to reiterate. Almost 50% of our impact is because of furloughs. Rest 50% is on account of two things, which is early completion of project towards the early part of the quarter and right shifting of certain projects.
Debashish Mazumdar: Okay. If you can add some geographic context into it. Much of these furloughs and ramp -downs are related to your U.K. and Europe related projects, how much is those for U.S. -related projects? If you can give some co

lour on that?
Umang Nahata: Large portion of the furlough impact is in U.K., as you know, the largest business is in the U.K. but there has been some impact in our U.S. business also on furlough because we have a small Public Sector business in North America. Percentage -wise, a much larger percentage of that furlough impact has come from U.K. only. Almost 70% of the furlough impact has come from U.K.
Debashish Mazumdar: Okay. And, Umang, if I understand correctly, our U.K. Public Sector business normally, historically, hasn’t seen much of furlough impact in the past. And especially, we are sitting in a quarter where most of our peers who have reported numbers have not mentioned or have not seen much of furlough impact. So is it like very client -specific that we are seeing here? Or anything specific that has happened in this quarter or something like that or it's the normal seasonality according to you?.
Umang Nahata: Debashish, this is normal seasonality. I think we report this every Q3 consistently across last few years. So it's something that happens every year -end, the government and some of the Public Sector business is shut down for the year -end breaks. And so it's not unusual. It's very usual, and it was expected that we will get such kind of a furlough impact.
Debashish Mazumdar: And the ramp down or right shifting of the project is also linked to your top customer? Or it is

some new customer or some other customer that you are facing?
Umang Nahata: So I mean there are some important large programs that have gone live. So those are definitely there in our larger customer list. But if you look at our current nature of business, especially on our Oracle service line, it's a lot more project driven. So a s the projects go live, the revenue starts ramping down. And we usually have a stronger backfill of new deals aligned so that we could continue to sustain the revenue growth.

However, the newer programs that we have to start now has been delayed by a few weeks and months. So we are hoping to get this start again in Q4, and we should be able to cover that. It's not like any permanent thing, but this is the usual nature of business. Almost 60% of our Oracle business is project driven, which would ramp down once the project goes live and then as you win new projects, it ramps up again.
Debashish Mazumdar: Okay. So , I just wanted to get what is the kind of confidence level you have to get a sequential growth coming back in Q4 in the U.K. and Europe market ?
Umang Nahata: In U.K. & Europe, we have really good demand that we see as far as our Health care business is concerned. We're also going through some important renewals in our existing Secured Government Services customers. We generally feel positive. Having said that, there is also continued pressure from the government to at least deliver a 15% or higher efficiency across all government projects. So that's one part of the business that we are still navigating which may have some short term or continued short -term impact.
Debashish Mazumdar: Okay. If I know correctly, last year, when the renewals happen in your large -sized Public Sector contract in U.K., you have passed on certain price benefits or productivity benefits to them already with this thought that until next renewal, we don't need to pass anything. So is there any change in structure there?
Umang Nahata: You are right, w e had passed almost 5% to 10% benefit to our customers when we got them into renewal last year. Having said that, the government, as they reorganized their spend , there's a lot more spend happening on Health care and Defence and all other departments have been asked to bring down their spend that they have on all other departments, including some of the other larger customers that we work with. So , this is over and above the discounts that we had given

last year.
Debashish Mazumdar: Okay. Understood. And my last question is around the U.S. market. We have seen a significant fall in this quarter. And if I see before the last acquisition you did in U.S., you used to do a $20 million to $23 million quarterly run rate. And which moved up to around $30 million post the acquisition, and we have actually come back to $20 million, $23 million today. So just trying to get some sense that what is the progress in the U.S. market.
If I remember correctly, last time when we discussed, you told us that U.S. market will take 3 to 4 quarters time at least to settle down. Considering that U.S. market has started coming back for a few of your peers, do you see U.S. market settling down? O r do you think it's 3 -4 quarters away for us?
Umang Nahata: Like I said earlier, U.S. market required some core fundamental changes to our business. We've made most of those fundamental corrections already. First, in terms of capability, like I said, our core digital engineering capability, which we wanted to take to North America is now competitive and seeing good traction, which is allowing us to offer many of these AI -led engineering services deals or parti cipate in them.

Two, we wanted an overhaul of our North America team. We've got almost all the leadership team under Sourabh and the capability as well as sector lead is now in place. So we have a strong team, we have executed 100% of the team changes already. Third is, like I mentioned earlier, the direction of travel will be visible in two steps. We first start seeing improvement in our order book and backlog and which will then be supported by revenue growth.
Our order book numbers are now starting to change shape. Our North America order book, for example, has delivered a $30 million -plus order book in this quarter, and we see sustained order book momentum in the coming quarters, and it will keep growing from there.
We believe as we have now got into the turnaround mode with the teams and the capabilities in place. It is also now starting to reflect in our order book and order backlog. I'm pretty sure the direction of travel is on its way. And like I said in the next f ew quarters, you will start seeing strong lead indicators edging towards that kind of growth.
Debashish Mazumdar: Okay. Understood. And one last question . If I see the order book because you have touched upon that. After I think 3 or 4 quarters, we have seen some good momentum building up there. So I

hope there is no change in the tenure of the deals that you were signing today and the order book that is getting visible to us will convert into 12 months we have seen in the past. Is there any change in the tenure of the deals that you were signing today as compared to what we used to do 3-4 years back or 3 -4 quarters back?

Umang Nahata: Yes. Debashish, you're right. So if you look at our total order backlog has grown faster than the 12-month backlog. So that's definitely there. What happens is as we are trying to get into these AI-led initiatives, while we are offering the clients some di scount and productivity efficiency, we're also trying to negotiate with them much longer contracts, so 3 -year, 5 -year kind of contracts instead of the 1 -year renewals that we used to have earlier.

So there is a change in the tenure of these deals that we have. And that's the reason the TCV has been moving much faster as compared to the 12 -month backlog. But as you can see, our 12 -month backlog is now catching up, and I'm sure we'll have a healthier 12-month backlog also. But in general, your observation is right. The tenure of the order booking has definitely increased, and that's a very intentional plan. As we sign up for these productivity gains, we're also trying to sign up over a longer tenure so that we have enough time to ensure we deliver them profitably.

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oderator: Our next question comes from the line of Ravi Menon from Macquarie.

Ravi Menon: First question is on the subcontracting costs. So if I see the other expenses for the second quarter, we've seen a decline. So you have subcontracting come down this quarter?

Umang Nahata: Yes, Ravi. The subcontracting has come down in this quarter.

Ravi Menon: When you're talking about the U.S. how you're starting to see pipeline build up , at least in the initial phases do you think subcontracting will be required ? And we could see this cost move up again and maybe have some pressure on margins near term until we hit some critical mass?

Umang Nahata: What we are seeing is both kinds of deals. We are seeing deals which are regular and within the capability and capacity that we have between Oracle and Salesforce and those kinds of areas. Having said that, we are also running for some larger deals in newer areas that we don't necessarily have capacity for the U.S. today. And part of that fulfilment will require some kind of subcontracting or partner arrangements that we have already worked out.

So yes, as we look at getting into execution, some of these deals initially may see higher subcontracting costs. Having said that, our endeavour on making sure that operational efficiency continues to be robust as well as we continue to drive AI -led productivity improvements is key to maintaining stable bottom line performance as we get into these AI -led and newer areas of business.

Ravi Menon: And once things settle down, I mean medium term, say, 2 -3 years out, do you have some sort of aspirational margin target from a band that you want to operate in?

Umang Nahata: Overall, like I had mentioned earlier, we think around 16.5% – 17% EBITDA is a good position today. I'm sure things will change. It's rapidly changing from an AI productivity possibilities. So what will happen over 3 years is hard to predict in terms of the degree of efficiency that it might bring.

But from counter -investing and offering , sharing some portion of that benefits back to our clients as well as some of these capability expansion s that we need to do and using subcontractors and others that will be required to grow for the cost of sales. I think we feel comfortable in the 16.5% – 17% band.

Ravi Menon: And one last question. The AI -led productivity, we had heard one of your peers mentioned yesterday that they are starting to monetize their own IP that they've built for AI tools. Are you planning to do something like that ? That could enhance margins?

Umang Nahata: We actually have a very contrasting view to that. We do not want to get into the IP and the product business as far as AI is concerned. The ability to create and build and demonstrate that we are leaving it to the larger hyperscalers, and we would rather f ocus on the partnership model. I think our focus is executing services, and we will look at continued focus on service execution. We are not at all focused on building IPs as far as platform IP is concerned.

Having said that, there will be a lot of IP that will be created as you get into AI for business, which will be differentiated and really required for selling and as well as delivering the kind of efficiency that the client wants. We are looking at these I Ps as our differentiators in winning as well as demonstrating success to our clients. I mean IP monetization is not a focus area for us.

Moderator: Our next question is from the line of Sushovon from Anand Rathi.

Sushovon: Just two sets of questions. One is I think there was a mention from Deepak about the fact that there is some onetime benefit of 149 bps on account of on site leaves. If you could possibly explain further on that? That is one. And the second is , will this labour or the wage code impact

again impact in Q4? How much would that be? And lastly, what would be the steady state tax rate? I think these were the 2 - 3 questions which I had.
Deepak Kedia: On the first one, on onsite, we have this leave accumulation done by the employees. We saw people utilizing those leaves. And hence, there was a reversal of the leave provision which we made at on site. That onetime benefit helped us negate the labour code impact what we had in our books. And there were other few small one -timers, which I would not want to call out, which was very small from the materiality perspective.
Coming back to your second question, which is whether we are going to have impact of labour code changes in Q4. As we speak, what we have done so far is we have taken a catch -up impact or a retrospective impact in our books. So we have gone conservative in our assumptions. However, there are a lot of rules and regulations, which are still not v ery clear, and we are expecting lot of clarifications in the next 1 or 2 months. And I think that is the problem which every IT company is facing.
Once those clarification comes in, we will be able to estimate what the impact is going to be on our books, whether incremental expense hit or whether it's going to be a credit to our books. At this point in time, it is very difficult for me to make an ass essment lacking those clarifications, that what will be the impact in Q4 profitability.
On the third part of your question on the tax rate, our effective tax rate is normally around 25% – 26%. We saw a decline in our effective tax rate in the current quarter for certain tax refund, which we got, which was basically related to some past years. We believe going forward, we will be still in the range of 25%–26%.
Sushovon: And just on the on site leave accumulation provision reversal, impact is 150 bps. Is that fair?
Deepak Kedia: No, that's not 150 bps. So we had a labour code impact of INR 6.4 crores, which was almost 0.7% impact. The leave accumulation reversal is around same 0.5% –0.6%.
Sushovon: Okay. So 50 –60 bps, right? That is fair ?
Deepak Kedia: Yes, correct, 50 basis point s.
Sushovon: So near term, it would be fair to assume that - because if I take 15.5%, which was your last quarter and this quarter, it is 16.1%, assuming the labour code impact is 70 bps, then it becomes 16.8%. And if I take this reversal of the provision, it is 60 bps . So 16.2% EBITDA margin would be something that you would be comfortable with from a range perspective as an EBITDA margin. Is that fair?
Umang Nahata: Sushovon, we are looking at maintaining it between 16.5% to 17% like I said earlier. So that's the range that we're comfortable with. We think we will be easily able to hold our grounds there.

Moderator: Our next question comes from the line of Jalaj from Svan.
Jalaj: I had one question with regards to the margins. I guess, sorry if I missed that. Was there some onetime item? Or could you give us a margin walk on a sequential basis? What led to this growth?
Deepak Kedia: We have improved our EBITDA margin by 60 basis points. Out of 60 basis points, 43 basis point is due to operational efficiency, which we have been driving for the last few quarters and 17 bps points was because of forex tailwinds. We had a onetime impact of labour code wage, which was around 0.7% impact and amounting to INR 6.4 crores. That got negated by onetime credit which we got because of leave accumulation reversal at on site.
Jalaj: Okay. So, they're matching basically the onetime labour code impact and your leave encashment or leave reversal they've matched each other?
Deepak Kedia: That's right, yes.
Jalaj: Okay. So just building on to it. You told that there will be further impact next quarter because of this labour code. So could you give us some idea as to what extent would it be? And secondly, I gu

ess on a n ongoing basis, this incremental change in definitions in both gratuity and leave encashments should lead to a higher people cost going forward. So what sort of impact are you expecting because of this change in labour code?
Deepak Kedia: Sure. On the first part that in Q4 am I expecting additional hit , there will be some true -up based on the clarification which we are going to receive from the labour department, whether that is going to give me an incremental hit or whether it is going to be a credit at this point in time, it is very difficult to envisage . So we'll have to just wait for those clarification to really reassess the impact we have taken.
Having said that, what we have done from our side is, we have gone a bit conservative on all our assumptions so that we don't see a significant or any incremental hit in our books in Q4. So we

have taken the retrospective impact. We have included all components of wage in the new wage definition, so that at least we are on the safer side of the things. So hopefully, there should not be a significant impact in Q4 in terms of incremental expense, but let's wait for the clarification to come.
On the second part of your question, which is on an ongoing basis, given that only 30% of our employees are at offshore. And most of our tenured employees are based in on site. We don't expect a significant impact on our books going forward. When we assess that impact, I think it was around $150,000 to $200,000 per quarter.
But again, when I'm saying that amount I'm taking that with a pinch of salt because lot of clarifications are pending. And based on that clarification, that amount can go slightly up or down. But at this point in time, we are only seeing an impact of $150, 000 – $200,000 in terms of U.S. dollars per quarter going forward.

Jalaj: Got it. And my second part of question was for Umang. Could you throw some light specifically on the U.S. and U.K. geographies. For U.S., how far are we still from getting onto a stability both in terms of top line and a profitability there? So how far are we there?
Second part is on U.K., do you believe the Secured Government business, I know you alluded to it that there are some benefits need to be passed on. But is it going to be a recurring thing because it came in as a surprise which had been in the last year , also it was highlighted by any other participants. So what exactly are we seeing there? And how it should pan out going forward? Specifically on the secured side of business because that's a larger part .
Umang Nahata: Jalaj, as far as U.S. is concerned, like I mentioned earlier, we are a few or maybe at least couple of quarters away from starting to see the real ramp up. Like I said, we're taking care of some core fundamentals, both in terms of capability, leadership teams, our commercial offerings, GTM, etcetera.
All of that is now in place. We are starting to see improvement in our pipeline as well as our order book numbers. And as we see a couple of more quarters of healthy order book growth, I'm sure it will start reflecting on our revenue as well as the backlog number that we have to execute on. So that's as far as North America is concerned.
Like I said, fundamentals are in place now. Already execution is underway. We had a healthy order book growth this quarter. And if we continue to run that momentum for the next few quarters, it will be on a sustained growth trend from there.
As far as U.K. Europe is concerned, again, our capability in Health care as well as Public Sector is extremely differentiated. The kind of work that we do is called critical national infrastructure kind of programs that requires experience, reference as well as differentiated capability to execute.
So we feel very comfortable that the business that we have and that we are executing is secure and sustainable. We

are also seeing a good healthy demand in Health care sector, which is a potential for growing that business sustainably.
Having said that, there is margin pressures on some of our accounts as the government expects to shift their budget into Health care and reduce some of their spending in some of the other government departments which we are negotiating and navigating with them.
Jalaj: Got it. And on the U.S. part, do you believe reaching to a sizable amount or let's assume an inflection point there would take at least 3 - 4 quarters ? Or how far are we from that? Obviously macro should be a function of it , but our size is too small for macro to actually starting to bother us there. So how much more time do you feel we should see an inflection point or a J -curve there?
Umang Nahata: Jalaj, I don't have a firm time commitment here. But I think next year would be the year when you start seeing U.S. starting to improve sustainably in our business. I agree with you, the size

of our business is not big enough to have a significant macro impact. However, what happens is sometimes the macro impacts one or two key customers of ours, and then it tra ils down to us. But what we are also trying to build is make sure that we have enough base and growth, both in our existing as well as net new customers so that these impact of one or two clients that have earlier troubled us does not become a factor derailing our growth.
Moderator: Our next question is from the line of Sushovon from Anand Rathi.
Sushovon: Just one more follow -up question. So just wanted to understand, at least from an outlook for this coming quarter Q4. What's your view there? Do you expect growth to come back strongly across all geographies? Or is it specifically the U.K. that is going to c ome back strongly? If you could

just provide some flavour on that?
Umang Nahata: So Sushovon, as you know, we don't give any prediction numbers on our future performance, especially the near quarter numbers. But in general, we feel comfortable that the direction of travel, both from top line as well as bottom line should improve from w here we were in Q3.
Sushovon: And a question for Deepak. I just wanted to understand from a subcon cost perspective as a percentage of revenues, how has it moved from last quarter to this quarter? Because what we also understand is the Secured Government Services , I think that there may have been some ramp downs which would have possibly benefited the margins. If you could provide some flavour on that aspect.
Deepak Kedia: Thank you, Sushovon, for that question. You are right. We did see some benefits from the reduction of subcontractors. In fact, it dropped by almost 0.7%. The subcontractor cost has dropped by 0.7% quarter -on-quarter. Again, it is on the back of the project s, as you rightly mentioned.
Moderator: Our next question is from the line of Jalaj from Svan.
Jalaj: I had a follow -up question. Would it be a fair assumption that the F Y '27 should be a better year in terms of growth than F Y '26? Because at least on U.K., as you have communicated, things would settle down , or whatever the benefit should be passed on. And at least on 12-month order backlog, is that giving us enough confidence on that front? Are there any other thing s that need to fall in place much more after this or beyond this also?
Umang Nahata: No, Jalaj, you're right. I think like I mentioned earlier, this has been a year of fixing some of our core fundamentals, both from capability, domain, people, leadership point of view. I feel comfortable that we are more or less there in terms of whatever core fundamental changes that we had to deliver. As we go forward into FY '27, we are expecting FY '27 to be a stronger year as compared to FY '26. Having said that, it's also some of those other deals that we are looking at.
So the AI -led im

pact is also a lot about demonstrating benefit in your estate here and now and then using that benefit to further find larger volumes of business. So there might be a degree of

impact on that count. But in general, we feel especially our U.S., AMEA business growing and U.K. continuing to be steady.
Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Umang Nahata: Thank you, Pratik. So thank you for asking all your questions. As I said, I think it's been a quarter of really focusing on fundamental improvements. We continue to focus on creating some differentiated core fundamentals across our capabilities and the ver ticals. Our view on key verticals like Health care and Life Sciences as well as Public Sector and Financial Se rvices is getting strong. We believe there's good uptick in demand, especially in Health care and Life Sciences, which is a core fundamental focus area for us. And with a strong leadership team now in place, I believe that we are moving towards the right direction and should see some strong positive impact as we go forward. Thank you, everyone. Thanks for participating and asking all your questions.
Deepak Kedia: Thank you, everyone.
Moderator: Thank you. On behalf of Mastek Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2026

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SEC/09/2026-27 April 24, 2026

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Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter and year ended March 31, 2026, conducted on April 20, 2026, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor-financial-information/

Thanking you.

Yours faithfully,
For Mastek Limited

Reena Raje
Company Secretary & Compliance Officer
Membership No.: A21440

Encl: A/A

“Mastek Limited

Q4 FY '26 Earnings Conference Call ”
April 20, 202 6

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER – MASTEK LIMITED
MR. DEEPAK KEDIA – CHIEF FINANCIAL OFFICER – MASTEK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Mastek Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E&Y Investor Relations. Thank you, and over to you, Ms. Gupta.
Asha Gupta : Thank you, Renju. Good morning to all of you, and welcome to Q4 FY '26 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com .
To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, the CEO of the company; and Deepak Kedia, Chief Financial Officer. Umang will start the call with a business update for the quarter, which will be then followed by Deepak, who will take us through the financials. And post that, we will open the floor for Q&A session.
As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future or which can be construed as forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These ris ks and uncertainties are included, but not limited to, what we have mentioned in the prospectus filed with SEBI and subsequent annual report that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Asha. Very good morning, everyone, and thanks for joining the quarterly update for Mastek Limited.
Our Q4 results has been a stable quarter. And despite the various macro and geopolitical headwinds, we've been able to deliver a 3.6% quarter -on-quarter revenue growth and continue to maintain a stab le EBITDA performance at 16.1%. Our order backlog in INR terms has also grown by 7.2%, and the consecutive number in USD terms is 1.6%. So overall, a stable quarter despite the various headwinds. Having said that, the consistent order book performance as well as the demand positive movement that we are seeing gives us a very positive outlook as we go forward into FY '27.
As we step into sectorial performances, Healthcare and Life Sciences, which is one of our most important sectors, continues to see a very positive demand outlook, although the current performance of this quarter has seen a quarter -on-quarter dip, which is primarily a timing gap between current projects getting executed and new projects getting started. And we feel positive that the growth will come back in the sector soon. As far as the public sector is concerned, which is the backbone of Mastek's growth, it continues to be stable. We've renewed a few more contracts of ours for a good long -term visibility, and we continue to deliver really well . The star of the quarter was financial services, and we're starting to see some really good improvement in our financial services sect or.

Based on the order book that we closed earlier in the quarter with 2 large financial services institutions in North America as well as other financial services institutions in the U.K. and other financial services customers in North America and AMEA, our financial services sector is starting to deliver well as the revenue and resources ramp up. Retail and manufacturing continues to be a stable performance, although there is a timing dip of around 2% in that particular vertical.
As far as our focus and execution on AI is concerned, as we have been mentioning, we have quite a distinguis

hed approach to AI, and we're starting to see some positive results based on the approach and strategy that we have been purs uing for the last few quarters.
Our net new AI -focused customer projects or programs that we've added in the quarter were more than 27 programs . And these includes both AI for tech and AI for business -related programs, including some significant AI road map and AI for business programs that we've added in this current quarter.
Our AI -focused execution as well as our operational excellence has also ensured that despite the severe pricing competitiveness in the market, we're able to maintain a stable profit margin, and we continue to maintain that.
Reflecting on the year that has gone by, FY '26 has been a year which has been various

fundamental resets for Mastek.
As far as our focus is concerned, we re -established our focus and investment in our U.K . & Europe business , backed by the phenomenal team as well as strong market presence that we have in the geography. Our U.K. & Europe business grew around 11% in pound terms and 21.8% in INR terms. Within the U.K. business, our health care business continues to be our dominant growth factor, which grew around 24% in dollar terms and 90-plus percent in INR terms for the fiscal year FY '26. The healthcare growth largely focused on NHS as a key customer, and we continue to deliver some of the most significant programs for the U.K. government and also delivering a lot of innovative expansion using data and AI capabilities.
As we go forward into North America, this was a year of resetting. We've now reset the complete team at North America. We've also reset our focus and priorities that we take into the geography. Healthcare and Life Sciences continues to be the key focus going forward, along with BFSI and Retail as we step into FY '27. We see a very positive turnaround around the corner in North America, as our order book and other lead indicators start to improve quarter -on-quarter, we've had a second quarter of positive order book growth in North America. And we have good visibility to a strong order book even continuing in the coming quarters, which should soon result in positive revenue growth as we step into FY '27.
On our AMEA business, which is our APAC and Middle East business, this was a year of stabilizing and resetting the client focus that we have in the region as far as our focus on verticals is concerned . Again, health care backed by Oracle Health continues to be our core focus dominant area. Our Middle East business, while is facing some short -term headwinds because of the significant geopolitical turbulence in the region, we maintain a stable performance forecast

for the short -term period in the region. Having said that, we are closely watching the geopolitical developments. All our employees and customers are currently safe and secure.
On the AI front, like I said, our focus was on AI for technology last year. We've delivered significant efficiency gains across our internal operations as well as provided a lot of efficiency gains to our employees. On an overall basis, we delivered more than 12% increase in our revenue per resource in the year, also delivering lots of efficiency and gain back s to our clients and customers.
Our focus is now shifting significantly towards AI for business as we look at many new programs where we have started delivering some small but very influential AI -led use cases for our clients. As we step into the year, verticalizing the business based on AI is going to be a key mantra for FY '27.
With those updates, I'll now hand over to Deepak to share some of the other financial updates for the business.
Deepak Kedia : Thank you, Umang. Thank you, Asha. A very warm welcome to everyone on the call, and thank you for taking time to attend Mastek's earnings call. I'll start with the

quarter's numbers update
and then talk about the full year earnings, plus I'll also talk abo ut some other updates, which has impacted our FY '25 numbers as well as FY '26 numbers.
In Q4, we reported revenue of $103.5 million, sequentially up by 1.4% an d an operating EBITDA of 16.1%. On a constant currency basis, revenue remained largely flat with a marginal sequential growth of 0.3%. We had salary increase impact of $1.1 million, which is almost 1.1% impact on EBITDA. Despite this, we were able to hold our EBITDA at 16.1% due to forex tailwind of 0.8% and execution of cost efficiencies. The EBITDA performance again underscores the strength of our operating model, disciplined executio n and continued focus on cost optimization.
In rupee terms, we reported revenue of INR938 crores, a sequential growth of 3.6% and a Y -o-Y growth of 3.6%. We reported PAT of INR106 crores, which is 11%. There is a decline of 0.7% sequentially in PAT due to true -up impact of Labor Code , and I'll cover that in a while.
We closed the year with 12 -month backlog of $300.4 million, a sequential growth of 1.5% and a Y-o-Y growth of 13.5% in USD and 24.4% in INR terms.
For full year, we reported dollar revenue of $421.2 million, up 3.1% Y -on-Y. We reported an EBITDA of 15.8% for the full year, which is same as previous year despite pricing pressures and macroeconomic situations in our key geographies. This again reflects the resiliency and strength of our AI -led operating model combined with disciplined execution. In rupee terms, we reported revenue of INR3,699 crores, a Y -o-Y growth of 7%. We reported PAT of INR404 crores, a Y -o-Y growth of 7.5%.
However, in terms of percentage of total income, it was 10.7%, which is flat on a Y -o-Y basis, primarily due to catch -up impact of INR30 crores due to Labor Code changes, which had almost 0.8% impact on full year PAT. We reported a basic EPS of INR130.45, which was up 7.1% compared to last year and diluted EPS of INR129.5, up 7.3% compared to last year.

As regards Labor Code impact, as I mentioned in Q3 Earnings call, we expected an adjustment in Q4 based on clarification from the labour department. During the quarter, we recognized an exceptional and incremental impact of INR23.7 crores, which includes gratuity of INR16 crores and leave encashment of INR7.7 crores.
This impact is in addition to INR6.4 crores, which was reflected in Q3, which had gratuity of INR5.3 crores and leave encashment of INR1.1 crores. Following subsequent clarification from the Labor Ministry and an independent external review, we have now fu lly reflected the impact in this quarter's financials.
We have classified the true -up impact as an exceptional item below EBITDA, which resulted in Q3 reinstatement of EBITDA as well. The Q3 EBITDA has improved from 16.1% to 16.8%. As I mentioned in Q3 earnings call, the Labor Code impact got offset by onetime benefits in Q3 and hence we see the revised EBITDA to be higher in Q3, which are primarily onetime benefit related to leave reversals, which happens in U.K. and U.S. because of the Q3 quarter.
Moving on to the cash position of the company. During the year, we generated INR542 crores of operating cash, which is up 35% Y -o-Y. Our cash and cash equivalents as of the end of March '26 was INR938 crores, up 51% compared to March '25 ending. During Q4 of '26, we had a very strong collection quarter from our customers, wherein we collected $125 million, which helped us reduce our DSO to 73.
This is the lowest DSO we have had in last 12 quarters. Reflecting continued confidence in the business, we are pleased to declare a final dividend of INR16 per share. This is on top of INR8 interim dividend, which we declared during Q3 results. This is ba sically 480% of our face value of the shares.
Moving on to some geo -specific performance. Both U.K. and AMEA grew sequentiall

y in Q4,
whereas U.S. was largely flat on account of right shifting of some of the projects. The U.K. continues to maintain healthy EBITDA of almost 20%.
Some business parameters now. New customers added during the quarter were 12. Total closing headcount was 4,730, an addition of 54 during the quarter. Utilization rate improved during Q4 at 80%, which was an improvement of 3.3% from Q3 and 1.7% from Q2.
Last update on some operational parameters. During the year, we merged two entities in India, which is Mastek Enterprise Solutions Private Limited and Mastek Limited. Mastek Enterprise Solutions Private Limited was a wholly owned subsidiary of Mastek Limited. This has been done to simplify the entity structure in India and to el iminate duplicate operational and administrative costs and overheads. Consequently, FY 25 balance sheet has been restated.
Now I will hand over the call to mode rator to open up for Q&A. Thank you.
Moderator: Thank you. We will now begin the question and answer session. T he first qu estion comes from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Hello, sir. Thank you for taking my question. Sir I wanted to understand in terms of revenue growth this y ear has been not that exciting as in only 3% Y -o-Y growth. But our order book has grown quite well this year, ending closing order book is quite good. So can we expect the first half of next year to be much better in terms of growth rate?
Umang Nahata : Ankur, this is Umang here. Yes, we've had a decent performance in terms of our order book as well as our 12 -month order backlog has improved significantly over the last fiscal year. As we step forward into FY27, we believe we have a strong and positive mom entum behind us. Having said that, as you also understand that we are dealing with a very unstable macro environment as well as a lot of AI -led pricing pressure.
The revenue ramp -up on the order backlog has already started and will start reflecting in our revenue soon. On the other hand, we will maintain a cautiously positive attitude on the book and ship that we have to deliver for the next year. So we believe it will be a growth year next year based on the fundamentals that have improved in this fiscal.
Ankur Kumar: But would you like to give a rough guidance in terms of how much growth do you expect? Do you expect double digit or in line with order book is it 20% growth, what kind of growth can we expect for next year?
Umang Nahata: So Ankur, usually, we don't give guidance on future numbers. Having said that, we believe it will be a better performance than the previous year.
Ankur Kumar: Got it, sir. And sir, on margin side, we have taken employee related cost hike s. So what kind of margin can we expect? Do we expect improvement going ahead o r how should we look?
Umang Nahata : As we have stated earlier, Ankur, we believe maintaining margin percentage for the coming

period at 16% -16.1% is where we see the margin performances. This is based on two factors. While we consistently have improved our operational efficiency as well as we also see a lot of AI-led efficiency improvement.
On the other hand, the price competitiveness as well as the efficiency and budget reduction asks from the client continues. So we're trying to balance the two and also investing into new AI investments that the organization has to make to further enhance its strategic capabilities. Putting all the three together, we continue to be loo king at a stable margin for FY 27.
Ankur Kumar: Got it, sir. And sir, on the AI side like there is a lot of chatter that this traditional business model where we hire employee and they get billing per hour rate. So that is under threat , what is our view on that front, sir?
Umang Nahata : Ankur, there's no doubt that the developments and evolution in AI is significantly evolving. T

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Anthropic release has further significantly enhanced the capabilities of the tool in terms of productivity as well as our ability to do things faster and better. The way we are looking at the businesses, again, our belief is the T&M model will give way to more outcome -focused mo del. And FY 26, as I said, was more focused on efficiency and stabilizing our ability to deliver AI - led SDLC or testing or managed services, which we call A I for tech. As we step into FY 27, it's

going to be much more around AI for business, which is we will use AI for delivering projects and programs that will deliver tangible, measurable benefits to our clients. And we also feel that while the technology is available, there will be enough service s need to really get the technology adopted for delivering these tangible business outcomes. So the model will be moving from T&M to a more outcome -focused commercials.
Ankur Kumar: Sure, sir. Thank you and all the best.
Moderator: Thank you. N ext q uestion comes from the line of Sushovo n from Anand Rathi.
Sushovon: So just two questions. Do we have an o rder book breakup by geography a nd how has that grown across U.S., U.K. and AMEA? That's one. And the second is effectively on the tax rate. What do we expect the steady state tax rate to be?
Umang Nahata : So the 12 -month order backlog has definitely increased significantly in our U.K. business. While there is order book improvement in North America, however, the 12 -month order backlog has not increased significantly, while we see positive momentum from where we are. As far as the tax rate i s concerned, Deepak will explain that more.
Deepak Kedia : Yes. Sushovo n, on the tax rate, the reason why you see a lower tax rate in Q4 is because we had completed a few of the past year assessments. And based on that, there was some provision reversal. And again, that came from the guidance from our tax consultants. That's why you see a lower tax rate. Going forward, our average effective tax rate would be 24.5% to 24.7%. We expect the same to continue in the future quarters as well.
Sushovon : Okay. And is there any one -off this time in the AMEA business because there was sort of a WAR revenue that was about to come, if I'm not wrong, in Q2, right? So , has that translated into revenues ?
Umang Nahata: Yes. Sushov on. So the AMEA WAR revenue, we have been able to recognize it in this quarter, which has helped us to keep the business stable. The current situation is while the business continues and the projects are getting executed. However, the decision -making on the net new orders or discretionary spend as expected has slowed down. The general interest and execution is on, but new decision -making is currently right shifted.
Sushovon: Sorry, would it be possible to quantify that AMEA a bit?
Umang Nahata: So it was around $0.5 million worth of WAR revenue that we were able to recognize that we had postponed in Q2, we were able to recognize that in this quarter.
Moderator: Next question comes from the line of Vinesh Vala from HDFC Securities.
Vinesh Vala: Two, three questions from my end. Firstly, on the margin front, our U.S. as well as the Middle East margins are down on a Y-o-Y basis as well as on a sequential basis . So can you throw some light on that ?
Umang Nahata: So on North America, it's mostly the pressure of the revenue still stabilizing as well as the impact of the wage hike that we've given in the quarter. On the AMEA business, similar areas, while

our cost numbers continue to be stable, but our revenue did not move significantly. And then since we did the wage hike, that was impacted during the quarter. So that's why the sequential performance is low for this quarter.
Vinesh Vala: Okay. So sir, the wage hike during this quarter has a full impact in

this quarter or there is some
impact which would be there in Q1 as well?
Umang Nahata: No, it has the full impact .
Vinesh Vala: Okay. So second question was on healthcare vertical. Sir, as you highlighted, healthcare was impacted by the timing gap of projects. So it has been declining. So is it related to U.S. or U.K. public NHS?
Umang Nahata: It has happened in both the geographies. Our U.K. business, which saw significant growth in healthcare last year. Some of the projects we have now been delivering and have gone to the delivery stage. So they've gone live. And the newer programs are yet to be contracted and started, but we have very positive demand as well as outlook in that business.
On the North America business also, as you know, our North America business had a lot of project -based business in healthcare. So we've seen ramp down because these projects are going live. We are positive that it will recover as new projects start to ramp up.
Vinesh Vala: Okay. Sir, last thing from my side on the AI -led order book. Can you help us understand the ramp -up of that and profile as well as the margin in that AI -led deals, which we won?
Umang Nahata: So, the AI -led deals that we are currently seeing are in two categories. These are AI -led technology deals where we are using AI for delivering newer programs, which are like legacy modernization or AI -led testing or managed services kind of deals. And I call them AI -led because most of these deals have significant , between 70% to 80% usage of AI for delivering the execution of these deals. That's what we are calling as AI -led deals.
The second category of deals that we are seeing are more, like I said, the AI use case deployments. Now these are early stages. Quite a few of them are in the discovery kind of programs where we are working with our clients to identify their enterprise AI plan and also delivering a few small but very impactful use cases, which will set the stage for much larger adoption as we go for ward. On the margin front, these are within the same range of our current gross margin percentages, nothing exceptional there.
Moderator: Next question comes from the line of Varun Kulkarni from InCred AMC.
Varun Kulkarni: So a couple of questions from my end. First one would be, would acquisitions be a strategy to enhance the AI vertical given that cash has now increased on our books? So that's one question I had. And then I'll subsequently ask the other questions .
Umang Nahata: So Varun, we are actively looking at the best use of the cash on our books as it continues to grow quarter -on-quarter. M&A clearly is an important part of that decision and discussion as we look forward to. Our M&A thesis as we look at it now is very tight ly aligned to our vertical and our

vision strategy, which is trying to move to AI -led vertical growth in these businesses. We believe the current focus from an M&A standpoint will be more on expanding Mastek's domain capabilities in some of our core focus domain areas.
We will also look at some strategic but smaller AI investments and partnerships with some of the significant AI players that are coming around. So AI is more around smaller investments, but larger partnerships with key players and the M&A would be more aro und vertical focus.
Varun Kulkarni: Second question would be on the order book front. What would be the average tenure or the period or rather the execution period for this order book? So if you could throw some light on that would be he lpful.
Umang Nahata: So again, as far as the order book is concerned, Varun, there are 2 or 3 different kinds of orders that we deal with. A lot of the orders that we get in our U.K. business, especially our public sector as well as any of the public procurement -related frameworks that w e deal with have a much longer tenure, anywhere between a 3

-year to 5 -year kind of visibility on those orders as we ramp up and execute.
Then there are orders which are more project -driven, especially in our Salesforce and Oracle business, which are usually 1 year to 1.5 years kind of project execution. So those are the two different kind of orders that we see in our books now.
Varun Kulkarni: And lastly, what would be the share of the private sector revenue versus the government revenue in the U.K. business? And do we see any change in that going forward?
Umang Nahata: So the private sector business approximately is around 40% of the global business. The U.K. is around 30% private sector - just circa numbers, Varun, I don't have exact numbers right now.
Having said that, both our healthcare as well as financial services are two sectors where we see continued growth. And in the short term, the private sector will grow faster. But overall, I think healthcare will pick up as we get into the full year view of FY27.
Moderator: Next question comes from the line of Nikhil Purohit from Fident Asset Management.
Nikhil Purohit: Just one question on the order book. So we have witnessed strong growth, of course, this quarter. Do we expect this order book to get executed in FY27 based on the historical pattern? And do we see accelerating revenue growth for FY27?
Umang Nahata: We've given you a 12 -month order backlog number. So we definitely expect the 12 -month order

backlog to be executed in the next 12 months of our business, which is a stronger foundation as compared to what we entered into FY26. So we definitely have a strong er foundation as we enter into FY27. Having said that, as I also mentioned earlier, we are also getting into a market which is much more volatile than before.

A lot of macro as well as AI -led changes are constantly shaping the business. So our endeavour is to make sure that we deliver a positive book and ship growth also, but we'll look that with a degree of caution as we enter into a market which has a little more uncertainty than before. So

put the two together, we believe that FY27 will be a positive growth year, should grow faster than FY26.

Nikhil Purohit : Got it. And I just noticed in the FY25 full year results, the receivables went down and may be restated to contract assets. Why did this happen?

Deepak Kedia : So, you mean the previous year?

Nikhil Purohit : Yes, the previous year.

Deepak Kedia : That was basically a restated balance sheet where we combine d the two entities. It's not like the business or unbilled has gone down. It's just a combination of two things. Now the enterprise unit is basically our erstwhile Evosys business and MLTD is basically our traditional digital engineering business and it's a cost -plus entity . MLTD was traditionally a cost -plus entity. So fundamentally, from the business perspective, the numbers hasn't come down. It is just a restated number or a combined number of two entities.

Nikhil Purohit : And lastly, our receivable days have come down to 73 days this quarter. What is the outlook for the medium term on that?

Deepak Kedia : It's difficult to kind of provide an outlook because it's a combination of various factors. It really depends upon how much revenue we booked during the quarter and how much we have executed out of the backlog as well and how much have we have been able to bill to the customers. And billing also depends upon like 40% of our business is fixed price projects. So it depends upon in which quarter we are completing the milestone on those projects and then the billing happens. So of course, there will be some variation from where we are today, but our endeavour is to basically maintain the DSO at the level we have reached. Now in the short -term, you might see some plus/minus a few days. But in the long -term, I believe that we should be in a stable range of what we have ki

nd of published in Q4.

Nikhil Purohit : Got it. Thank you so much.

Moderator: Thank you. Next question comes from the line of Prathm Kamreya from Quantum AMC. Please go ahead.

Prathm Kamreya : Hi, sir , one thing, there is a significant growth in order backlog. So what challenges do you foresee which could not translate into revenue growth for FY27?

Umang Nahata : Again, as we had mentioned earlier, while we see good positive momentum in our 12 -month order backlog, which puts us into a much more stronger foundation as we step into FY27. We are also getting into a year which has two parts, right? It is execution of the backlog as well as the book and ship that gets executed within the year.

While we are super confident that we will execute the 12-month backlog that we have and which is a stronger foundation, the book and ship in the year, we are dealing with a variety of uncertainties as well as the changing phenomena on AI and AI -led deals that we are

experiencing. So putting the two together, while we feel positive that FY27 will improve from FY26, we are taking it with a degree of caution.

Prathm Kamreya: Okay . Sure. So one thing like since the start of FY24, there is a dip in active clients. And you have mentioned in the past that you have been doing some tail accounts and plan ned rationalization. Where are we on that part? Secondly, how do you see the employee headcount and utilization levels going forward?

Umang Nahata : As far as the active client is concerned, it will be a constant process. We will be churning out smaller customers consistently. If you look at our current book of business, while our top 30, 40 customers deliver almost 65%, 70% of our revenue, there's a la rge tail that supports the remaining part of our business.

Our focus and strategy have been to try to focus on strategic customers and be able to deliver more value and business to them, which would mean that some of these smaller customers will churn out. There's also a sizable project business that we have where clients do churn out once the project gets executed and the transformation has been done.

So we believe the top 50 or 100 customers is where our focus is and those are stable and

continuing to grow in terms of their business. But there will be pluses and minuses that will
happen in the remaining set of customers that we have. The second part of the question?
Prathm Kamreya: On headcount and utilization levels?
Umang Nahata : Yes, that's a great question. What we saw last year was a consistent reduction in headcount, especially in our fixed bid business with our ability to do more with fewer employees and which has helped us balance and sustain our profitability margins for the year. We continue to see that same phenomenon.
I think our rate of employee growth will be slower than the rate of revenue growth. This is our general anticipation. Having said that, a lot of business mix between on -site, offshore, some of the kind of programs may change that. But directionally, the he adcount growth should be slower than the revenue growth, and therefore, the revenue per resource should move positively.
Prathm Kamreya: Okay. Sure . And you have mentioned that the sizable project business after a project is completed, a client churns out. So basically, is there any capability that we are lacking and that is why the client is not able to stay with us and thus churning out? Or is there something different?
Umang Nahata : So there are two scenarios . There are customers which are large customers where once the project is over, they add to our installed base and we get them into managed services or other capability areas, and that's where we've been expanding them. But there are also other set of customers which were mid - to small set of customers and where we executed and either they landed into very small managed services o

r into an area that was not our priority focus.

So depending upon our focus in terms of vertical and the strategic importance of the customer is where we are expanding. There are areas that are not of strategic importance, we want to consistently churn them out.
Prathm Kamreya: Okay. Sure. Thank you.
Moderator: Thank you. Next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra : Thanks for the opportunity. So my question is on the AI order book that we have given. So it has increased from, say, 3% to 9% of the order book in the last two quarters. But if I see the average size of the deal is still very small, around $1 million. So how do you see the scalability in these AI deals? And also these kind of wins are coming from existing clients in the existing spend seen or this is like net new from the existing clients? So if you can give some colour on that?
Umang Nahata : Amit, like I said, the AI deals are currently building up. And in some cases, these are larger engagements in terms of where it is AI for tech -led transformations, and not very large, but moderately large. And then there are other customers where these are still small use case deployments, but the value and the impact of those use cases are very phenomenal.
So the way we are looking at it is as we move from AI for tech to AI for business, it will be about deploying some outcome -based significant use cases to our clients. In some cases, we are also doing discovery work, which is setting the step foundation for much longer enterprise AI business as we go forward. So while that's the current rate, I think it will consistently improve in the long -term as these use cases become more enterprise scale and enterprise -wide.
Amit Chandra : I was saying that the U.S. geography and the AMEA has been the underperform er for FY26. So how do you see these two geographies shaping up in terms of the revenue growth for the next year?
And also, there has been sharp impact on the margins as well. This is because of the strategies we have in terms of cutting the tail end and we are still investing in these two geographies. So for the next year, do you see that the U.K. geography continues to grow , and we can see some stabilization in the U.S. and the Middle East? Or is there going to be still some pressure on the U.S. and the Middle East geograph ies?
Umang Nahata: Amit, like we've been stating, this year was a very fundamental reset in our North America business, right, from our leadership to our teams as well as our focus in terms of target markets and GTMs and everything else. Most of that has been now stabilized and are in place. We're starting to see positive lead indicators.
The current quarter was the second quarter of positive order book growth. Sequentially, we saw Q3 also grow ing. We've seen Q4 also sequentially grow ing. And we have enough lead indicators to say it will continue to sequentially grow in the coming next few quarters.

As we sequentially grow in our order book, the other important factor to know us, our North

America business was a lot more project -based. So, while our order book and ramp -up is growing, there's also some of the older projects that get executed and theref ore, their ramps come down.
So, on one hand, we are trying to improve the order book. And on the other hand , we are systematically trying to change the colour of our business to have more long -term and stable revenue projects. We believe as we go forward with the lead indicators moving in the right direction, our North America business will start to show positive growth as we move forward.
And we are quite positive that FY '27 will be a good growth year for North America.
As far as our AMEA business is concerned, like we've said earlier, we have rese

t our focus and attention on that geography. Again, that reset has been well executed now. Health care and BFSI and manufacturing are 3 key verticals, especially health care.
A lot of focus has shifted from just doing back -office work to doing pure -play bedside and clinical and patient engagement activities is how we have changed that business. So a lot more larger and strategic engagements with our health care customers, especially on the back of Oracle Health is how it is developing.
The geopolitical uncertainties is definitely a factor. But if you eliminate those uncertainties out or if you make an assumption without the uncertainties, we are positive that AMEA is also turning around towards growth in FY '27.
Amit Chandra : Okay. And on the U.K. government business, obviously, we have been doing well there and winning deals from the newer departments. But from the existing ones or the older customers that we have, what kind of renewal discounts are we seeing and also in terms of the pricing pressures that we're seeing in terms of the existing contracts which are coming up for renewals ?
And also in general, the increase in the competitive environment wherein many new players have entered the geography because it's a large spend pool ?
Umang Nahata: And this is not just for U.K., this is across the board, Amit. The renewals clearly are being extremely price competitive. A lot of that is very evidently available with the ability of AI to deliver things faster, better. And therefore, the ability to do the s ame business in less effort is very visible and hence, the price competitiveness of these renewals.
Like we had mentioned in our earlier quarters, we had renewed some of our contracts with anywhere around 10% to 15% discount. But depending on the nature of business and the nature of customers, it could go much higher than that as we go into these discuss ions.
Like I said, while it creates a cost pressure or revenue pressure in terms of executing the current business, but it is equally creating many more opportunities of winning net new strategic customers because they also see us as equally capable and confident partner to delivering those businesses.
So, it's a mix of the two. These price pressures will continue. Our endeavour is to now shift our business model from T&M to much more fixed bid outcome -based contracts. In fact, underneath

the T&M commercial framework, we were delivering a lot of outcome -based programs for our clients. So, we're now trying to bring that into the commercial frameworks also.
Moderator: Next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives.
Prolin Nandu : Yes. Hi, Umang a couple of questions from my end. One is on the M&A, right? Just wanted to understand in the evolving nature of how IT services is evolving, how has your ph ilosophy on M&A changed. So what are some of the skill sets or some of the gaps that you see in your business that you want to fill through an inorganic growth opportunity? Can you just give us your view on M&A?
Umang Nahata : Hi, P rolin, I think it's a very good and strategic question to ask. See, the general view that we had earlier and which is some of the earlier M&As that we did was more based on capabilities and skills around Oracle, around Salesforce, around data and so on and so forth. Our view and our vision for our business is going to be much more domain and vertical specific .
And therefore, our ability to understand the business and deliver business outcomes is how services will be offered going forward. Mastek is also making an important shift towards verticalization as well as using AI for delivering these vertical solutions. In that context, our M&A thesis is now looking at assets that could give us core domain capabilities.
So while continuing technology, but looking at tec

hnology, which are more core to the business rather than some of the periphery or digital activities that we had looked at earlier. So that's one part. Like I also mentioned earlier, while there is signific ant in -house M&A developments, a lot of positive M&A developments are also happening with start -ups all around. So we continue to also look at using that ecosystem both via partnership and some degree of investment if required.
Prolin Nandu : Okay. So what I take is that domain knowledge is important and that's the thing that you're

looking at. Umang, second question would be, I'm trying to triangulate a few things here, where first you mentioned that things are moving t owards outcome -based solutions rather than time and wage thing, one is that.
Secondly, you are also saying that even in this evolving AI world, there will be a need for a lot of technologies, a lot of IT service. And thirdly, you mentioned that still most of the AI is more AI to drive tech rather than AI to drive business. So in su ch an environment, don't you think that as we move towards more outcome -based and we move towards AI in the business -based kind of deals, don't you think the need for service will ultimately come down? How do you see , can these three things happen simultaneously together or one has to fall off?
Umang Nahata : So the way I see this, Prolin, is this, while ability to deliver technology has definitely evolved significantly. But what has also evolved significantly is the potential of things that you could do, which you were not able to do earlier. And this is in many context. And this is not just in terms of writing code, but in terms of variety of analysis, variety of research that you could generate, the workf lows that you could operate in.
The UI that you could have and so on and so forth. What it means is a lot of businesses, in fact, a large majority of businesses will have to relook at their business processes, their business

workflows, the way they make decisions. There will be newer revenue opportunities that they will create and so on and so forth.
All of this means that underlying technology or business workflows will have to change completely to adapt to this new opportunity that AI has provided. As we look at delivering these or as clients look at adopting these new possibilities, while the technical capability of creating an agent or generating a code faster is very much available and that can be delivered.
The ability to deliver an outcome is not just about writing the agent. It is a lot more about whether the background data is in place, whether the workflows are correct, whether there is adoption of the technology that they've taken out and how they are really measuring the impact.
If you look at the AI adoption so far, while people have bought a lot of platform licenses, the ROI is still not visible to many of the non -IT clients. And that ROI realization will take significant surround ing services to get the clients to business outcome. So that's how we see this business. So services will continue. The kind of services will change from developing to much more helping the clients with relooking at their workflows, adoption of technology and delivering outcomes.
Prolin Nandu : Sure. Umang, can I push one more question because this is just related. So what you're talking about is a net positive, right, of AI because of workflow modernization or data modernization. When and where do we see this playing out for Mastek? I'm talking about the order book, or maybe the revenue .
Umang Nahata : That is a great question.
Prolin Nandu : Sure.
Umang Nahata : No, when it's a great question, there's no clear directional number. But what I can tell you is good lead indicator data. So clients have started realizing that just buying platform is not good enough. They've started working, and we are seein

g quite a few orders, including a few in this quarter itself, where our job is to work with the client on r eadiness.
We're getting orders with the client to deliver business process change. We're getting orders with our clients to deliver an ROI adoption framework. Governance is becoming a critical part of the discussion that is happening. So, the lead indicators of surround ing services around AI for getting the true value out of AI, we're starting to see those happen. Having said that, many of them are still in smaller either discovery stages or smaller use cases, as I mentioned earlier.
When it becomes enterprise scale, and it will become enterprise scale because it is not just about 1 or 2 workflows. It has to change the entire landscape of business. That's where sizable revenue and business impact will happen, which will clearly overthr ow whatever we have been doing so far and significantly increase that. But like I said, I can only tell you lead indicators, exact timing is unknown.
Prolin Nandu : Thank you so much, Umang, for answering the question all the way best.

Umang Nahata : Thank you.
Moderator: Next question comes from the line of Sanjay an Individual Investor. Please go ahead. Sanjay, please go ahead.
Sanjay : Actually my question is answered. So thanks for that and wishing you all the best .
Umang Nahata : Thank you, Sanjay .

Moderator: Next question comes from the line of Sushov on from Anand Rathi. Please go ahead.
Sushov on: Just two questions. One is how much would be your project -driven business as a percentage of revenues overall and within the U.S., if that could be quantified? That's one. And the second bit is with whatever has happened with the Oracle layoffs and the fact that t here are rumours Oracle may actually plan to sell its Oracle Health business, the Cerner business, do you think that may have any impact on your business from an Oracle implementation perspective? Because we're also seeing that degrow th on Y -o-Y basis. These are the 2 questions.
Umang Nahata : So Sushov on, the fixed bid business that we have currently is at a company level, circa 40%, some plus/minus. It is a little higher in North America. It's more than north of 50%, 55% is fixed bid business in North America in our current setup. So that's our two areas. And we actually believe that these percentages will grow even further, and that's the commercial model that that's how it will move forward .
Having said that, going back to the other Oracle part of the question that you have. See, the core tech area, which is writing codes or testing or managed services, etcetera, definitely has become far, far more advanced than it ever was. And therefore, if you look at any product development or areas that were highly dependent on pure -play technical engineering skills and especially these companies which are themselves on the edge of technology, they will be looking at a reduction in human effort in terms of those core services that they had.
On the other hand, their investment in their business. So if you look at their platform modernization, the degree of AI workflows that they started introducing, the investment that they have on their infrastructure and capital allocation for AI and getting their businesses completely transformed to AI is significant. It is far outrunning the kind of reduction that they would have in these employee -related cost savings.
So if you put the two together, the business is seeing a systematic shift from traditional SaaS deployments to more AI -enabled business transformation. And we will consistently see that. So SaaS will become to the cloud or SaaS transformation will eventually grow into AI -led transformations. And there could be some timing gap in terms of business there. But in general, the transformation business will continue to do well.
Sushov on: So would you

be able to capture value in this is what I'm just trying to understand. And I just had one more question.
Umang Nahata : Sorry, what do you mean by “capture value in this ”? I didn't understand.

Sushov on: Given the transition from the SaaS -based business to the AI -enabled bit, so if it is automated to a larger extent, what is it that you would be able to capture value within the Oracle implementation part of it?
Umang Nahata : So these are already starting to happen. Most of our Oracle transformation projects are now starting to become AI transformation projects because it started with back -office transformation, but people are using a lot of AI -enabled solutioning to relook at their workflows. So the traditional workflows are changing. They are relooking at their UIs. They're, in fact, also relooking at their existing workforce to say, okay, how will their workforce deployment change in term s of their back -office systems.
These projects are becoming the bedrock for further AI -led transformations in their front office or in their mid -office or even helping them open and operate new streams. So being a part of this back -office transformation puts us in a very unique position to be early in the client delivering AI adoption in some of their back office areas and therefore, the ability to propose and build this transformation in the front office and other parts of their business.
Sushov on: And just one last question is when do we expect ramp -ups of the 3 deals that you've announced in March, the ATLAS, FCA and Biometric ?
Umang Nahata : The FCA deal has already started ramping up. We've now had more than 60 on -site resources on the account, and we'll continue to see ramp -up in Q1 on that deal. So we think we'll be fully ramped up by the end of Q1 on FCA. As far as the other 2 deals are co ncerned, we are negotiating the new SOWs . These are existing renewals, but with an expanded scope. So as we speak, under the contract, we are discussing with the clients the new SOWs for which the ramp -ups will have to happen. So we expect those to happen sometime between Q1 and Q2.
Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question - and-answer session. I would now like to hand the conference over to the management for closing comments.
Umang Nahata : Thank you for all the question and answers. Like I said earlier, FY'26 was important but very fundamental year to Mastek, where we've seen a lot of resets in terms of our approach, our teams, our order book and backlog that we are carrying now as well as t he kind of services and focus that we will have.
FY'27 is going to be much more about focus, trying to drive the business towards some key

verticals and key accounts while continuing to deliver a stable EBITDA margin in the business.
So that's what we're all looking forward to. We believe we have a stron g, stable team now in
place. And it should drive good positive momentum as we go forward. Thank you.
Deepak Kedia : Thank you.
Moderator: On behalf of Mastek Limited, that concludes this conference. Thank you for joining us. You
may now disconnect your lines.
Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2026

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Listing Department
BSE Limited
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SCRIP CODE: 523704 Listing Department
The National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
SYMBOL: MASTEK
ISIN: INE759A01021

Dear Sir(s) / Ma'am(s),

Sub: Transcript of the Earnings Conference Call held on the financial performance for the quarter ended June 30, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on the financial performance for the quarter ended June 30, 202 6, conducted on July 22, 202 6, for your information and records.

The Transcript of the conference call can also be accessed from the website of the Company at https://www.mastek.com/investor -financial -information/

Thanking you.

Yours faithfully,
For Mastek Limited

Reena Raje
Company Secretary & Compliance Officer
Membership No.: A21440

Encl: A/A

“Mastek Limited
Q1FY27 Earnings Conference Call ”
July 22, 202 6

MANAGEMENT : MR. UMANG NAHATA – CHIEF EXECUTIVE OFFICER – MASTEK LIMITED
MR. DEEPAK KEDIA – CHIEF FINANCIAL OFFICER – MASTEK LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y LLP (INVESTOR

Moderator: Ladies and gentlemen, good day, and welcome to Mastek Limited Q1 FY27 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinion and expectation of the company as on date of this call. These statements are not a guarantee of future perfor mance and involve risk and uncertainties that are difficult to predict.
As a reminder, all participants will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pratik Jagtap from E&Y LLP, Investor Relations. Thank you, and over to you, sir.
Pratik Jagtap: Thank you, Dan ish. Good afternoon to all of you, and welcome to Q1 FY27 Earnings Call of Mastek Limited. The results and presentation have already been mailed to you, and you can also view it on our website, www.mastek.com .
To take us through the results today and to answer your questions, we have the top management of Mastek represented by Umang Nahata, CEO; and Deepak Kedia , CFO. Umang will start the call with a business update for the quarter, which will be then followed by Deepak, who will take us through the financials. Post that, we will open the floor for Q&A session.
As usual, I would like to remind you that anything mentioned in this call that reflects any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These r isks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports that you can find on our website.
Having said that, I will now hand over the call to Umang Nahata. Over to you, Umang.
Umang Nahata: Thank you, Pratik. Hi, everyone. Welcome to the Q1 earnings call for Mastek. On an overall basis, Q1 has been a good quarter with predictable performance and growth. The general demand sentiment in the market continues to be positive. And especially with the AI transformation and evolution, a lot of AI -led new demand opportunities have started popping up. In this quarter, we continue to see good demand in new AI -led deals, and we had 40 -plus new opportunities that we've closed in the current quarter, which were backed on AI -led initiatives.
Our order book performance for the quarter continues to remain strong, and our 12 -month order backlog has grown by 25% year -on-year terms and 13% in constant currency terms. On the back of a positive order book growth that we had demonstrated earlier, we've now seen a strong revenue growth in this quarter with a 5% quarter -on-quarter growth in INR terms and a 1.8% growth in constant currency terms.
Our U.K. business continues to be our strong foundation and foothold. The U.K. business grew by 3% quarter -on-quarter in constant currency terms. As we go in detail, financial services and banking, which was a strong performance for Q4 as far as order book is concerned, is now

resulting in a positive growth in terms of revenue terms as we continue to expand our business in existing customers as well as acquire new customers in the vertical. A lot of demand in the private sector in U.K. is also shaping because of AI -led initiativ es in the market.
The Healthcare sector, which is one of our strongest performing sectors over the last few quarters, continues to see a very strong positive demand. Although there has been a transition in Q1 where some of our projects have ramped down, but new projects hav e already started , and a lot of the

se new projects are in the data modernization space in healthcare . And we believe these will help us ramp the revenue numbers back up in the rest of the year.
The U.K. public sector business, which has been our core pillar, continues to stay stable and grow. Our Q1 performance grew sequentially on the back of stable performance in our existing customers as well as some new customer acquisitions in the local gove rnment sector. While there has been political leadership change in the country, we continue to observe the changes quite closely and understand the policy and priority changes of the new government. And also, as the weeks and months evolve, how do these priority and policy changes result in budget changes is something that we will be keeping a close watch on. In general, the demand for cost

savings and continuous efficiency is high on the public sector side, and we are working closely with our customers using technology and business process innovation to help them meet their cost saving asks.
Moving forward to North America. North America again saw a strong order book performance for the third consecutive quarter led by a $25 million AI transformation deal in Salesforce Agent force , which is one of our largest deals in the recent quarters. The North America business continues to focus on Healthcare & Life Sciences as its key vertical. The demand for AI -led initiatives in this vertical, especially AI transformation, continues to ramp up and is an important area of focus for Mastek as we go forward. The overall business grew around 2% quarter -on-quarter in constant currency terms and 6% i n INR for this current quarter. This is for North America.
The Middle East business, on the other hand, continues to face some severe headwinds. As we all know, the West Asia crisis is creating a lot of unstability as well as unpredictability in the market. And while we navigate the current volatile environment, w orking closely with our customers and our leadership team in the geography, we continue to see some uncertainties in our business in Middle East. Although at the later part of the quarter, we did see some new order book getting signed, but the predictability of the business is still a little uncertain. Despite of the shaky performance in Middle East, like I said, the overall performance of the compa ny continues to be strong and positive.
As we move forward, transforming a steering Mastek towards becoming an AI transformation company in our select verticals is the key direction of travel that we want to execute. As a company, we have a very unique position with our enterprise application tr ansformation business, our strong data practice as well as a phenomenal engineering practice, which makes us uniquely positioned to become a transformation company, starting these transformations from back office and then taking them forward into the entire business.

Also, our deep clientele as well as strong vertical insights, especially into healthcare and public sector creates a phenomenal position for Mastek to take AI transformation lead in select verticals, especially Healthcare and public sector.
We also had some important changes in our leadership team. We had Amit Gajwani, who has joined us as our new Chief Operating Officer. Amit joined us from LTM and has a phenomenal track record in delivering hands -on leadership on delivery and delivery trans formations. Under Amit's leadership, we are looking at a phenomenal change in terms of our talent pool and really transforming the talent pool, strong governance in our delivery as well as transforming Mastek into an outcome -focused organization, delivering outcome -focused results for our customers.
Overall, we believe that Mastek is really well positioned to take phenomenal advantage of this growing AI evolution and AI wave while still maintaining stable deliv

ery on our existing
business and continuing to expand there.
I will now hand over this call to Deepak Kedia to share more details on the financial performance. Deepak, over to you.
Deepak Kedia: Thank you, Umang. Thank you, Pratik. And a very warm welcome to everyone on the call and thank you for taking the time to attend Mastek's earnings call. Let me start with quarter's numbers update before I talk about other metrics and updates.
In Q1, we reported revenue of $104.8 million, sequentially up by 1.2% and an operating EBITDA of 15.4%. On a constant currency basis, revenue had a robust sequential growth of 1.8%. Middle East continues to be impacted by geopolitical situation, resulting in increased bench cost and delayed collection. This has impacted our EBITDA in Q1.
In rupee terms, we reported revenue of INR 985 crore , a sequential growth of 5% and a Y -on-Y growth of 7.7%. We reported PAT of INR 105.9 crore or 10.6% of total income. We closed the quarter with a healthy 12 -month backlog of $310 million, a sequential growth of 3.2% and a Y -on-Y growth of 13.3% in USD terms and 25% in INR term s. We reported a basic EPS of INR 34.2, up 14.8% compared to last year and a diluted EPS of INR 33.9, up 15% compared to last year.
Moving on to cash position of the company. During Q1 FY'27, we had another good collection quarter, wherein we collected $116 million from our customers, resulting in DSO of 75 days, an increase of 2 days, primarily due to pushout of collection of almost $2.5 million in the first 2 -3 days of July and geopolitical headwinds in AMEA. During the quarter, we paid INR 107 crore as variable pay to our employees. Despite that, we were able to generate positive operating cash of almost INR 27 crore . In last 2 quarters, our net cash and investment position have improved by almost INR 200 crore , consequent to prudent cash management and aggressive collection initiatives.

Moving on to some geo -specific performance now. Both U.K. and North America geo grew sequentially in Q1. U.K. continues to maintain healthy EBIT of almost 20%. North America closed the quarter with a healthy order book, improving the total backlog position by 29.8% sequentially and 23.5% Y -on-Y.

In terms of service lines, data, automation and AI business grew by 9.8% sequentially, thereby reinforcing our focus as AI transformation company.
In terms of industry, public sector business continues to show its strength by growing 7.9% sequentially.
Utilization, excluding trainees, were down by 2% sequentially due to order pushouts and the situation we have in the Middle East.
Some other business parameters. We added 13 new customers during the quarter. Our closing headcount was 4,897, an addition of 167 during the quarter, out of which U.K. added 125 on the back of ramp -up of new projects. Our last 12 -month attrition rate is down by 1% from 17.4% to 16.4%.
Last update on the tax assessment , we have already uploaded that in SEBI a couple of months back. During the quarter, we received an income tax assessment for financial year 2022-23, wherein the assessing officer added an income of INR 91 crore on account of transfer pricing and INR 32.5 crore on account of domestic tax. I'll repeat the word 'income' that was not a tax demand of INR 135 crore or INR 125 crore . It was actually an income added to our overall income. Hence the tax impact will be approximately INR 31 crore . We have filed an appeal to commissioner of income tax appeals on 26th of June, and transfer pricing and tax experts are guiding us on the next steps.
With that now, I'll hand over back to Pratik to open up for Q&A. Thank you.
Moderator: The first question comes from the line of Sushovon from Anand Rathi Shares and Stockbrokers Limited.
Sushovon: Just a few questions. I'll ask the first two questions and then go back in the queue. Thes

e deals
of FCA, Atlas and H ADES, when do we expect that to ramp up? And when do we expect the U.S. deals to ramp up in which quarter ? That is one .
And the second is effectively the top five clients. I think this time quarter -on-quarter, there has been a decline of 4% and 12% Y -o-Y. If you could just give us the rationale for that, that will be helpful.
Umang Nahata: Sushovon, thanks for the questions. The FCA deal has already started ramping up. And as you see the financial performance improvement in our banking and financial services in U.K., it's largely on the back of ramp -up of FCA, while we'll continue to see som e more ramp -up in Q2.
The HADES deal was actually a renewal deal of our existing customer. So, it will not necessarily have any ramp -up impact, but it continues to deliver steady revenue for our business. The deal that we announced in North America, we are expecting it to ramp up by H2 FY27 .
As far as the decline in the top 5, top 10 customers is concerned, like I mentioned earlier, in our Healthcare business in U.K., which is NHS England, which is one of our most prominent customers, we are going through a phase where we are closing out the o ld project and we are

starting the new project. It's a timing gap. And we believe as we get into Q2 and beyond, we should be able to get back to usual performance and growth in those customers. So, it's a one - time timing gap in this quarter where we closed down the old project and we are ramping up new business. Interestingly, the new ramp -up is in much more modern spaces of data modernization and building the data platform for Healthcare for NHS.
Sushovon: Just two questions for Deepak. Basically, the subcon cost, I think is that increasing now as a percentage of revenue? That is one. And the other part is effectively on the impact of ESOPs. How much will that be going forward in this year? Because I think that is almost 1.1% of the earnings. If you could possibly focus on that ?
Deepak Kedia: Yes, Sushovon. So subcon cost, it is 18.5% of our total revenue in the current quarter, which is in line with what we had in Q4 as well. So, we are not seeing any significant increase in subcon costs in Q1. In terms of impact of ESOP, the ESOP grant will happen from Q2. We are estimating an impact of $400,000 to $500,000 per quarter.
Sushovon: Yes, $400,000 to $500,000 you said, right, per quarter?
Deepak Kedia: Yes. That's right. $400,000 to $500,000. Yes.

Moderator: Next question comes from the line of Pulkit Chawla from 360 One Capital.
Pulkit Chawla: My first question is, if you could just help me understand how have the TCV trends been? We've obviously seen the 12 -month order executable book growing quite well for the last couple of quarters. You've obviously wanted to make the business more predictab le, have longer tenure deals. So, if you could just help me understand how's the TCV trends been overall over the last few quarters?
My second question is on discounts bit. Some of your larger peers have called out that at times, there has been some irrational behaviour wherein discounts have exceeded maybe even 50 -odd percent. In the past, I think you've given close to 10% to 15% discounts while renewals. Are you also seeing some unreasonable or irrational behaviour coming into the picture?
And just a small clarification on your Healthcare vertical. You did mention some of the deals are ramping up now. So, do you see that vertical returning to sequential growth from Q2 onwards?
Umang Nahata: Thank you for all your questions. I'll try to answer them one by one, if I missed anything, please do remind me. As far as the TCV growth is concerned, so the total order book growth is definitely also moving in the right direction. While we don't disclose order book numbers, but the general direction of 12 -month order backlog, which you already know i

s a 25% growth year -on-year.
But the total order book growth is actually equally better as we look at it. So, we are looking at, like I said, for example, the deal that we've signed in North America, it's a 5 -year deal, $25 million. So, you can see the impact on TCV, just an example case here versus the ACV impact that we are demonstrating here today. So, in general, the TCV numbers are quite healthy and are moving in the right direction.

I'll answer the Healthcare question, and then I'll come to the discounting. As far as the Healthcare business is concerned, our healthcare business is quite spread across geographies. So, we have a pretty strong Healthcare presence across all geographies.
Our Healthcare business in U.K., which is our most prominent growth business, we believe will start ramping back up in the right direction from Q2 and as we get into H2. It should be at the same levels and growing from there.
Healthcare business in U.S. , the Healthcare Life Sciences is a key focus area, and we are looking at further investing in that business as we go forward. So that should also turn around – whether it is going to be Q2 is not necessarily firm, but especially as we get into H2, we are quite sure that our Healthcare Life Sciences business in the U.S. is also going to be ramped up.
The Middle East business, as you know, is going through a degree of uncertainties, while we actually had a healthy order book closure in Middle East Healthcare also in Q1. However, the ramp -up in Middle East is currently running a little uncertain dependin g on how and when the clients are ready for going through these transformation executions. But we feel positive that in general, the Middle East Healthcare business will also do extremely well from an overall financial year point of view.
The third part of the question that you had, Pulkit, in terms of the unreasonable or extraordinary discounts. We are definitely seeing aggressive price competition, both in terms of net new wins as well as renewals that we are going through. However, the l evel of discounts have not gone to as high as 50%. But depending upon the customer and scenario, they are still around 20% -25% tops in 1 or 2 cases, but generally a 15%, like I had mentioned earlier.
Having said that, the net new business that we win or compete for is definitely coming at a much more price aggressive positioning. On the same hand, our ability to execute them faster and better is also improving and especially businesses that come on fix ed bid or outcome -focused contracts, we believe we should be able to execute them at a much better margin than we see them today.
Moderator: Our next question comes from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Sir, my question is on the total order backlog number that you have given. So, there is a healthy growth both sequentially and Y -o-Y. But if I exclude the $25 million deal that we have won in the U.S. geography, it appears to be flat sequentially. So how do you see the order book panning out? And also, if you can highlight how healthy the funnel is looking like in terms of the conversions, how fast they are happening across the geographies?
And also, in terms of the, like, Middle East geography, obviously, you highlighted that there is a pressure. But we have one large deal there that is highlighted in your presentation, which is largely a multiyear fixed price kind of engagement. So, when that will start to ramp up and when we can see the margins in the Middle East like normalizing?
And overall, in terms of the margins, the U.S. and the Middle East margins has been volatile. And with these deals ramping up, the $25 million deal in the U.S. and the uncertainty in the

Middle East, do we expect the margins in these 2 geographies to be like suppressed

over the next
few quarters?
Umang Nahata: Amit, again, I'll try to answer all the questions. I've noted them down, but if I miss anything, do remind me. As far as the overall pipeline and funnel is concerned, I think the pipeline continues to improve consistently. Like I said in my opening comment s, the demand cycle generally looks positive all across. There are a lot of these transformation that Mastek is going through will require some large deal wins consistently happening across geographies, across quarters.
We are seeing a good increase in the number of large deal pipeline items that we have. This is a change from what we had seen earlier. We did not have as many number of large deal opportunities in our pipe across geographies. And our ability to transform a nd win these opportunities is going to be significant in our long -term turnaround. Having said that, we firmly believe that these are not just opportunities. They are also well qualified, and we have a very serious winning chance in many of these opportuni ties that we are seeing.
On the other hand, like I had mentioned in my commentary, the AI -led initiatives are also creating a lot of mid-to-large growing opportunities. Many of these are more like land and expand opportunities where you start with either AI foundation, which is governance and security and compliance kind of projects or with some use cases or in some cases, Service -as-a-Software, which is transforming SaaS to non -SaaS build kind of modules.
Many of these opportunities, while small today, have a phenomenal opportunity of expanding into these accounts as we go in. But the number of net new AI opportunities that are popping up in our pipeline is consistently increasing. So, I believe the AI -led demand as customers look to upgrade their systems and adopt more and more technology is going to be an important factor in the demand cycle as we go forward.
As far as the Middle East business is concerned, you're right. Like I had mentioned earlier in the previous question, we did close a large Healthcare deal in Q1, and we actually have a few more large Healthcare deals in our pipe, which we should close very soon. Most of these have already started. They've planned to ra mp-up immediately.
Having said that, as you know, in the last couple of weeks, the environment has again become a little volatile. So, we are closely observing and discussing with our clients. The current signals is they want to continue to start and ramp -up those businesses.
As these projects that we have already won ramp -up, we believe that Middle East should at least stay flat and depending on how the macroeconomics works out or the geopolitical situation works out. If we get more stability, we have a strong pipe, which is v ery close to signature and ramp -up. So, if things stabilize, we should be able to actually move back to growth in Middle East.
From a margin standpoint, which was the third question that I had noted, you're right, the current quarter, like I said, it has been a very uncertain quarter where at various points of time, we believe that we are out of the crisis, and we should be back to business as normal, and we were holding a certain amount of bench.

But the ramp -ups have been slower than our anticipation, which led to those bench costs impacting our overall margin as well as some of the slowdown in collections in some of our customers, which had a onetime impact in the quarter, which we believe we'll be able to reverse as we go forward down the year.
On the North America business, there is a business certain kind of size and scale that we will have to reach to. So, as we start reaching close to $28 million to $30 million a quarter run rate is where we believe the North America business will start delivering healthy margins of somewhere around mid -teens.
Again, it's a strategic market for

us. We are well invested in terms of our sales and marketing.
And with the growing opportunities in AI, specifically AI transformation in healthcare , we believe it's a good opportunity and staying invested should deliver us healthy results in the long term.
Amit Chandra: Okay. And like Umang, on the AI deals that we have announced, so it's encouraging to see that the AI order book is also improving significantly and the deal size is also increasing in terms of

the AI deals. So, how is the sales approach there ? Are these deals coming from existing accounts , or these are totally net new engagements?

Umang Nahata: So, the AI deals are both, Amit. As far as existing customers are concerned, there is a very active campaign that we are running across all of our installed base customers, having significant AI discussions. We've also created an internal maturity model where we rate customers from Level 0 to Level 5, depending on where their AI need and maturity is.

And based on that assessment, we are also working with them on the kind of roadmap or path or solution that they could take into. We've done that across a large number of our existing customers, and we continue to cover all of our customers in the next 90 to 180 days.

As we do that kind of discovery, these are resulting into various AI projects, which are of different shapes and nature, like I said, starting from foundation stuff like governance and security and compliance and roadmap to more mid -tier stuff in terms of adoption of AI and technology for SDLC or testing or managed services to pretty advanced stuff in terms of looking at AI transformation enterprise -wide.

So that's the pitch that we are looking at in existing customers, and there have been some wins across all the three segments in our business, and we continue to see pipe there. There's a similar exercise that is also running for net new businesses. These are closely aligned to our Oracle, Salesforce, Snowflake, Databricks relationships, where we are using the AI components within those tools to deliver net new businesses, which h ave a significant portion of AI transformation aligned in those projects that we are delivering.

The third part of the business that we are aggressively going after is trying to be the champion challenger in customers. Like I said in the previous question, there are many customers who are evaluating new partners who could offer more or better pricing competitiveness as compared to their existing large vendors.

And we are calling that AI for tech, but that's the third stream where we are aggressively competing in new accounts, trying to be the champion challenger and turn it around into large deal for us. So, all the three motions are very active and on, and I'll also share more details on how are we preparing ourselves internally at the end of the call.

Moderator: Our next question comes from the line of Sushovon from Anand Rathi Shares and Stockbrokers Limited.

Sushovon: Just two questions, one for Umang, one for Deepak. Umang, just wanted to understand what has changed so significantly in this quarter versus last quarter? Because I think last quarter, the commentary was quite subdued. But now I believe, as you said, the demand en vironment, you are seeing significant positives despite whatever is happening in the Middle East. Could you possibly give us some flavour on that? What exactly are you seeing as a change either from pricing or a volume perspective, if you could provide that? And Deepak, just would want to have the EBITDA margin bridge between Q4 and Q1 because the currency also would have played an impact. So, these are the 2 questions from my side.

Umang Nahata: Sushovon, I would say the business is trending in the similar direction that we had seen in Q4. While there's been continuous more demand, but it's not drastically changed from

where we
were in Q4. Like we had presented in Q4 also, our 12 -month order backlog was consistently growing and which continues to happen now also. So, we are executing on that 12 -month order backlog or the order book that we had executed over the last 3 or 4 quarters is getting into execution stage. So that's one part of the commentary.

The second part is, like I said, the demand in general across sectors continue s to see good positive traction. Like I had explained earlier, our U.K. business – Healthcare, we've always maintained that the demand potential that we are seeing is phenomenal. And we believe in the mid -to-long term, the U.K. Healthcare business has a very strong opportunity to grow sizably.

The public sector business, like I had said and I maintain is a more stable business today. It is also going through the political changes, and therefore, we are closely monitoring it. So those are two core businesses of ours. The third business, which is the Financial Services sector in U.K. , again we saw some good wins earlier in Q4. We are now into execution , and on the back of those learnings and execution, we are also going after and trying to compete into net new opportunities in that sector.

North America, definitely, the wins that we've had in Q1, the large deal win is a good indicator and creates a strong positive upbeat for us as we go forward. But this is not just this quarter, North America order book that we have been saying for the last 3 quarters, we've been having a good turnaround in our order book in North America.

And we believe as we start ramping up these order books as well as managing the old projects which we were ramping down, the difference between the two. As we get into H2, we should be

looking at turning around Mastek's North America business also.
The AI initiatives are definitely picking up more and more. So that's one area that has changed between Q4 and Q1. And I think it is continuously going to change and expand. Like I had

explained in the previous question, these are coming from a variety of opportunities across all sectors of customers whether existing or new and across all geographies.
Deepak Kedia: Sushovon, I can take the next part of the question, which is around EBITDA margin. Again, a good pick by you. You never fail to miss out on things like this. So, our EBITDA, as I was mentioning earlier in my narrative that we did have impact because of Middle East where certain collections got delayed and even some of the unbilled, we were not able to invoice because of unavailability of the client.
So, we had some provision for doubtful impact during the quarter. We had certain mix change as well as some regulatory costs in the U.K., which got offset by the cost efficiency as well as the currency tailwind, which we had in the quarter .
Sushovon: My only submission here is with this new cost, which is going to come on account of ESOP, what do you think will be the steady state EBITDA and EBIT margin for the company? Because I think now, we are at 15.4%. So, do you think for the full year, it will be lesser than that because this itself will be, I think, 25 bps impact, right? So just wanted to get your views on that. What do you think would be the steady -state margin as such? End state, let's put it that way, if possible.
Deepak Kedia: Okay. Sushovon, a couple of things, and I'll kind of give a little bit of narrative and then Umang can chime in over here. I believe there are a couple of impacts over here. As you rightly pointed out, ESOP is one area where we definitely will have some im pact and that will rather reduce our EBITDA for the year.
Secondly, we also have increment planned in Q2. So Q2 margin definitely will be a bit impacted because of that. However, for the full year basis, while we'll not be able to provide any guidance at this point in time, but we a

re definitely working on intern al cost efficiencies to basically mitigate a significant portion of the impact.
Umang Nahata: So Sushovon, just to add to that, especially on the ESOP cost, and as we have been saying, we are building Mastek towards a transformation organization and some long -term shifts. ESOP is a very critical part of that, and many of you guys as analysts and ad visers and investors have also recommended us that. We believe creating a long -term impact also requires a good long - term team, which is aligned to the same goals and values and outcomes.
Having said that, the ESOP cost currently is an additional cost to where our current EBITDA situation is. And like Deepak rightly pointed out, it will have some impact on our steady -state EBITDA performance for this year. But in the long run, we should be able to deliver much better as we have stability of leadership and employees in the organization.
Moderator: Our next question comes from the line of Devang Bhatt with Spark PWM.
Devang Bhatt: So, since we are now seeing good traction in order book and that is materializing in our revenues and our North America deal wins are also healthy. So, from now onwards, can we see a Q -o-Q improvement continuing that we are seeing in Q4 to Q1? Or are there any headwinds that you are seeing apart from Middle East that will hamper our growth in the near term?

Umang Nahata: Devang, like you rightly said, the order book momentum, both in U.K., U.S. is positive. We are quite comfortable and confident that our U.K. business will continue to deliver good growth and momentum as it has been. The North America business, like I've been saying, while we have good order book tailwinds on our side, including a large deal, the re is also the nature of the business had a lot of projects in it, and therefore, there's also a continuous ramp down on certain parts of the business that we are dealing with.
I believe, and this is what I mentioned earlier, we will take at least H2 of this year. So, we have had 3 good quarters. I think we will need 1 or 2 more good quarters, including shaping the kind of business that we do. So, by H2 is where we believe North America should turn itself into a growth engine.
The headwinds, if you ask, Middle East definitely is in a little state of uncertainty. Like I had mentioned earlier, while we have a strong pipe, but the deal closures are uncertain given the political turmoil that the region is in. As far as the other hea dwind that we are consistently looking at is this AI -led competition that we see in both existing and new customers.
So, while we are going after and competing on net new accounts and customers and trying to

win, we are also consistently trying to protect our turf on existing customers where we are getting challenged by incumbents who come and challenge us on our turf. So t hat's the key headwind that we have to manage as we move forward.
Devang Bhatt: But is this current trajectory in Q1, is that feasible at least from H2 onwards? Or we'll still see some headwinds continuing going forward?
Umang Nahata: Devang, like I just said, we believe our FY27 performance should be better than FY26. So that's the direction of travel that we have seen. The backlog that you see is a good indicator of where we believe the direction of travel is. Having said that, we generally don't give guidance .
But I'm also giving you a little bit of caution in terms of Middle East, and we will have to make sure that we consistently are able to protect our turf in our existing accounts. We're quite confident that there will be new net new that will keep coming in. Directionally, we feel comfortable that we are going in the right direction.
Moderator: As there are no further questions from the participants, I would like to hand the conference over to the management for the closing remarks. Than

k you, and over to you, team.
Umang Nahata: Pratik, thank you. Before I make a quick closing remarks to all of you, there's one important update that I also wanted to share in terms of the direction of travel that we are taking. While AI transformation is key, and we are doing it for our clients, an d we are trying to steer Mastek into an AI transformation company in our chosen verticals. We are also going through a significant internal transformation.
As we had mentioned earlier, last year was a transformation on our delivery on our technology front where we were upgrading ourselves to deliver technology efficiencies to execute against the growing demand of productivity in the market. We are now going t hrough a phase where we are running a business transformation within Mastek.

This is going to transform, and we have taken Mastek as Customer Zero and executing a significant AI -led business transformation within the organization. It starts from Service -as-a-Software where we have already replaced some of our core systems of record s, including our CRM system, our recruitment systems, our payables, etcetera , by a new AI native developed solution, which is much more of a system of intelligence.
And these systems transformation are not just delivering a newer system but are much more directed towards delivering business outcomes internally, whether it is improvement in our recruitment cycle times, whether it is improvement in our win predictabilities, whether it is cost efficiencies in our G&A spend, etcetera .
These transformations, which is more like a Service -as-a-Software transformations are not only creating positive impact internally in the organization. These are also case studies that equally allow us to share our experiences with our clients and hence, b uilding Mastek into a full -stack transformation organization.
At the same brea dth, there's a phenomenal investment in terms of transforming our resources from engineering resources to forward deployed engineering resources, a lot of our domain consultants to forward deployed domain consultants kind of organization. In fact, some of t hese deployments have already become a part of our project that we are executing.
And as a part of skill matrix change, you will see a significant change in terms of the kind of resources that we have. So, a large portion of the resources will become FDEs and FDDCs as we go forward. This journey of transforming Mastek from an engineering powerhouse to a transformation powerhouse is what we are really all in for. And we look forward to keep updating you on those changes.
Thank you overall for asking your questions, and we look forward to these continued interactions over the quarter and in Q2. Thank you.
Deepak Kedia: Thank you, everyone.
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Mastek Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.